

Ipca Laboratories Ltd. (IPCALAB)

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BSE Ltd.

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Dear Sirs,

Pursuant to Regulation 30 of the Securities and Exchange Board of India (Listing Obligations and Disclosure Requirements) Regulations, 2015, we are enclosing herewith transcript of our Conference Call which was held on Friday, 11th August, 2023 to discuss the Company's Q1FY24 earnings and business update.

Thanking you

Yours faithfully

For Ipca Laboratories Limited

Harish P. Kamath

Corporate Counsel & Company Secretary

Encl: a/a

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pca Laboratories Limited Q1 FY24 Earnings

Conference Call "

August 11, 2023

MANAGEMENT : M R. A. K. JAIN – MANAGING DIRECTOR , IPCA

LABORATORIES LIMITED

MR. HARISH KAMATH – CORPORATE COUNSEL &

COMPANY SECRETARY , IPCA LABORATORIES LIMITED

MODERATORS : M R. NITIN AGARWAL – DAM CAPITAL ADVISORS

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Page 2 of 14 Moderator: Ladies and gentlemen, good day and welcome to the Ipca Laboratories Q1 FY24 Earnings Conference Call hosted by D AM Capital Advisors Limited.

As a reminder, all participant lines will be in the listen -only mode and there will be an opportunity for you to ask questions after the presentation concludes. Should you need assistance during the conference call, please signal an operator by pressing '*' then '0' on your touchtone phone. Please note that this conference is being recorded.

I would now like to hand the conference over to Mr. Nitin Agarwal from DAM Capital Advisors. Thank you and over to you, sir.

Nitin Agarwal : Thank you. Good afternoon, everyone and very warm welcome to Ipca Labs Q1 FY24 Earnings Call hosted by D AM Capital Advisors Limited.

On the call today, we have representing Ipca Labs management, Mr. A . K. Jain - Managing Director and Mr. Harish Kamath - Corporate Counsel and Company Secretary.

I will hand over the call to the Ipca management team to make the opening comments and then we will open the floor for questions . Please go ahead, sir.

A. K. Jain : Thanks , Nitin and DAM Capital for organizing this call. Good afternoon to all participants.

Thank you for taking out time and joining us for Q1 FY24 Earning Call. Today's call and discussions and answer given may include some forward-looking statement based on our current business expectation that must be viewed in conjunction with risk that pharmaceutical business faces. Our actual and future financial performance may differ from what is projected and perceived. You may take your own judgment on the information provided during the call. Domestic formulation business has delivered a growth of almost around 14% for the Q1 FY24. The impact of NLEM product price reduction in Q4 FY23 of around 16% on price control segment was partially offset with WIP based price increase taken in Q1 FY24. With two ranks gained over FY23 Ipca's rank in chronic segment and we have maintained 15th rank in acute segment as per IQVIA in this particular period and IQVIA TSA audit met June 23, Ipca has achieved a growth of around 13% as against the industry growth of around 11% as per IQVIA's data.

Export formulation business, more particularly our branded formulation business in Q1 has

delivered a growth of around 23% for the quarter from Rs. 93 crores to around Rs. 114 crores for Q1 FY24. Our generic business, excluding institutional business has delivered a growth of 11% in Q1 FY24 from Rs. 212 crores to around Rs. 235 crores. Institutional antimalarial business declined from Rs. 97 crores in Q1 FY23 to Rs. 48 crores. The business is impacted largely due to lower business volumes from Artemether, Lumefantrine and Artesunate, Ipca Laboratories Limited
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Page 3 of 14 Amodiaquine formulations. There were lower procurement by the global agencies and lower business of Artesunate injectable due to plant shutdown for upgradations of sterile Artesunate API section which now is operational and it may take around one more month to get its approval from WHO and business will resume, but we have already started the production of injectables here. API business in Q1 FY24 declined by around 23% from Rs. 384 crores to Rs. 295 crores for the quarter, mainly due to significant decline in antimalarial API business for the quarter from Rs. 63 crores to Rs. 19 crores, a decline of almost around Rs. 44 crores due to poor demand of our antimalarial APIs. The price decline on sartan APIs, due to significant decline in KSM prices in the market has also impacted overall value of the business. Overall business guidelines for FY24, domestic business, we expect that industry will grow around 10% and our growth may remain around 12% to 14% for the domestic business. That is our guidelines. International business

For domestic promotional business we expected growth of around 12% to 14%. Our lower business growth is projected due to depreciation in global. Global has already touched almost around 96-97 level and there will be some impact on foreign currency realizations on that. Our generic business is expected to grow by around 7% to 8% in this particular year. Institutional generic antimalarial business is likely to decline by around 15% due to lower demand and also due to the antimalarial injectable, particularly Artesunate injectable because plant was closed in the first quarter of the current year. API business, we see a decline of around 10% to 12% in the business due to lower realizations on the API, due to softer KSM pricing and also because of some decline in demand of antimalarial APIs. For FY24, overall growth forecast because of all these factors, more particularly on decline on institutional antimalarial business and also likely decline of API business will be likely to be around single digit to maybe around 6% to 8% for the year.

On business margin front, we expect our material cost to sales ratio to improve from around 35.5% in FY23 in the range of around 31.5% to 32%. This will deliver an improvement of around 3.5% to 4% for the year. This is mainly due to margin improvements on formulation business with lower input cost and overall improvement in productivity of the field force. Further cost optimization drive in the API production and overall we expect that EBITDA margin for the FY24, our expectations is around 19% to 19.5% for the year as against 16.22% in FY23. Having given the broad numbers, now I request the participants to ask the question.

Moderator: Thank you very much. Ladies and gentlemen, we will now begin the question and answer session. The first question is from the line of Kunal Dhamesha from Macquarie. Please go ahead.

Kunal Dhamesha: Sir, the first one on the EBITDA margin guidance of around 19% to 19.5%, this you had said on the base of 16.5% what we said, right, so the base also includes other income and the guidance also?

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Page 4 of 14 Harish Kamath: No, we have excluded other income from both places. Now, our guidance will be excluding other income.

Kunal Dhamesha: But if I exclude other income from last year reported number, I get some around Rs. 927 crores EBITDA with a 15% margin?

A. K. Jain: Yes, it is around 16.26 excluding other income.

Kunal Dhamesha: Sure. I will check my number then. So, basically the entire 300 basis points margin improvement we are expecting from more or less gross margin improvement is what we are suggesting, is that the right way to understand?

A. K. Jain: Yes, it is a gross margin improvement.

Kunal Dhamesha: And probably because of the lower realization this time around API business is declining, but beyond FY25, what is the growth trajectory that we are aiming for this business?

A. K. Jain: I think this year is by and large antimalarial business is facing some problem because of lower demand from WHO business also and also our domestic business of APIs we have seen significant decline in first quarter and API exports has also declined in this particular quarter, so will you see that antimalarial demand maybe lower in the current financial year, but as far as WHO business is concerned, now we have started receiving good order and injectable business is largely impacted because of our plant was closed in the first quarter and we do almost around Rs. 90 crores worth of your antimalarial injectables exports, Artesunate

injectable exports to all these global agencies. So, that business is impacted, but on a normalized basis, I think next year we should be able to deliver much better growth of around 10% to 12%.

Kunal Dhamesha : And on this planned closure for the injectable Artesunate, any part

icular reason that we have

closed that plant and when is it expected to come back online?

A. K. Jain : That was basically we wanted to upgrade our sterile Artesunate API section, so that work is already completed and product is validated and we have filed with WHO all the validation data. So, normally it takes 60 days' time to get an approval, almost around 30 days are over, so maybe in a month's time we will get approval, but meantime, we have already started the productions. So, maybe I think even August and September will also get impacted because of the shipment will start happening only after the approval from WHO will be received for all the upgradation.

Kunal Dhamesha : And you said Rs. 90 crores is what the annual rate is for this shipment?

A. K. Jain : Yes, injectable business is around Rs. 90 crores annually.

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Page 5 of 14 Kunal Dhamesha : Annually?

A. K. Jain : Yes.

Moderator : Thank you. The next question is from the line of Surya Patra from Philip Capital. Please go ahead.

Surya Patra: Sir, first question is on the gross margin front, so is it fair to believe that last 4 quarter where the gross margin levels were like 63 -64 in that range, so that was a kind of phase of preparation and now we have come back to normalcy and if yes, what is driving this? So, like the challenges of the API is now what is how we should think for the cost optimization thing or the input prices are corrected to such a significant level, so hence the benefits have been driven, so could you give some more color to this, sir?

Harish Kamath : I think that formulation business improvement is good, so that is also driving. Then input costs are also lower. That is also helping and normally the current year also your API business is lower. API margins are normally lower than the formulation business, so overall on mix also, margins are improving and plus on API side, we are also taking furthermore, the cost optimizations and other drive. So, that is also resulting in better margins on API. So, overall all these factors will result into almost around 3.5% to 4% kind of improvement in the gross margins.

Surya Patra: And this is the sustainable one?

A. K. Jain : This is sustainable one, yes.

Surya Patra: Sir, the second thing is about the Uni chem acquisition, so what is the way forward, sir, in fact the first part of the trade, we see this that has happened and so as you were mentioning that once the majority controlling stake that you acquire then you will start integrating because the management control that you will be having, so could you throw some light to that acquisition?

A. K. Jain : I think our open offer is opening on 28th of August and which will close, maybe around by 8 September or so, and all the payments will be made by around 20th of September, so practically by maybe September end and all, the whole process of integrations and all will start, but we have already started working on which are the products on which the market extensions are possible and we have started interacting with some of their teams, but practically on ground actions will start only after completely we are in the management here.

Surya Patra: So, that in number integration or the integration of the financials will only happen after the commencement?

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Page 6 of 14 Harish Kamath : Philip, it will start from September end because hopefully everything should be over by September 20 and we should be having management control over that company. So, second quarter result consolidation will happen from the date we got those control.

A. K. Jain : Maybe, I think few days consolidations would happen, but I think the major part will start happening from the third quarter onwards, yes.

Surya Patra: And sir, coming back to the domestic formulation business for I

pca, so positive surprise with

the 20% plus kind of growth and all that, so any one-off kind of contribution that you have witnessed or how is it, sir?

A. K. Jain : No, we have done, I think business growth of around 14% in domestic formulation and that is on the back of our most of the therapies are doing well. In fact, if you look at the business growth, what we have in, pain management has delivered around 15% kind of growth, Cardiovascular and Antibacterials more or less around close to 10% kind of business growth

on that , then our CNS business has grown by around 21% , Derma business has grown by around 24% , our Urology business has grown was around 26%, Ophthalmology by 15% and Neutra, we have small business which is declined by around 11% and Cough and Cold business has delivered around 11% kind of growth. Only segment where we have not received good growth is Antibacterial where the business growth was only around 5% in this quarter on the first quarter, yes. So, rest all businesses has done well in the quarter and both on Acute and Chronic we are bidding the market . In fact on Chronic, we had two rank jump in this particular period, but on Acute side we have maintained the rank just 15th in the overall as per IQ VIA.

Surya Patra: Is it right that in the previous quarter we had seen some kind of a pressure for our key brand like Zerodol and all and now it is normalized, is that the right understanding and also about the field force addition that you had in the recent past , whether it is fully captured and you have started seeing a kind of at least expected level of contribution from that field force expansion ?

A. K. Jain : Yes, field force expansion is also resulting in much better now and that is also helping us like say, your CNS business growth, because we have started one more division, so business growth is much better . In fact, on our Rheumatoid Arthritis division , the second division , in very first year, it has become productive and started delivering very good growth and margin also. And in Cardiovascular, that one division which we launched, which is Cardinova and it has reached to break even in very first year and another division which we have added, it may take one more year to get to the break even. As far as the Pain segment and more particularly on Zerodol side in that division also we have added almost around 300 people and there also we are seeing the overall good traction, but overall Pain market itself, the growth has come down and therefore earlier we used to have around 19% kind of growth on Pain segment , this quarter we had a growth of around 15% on Pain segment .

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Page 7 of 14 Moderator : Thank you. The next question is from the line of Rohan Vora from Pur nartha Investment. Please go ahead.

Rohan Vora: So, my question was that when would we start seeing operating leverage flowing in from new field force that we hired in the last one year and the freight cost that has normalized , so when would that start flowing into EBITDA margins ?

A. K. Jain : Let us say freight cost has already normalized and therefore you have seen that our energy cost has also somewhat stabilized and therefore in this quarter, if you see our manufacturing and other expenses had just moved by around 3% or so. So, there is not much of increase in other expenditure and as far as productivity is concerned, the major people were added one is in the Cardiovascular , Rheumatoid Arthritis and also in the division where we are marketing Zerodol. As I have already said that almost around 300 people are added close to that number in our Rheumatoid arthritis second division what we have started. That has become productive in very first year . One Cardiovascular we have started two division more, so one division has already received a breakeven in very first year , second

division will reach to the breakeven level in next financial year . On Zerodol range where we have added people that is also resulting in the overall productivity increase , but overall on pain side, if we look at we were growing by almost around 19% or so. This quarter the growth is lower because the pain market itself growth has little come down . Then another area where we added the people was one in CNS segment and in very first year that division is also becoming productive and above breakeven. So, overall, the addition of the people , only division where the people will take a little more time to become productive is the ophthalmic division where it will take almost around 3 years for people to become productive and start delivering break even, so it has been a good additions and we have already started gaining the productivity .

Moderator : Thank you. The next question is from the line of Harsh Bhatia from Bandhan AMC. Please go ahead.

Harsh Bhatia : Sir, I wanted to clarify one of the earlier statements that you made in terms of the guidance of 10% to 12% decline in the API business , so there is one element of the malaria API pricing taking a hit , is there anything incremental that is happening on the non-malarial API site ?

A. K. Jain : Major impact has come of malaria and also if the impact has also come because all KSM prices are soft and because KSM prices are soft , the API pricings are also soft and more particularly on Sartans, the starting material used to be around \$ 18 to \$20 has come down to almost around \$6.5 now. So, it is a significant decline on the KSM prices, which is resulting in almost around price of Losartan in the market used to be around \$ 100 to \$120, now it has come to maybe around close to the 55-60 level or so, so even though you have similar kind of volume there then because of price decline, your revenues are declining. So, that is also resulting in overall lower numbers for the API business.

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Page 8 of 14 Harsh Bhatia : So, it has more to do with the pricing aspect and very limited to do with the volume aspect ?

A. K. Jain : I think on KSM level significant price decline has happened and that is resulting in and practically the KSM manufacturers are losing money now at that level. So, it is not that these things will continue for very long, maybe matter of 6 months, the KSM prices will again start rising.

Harsh Bhatia : And this shift in this KSM prices, is it happening from the domestic manufacturing side or is it happening from the import aspect?

A. K. Jain : Because import it is more and the domestic producers are also , they have to match the prices . Otherwise they will not be able to do the business, but it is more driven by your import side and domestic people are matching the pricing.

Harsh Bhatia : And the margin guidance at this time we have gained across other income, the 19 %-19.5%, this is purely from the base business aspect, right ? That does not include any aspect of the Unichem consolidation for the entire year ?

A. K. Jain : No because Uni chem, we are not in management right now. So, open offer gets completed and everything then only consolidations and everything will start.

Harsh Bhatia : And if it is possible , can you help us with productivity of the Zerodol division, if it is possible , the PCP M number ?

A. K. Jain : Normally , we don't give the division wise productivity number, but overall our company as a whole on a field force size of almost around 6180 people , overall monthly productivity is around Rs. 4.22 lakhs which last year same period it was Rs. 4.08 lakhs.

Moderator : Thank you. The next question is from the line of Naresh Suthar from S BI Life insurance. Please go ahead.

Naresh Suthar : Sir, your guidance on this year' s margin , 19%-19.5, this includes the favorable mix in terms of higher India and lower API and o

ther export markets , so next year when the product mix normalizes will you see some part of reversing in FY25 the margins similar to FY 24 level or do you see more improvement from FY24 level ?

A. K. Jain : The margins will definitely improve because our formulation business is rising faster and thus also the productivity of people will also go up.

Naresh Suthar : So, can you quantify how much product mix led the margin expansion you are seeing in FY24?

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Page 9 of 14 A. K. Jain : We have not done the working on overall basis, so I have not done the working on each element wise. Maybe I think when next time we have next quarter call, I think I will get those numbers also ready.

Moderator : Thank you. The next question is from the line of Kunal Dhamesha from Macquarie. Please go ahead.

Kunal Dhamesha : Sorry to half back on this topic, but somehow when I recheck my number without other income, we were at around 15% margin , so I am not sure where the discrepancy is coming from for the last year, I am seeing on a consolidated basis and if I include other income last year, it would be 16.5?

Harish Kamath : We are speaking all numbers on standalone basis and I think you are going for consolidated.

Kunal Dhamesha : And sir, this quarter then, any drag from some of our other subsidiaries like Onyx, PISGah, if you can share some color there would be helpful?

A. K. Jain : The drag is only around Rs. 3 crore I think in the first quarter and things are improving there. On consolidation basis , if you look at my numbers , on standalone y our profit after tax is around 166.58 and for giving the impact of consolidation, your PAT number is around 162.82 so it is around Rs. 3.76 crore .

Kunal Dhamesha : And any details on our CAPEX plans and any update in the existing work for the plants that is going on?

A. K. Jain : Overall CAPEX in current year is likely to be around Rs. 300 crore s and the major additions is the one Bio -tech plant which we are building up in MP.

Kunal Dhamesha : And then what would be the CAPEX investment there and the bioreactor capacity?

A. K. Jain : It will be almost around Rs. 150 crore s.

Kunal Dhamesha : And the bioreactor capacity , for that.

A. K. Jain : I think it is 1500 liter , I think 2000 liter and that is the kind of reactors are there and 1 500 liter or something of that type.

Kunal Dhamesha : And this would be focusing more on the India and emerging market?

A. K. Jain : It is a developed market also . We have taken opinion on our clinical protocols from Europe, UK and I think US regulators also. So, our clinical designs are all based on checking those inputs , so filing will be for global market.

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Page 10 of 14 Kunal Dhamesha : And then last one on the KSM pricing , you alluded that KSM prices would again probably start going up , so to that extent, we would also be able to take the API price hike, is that the fair assumption?

A. K. Jain : It is a fair assumption , yes.

Kunal Dhamesha : So, we will have those contracts in which there will be escalation clauses based on KSM prices, right?

A. K. Jain : Normally , we don't find the long -term contracts for API site. It is only with MNCs or some kind of those customers , it may be around 6 months kind of contract, and in past also, we have been adjusting the prices , so there are no issues as far as passing on those kind of cost.

Moderator : Thank you. The next question is from the line of Rahul Jeewani from IFL Institutional Equities. Please go ahead.

Rahul Jeewani : Sir, our consolidated EBITDA margins last year were 100 basis points lower than the standalone EBITDA margin , so do you think a similar drag would be there in FY24 as well from the various subsidiary of ours , so do you think that drag would come down?

A. K. Jain : The drag is already coming down . Practically in this quarter , this is around Rs. 3.5 crore and

things are improving, so drag will come down.

Rahul Jeewani : Sir, that Rs. 3.5 crores drag is at PAT level , so what would be the drag at the EBITDA level for 1Q?

Harish Kamath : There is not much difference between, most of those companies there is no finance cost and only some depreciation, that is all, not much.

A. K. Jain : It is around half a percent point, yes.

Rahul Jeewani : And sir, after the acquisition of Rs. 33-Rs. 34 crores stake in Unichem for Rs. 950 crores , what is our cash balance as of now and after the open offer also loose, so do you think that we will have some sort of higher interest expense going forward ?

A. K. Jain : Interest cost is overall our borrowing level will remain around Rs. 1,000 crore or so , net borrowing and since the interest rate has moved up both on Indian rupee and foreign currency loans , so earlier, all the foreign currency loans were very cheap. Now the interest rate is almost around 7%-7.5% kind of interest rate. So, at that level, your overall finance cost may be around Rs. 100-Rs. 120 crore for the year .

Rahul Jeewani : After factoring in whatever you need to pay for Unichem acquisition ?

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Page 11 of 14 A. K. Jain : Yes.

Moderator : Thank you. The next question is from the line of Surya Patra from Phillip Capital. Please go ahead.

Surya Patra: Sir, if you can just update us about your US FDA facility inspection for the plant though and what is the kind of expectation on that US business front so far as our portfolio is concerned?

A. K. Jain : All the three sites are inspected and we have already replied . There are no repeat observations and also there are no kind of data integrity kind of issues. So, hopefully we should get cleared and I think it is only a matter of time because I think somewhere Ratlam inspection was closed in mid of the June, so probably 90 days thereafter or so I think hopefully we should hear from regulators.

Surya Patra: Sir, then hypothetically, if we assume that hopefully things are getting resolved by the second quarter or the best third quarter , so what would be our business model there in the US? So, our focus would be API to start with the old API product and the old file has to be activated , what will really happen and what timeframe that you anticipate to see some supply happening from your Indian facilities and how would that be complemented or not impacted by Unichem acquisition, if you can say something about that ?

A. K. Jain : I think Unichem has much bigger platform of US sales. So, we would like to integrate those kind of platform. So, maybe that will become our frontend. So, we will definitely look at that .

Right now , it will not be right on my part to comment on that part and we don't know how long it will take because some times the import alert lifting may take some time. So, right now , we cannot say that when the business would start. So, we will take call around that time, but our focus is likely to be more on formulations , not on API.

Surya Patra: About the formulation exports as when you are talking about the formulation business growth is looking strong , so could you talk something about the formulation export which has been subdued a bit since some time and whether this challenges what you have been facing in Europe and particularly in UK, all those things have got resolved and what is the current outlook in the key market that you are having for the formulation exports?

A. K. Jain : I think Europe has delivered very good growth ; the UK has started coming back. I think Europe which includes UK also , last year, first quarter, the business was Rs. 73 crores, this year, first quarter it is around Rs. 119 crores. So, there is almost around 63% growth and this trend is continuing. I think for all of the year the UK may

delivered almost around Rs. 130-Rs.

140 crore s kind of business as against Rs. 64 crores what we had in last financial year. So, overall, we are seeing good tractions from European market and other markets like Australia, New Zealand and except South Africa where we may see some kind of decline because some of the tenders we have lost there and Canada business may remain some muted, but Australia,

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Page 12 of 14 New Zealand and European business will do well. So, overall, looking at that, we have given the guidelines that in the current year or on generic formulation side, we should have around 7% to 8% kind of growth. First quarter, we have seen the growth of around 11% and on institutional generics, because up to second quarter, the business impact on injectable, so that will also result in lower growth and first quarter your antimalarial WHO qualified formulation business was lower. Of course, the orders have now started coming in and good orders are there in hand, but that will definitely impact not only first quarter, it has impacted and some impact will be there of these two factors in second quarter, but on third and fourth quarter there would be good recovery.

Surya Patra: And just one last question, sir about the facilities, so when the Unichem was not there in size, so we had a plan of having an end-to-end integrated operation by activating that Novel (Inaudible) 38.14 site in Nagpur and hence KSM dedicated facilities in the Nagpur site and all, now with Unichem facilities are getting added post the acquisition, what thought process that we are currently having about capacity build up and for the integrated operation what we have been thinking long back?

A. K. Jain: We already have good amount of integrations from API to formulations close to almost around 54%-55% of our formulations are based on our own APIs overall on the company as a whole.

Surya Patra: I was talking about the KSM integration, sir?

A. K. Jain: KSM integration part, we are already working. We have set up our first plant on continuous process and I think that plant should start operating from maybe around October or November. It is under installation right now and once the validations and all start I think from that side, first product for Furosemide, one raw material will start producing in-house through the continuous process and we have around 2-3 more candidates in pipeline on which we are currently working and so far we have not placed the order. We will learn from this particular product and thereafter we will place the order and the plant cost is very small, it is not very large. This continuous process plant for one of the KSMs which we have set up may be around Rs. 25-Rs. 30 crores. So, plant cost on continuous process is not going to be very high, but overall it will result in much better throughput and also lower overhead cost.

Surya Patra: And if you can update about the Dewas site commissioning and execution and utilization, sir?

A. K. Jain: Dewas site is so far not inspected by any agencies. We have started filing, I think 4 products are validated from there and filed in various markets. Furthermore validations are happening from that site, so maybe I think by year end or so we may have some kind of domestic business or some small business coming in from the markets where no such inspections are required, but probably I think in the second-half of the current financial year, some inspections would start happening from European authorities and other and thereafter the business will scale up.

So, for one year we have already discussed it earlier also that this is the cycle one has to follow

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Page 13 of 14 that you do for validation of the batches, generate the three batches and thereafter file with regulators and once they inspect the plant, then

only the business and approval come, then only

all these export business will start. So, I think current year also this plant will continue to have losses, yes. Its continuous establishment and validation of products will do and generate stability data and filing work is currently happening.

Surya Patra: Just last one, sir on the Sartans, which is the key product for our API portfolio, we had seen some impurity challenges along with the industry last year and we have been trying to have new modified process approved from the regulators in the Europe, so that possibly we have already done and also in the recent past we have seen enhanced competition from the domestic leading large players also so far as API is concerned, so now having seen all these impurity challenges in the recent past and enhanced competition, what your outlook that you are having for your key portfolio that is Sartan?

A. K. Jain: I think impurity challenges, which were more particularly on Nitrosamine and Azido impurities and all now it is like whole industry is working for last 1-1/2, 2 years and most of the issues are now addressed, so this is all the thing of past. Somewhere the processes are filed, somewhere process filings are happening on the newer APIs and all, but recently regulators both US and Europe both have come out with the guidelines further and we don't foresee any reason on any of our API not meeting those kind of guidelines. So, now we don't have any kind of those challenges.

Surya Patra: But how do you address the competition, sir, enhance competition for short terms?

A. K. Jain : Sir, basically it is a cost reductions and on continuous basis working on to reduce the cost and process optimization that is the only answer and building the higher volumes.

Surya Patra: So, that means we can say that Sartan portfolio is kind of a normalized after seeing whatever the hiccups in the recent past ?

A. K. Jain : Yes, it is in the process of normalization because some of the processes which were reduced cost processes which we have filed, I think some market we have received approvals , but in LATAM , Brazil and others, those approvals are still to come. So, somewhere the costs are still on higher side because as we had discussed earlier that our first focus was to come out with the process , so we have filed initially the process which has a little higher cost and thereafter we have come out with a much better process where the cost is much lower and that process filings has happened, but some market approvals are still pending.

Moderator : Thank you. The next question is from the line of Vaibhav Acharya from Honesty and Integrity. Please go ahead.

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Page 14 of 14 Vaibhav Acharya : Sir, just trying to understand from a longer term perspective that post the acquisition of the Unichem , I think we can make use of our Bayshore platform which we were earlier not probably able to optimize , so what is your thought on that and can it contribute significantly to Ipca's profitability on a consolidated basis going forward?

A. K. Jain : Unichem is much bigger platform than Bayshore and for our future US business we would like to use the Unichem platform rather than using the Bayshore platform. So, Bayshore, we will try to integrate with that of Unichem portfolio and we will integrate the entire team and other things so that there are more cost reductions on operating side would happen, so that is the thinking, but it all will start happening once we are there in the management.

Vaibhav Acharya : But. I think Unichem doesn't have any frontend which our Bayshore has, so Bayshore will continue to be Ipca's?

A. K. Jain : No, Unichem has a much bigger frontend. They are almost around more than 30 people, very good team and very good US business, yes.

Vaibhav Acharya : And when you provided your over

a ll number obviously on a standalone basis you provided

and we know some of the other existing subsidies that you have , but from September onwards for six months, the drag will also come from Unichem on a PAT or PBT basis , so just wanted to understand your thoughts on it , will there be any drag , it will be significant? How much that would be , I don't want an exact number , but a broad quantitative commentary would be helpful ?

A. K. Jain : I think the Unichem is also improving their performance and we will only be able to provide you once we are there in the management . Right now , it will not be right for on my part to talk of that, yes.

Moderator : Thank you. Ladies and gentlemen, that was the last question for today. I would now like to hand the conference back to the management for their closing comments. Thank you and over to you all.

A. K. Jain : Thank you. Thank you for participating in Q1 FY24 Conference Call of Ipca. Thank you all the participants. Thank you.

Moderator : Thank you. On behalf of DAM Capital Advisors Limited, we conclude today's conference. Thank you for joining , you may now disconnect your lines.

Call: Nov 2023

THRU ONLINE FILING

November 13, 2023

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Dear Sirs,

Pursuant to Regulation 30 of the Securities and Exchange Board of India (Listing Obligations and Disclosure Requirements) Regulations, 2015, we are enclosing herewith transcript of our Conference Call which was held on Friday, 10th November, 2023 to discuss the Company's Q2 / H1 FY24 earnings and business update.

Thanking you

Yours faithfully

For Ipca Laboratories Limited

Harish P. Kamath

Corporate Counsel & Company Secretary

Encl: a/a

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Q2 FY2024 Earnings Conference Call"

November 10, 2023

ANALYST : M R. NITIN AGARWAL – DAM CAPITAL ADVISORS

LIMITED

MANAGEMENT : MR. A. K. JAIN – MANAGING DIRECTOR – IPCA

LABORATORIES LIMITED

MR. HARISH KAMATH – COMPANY SECRETARY – IPCA

LABORATORIES LIMITED

IPCA Laboratories Limited

November 10, 2023

Page 2 of 20 Moderator : Ladies and gentlemen, good day and welcome to IPCA Laboratories Q2 FY2024 Earnings Conference Call hosted by DAM Capital Advisors. As a reminder, all participant lines will be in the listen-only mode and there will be an opportunity for you to ask questions after the presentation concludes. Should you need assistance during the conference call, please signal an operator by pressing '*' then '0' on your touchtone phone. Please note that this conference is being recorded. I now hand the conference over to Mr. Nitin Agarwal from DAM Capital Advisors. Thank you and over to you Sir !

Nitin Agarwal : Thank you. Good afternoon everyone and a very warm welcome to IPCA Labs Q2 FY2024 post results earnings call hosted by DAM Capital Advisors. On the call today representing IPCA management Mr. A. K. Jain, Joint Managing Director and Mr. Harish Kamath, Company Secretary. I will hand over the call to the management team to make the opening comments and then will open the floor for questions. Please go ahead Sir.

A. K. Jain: Thanks Nitin and DAM Capital Advisors for organizing this call. Good afternoon and Happy Dhanteras to all participants and thanks for taking out time and joining us for Q2 FY2024 earnings call. Today's call and discussions and answers given may include some forward-looking statement based on our current business expectations that must be viewed in conjunction with the risk the pharmaceutical business face. Our actual future financial performance may differ from what is being projected or pursued you may take your own judgment on information given during the call.

Our domestic formulation business for the quarter has delivered a business growth of around 10% with two range jump over corresponding period and IPCA is 13th in acute segment. On chronic market also we had one range jump and IPCA is now ranked as a 16th in the segment. IPCA has outperformed the industry in both acute and chronic segment. Our market share has improved to around 1.92% from 1.89% on a mid basis as of mid September 2023 as per IQVIA. For Q2 FY2024 our branded promotional business has delivered a growth of around 15% from Rs.127 Crores to almost around Rs.146 Crores. Our export generic businesses delivered around 32% growth from Rs.200 Crores to almost around Rs.264 Crores. Mainly the business growth has come from UK and European markets. Institutional tender anti-malarial business declined by almost around 21% from Rs.77

Crores to around to Rs.61 Crores and overall export formulation business in Q2 is at around Rs.470 Crores as against Rs.404 Crores in Q2 FY2023 with overall growth of almost around 16%. API business in Q2 FY2024 delivered a growth of around 6% from Rs.307 Crores to around Rs.335 Crores. We continue to face the price decline and volume decline on certain API as well as on anti-malarial API business. With both formulations plant and Ratlam API plant now in VI category. For Piparia plant as well as Ratlam plant the import
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Page 3 of 20 alerts are already lifted and we are awaiting that import alert will be shortly lifted for the Pithampur plant also. We are initiating now the process of augmenting the supply chain and revalidations of all the formulations and updating them. The whole process may take around four to five months and thereafter the shipments to US may begin in Q1 FY2025. Overall we have given earlier the business guidance for domestic business of almost around 12% to 14%, we maintain our guidelines in spite the Q2 business growth was around 10%. Overall in H1, the business growth in domestic formulation is almost around 12%. Our international branded business has delivered in first half a growth of almost around 18%. We have projected a lower growth of around 12% for this business. It is mainly because of depreciation in Russian R

uble and certain contingent challenges are that are being faced in West Africa.

On export generic business at the beginning of the year our projection for growth was around 7% to 8% for the year as against that in H1 FY2024 we have delivered a business growth of almost around 21% and our revised guidelines for this business for the year the growth is expected to around 20%. The overall lower business guidelines which was given earlier in the year was mainly because we lost certain tenders in South Africa and we were expecting a loss of business of almost around Rs.60 Crores, but the business there has been good in private market and other businesses and the refore overall that decline may not be there.

On institutional anti-malarial business, the business is likely to decline by almost around 25%. The lower is mainly because of lower demand as well as lower business of anti-malarial injectable is largely because of the plant upgradations which are currently happening. The API business we have earlier given a guidelines of decline of around 10% to 12% as against this, the decline may remain at around 7% to 8%. Having given the broad numbers, I would now request the participants to ask questions.

Moderator : Thank you very much. We will now begin the question and answer session. The first question is from the line of Surya Patra from PhilipCapital. Please go ahead.

Surya Patra: Thank you for this opportunity Sir. Sir this quarter it seems that you have integrated Unichem and that is why to some extent impact on the core margin and earnings that we have seen so is it possible to share what is the Unichem numbers that we would have added in the revenues, EBITDA and PAT?

A. K. Jain: Overall I think around two months from August 1, 2023 we have consolidated Unichem in the overall numbers and overall I think topline which is consolidated is almost around Rs.285 Crores and I think on bottom line side there is a loss of almost around Rs.16 Crores yes.

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Page 4 of 20 Surya Patra: Okay and the EBITDA level Sir?

A. K. Jain: EBITDA is positive at around 5% yes.

Surya Patra: Okay Sir whether it is a full phase kind of integration from the August 1, 2023 or it is after September 21, 2023?

A. K. Jain: It is a line by line integration from August 1, 2023 yes. Consolidated.

Surya Patra: My second question is about the way forward that we would have decided or thought about after the integration Sir see like what cost synergy and what revenue synergy that we are witnessing or anticipating for the integrated operation so if you can give some sense about it that will be helpful?

A. K. Jain: Overall we have worked out say short term goals and medium term goals that is what we need to do because the industry is highly regulated and lot of approvals are needed before any kind of changes are implemented. On short term side let us say there are certain changes more particularly in API processes that can be done with minor annual notifications so that process is already initiated on various raw materials which can give almost on RMC reduction on those products by almost around 15% to 40% so that is the one area which is initiated. Second area which we have initiated is we have also started looking into the the API processes where the improvements are required in the processes where almost around 30% to 40% API cost reductions can be targeted and also

the Unichem overall API business is very low so there with these kind of reductions the business volumes on API can certainly go up so that journey we have started looking into. The third process we have initiated is also we are looking into their entire utility cost and all and we expect that almost around Rs.12 Crores to Rs .14 Crores kind of utility cost can be reduced in the the current financial year itself so that process has already initiated. Another process

what we initiated is we have mapped into all your material rates they are buying and what kind of material rates what we are getting and we find that the procurement volumes ours is very large and therefore our rates are lower compared to what they are purchasing so which maybe is the solvent and acids and alkaline and intermediates and all that so that the process we have initiated now to align the entire process of procurement. Even on the services and things because we worked on annual contracts with suppliers for all the plants and therefore those kind of costs are also on engineering items are also lower so that process we have initiated and that will also start giving results in time to come. Another issue which we have short term wise which we have looked into is their logistic cost are very high. By and large is because of two reasons. One is their air shipments are very high which is almost around maybe over 50% is air shipment so we are looking into the various issues whereby the productions can be increased and whereby the reduction can

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Page 5 of 20 happen in the air shipment and secondly mostly their shipments they are not loading the containers at plant. Most of the container loadings are happening at the port side and therefore their cost on logistics are also higher and that process of integrations and reduction of the cost has already started so that may start giving results from maybe a quarter later so that process which we are initiating. So these are the kind of short term things which we are we are looking into. Another issue which we are looking into is the market extension of products. Let us say that US approvals are there, like say market like Chile except the US ANDA and all that so that filing process we are initiating so that we can open the Chile as a market and without doing any work on the backward side because it does not require because entire dossiers are accepted as it is so with those kind of approvals the market extension can happen to Chile. We are also looking into reduction of losses which are currently happening I think Ireland and UK markets and we expect much better prospect also coming from their range end and probably there may not be any kind of losses in the current year. It may result into profitability in the current year so these are the short-term things which we are looking into. As far as medium terms are concerns, we have identified, mapped their entire API processes. All the products may be around 50 to 55 APIs which they have so entire process is identified. We have appointed the team leader for every API. We have mapped in that from where the current RMC and where the RMC could go and what kind of changes are required and entire valorizations is already done so a lot of work is happening now at the lab level and thereafter the piloting and all and once those kind of reductions happens all the regulatory filing and then thereafter the approval from the regulator so that process is long but we see a significant reductions in their API costing in times to come. Then another issue what we are looking for is market extension of products like say we identified that out of the overall Unichem ANDA there are certain ANDA almost around 17 products we identified where on five product there could be a buyer dossier and those dossier can be directly filed in let us say in Europe, Australia, New Zealand and South Africa where the D's are not required so there are five product market extensions can happen quickly. There are another 12 products where the only bio study needs to be repeated. All parameters of other markets are meeting internally so those extension could also happen very quickly. Another 24 ANDA the products which are developed that with minor tweaking in the dossiers in a period of almost around 18 months from now. Those products also the

market extension can be given. As IPCA we do lot of businesses in Europe, Canada, South Africa, Russia and various ROW markets and developed markets so these products of Unichem can also be extended to these markets. Let us say all these works can happen in the period of around 18 months and there may be some kind of sometime may be required thereafter for regulatory approvals and all but those integration process and market extension that process has already initiated and now that another is the aspect we have also looked into is let us say what kind of because Ratlam plant is now clear and there are certain common API which they are using where our cost of

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Page 6 of 20 productions are lower and those kind of advantage can come to Unichem in their

procurement pricing so those API also maybe around 10 to 12 API are there which can definitely be integrated into the Unichem's basket but of course those integrations will take time. There are regulatory approvals and all that process are there so it is a goal of around 12 to 15 months time so a lot of those issues are looked into and in fact almost 15 API out of 55 APIs basically gives 77% of their business and the balance 14 API if taken up then it is almost around 93% of their business of formulation get covered so all those APIs we are looking into. Then on ROW market also both the teams, their team and our team are integrating and looking into how can we increase the ROW market business and all. We have also looked into the lot of their ANDA which are there under approvals and all which the approvals are expected and all. From that aspect I think almost around 11 new products can be launched in the year 2023-2024. Nine ANDA by and large from April 2024 to March 2025 that can be launched and there are seven ANDA which also include three Para four also included in that. It can be launched in 2024 or 2025 so lot of those works is currently going on. Of course that will take time but from looking at all these data, we are very confident that what we had talked initially when we have announced the deal that we will be able to achieve almost around Rs.300 Crores kind of EBITDA on the Unichem side that is very much possible looking into all these details what we have done and once the market extension happens and we start marketing those products in various market definitely we can make Unichem as a beautiful company.

Surya Patra: Sure Sir this Rs.300 Crores EBITDA for FY2025 you mentioned Sir?

A. K. Jain: I said two years it will take because a lot of work and regulatory approvals are required.

Surya Patra: Yes sure.

A. K. Jain: Nothing happens in this business because you need to take product, you need to validate, then develop the dossier changes and file with regulators and take their approvals. There are only smaller things like say where the solvent is changing, no process is changing, and no equipment is changing but in spite of that also with the minor tweaking in the process you can reduce the cost of productions and the time cycle deduction can happen so those are things which are initially targeted but that may not give us significant kind of savings. Some savings will start coming from that but the significant savings will happen with those kind of changes what we have planned and already worked out each API all details and team leaders are appointed, responsibilities are given to the people and the teams are working and by and large their focus in next two years is likely to be the low hanging fruits. All these are low hanging fruits that process changing and all. The product development will be on a slower pace in these two years. The team will work on market extension. The IPCA Laboratories Limited

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Page 7 of 20 API team will work largely on cost reduction. Let us say 80% of the time will be utilized on those

kind of processes by the team so that the results can be obtained faster so that is the process so that we can turn this company into profitability.

Surya Patra: Thank you so much Sir for a detail explanation. Now having some development on the US business front from our facilities so could you give some sense about activating our DMFS and potential filing of dossiers or reactivating the dossiers what we would have filed long back or what is the thought process here for IPCA own US business?

A. K. Jain: Let us say there are certain products where there are no updates in the file let us say are required so those are around eight to 10 products can start quickly after the supply chain and after the validation again the process because we have not there in the market for almost around nine years so we will have to do the revalidation of the processes and the entire product so that process can start. On other dossiers and other approvals let us say API processes has changed where we have cheaper processes. Those processes need to integrate into our dossiers because those work are not done so that work is required to be done so that process also we are initiating at our end so that will take some time but let us say that earliest we can be there in the market is only in the Q1 of next financial year.

Surya Patra: Sure Sir thank you Sir. Thanks a lot. Just one bookkeeping number update? See here the tax number with the integration what is the ETF that we are anticipating for let us say current year and next year after the integration Sir?

A. K. Jain: You want to know about the tax.

Surya Patra: Tax rate integrated tax rate after Unichem?

A. K. Jain: I would say that the as far as Unichem is concerned there are no disallowances are there because they are not there in the domestic market and so their tax rate will remain around 25% or so. There will be not much of change. As far as we are concerned it is mainly largely the tax rate is going up because of disallowances like say CSR cost get disallowed, any donation given that get disallowed and marketing cost large part of marketing cost also get disallowed so that figures the overall because of that I feel that we have made a provision for tax rate almost around which include defer tax at around 34% as against

normal tax rate of around 25% plus some deferred tax of 1% to 2% so as against that so tax may be on higher side because of disallowances by a lot around 6% to 7% yes.

Surya Patra: Okay sure thank you.

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Page 8 of 20 Moderator : Thank you. The next question is from the line of Chirag Dagli from DSP BlackRock. Please go ahead.

Chirag Dagli: Thank you for the opportunity. Sir of the eight to 10 products that you talked about for the US market that can immediately come in in the market what is the market opportunity of these approved products here because the last time we were in the market, we were doing about \$35 million to \$40 million but since then there could have been price actions and plus this time around we have our own front end as well and not necessarily supplying to a partner so if you can just give us a sense of what is the market opportunity and what should we expect in the first 12 months in terms of revenue from the US post us coming into the market?

Harish Kamath: Yes Chirag the initial products will be same product in which we were there earlier in the US market and as far as the pricing is concerned in our product range there is hardly any reduction in the prices in that market so when we were there we were sharing almost 40% to 50% profit with the marketing partner. Now that issue is not there. All our products henceforth will be distributed through Unichem franchise.

Chirag Dagli: And our base share as well right?

Harish Kamath: Base share also operations we are integrating along with the Unichem now. Label will remain but

operations will be handled by Unichem.

Chirag Dagli: Understood but the way to think about this is that 100% of the economic interest will be with IPCA or how will you share with?

Harish Kamath: No economic interest is always with IPCA because we are holding all ANDAs. See it is like earlier we were doing business through marketing partner's right. There was Sun Pharma. Initially it was Ranbaxy. At that time there was a formula transfer price in which we have certain margin. Then sales in the US minus our transfer price minus certain percentage of sales as selling and distribution cost which we will also give to Unichem because it is a fair percentage and remaining profit we used to share in the ratio of 40:60 or in some product 50:50 so only that profit sharing ratio may change. Otherwise economics will not change.

Chirag Dagli: Understood sir and would you say that pricing action has gone up or has gone down over the last decade or so?

Harish Kamath: More or less we are confident whatever margin we were doing that time so that will improve because there will be profit sharing.

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Page 9 of 20 Chirag Dagli: Understood and like you said 50% you are sharing with your partners?

Harish Kamath: That is right yes.

Chirag Dagli: Correct and Sir can you indicate the number of pending ANDAs we have?

Harish Kamath: There is no change in that scenario know. We have not filed any new ANDAs. Incidentally recently we got approval for one more ANDA. Postal these VAI for all the facilities and all one ANDA approval also we got.

A. K. Jain: We expect a good number of approvals immediately after the Pithampur import alerts are lifted because Pithampur is already VI so import alert lifting may take few weeks maybe.

Thereafter good a number of ANDA approvals will come.

Harish Kamath: Because all later part ANDA filings were from Pithampur.

A. K. Jain: And I think we have almost around 18 approvals and around 26 which are.

Harish Kamath: Filed and pending approval.

A. K. Jain: Pending approval.

Chirag Dagli: And of these the ones that you are expecting approval of Pithampur how many will those be Sir?

A. K. Jain: Most of them are from Pithampur only.

Harish Kamath: See initial all filings were from Piparia. Most of them are already approved. Most of the subsequent filings which are now pending approval they are all filed from Pithampur.

Chirag Dagli: Understood so Sir if I were to take a slightly longer term view and I understand you will take time? FY2025 we will likely spend scaling up our existing products but if I were to take a slightly longer term view do you think this can be a \$100 million business maybe \$200 million business with the existing?

Harish Kamath: Sir it is very difficult to comment on the numbers know but actually when we were there in the US market our API plus formulation business put together including indirect API sales people are buying in India but end formulation was going to US. All that put together was

about Rs.500 Crores, Rs.450 Crores to Rs.500 Crores .
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Page 10 of 20 Chirag Dagli: Understood and just the last question Sir?

Harish Kamath: That has limited number of products. At that time you are marketing about nine to 10 formulations.

Chirag Dagli: Understood Sir understood and now with Ratlam getting open for the US market are there any products where your realizations are essentially better in the US market and hence you can immediately move?

Harish Kamath: We were not there for 10 years. We have to now start seeding business. It will take little bit time because all my customers are already with currently with some other supplier but we will start that process also.

Chirag Dagli: Understood okay Sir thank you so much.

Harish Kamath: Whereas our efficiency, our cost efficiency and all it is intact. Leadership po

sition that there

is no change in that. We are confident we will regain all those lost business in due course of time.

A. K. Jain: Nobody is waiting for us so we will have to create the market so it will take time. Right now we are not in a position to give the number.

Moderator : Thank you. The next question is from the line of Syan Mukherjee from Nomura. Please go ahead.

Syan Mukherjee: Thanks for taking my question. Sir how are we thinking about the US business in terms of filing? We have not been filing and what implications on R&D platform or R&D expenses that you see should happen over the next two to three years?

Harish Kamath: Syan in the meantime we have also developed several formulation. We did not do any filing because it was entailing filing cost and all so now we will increase our filing pace. So as a group we will have lot of ANDA in the US. Unichem itself is having 60 to 70 filings plus we have our filings and we will increase the filing speed going forward.

Syan Mukherjee: So that will have any meaningful implication on R&D expense?

Harish Kamath: Definitely so when we were there in the US we were developing products and filing products. Our R&D cost is around 5% to 6%. Maybe slowly we are now currently around two and a half. Little bit increase will happen may be up to 4% or so.

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Page 11 of 20 Syan Mukherjee: Okay and so how many ANDA have you already decided like how many ANDAs you will be filing going forward?

A. K. Jain: See basically our filings are going to be based on our own API so we are currently producing around 70 to 75 API out of which around 46 are filed so it is going to be the balance API we will look into the filing and as more API are commercialized more filing will happen so we are not filing more number of products based on somebody else API. By and large US market is going to be more integrated kind of business for us so it is not that we have to file significant number of the formulation. That is the practice which is the Unichem also have that they are also integrated operations and IPCA is also integrated operations so by and large wherever we have good API processes that will only be taken for filing. R&D cost is not going to have a significant impact. They did not go from 2.5% to 6%. It is going to remain around 4%.

Syan Mukherjee: Okay and Sir I also see that you are making some efforts on the bio similar front anything that you would like to share? How are you planning? What are the products? How are the spends? Are they already sort of coming in or we will see some increase because of clinical trials, etc.?

A. K. Jain: Currently I think the plant is under construction. It may take I think by let us say the end of the Q1 next year for plant to complete and thereafter the validations and all. We are currently working on almost around five products and for two we have already taken the IMA, USFDA and European authority's guidelines and clinical strategies on that has been finalized. Third is in pipeline so the three products are already at those kind of state but the commercialization of that will happen from the plant so any commercialization efforts will only start after the plant is ready and then so it is still far away, but the current R&D cost also include the bio similar kind of cost here and on all products the development of clone is in house. We are not taking clone from anywhere from outside.

Syan Mukherjee: Right and Sir this pipeline that is selected so when you enter the market so you would target Europe and US at some point right?

A. K. Jain: Yes.

Syan Mukherjee: So these products so we are looking at what 2027 to 2028 kind of time frame and are these products.

A. K. Jain: After the plant is ready it may take around two and a half years. That is the kind of period for the initial batches and thereafter a

establishment batches and then bio development taking the batches and clinical studies and all that so that is the kind of time.
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Page 12 of 20 After the plant is ready and everything is done around two and half year so still it is a long journey.

Syan Mukherjee: Okay and Sir the pipeline that you have selected is that you are targeting is the first wave launch or those are the ones where you see you have a cost advantage and you are going for it despite some of them may have already gone generic sometime back?

A. K. Jain: Looking at our R&D presentations and all we are getting values are much higher than currently what market is getting. That is what I can say but I cannot give the name of the production right now.

Syan Mukherjee: Okay thank you.

Moderator : Thank you. The next question is from the line of Abdul Puranwala from ICICI Securities. Please go ahead.

Abdul Puranwala: Thank you for the opportunity. Sir can you provide a rough split of the India versus between the various therapies and how that has grown in this quarter?

A. K. Jain: The pain segment has grown by almost around 12%. Other therapies like say your cardiac has grown by 13%, CNS 22%, derma 17%, neurology 23%, ophthalmology 38% and other products by around 10%. The product which has declined in the quarter, anti-malarial has declined by 4%. Anti-bacterial has declined by 2% and cough and cold has declined by 5% so that is the overall number so Q2 was the toughest quarter I think overall market growth was also around 7% or so. We have grown by around 10%. Q1 our growth was 14% much higher compared to market but we are seeing now domestic market reviving. Overall October was good and November is also appearing to be good so we are not changing the overall guidelines for the year. We will continue to have around 12% to 14% kind of growth on domestic market. First half we are at 12% overall domestic growth.

Abdul Puranwala: Sure and Sir I mean a couple of quarters back we had added some MR so I mean in terms of the MR break even or the productivity for those considering that the market has slowed down a bit so where are we? Are we still on track of breaking even in two years or given the current market circumstances you think that will take some time?

A. K. Jain: I think if you look at last year my overall MR productivity was 4,18,000 per month and after addition of people also I am currently at around 4,53,000 kind of productivity in the first of the year. That is the overall productivity. The productivity has definitely improved and this is overall. This includes the newer products but let us say the people which we have added in kind of the cardiac businesses and all that take a longer time compared to the other
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Page 13 of 20 businesses. Like say we have started one cardiology division which we may be at our currently around after one year, we are at around 1 lakh productivity but the growth is better. The other division we have around because that in that division certain product was transferred and all so that is around 2.5 lakh productivity. What people we have added in here the rheumatoid arthritis segment that has given very good productivity and almost they are around 4 lakh kind of productivity now. Certain products were transferred and certain products were added in that market but that has not reduced the productivity of the FTA division which was earlier marketing and that is also going up. The productivity level is almost around 9,30,000 so that is a good productivity. Moreover urology has also done well so productivities are good in there.

Abdul Puranwala: Sure understood and Sir a final one if I may so with the US plants getting cleared Sir is there any plan ahead of sourcing some CDMO molecules from the subsidiary which can be scaled up to this

plant and cater to the US market?

Harish Kamath: No now presently those things are not considered so initial our work is to launch the products which were already there in the market when we went out so gradually we will look everything.

Abdul Puranwala: All right Sir. Thank you and wish you all the best.

Moderator : Thank you. The next question is from the line of Rushar Manudane from Motilal Oswal. Please go ahead.

Rushar Manudane: Thanks for the opportunity Sir just from the USP a gain so what would be the current capacity utilization for Ratlam plant, Piparia and Pithampur?

A. K. Jain: Piparia it will be around 15% to 20%, Pithampur maybe around 30%, and Ratlam we are

having certain specific plant for specific products where there is a capacity available. In any case now we are gradually scaling up production at Devas also. That plant also ultimately will be offered to all regulatory agencies inspection so availability and manufacturing of API should not be any issue.

Rushar Manudane: Understood but at the same time even from an external API sales perspective where there is volume decline?

A. K. Jain: There is not so much decline in volume but price decline is very severe from \$100 to about \$50 in case of Losartan.

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Page 14 of 20 Rushar Manudane: In fact that is the other part of the question is that what new API molecules are we looking for growth in API business especially?

A. K. Jain: Across all our products we are seeding across the globe so we have seen good business progress. Many projects are now getting commercialized so there is no issue in growing the API business. The only issue is about pricing. Other than that there are no concerns.

Rushar Manudane: Got it Sir and just lastly we had this Metoprolol filing as well for the US market?

A. K. Jain: It is filed but it is pending approval. There is no change in that status.

Rushar Manudane: Thank you.

Moderator : Thank you. The next question is from the line of Damayanti Kerai from HSBC. Please go ahead.

Damayanti Kerai: Thank you for the opportunity. Sir my question is on your margin trajectory so lot of cost initiative happening at Unichem portfolio as well as your own so like Q2 number includes two months of Unichem business? Looking ahead how do you see cost like dynamics changing and how do you see margins say in near term and then in slightly longer term in terms of like trajectory movement?

Harish Kamath: Damayanti, Mr. Jain has already explained what initiative we will be taking as far as Unichem is concerned. As far as IPCA is concerned more or less in the Q2 if you see our financials whatever guidance we have given actually we have done better than that so there is an improvement in the standalone EBITDA margin from 18.85% to 20.86%. It is nearly 2% in Q2. Similarly in consolidation there is two month Unichem sales that have come in. In spite of that there is an improvement in the EBITDA margin from 17% to 17.64% and we are confident of telling and assuring the investors our EBITDA margin going forward should improve at least by 100 basis points year after year.

Damayanti Kerai: Okay so at least 100 basis points improvement per year that is good to hear Sir and then I wanted to check update on the Devas plant? You said it is yet to be offered to agency so what is the timeline like when you are planning to invite some major regulators?

A. K. Jain: See initially we have started developing API. Some products are already developed. Then there is a process stability and all so it will take time.

Damayanti Kerai: Okay not in this financial for sure right?

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Page 15 of 20 A. K. Jain: It is near future. It will take time.

Harish Kamath: We have filed the products to various regulatory authorities. The dossiers are filed.

A. K. Jain: But when they come for inspection so again all

that involves some time.

Harish Kamath: So filing has already started from there. At least we have almost around six to seven API which are stand up there and filings are in process now. A few filings are already done.

Europe does not take very long time to come for inspection. Maybe it is a time lag of almost around five months to six months they come so hopefully by this yearend or early part of next year the inspection should happen from Europe. US we have yet to file so once Europe I think five to six all these happen then we will trigger based on our own processes itself the inspection from US also because we will utilize the Devas API also for our formulations the newer API so we will trigger that kind of inspection from there but when inspection will happen that is not in our hands.

Damayanti Kerai: Okay and Sir my last question is?

A. K. Jain: The European and other inspections can start early.

Damayanti Kerai: Okay got it. Sir my last question is like you were working on this continuous process plant for some specific KSM, etc., so any update there like how that has moved and what kind of margin accretion you are seeing or foreseeing for such continuous process based product?

A. K. Jain: We have installed one plant in the last few months at Aurangabad. Earlier we have put up a pilot plant and now we have set up a proper plant for one intermediate so that I think it may start commercial production somewhere in end December or so, so from next quarter onwards then we get all the results of that we will talk to you what kind of reductions are coming and other products by and large thereafter will be taken up at Nagpur so we are still

awaiting some kind, we have got the environmental clearance but the consent to start is still pending from the state pollution control board so we are following with that and thereafter all the continuous process plant of that type will set up at Nagpur so that is time for me and this plant does not have very high investment. It is a continuous process plant. Every plant may be set up maybe around Rs.20 Crores to Rs.25 Crores. It does not take very long very, very big investment so that is going to be an advantage in that your overall capital cost will come down.

Damayanti Kerai: Got it Sir. Thank you very much and wish you a very happy festive season.

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Page 16 of 20 Moderator : Thank you. The next question is from the line of Pulkit Singhal from Dalmus Capital. Please go ahead.

Pulkit Singhal: Thank you for the opportunity. This question on Unichem I mean broadly when you look at the US opportunity from three to five years out you obviously alluded to the cost synergies and the market extensions but when you think about addressing that opportunity are you looking to invest in the Unichem business to do more new product developments? How do you decide what will be done here versus IPCA or will these two be very independent growth engines just a broad thought process five years out?

A. K. Jain: Both are separate growth engine but marketing will happen in US through your Unichem because that is a much better established business. The bay shore was small outfit and therefore let us say both business we will be combining there and we will keep only one marketing outfit instead of two marketing outfit to reduce all the operating cost of that level but otherwise both will be separate engines. The Unichem R&D team will separately they will report to their managing director but overall the selection of products and all we will guide them in terms of which are products Unichem team is taking up. They already have their pipeline and all so they will continue to work but first focus will be given on the low hanging fruits like say process corrections which the Mr. Pavitra Bhirandiyara he is the managing director and he is technocrat. He is guiding the team

in terms and their R&D is

now getting dedicated to correct those kind of processes and all that so which all action plans has been taken and then market extension which can give a the faster generation of revenue and also profitability. Those kinds of things are planned so that we turn Unichem into profitability. That is the first goal so I said that next two years almost around 80% of time R&D will devote only on the improvements and 20% on the new developments there. Once these major API these corrections happen then only the new developments will be focused so their R&D cost will not be that high because of course bio cost will be there but other material cost and other things will be on lower side but thereafter again they will take up the development.

Pulkit Singhal: Understood. Thank you and the second question is broadly you had given a guidance of Rs.1800 Crores of revenues and Rs.300 Crores of EBITDA? Obviously you have a much better understanding now having probably evaluated further? I mean the company is already doing almost Rs.1700 Crores of revenue? I mean even now if you just analyze the first half so how do you see that trajectory changing over the next three years? What is the peak potential in terms of revenue growth itself?

Harish Kamath: Actually when we gave this projection their annual turnover was around Rs.1300 Crores. Suddenly this year and the last two quarters they have seen lot of opportunity in the US

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Page 17 of 20 because of shortages and all so that is why there is a sudden jump in their US generic business. Having said this they also have a product pipeline. They will be commercializing few ANDAs which are already approved in this financial year as well as the next financial year.

A. K. Jain: And their Brazil businesses started doing which was earlier cash burning business they have started doing well. I think this year in first half they have already grown by almost around 65% and they have good pipeline of products where some of the Sartan journey we will integrate with their approvals and all so we see a good future even from Brazil in that market. We see good revenue generations and all even from their European business point of view.

Pulkit Singhal: Understood just very lastly what do you think is the peak revenue potential for this entity and how many years can it take for you to reach the peak?

A. K. Jain: Let us say Ghaziabad plant I think their production capacity is almost around 200 million tablets. That plant we have some kind of working is done and that production capacity by certain changes it can go up to 270 million kind of tablets. As far as Goa plant is concerned, the first plant capacity is around 500 million tablets. That can go up to 625. It does not need

any kind of investment. It is only the internal some changes are there. As far as their third plant is there Goa 2 which is beautiful plant and it is for the scale up so we are planning a lot of much bigger size bench is there and all that but that will all go through the whole regulatory process of approvals and all. A lot of things may not happen through CB30 process. It is a fast approval process so right now focus is to say bigger volume products to be shifted to Goa 2. Goa 2 also has almost around 500 million tablet capacity so capacity wise there are no constraints as far as Unichem are concerned because Goa 2 capacity is practically utilized very, very small. Today production volume may be around 50 million tablets and all so it is a more scale up basis to be taken products with larger products to be shifted to that and after regulatory approval so it may take around one year time to do that journey and that will also result in lot of cost saving so also free up the lot of capacity there and therefore we have targeted that next three years what kind of the new products they can

launch and all that and on those products also on API side we are looking for cost reduction so their ANDA will have to be upgraded again. Once the API has to be qualified in those ANDA so that process is all netted and workings are going on but it takes time that is the only thing that in Pharma business everything has to go through the whole process and thereafter approvals and all so that is why we have divided things in two parts. One is low hanging and can that be done immediately and one maybe 12 to 18 months and thereafter the results start coming in so that is the journey.

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Page 18 of 20 Pulkrit Singhal: That is great. Thank you so much for the detailed explanation.

Moderator : Thank you. The next question is from the line of Rashmi Shetty from Dolat Capital. Please go ahead.

Rashmi Shetty: Thanks for the opportunity. Just one clarification whatever guidance you have given for the branded business and your generic business that includes the Unichem integration sales also?

Harish Kamath: Unichem does not have any branded business. We have given for IPCA it is standalone IPCA. We have not considered anything of Unichem in that.

Rashmi Shetty: Okay not even in your generic portfolio where you have upgraded it by 20%?

Harish Kamath: The guidance given us for current financial year. The next six months we cannot do anything much as far as Unichem portfolio is concerned. This guidance what we have given is our own portfolio and our own business.

Rashmi Shetty: Understood okay and what is the status on borrowing for this acquisition and what is the cost of debt?

Harish Kamath: Our current net borrowing is around Rs.800 Crores. Cost may be around 7%. There is also increase in the borrowing cost. Earlier most of our borrowings were in foreign currency. We were paying about 1% to 1.5% which has now increased to about 7%.

A. K. Jain: It was moving around Rs.1600 Crores but we have almost the balance a cash in the balance sheet around Rs.800 Crores.

Harish Kamath: So net borrowing is around Rs.800 Crores.

A. K. Jain: The net of cash.

Rashmi Shetty: Understood Sir just wanted to understand more so when you said that currently in your guidance you have not included Unichem integration so you are saying that for the integration process will take time and therefore the sales from Unichem will not immediately come in next 6 to 8 months am I correct?

Harish Kamath: Whatever Unichem is doing business their businesses their businesses have also grown in the current financial year by almost 35% so this guidance what Mr. Jain said is of

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Page 19 of 20 standalone IPCA business which was growing business. We have not included immediately anything out of Unichem product in our book so far. That will take time.

Rashmi Shetty: Okay all right. Thank you Sir that is it from my side.

Harish Kamath: Per se their businesses have grown from Rs.1300 Crores last year they are growing around 35% in the first half of the current financial year.

Rashmi Shetty: Okay Sir perfect.

Moderator : Thank you. The next question is from the line of Rahul Jeewani from IIFL Securities Limited. Please go ahead.

Rahul Jeewani: Thanks for taking my question so you indicated that you will recommercialize your US portfolio through Unichem frontend so when that happens would you be booking the sales or the sales would be booked at the Unichem level?

Harish Kamath: Standalone we will book in our books. It is an export business to me. Similarly Unichem US will also book. In consolidation it will get adjusted.

Rahul Jeewani: Sir I am saying then it will reflect in IPCA stand alone books as well?

Harish Kamath: Of course now because I am manufacturing and I am selling it to Unichem US so it will reflect in my books as sales standalone whatever Unichem is selling in us it will r

eflect in

Unichem USA book but when you do consolidation it will get adjusted.

Rahul Jeewani: Okay sure sir and Sir any plans of merging Unichem into IPCA through a share swap?

Harish Kamath: No currently nothing on board. We have to bring their businesses. We are focusing only on Unichem business now nothing beyond that.

Rahul Jeewani: So both the entities would continue to remain separately listed?

A. K. Jain: That is right yes.

Rahul Jeewani: Thank you and that is it from my side.

Moderator : Thank you. Ladies and gentlemen, as there are no further questions from the participants, I would now like to hand the conference over to the management for closing comments.

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Page 20 of 20 Harish Kamath: Since there are no further questions I think we should end this call. Happy Diwali to all the participants.

Moderator : Thank you. On behalf of Dam Capital Advisors Limited that concludes this conference.

Thank you all for joining us and you may now disconnect your lines.

Call: Feb 2024

THRU ONLINE FILING

February 19, 2024

BSE Ltd.

Phiroze Jeejeebhoy Towers

Dalal Street

Mumbai 400 023

Scrip Code – 524494 National Stock Exchange India Limited,

Exchange Plaza, C-1, Block-G,

Bandra Kurla Complex, Bandra – (East).

Mumbai-400051.

Scrip Code : IPCALAB

Dear Sirs,

Pursuant to Regulation 30 of the Securities and Exchange Board of India (Listing Obligations and Disclosure Requirements) Regulations, 2015, we are enclosing herewith transcript of our Conference Call which was held on Friday, 16th February, 2024 to discuss the Company's Q3 / Nine Months FY24 earnings and business update.

Thanking you

Yours faithfully

For Ipca Laboratories Limited

Harish P. Kamath

Corporate Counsel & Company Secretary

Encl: a/a

"Ipca

Q3 FY '24 Earnings Conference Call

February 15, 2024

MANAGEMENT : M R. AJIT

IPCA L

MR. HARISH

COUNSEL

MODERATOR : M R. NITIN

LIMITED

Page 1 of 15 Ipca Laboratories Limited

Q3 FY '24 Earnings Conference Call "

February 15, 2024

JIT.KUMAR . JAIN –MANAGING DIRECTOR

LABORATORIES LIMITED

ARISH KAMATH – COMPANY CORPORATE

COUNSEL – IPCA LABORATORIES LIMITED

ITIN AGARWAL – DAM CAPITAL ADVISORS

LIMITED

DIRECTOR –

CORPORATE

ADVISORS

Moderator: Ladies and gentlemen, good day, and welcome to the Earnings Conference Call hosted by DAM Capital Advisors Limited.

participant lines will be in the listen

questions after the presentation concludes. Sh

call, please signal an operator by pressing star and zero on your touchtone phone.

that this conference is being recorded.

I now hand the conference over to Mr. Nitin Agarwal . Thank you, and over

Nitin Agarwal: Thanks, Azhar. Good afternoon, everyone, and very warm welcome to

post- results earnings call, hosted by DAM Capital Advisors Private Limited.

we have representing

Harish Kamath, Company's Corporate Counsel.

I will hand over the call to Mr. Jain to make open comments, and then we'll open the floor for questions. Please go ahead, sir.

Ajit Kumar Jain: Thanks, Nitin, and DAM Capital

participants, and thanks for taking out time and joining us for Q3 FY '24

Today's call and discussions and answer given, may include forward

on our current

pharmaceutical business faces. Our actual future financial performance may differ from what is projected and perceived. You may use your own judgment on the information given during the call.

Our domestic formulation business has delivered 11% growth for the quarter, and we are ranked as the 16th Indian pharma company as late December '23. Market beating growth in both acute and chronic therapies are achieved for this quarter. The chronic growth was 11%.

growth was 9.1% and

MAT December 2023.

With two range jump over corresponding period maintained its rank in the Chronic segment.

December '23 as against 1.89% in the December '22. So from 1.89%, it has gone to 1.95%.

Our export formulation business has crores to around

The branded formulation business in ROW declined from

This is mainly due to certain shipment could not go to the CIS market. Myanmar is impacted because there are issues and licenses are getting delayed for a long period of time.

So without import licenses in that country, shipment cannot go. And certain business of West Africa affected for

the market also. So because of that, the branded business in this quarter is down. IPCA Laboratories Limited February 15, 2024

Page 2 of 15 Ladies and gentlemen, good day, and welcome to the IPCA Laboratories Q3 and FY '24 Earnings Conference Call hosted by DAM Capital Advisors Limited. As a reminder, all participant lines will be in the listen-only mode and there will be an opportunity for you to ask questions after the presentation concludes. Should you need assistance during the conference call, please signal an operator by pressing star and zero on your touchtone phone. that this conference is being recorded.

I now hand the conference over to Mr. Nitin Agarwal. Thank you, and over to you, sir.

Thanks, Azhar. Good afternoon, everyone, and very warm welcome to IPCA

results earnings call, hosted by DAM Capital Advisors Private Limited.

we have representing IPCA Management, Mr. A.K. Jain, Joint Managing Director; and Mr Harish Kamath, Company's Corporate Counsel.

I will hand over the call to Mr. Jain to make open comments, and then we'll open the floor for questions. Please go ahead, sir.

Thanks, Nitin, and DAM Capital Advisors for organizing this call. Good afternoon to all participants, and thanks for taking out time and joining us for Q3 FY '24

Today's call and discussions and answer given, may include forward-looking statements based on our current business expectation that must be viewed in conjunction

with the risk that

pharmaceutical business faces. Our actual future financial performance may differ from what is projected and perceived. You may use your own judgment on the information given during Our domestic formulation business has delivered 11% growth for the quarter, and we are ranked as the 16th Indian pharma company as late December '23. Market beating growth in both acute and chronic therapies are achieved for this quarter. The chronic market, market growth was 11%. IPCA has grown by almost around 15.9%. And on Acute segment, market growth was 9.1% and IPCA has achieved around almost around 11.3%. This is as per IQVIA MAT December 2023.

range jump over corresponding period, IPCA is 13th in Acute segment and maintained its rank in the Chronic segment. IPCA's market share has improved to 1.9% MAT December '23 as against 1.89% in the December '22. So from 1.89%, it has gone to 1.95%.

Our export formulation business has given a growth of around 8% for the quarter from crores to around INR433 crores.

The branded formulation business in ROW declined from INR 128 crores to

This is mainly due to certain shipment could not go to the CIS market. Myanmar is impacted because there are issues and licenses are getting delayed for a long period of time.

So without import licenses in that country, shipment cannot go. And certain business of West Africa affected for two reasons. One is Red Sea reason and another, some kind of slowness in the market also. So because of that, the branded business in this quarter is down. IPCA Laboratories Limited February 15, 2024

IPCA Laboratories Q3 and FY '24

As a reminder, all

only mode and there will be an opportunity for you to ask

ould you need assistance during the conference call, please signal an operator by pressing star and zero on your touchtone phone. Please, note to you, sir.

IPCA Lab's Q3 FY '24

On the call today,

Jain, Joint Managing Director; and Mr

I will hand over the call to Mr. Jain to make open comments, and then we'll open the floor for all Advisors for organizing this call. Good afternoon to all participants, and thanks for taking out time and joining us for Q3 FY '24 Earnings Call.

looking statements based

business expectation that must be viewed in conjunction with the risk that pharmaceutical business faces. Our actual future financial performance may differ from what is projected and perceived. You may use your own judgment on the information given during Our domestic formulation business has delivered 11% growth for the quarter, and we are ranked as the 16th Indian pharma company as late December '23. Market beating growth in generic market, market

has grown by almost around 15.9%. And on Acute segment, market

and 11.3%. This is as per IQVIA

is 13th in Acute segment and IPCA has

's market share has improved to 1.9% MAT

December '23 as against 1.89% in the December '22. So from 1.89%, it has gone to 1.95%.

s given a growth of around 8% for the quarter from INR400

128 crores to INR105 crores.

This is mainly due to certain shipment could not go to the CIS market. Myanmar business is impacted because there are issues and licenses are getting delayed for a long period of time. So without import licenses in that country, shipment cannot go. And certain business of West another, some kind of slowness in

the market also. So because of that, the branded business in this quarter is down. Institutional

antimalarial business has declined from

the same quarter last financial

Export generic business in U

INR 189 crores to around

formulation business has grown by around 8%. API business declined from

around INR 285 crores for this quarter. We continue to face volume decline in certain API, but pricing is now getting stabilized.

On margin front, on stand

to around 18.55% for the

year. The material cost to sales ratio also improved by 2.65% for the

current first 9 months of the current year.

ear.

So overall, material cost to sales ratio from 34.8

shipping costs and energy cost prices has moderated as against prevailing prices in December '22 last financial year. And we are also witnessing a price stability on majority of our procurement.

Consolidated EBIT

by 1.12% during the quarter. From 15%, it has moved to around 16.12%. Consolidated

material costs to operational income has improved by around 2.39% from 36.34% to 33.95% for the quarter

Having given the broad numbers, now I request participants to ask questions, if any.

Moderator: Thank you very much.

is from the line of

Kunal Dhamesha: So the first one on now that we have

updated thoughts on synergies that we can generate in terms of call it quantitative synergies over the next 2 years? And what are the primary drivers that you see to get

synergies? And then consequently, what that can lead to our total profitability?

Ajit Kumar Jain: So we are working on lot of things. As we have discussed earlier, like market extensions, the improvement in the processes of APIs and improving

at the Unichem and all those and cost reductions and all those kind of things. And also to scale up their production. So you can witness that the total income in the current year and the first is almost growing

43.6%. So their productivity definitely are improving now.

And as far as

there are time table a

involved. So that process is going on. And even cost reduction process and everything is going on. It will take some time, but the improvements are seen in the results now for the have achieved almost around IPCA Laboratories Limited

February 15, 2024

Page 3 of 15 antimalarial business has declined from INR77 crores -- INR 277 crores from the same quarter last financial year.

Export generic business in U K and other market has delivered a growth of around 33% from 189 crores to around INR 252 crores. So overall brand, the generic

formulation business has grown by around 8%. API business declined from 285 crores for this quarter. We continue to face volume decline in certain API, but pricings are now getting stabilized.

On margin front, on stand-alone basis, EBITDA margin improved by around 2.78% from to around 18.55% for the quarter from 15.77% in the corresponding period of last financial year. The material cost to sales ratio also improved by 2.65% for the -- and also for current first 9 months of the current year.

So overall, material cost to sales ratio from 34.86%, it has come down to around 32.21%. Both shipping costs and energy cost prices has moderated as against prevailing prices in December '22 last financial year. And we are also witnessing a price stability on majority of our

Consolidated EBITDA margin before exchange gain loss or exceptional income has gone up by 1.12% during the quarter. From 15%, it has moved to around 16.12%. Consolidated material costs to operational income has improved by around 2.39% from 36.34% to 33.95% for the quarter.

Having given the broad numbers, now I request participants to ask questions, if any.

Thank you very much. We will now begin the question-and-answer session.

is from the line of Kunal Dhamesha from Macquarie.

So the first one on now that we have -- had a full quarter with Unichem

updated thoughts on synergies that we can generate in terms of call it quantitative synergies over the next 2 years? And what are the primary drivers that you see to generate synergies? And then consequently, what that can lead to our total profitability?

So we are working on lot of things. As we have discussed earlier, like market extensions, the improvement in the processes of APIs and improving the overall productions and productivity at the Unichem and all those and cost reductions and all those kind of things. And also to scale up their production. So you can witness that the total income in the current year and the first is almost growing 40% plus. And in the

is quarter also, overall top line has grown by around 43.6%. So their productivity definitely are improving now.

And as far as -- none of those activities are concerned -- its -- a lot of -- there is for everything there are time table and it takes a lot of time because regulatory filings and so many things are involved. So that process is going on. And even cost reduction process and everything is going on. It will take some time, but the improvements are seen in the results now for the have achieved almost around INR38 crores kind of EBITDA number to 8.8%. IPCA Laboratories Limited February 15, 2024

277 crores from INR83 crores in

K and other market has delivered a growth of around 33% from

252 crores. So overall brand, the generic -- the export

formulation business has grown by around 8%. API business declined from INR329 crores to

285 crores for this quarter. We continue to face volume decline in certain API, but

alone basis, EBITDA margin improved by around 2.78% from --

quarter from 15.77% in the corresponding period of last financial

and also for -- in the

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shipping costs and energy cost prices has moderated as against prevailing prices in December

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Having given the broad numbers, now I request participants to ask questions, if any.

The first question

had a full quarter with Unichem -- what are your

updated thoughts on synergies that we can generate in terms of call it quantitative synergies

over the next 2 years? And what are the primary drivers that you see to generate those

synergies? And then consequently, what that can lead to our total profitability?

So we are working on lot of things. As we have discussed earlier, like market extensions, the

the overall productions and productivity

at the Unichem and all those and cost reductions and all those kind of things. And also to scale

up their production. So you can witness that the total income in the current year and the first --

40% plus. And in this quarter also, overall top line has grown by around

there is for everything

and it takes a lot of time because regulatory filings and so many things are

involved. So that process is going on. And even cost reduction process and everything is going

on. It will take some time, but the improvements are seen in the results now for the Q3. They

kind of EBITDA number to 8.8%.

And the company, which was incurring losses has now shown some kind of PBT in the current quarter also, around -- almost around INR16 crores before the exceptional income. Also are on right track, and we are confident that because the company will make profitable have discussed earlier.

Kunal Dhamesha: Sir, any quantitative number as to where their margins -- annual margins could end up in the next 2 years with all that we have in place now the entire plan that we have in place?

Ajit Kumar Jain: It all depends on how the journey is actually the -- taken up because there are many things where the regulatory approvals and all are required. Even if processes are changed need to be again refiled, then after approval only they can be, let's say, commercialize and all those kind of things are there.

So giving quarter-wise numbers and all may not be right now feasible. But yes, what we have talked earlier that INR2,000 crores turnover and INR300 crores kind of 15% kind of EBITDA margin. That's very much achievable. We are very confident, every day after

looking into and seeing the progress, here we feel that we are on the right path here.

Kunal Dhamesha: Sure, sir. And the second one on the generic businesses, which has seen a lot of growth 33% year-on-year. Is there any one-off kind of component? How should we look at that business, let's say, next quarter and for the next year?

Ajit Kumar Jain: Generic business, if you look at in last 3 quarters on a continuous basis, that has done the similar kind of growth. And in fact, at the beginning of the year, we were looking at generic business may not grow that

much because of

businesses in South Africa, but we are expecting almost around

the South Africa business is also moving up in current year also. I think in first 9 months, it has grown by almost around 12%. So there are no decline.

Europe business is also going on very well. The Europe has seen good growth in last first 3 quarters in the current year. And overall, it's grown from INR371 crores

launched in UK. So that business will continue to have good growth.

Only concern is little bit on this Red Sea level and certain customers' product

shipment and all those kind of things, in the time frame is going to be normalized. And in time to come from first

products with shipment and marketing will should be growing well for us

Kunal Dhamesha: Sure, sir. And one more, with your permission. On the US products, can you provide incremental update as to where are we, for the sake that we

could be the potential upside on that shipping that will start in quarter 1? And then how are you looking at the number of products that will start shipping, starting from quarter 1 FY '25 to end of FY '25? IPCA Laboratories Limited

February 15, 2024

Page 4 of 15 And the company, which was incurring losses has now shown some kind of PBT in the current quarter also, around -- almost around INR16 crores before the exceptional income. Also are on right track, and we are confident that because the company will make profitable have discussed earlier.

Sir, any quantitative number as to where their margins -- annual margins could end up in the next 2 years with all that we have in place now the entire plan that we have in place?

It all depends on how the journey is actually the -- taken up because there are many things where the regulatory approvals and all are required. Even if processes are changed need to be again refiled, then after approval only they can be, let's say, commercialize and all those kind of things are there.

So giving quarter-wise numbers and all may not be right now feasible. But yes, what we have talked earlier that INR2,000 crores turnover and INR300 crores kind of 15% kind of EBITDA margin. That's very much achievable. We are very confident, every day after

looking into and seeing the progress, here we feel that we are on the right path here.

Sure, sir. And the second one on the generic businesses, which has seen a lot of growth 33% year. Is there any one-off kind of component? How should we look at that business, let's say, next quarter and for the next year?

Generic business, if you look at in last 3 quarters on a continuous basis, that has done the similar kind of growth. And in fact, at the beginning of the year, we were looking at generic business may not grow that much because of -- we were looking -- we have lost certain kind of businesses in South Africa, but we are -- in South Africa, also we are growing and we were expecting almost around INR40 crores, INR50 crores kind of losses, but we are looking that, the South Africa business is also moving up in current year also. I think in first 9 months, it has grown by almost around 12%. So there are no decline.

Europe business is also going on very well. The Europe has seen good growth in last first 3

quarters in the current year. And overall, it's grown from INR240 crores crores, almost around 54% growth. There are a lot of products which are yet to be launched in UK. So that business will continue to have good growth.

Only concern is little bit on this Red Sea level and certain customers postponing some kind of shipment and all those kind of things, in the time frame is going to be normalized. And in time to come from first -- maybe in the first quarter of the next financial year -- products with shipment and marketing will start. So overall generic business should be growing well for us in time to come.

Sure, sir. And one more, with your permission. On the US products, can you provide incremental update as to where are we, for the sake

that we might do some shipping, but what could be the potential upside on that shipping that will start in quarter 1? And then how are you looking at the number of products that will start shipping, starting from quarter 1 FY '25 to end of FY '25? IPCA Laboratories Limited
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And the company, which was incurring losses has now shown some kind of PBT in the current before the exceptional income. Also they are on right track, and we are confident that because the company will make profitable -- as we annual margins could end up in the

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Ajit Kumar Jain: I think overall, what we have worked out that there are a lot of products where work needs to be done with reference to

of years 2014 to now. So some kind of processes, the change of API

some processes where the post approval are required, which has 6 months' time and some pre approvals are required. So all those kind of things are there.

But I think, overall, looking at the

be launched in the next 12 months. That's what is visible. And thereafter, the

process upgradations or somewhere, the site changes are there and all those things will take time. So -- over a period of 2 years, I think it'

of number.

So that's how

and all. So it will take some time. It's not that everything can be done together. So it's over a period of time

Moderator: The next question is from the line of

Damayanti Kerai: Sir, my first question is on branded market. So you obviously mentioned some has impacted quarter during

business to say from next 2 to 3 quarters perspective?

Ajit Kumar Jain: Overall, see our expectation from this business from next financial year could

kind of growth. And current year, it may grow around 8%, yes.

Damayanti Kerai: Okay. But some of the challenges which you mentioned, that remains in near term, right? And then maybe it will take some time for those 2 sectors.

Ajit Kumar Jain: Yes. Yes. But in spite of those difficulties, the business could grow around 10%.

Damayanti Kerai: 10%? Okay. And sir, you mentioned, say, like Red Sea situation, commentary you also mentioned that freight costs are down year-on-year. But I think what we are hearing

is that logistic costs are going up,

should we look at your operating cost especially freight, etc, again, from a near perspective?

Ajit Kumar Jain: That's -- for freight cost comment I have given only with reference to that last year, what kind of prevailing rates were there compared to that the rates are significantly lower. And that even if it's a little bit the logistic cost goes high, it may not have much profitability and all.

Damayanti Kerai: So you don't expect much impact from these higher freight costs,

Ajit Kumar Jain: Only certain European customers are postponing the shipments. But now let's say, Houthi attacks has come down and things may normalize again. That's what days, we have not heard any kind of those attacks. IPCA Laboratories Limited
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Page 5 of 15 I think overall, what we have worked out that there are a lot of products where work needs to be done with reference to -- because in US, we are coming after a long number of years 2014 to now. So some kind of processes, the change of API and all those, there are some processes where the post approval are required, which has 6 months' time and some pre approvals are required. So all those kind of things are there.

But I think, overall, looking at the -- we feel that almost around 8 products

be launched in the next 12 months. That's what is visible. And thereafter, the process upgradations or somewhere, the site changes are there and all those things will take over a period of 2 years, I think it's possible to launch around 16, 17 product kind

So that's how -- it's a journey now. There's a lot of revalidations and all those need to be taken and all. So it will take some time. It's not that everything can be done together. So it's over a period of time -- say, in current year, 7 to 8 products definitely can be launched. Yes.

The next question is from the line of Damayanti Kerai from HSBC.

Sir, my first question is on branded market. So you obviously mentioned something has impacted quarter during -- performance in the quarter. So how should we look at this business to say from next 2 to 3 quarters perspective?

Overall, see our expectation from this business from next financial year could kind of growth. And current year, it may grow around 8%, yes.

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10%? Okay. And sir, you mentioned, say, like Red Sea situation, etcetera commentary you also mentioned that freight costs are down -- freight costs have moderated year. But I think what we are hearing that logistic costs are going up, should we look at your operating cost especially freight, etc, again, from a near

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yes. Yes. Last few

Damayanti Kerai: Okay, sir. And my last question is, can you provide an update on some of the new plant expansion, et

plants will start contributing to your numbers?

Ajit Kumar Jain: Dewas almost around 7 to 8 product commercialization work is going on. Some products are already filed with European

take around 6 months' time for at least 5, 6 product to get approved. So thereafter, the

shipments -- your production

Damayanti Kerai: Okay. And Nagpur?

Ajit Kumar Jain: Nagpur -- concerning Nagpur we have not done anything much on the site. We have just got the -- now consent to operate. So first one, intermediate, the planning is going on there, but that's for captive consumption. So not

only some kind of reduction in the cost and all will happen. Yes.

Damayanti Kerai: Okay. And sir, a clarification on the US business commentary which you already provided. So you're expecting that 1

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Ajit Kumar Jain: We have almost around basket of around 40 products. So we are expecting good number of product approval to come. So this is from the current list I'm talking which is approved list.

Yes. So it's basically the more number of p

more number of launches will also happen.

Moderator: The next question is from the line of Surya Patra from PhillipCapital.

Surya Patra: Yes. Sir, my first question is on the margin profile of Unichem for adjusting for the EBITDA margin what we had reported for or what we had indicated for Unichem in the previous quarter that was part of our number. And this quarter's reported number of Unichem, it looks like that the margin has

meaningful correction sequentially from almost like

So what is this leading to? Is it the operating negative leverage that you're seeing out here because your export is seeing some kind of

margin sequentially weak for our base business.

Ajit Kumar Jain: Let's say, overall, if you look at the

improved because more value additions a

kind of improvement is there on material cost.

And prices are more or less 2.78% improvement. So

there are not much of fluctuations on my procurement prices and a

added businesses are happening on formulation side, and that's giving the better margins

overall. IPCA Laboratories Limited

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Page 6 of 15 Okay, sir. And my last question is, can you provide an update on some of the new plant etcetera, which you're doing at Dewas, Nagpur, etcetera ? And how soon these

plants will start contributing to your numbers?

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now consent to operate. So first one, intermediate, the planning is going on there, but that's for captive consumption. So nothing we laid on as far as the top line is concerned, it's only some kind of reduction in the cost and all will happen. Yes.

Okay. And sir, a clarification on the US business commentary which you already provided. So you're expecting that 16 to 17 products can be launched in next 2 years. So that will give you like a good footing in the US business given like your advantage on the cost expenses, or you need to add on like more products to gradually come up in the US next 3 years?

We have almost around basket of around 40 products. So we are expecting good number of product approval to come. So this is from the current list I'm talking which is approved list.

Yes. So it's basically the more number of product approvals will come and with that, even the more number of launches will also happen.

The next question is from the line of Surya Patra from PhillipCapital.

Yes. Sir, my first question is on the margin profile of Unichem for this quarter. If I see that adjusting for the EBITDA margin what we had reported for or what we had indicated for Unichem in the previous quarter that was part of our number. And this quarter's reported number of Unichem, it looks like that the margin has -- for IPCA has seen a kind of meaningful correction sequentially from almost like 300 basis point kind of impact.

So what is this leading to? Is it the operating negative leverage that you're seeing out here because your export is seeing some kind of -- so if you can clarify what is that is driving the margin sequentially weak for our base business.

Let's say, overall, if you look at the -- as I talked earlier, that material cost to sales ratio has improved because more value additions are there. And that improvement is almost about 2.6% kind of improvement is there on material cost.

And prices are more or less 2.78% improvement. So -- and prices are also now stabilized. So there are not much of fluctuations on my procurement prices and all. And overall, more value added businesses are happening on formulation side, and that's giving the better margins IPCA Laboratories Limited February 15, 2024

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And as far as the personnel cost is concerned, that's growing around 12%, which includes around 7% to 8% kind of normal increments

personnel cost is written on higher

and other expenses side, there are hardly any increase. So compared to

operating income

there is good amount of reductions is there because overall, that cost has not moved up.

Surya Patra: Y-o-Y that is correct, sir, what you said. I'm just asking that sequentially

about 300 basis point kind of impact, Unichem numbers. So what sir?

Ajit Kumar Jain: The margin improvement will right now, say, in the current quarter growth was low. And from next year onwards, I think we should be continuously growing by around 10% to 12% kind of growth.

So at that level, the margin US business margins will

margin over and above this normal margin. So we feel that overall EBITDA margins will definitely move by around 2% point plus kind of things. Yes, in next financial year.

Surya Patra: Okay. Okay. Sir, with your permission, can I just ask about the Unichem also here. Because the margin performance for this quarter, what we see sir, here in Unichem is around 15% or 15% around. So I think it is already reached to your guided level almost nearer to that. So is it fair to believe that the margin expansion, what you have been targeting with the initial kind of corrective measures. The full benefit of any of the benefit of integration for

Ajit Kumar Jain: Let's say, margin there are driven by their overall increase in overall revenue. Let's say, they are growing by almost around 40

grown by around 43%. And improvements in business is there across, whether it's our business, whether there is a Brazilian business, whether it is European business, except they have suffered

that is impacted and little of the Russia business is impacted.

So -- but -- and even the CRAMS business is also also done well. So overall overall top line growth has been good.

Now as far as margins are concerned in Q3, I think the EBITDA margin has been around 8.8%. So they were around 3%, 4% from there. They have come to because there is some kind of

think Unichem in P&L account that has declared separately because that is on sale of this residual shares, which they had of Optimus which INR68 crores IPCA Laboratories Limited

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Page 7 of 15 And as far as the personnel cost is concerned, that is growing around 12%, which includes around 7% to 8% kind of normal increments and since we added people in the field. So the personnel cost is written on higher side. But overall, if you look at your manufacturing and other expenses side, there are hardly any increase. So compared to -- we have the overall operating income to other expenses, manufacturing -- other expenses, that -- there is good amount of reductions is there because overall, that cost has not moved up.

Yes that is correct, sir, what you said. I'm just asking that sequentially about 300 basis point kind of impact, IPCA's base business would have seen, if I adjust for the Unichem numbers. So what -- sequentially, what would be driving or dampening the margin, The margin improvement will continue as -- let's say, that with the overall growth picking up, right now, say, in the current quarter growth was low. And from next year onwards, I think we should be continuously growing by around 10% to 12% kind of growth.

So at that

level, the margin level will further improve by around 1.5%. And when we add the business margins will -- because capacity utilizations will add. So that also will add to the margin over and above this normal margin. So we feel that overall EBITDA margins will move by around 2% point plus kind of things. Yes, in next financial year.

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and even the CRAMS business is also -- the contract manufacturing business has also done well. So overall -- let's say, the overall productivity there are improving and your overall top line growth has been good.

Now as far as margins are concerned in Q3, I think the EBITDA margin has been around 8.8%. So they were around 3%, 4% from there. They have come to 8.8%. It's not around 15%

because there is some kind of exceptional income is there. So that you need to exclude. So I think Unichem in P&L account that has declared separately because that is on sale of this residual shares, which they had of Optimus which they have disposed of and almost around crores kind of surplus has come. So that has been shown as exceptional income. IPCA Laboratories Limited
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So overall margin has not reached to what level and what kind of improvement, which we are looking in Unichem, they will take time to be filed with the regulator, then approval.

After regulatory approval, you take the after you put the stability, then again, file with regulator, take their approval. And then those revised processes become effective in your formulation. So it's a journey, it cannot happen in over a period of 3 to 6 months time. It takes a long time. So make those kind of things.

So I would say that those kind of improvements will come in time to come. Currently, sir, the margin improvements are because in Q3 '22, '23 they had negative margins of around 14.1%. EBITDA was that kind

last financial year, they had almost around

From there, they have come to the profit and margins have started improving. So we are what we are seeing is only the improvement in operations, little bit on overhead side, little on cost side, improvement in productivity side and improvement in business. That has resulted in some margin. Yes.

Surya Patra: Okay. Sure, sir. Sir, My next question...

Ajit Kumar Jain: And that journey will continue

Surya Patra: Sure, sir. My next question is on the US business front. So you mentioned that some sort of supply commencement to US can start

that the activation of the dossiers could take a longer time, even the process has to be updated.

So this -- the procedural aspect itself will take around 12 months or so. So then on what basis that we are saying the few of the...

Ajit Kumar Jain: Sir, we have been working almost around 7 products, we need not to do much. So that's our

updated dossiers are there. So these 7 products can go. So that think 2 or 3 products

first quarter of the current year. And the launches quarter of current year. The financial year.

And the other products are

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processes need to be incorporated. And all those works are there. Plus, we expect we have almost around a good number of more than 20 more filings which are there, where everything is -- most of the

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Sure, sir. My next question is on the US business front. So you mentioned that some sort of supply commencement to US can start -- starting first quarter for FY '25. But knowing the fact that the activation of the dossiers could take a longer time, even the process has to be updated. the procedural aspect itself will take around 12 months or so. So then on what basis that we are saying the few of the...

Sir, we have been working almost around 7 products, we need not to do much. So that's our updated dossiers are there. So these 7 products can -- see, currently, I have 21 approval. Out of 7 products can go. So that -- in a closed manner these products will be launched. But initially, I think 2 or 3 products -- production is already going on. So there would be somewhere in the first quarter of the current year. And the launches -- market launch will happen in the first quarter of current year. The shipment from here may take early part of the first quarter of next financial year.

And the other products are -- there are somewhere there are site changes are there, somewhere there are post approval are there, somewhere pre-approvals are there. Somewhere processes need to be incorporated. And all those works are there. Plus, we expect we have almost around a good number of more than 20 more filings which are there, where everything most of the -- lot of review has already happened and -- in a phased manner, those approvals can come. So based on that, I'm telling that around 15 to 17 products can be launched over a period of 2 years' time. IPCA Laboratories Limited

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Surya Patra: Okay. Okay. Just last one question, sir, from my side. So far as the domestic formulation performance going ahead is concerned, let's say, FY '25. Obviously, we have seen a double digit growth better than the industry growth, IPM growth in the current financial year so far. Sir, knowing the fact that around slightly more than 20% of our portfolio Elenium-based and the limited scope of a price taking price rise there and the volume growth trend, what we are seeing currently. So is it possible to continue double for next year as well?

Ajit Kumar Jain: Let's say, Elenium did not impact much in current year also because there was a good amount of price rise was there on Elenium, but similar kind of reduction was there few months back because of readjustment of prices, and reappraising and all. So on Elenium there is hardly any advantage or even if there is a advantage, it's only 1%, 2%. So there was hardly any. Much of the advantage was not there.

So -- and what we have seen in current year is that your acute portfolio growth in the market is low. So it's a very exceptional year. So financial year. And on the chronic side, market has started reporting double So overall, we see that from 11% to 12% growth possible to increase the overall growth to around 13%, 14% in domestic market.

Moderator: The next question is from the line of Ajay from

Ajay: Yes, sir. So sir, I have a question about our group companies. Since companies are doing any calls or giving any guidance. And if you say the top lines and bottom line from last few quarters are almost stagnant and also into losses. So can you please provide any update around our subsidiary performance Laboratories.

Ajit Kumar Jain: Makers has nothing to do with independent company. Then as far as Lyka is concerned, their business growth is good. They have -- overall, they would be doing better, I think, overall. Their plant is under shut down a little bit because of upgradations and all. So that is also getting completed renovation part is going to complete in first quarter of the current year validations and filings of dossiers and all will happen in the developed market and all. So that journey is going very well.

In spite of all those kind of things, they have performed reasonably well. And they also had almost around 100

market. And that business has also now

they can add more number of people in next financial year. So overall, we are satisfied journey for as far as Lyka is concerned.

As far as Unichem is concerned from losses, they have started now performing, and we have already said that IPCA Laboratories Limited

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Page 9 of 15 Okay. Okay. Just last one question, sir, from my side. So far as the domestic formulation performance going ahead is concerned, let's say, FY '25. Obviously, we have seen a double digit growth better than the industry growth, IPM growth in the current financial year so far. Sir, knowing the fact that around slightly more than 20% of our portfolio possibility is part of based and the limited scope of a price taking price rise there and the volume growth trend, what we are seeing currently. So is it possible to continue double-digit kind of growth for next year as well?

Let's say, Elenium did not impact much in current year also because there was a good amount

of price rise was there on Elenium, but similar kind of reduction was there few months back because of readjustment of prices, and reappraising and all. So on Elenium there is hardly any advantage or even if there is a dvantage, it's only 1%, 2%. So there was hardly any. Much of the advantage was not there. and what we have seen in current year is that your acute portfolio growth in the market is low. So it's a very exceptional year. So -- and acute side, the growth should pick up in next financial year. And on the chronic side, market has started reporting doubl

e -

So overall, we see that from 11% to 12% growth -- what current level we have, it should be possible to increase the overall growth to around 13%, 14% in domestic market. The next question is from the line of Ajay from [Wealthify 0:29:01].

Yes, sir. So sir, I have a question about our group companies. Since none of our group companies are doing any con calls or giving any guidance. And if you say the top lines and bottom line from last few quarters are almost stagnant and also into losses. So can you please provide any update around our subsidiary performance like of Krebs and Lyka and Makers

Makers has nothing to do with IPCA. IPCA doesn't have any kind of holding in Makers. It's an independent company. Then as far as Lyka is concerned, their business growth is good. They overall, they would be doing better, I think, overall. Their plant is under shut down a little bit because of upgradations and all. So that is also getting completed renovation part is going to complete in first quarter of the current year and thereafter, validations and filings of dossiers and all will happen in the developed market and all. So that journey is going very well.

In spite of all those kind of things, they have performed reasonably well. And they also had almost around 100 people in current year to do the direct marketing of their -- market. And that business has also now -- they're giving good results to them now. And in fact, they can add more number of people in next financial year. So overall, we are seeing a good journey for as far as Lyka is concerned.

As far as Unichem is concerned from losses, they have started now performing, and we have already said that -- it's possible to achieve almost around INR 2,000 crores turnover there. And IPCA Laboratories Limited February 15, 2024

Okay. Okay. Just last one question, sir, from my side. So far as the domestic formulation performance going ahead is concerned, let's say, FY '25. Obviously, we have seen a double-digit growth better than the industry growth, IPM growth in the current financial year so far. So possibility is part of

based and the limited scope of a price taking price rise there and the volume growth digit kind of growth

It's say, Elenium did not impact much in current year also because there was a good amount of price rise was there on Elenium, but similar kind of reduction was there few months back because of readjustment of prices, and reappraising and all. So on Elenium product, in fact, there is hardly any advantage or even if there is a dvantage, it's only 1%, 2%. So there was and what we have seen in current year is that your acute portfolio growth in the market is and acute side, the growth should pick up in next digit growth now.

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validations and filings of dossiers and all will happen in the developed market and all. So that In spite of all those kind of things, they have performed reasonably well. And they also had -- injectables in the

they're giving good results to them now. And in fact, they can add more number of people in next financial year. So overall, we are seeing a good As far as Unichem is concerned from losses, they have started now performing, and we have 2,000 crores turnover there

. And

significant improvement in the EBITDA margin from current level. So these are the listed companies.

As far as Krebs is concerned, there are good improvement there. The losses are reducing now and some more products validations and all are going on there. Some products on side are getting approved in our dossier. So once that happens, their volume So we are seeing good improvement in Krebs also. But it will take time. It's not those approval comes, even though you have validated process, you can't use those kind of intermediate and use those capacities and all.

So those issues are there. But overall, let's say, there are overall improvement in all operations. Onyx is giving good returns, good profitability the re. We are the good business on selling the nutraceuticals and their business is also in good profitability overall. So there are -- except let's say, somewhere, I think the Bayshore which is a setup which was set up for marketing of IPCA product. So now that setup is no longer required because Unichem will be doing the marketing because that's a much bigger setup.

So Bayshore will, overall, maybe -- that business will get overall merge with the Unichem business and also their team synchronizations and all that work is going on. And certain costs will there also will come down. So overall, there are much of -- not much of concerns in that associated subsidiary kind of business.

The next question is from the line of Ashish from J M Mutual Funds. Moderator: The next question is from the line of Ashish from J M Mutual Funds.

Ashish: Yes. Sir, on this API thing, since you have the Dewas facility also some price pressure on the APIs we have heard from some of the channel checks. In terms of our realization, like what products we might have selected for -- from Dewas versus then and versus now, how are the product prices behaved?

Ajit Kumar Jain: As far as Dewas products are concerned, it's only the products are getting transferred from Ratlam and Ratlam, we are creating the surpluses capacity so that the products which are required for captive consumption for our US business that can be accommodated. So it's not a newer kind of products to be launched and newer products are maybe few. It's more of a site transfer from Ratlam to Dewas and those kind of products are there. And there are

have seen significant kind of price reduction. But otherwise, the prices have stabilized now. There are not much concern on as far as the prices of API is concerned currently. From these levels, they are not going

Ashish: Yes. Fair enough. Sir, secondly, on the business. So prior to the 2013, '14 level, we used to do around \$30 million to \$40 million in the US business. And there was this one product, Toprol, engagements like used to supply Toprol to AstraZeneca and some other players, I guess. So all those engagements will restart or you feel you will have to make a fresh start? IPCA Laboratories Limited February 15, 2024

Page 10 of 15 significant improvement in the EBITDA margin from current level. So these are the listed As far as Krebs is concerned, there are good improvement there. The losses are reducing now and some more products validations and all are going on there. Some products on side are getting approved in our dossier. So once that happens, their volume So we are seeing good improvement in Krebs also. But it will take time. It's not those approval comes, even though you have validated process, you can't use those kind of intermediate and use those capacities and all.

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So Bayshore will, overall, maybe -- that business will get overall merge with the Unichem business and also their team synchronizations and all that work is going on. And certain costs will there also will come down. So overall, there are much of -- not much of concerns in that associated subsidiary kind of business.

The next question is from the line of Ashish from J M Mutual Funds. Yes. Sir, on this API thing,

since you have the Dewas facility also coming, but globally, there's some price pressure on the APIs we have heard from some of the channel checks. In terms of our realization, like what products we might have selected for -- from Dewas versus then and versus now, how are the product prices behaved?

As far as Dewas products are concerned, it's only the products are getting transferred from Ratlam and Ratlam, we are creating the surpluses capacity so that the products which are required for captive consumption for our US business that can be accommodated. So it's not a newer kind of products to be launched and newer products are maybe few. It's more of a site transfer from Ratlam to Dewas and those kind of products are there.

And there are -- the price stability is there on those kind of products, except sartans where we have seen significant kind of price reduction. But otherwise, the prices have stabilized now. There are not much concern on as far as the prices of API is concerned currently. From these levels, they are not going down.

Yes. Fair enough. Sir, secondly, on the US, since we are in the process of starting up the business. So prior to the 2013, '14 level, we used to do around \$30 million to \$40 million in the business. And there was this one product, Toprol, which is metoprolol. So all those engagements like used to supply Toprol to AstraZeneca and some other players, I guess. So all those engagements will restart or you feel you will have to make a fresh start? IPCA Laboratories Limited
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ovement in the EBITDA margin from current level. So these are the listed

As far as Krebs is concerned, there are good improvement there. The losses are reducing now and some more products validations and all are going on there. Some products on intermediate will also pick up.

So we are seeing good improvement in Krebs also. But it will take time. It's not -- till the time ted process, you can't use those kind of

So those issues are there. But overall, let's say, there are overall improvement in all operations.

Trophic Wellness has done

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except let's say, somewhere, I think the Bayshore which is a setup which product. So now that setup is no longer required because

that business will get overall merge with the Unichem

business and also their team synchronizations and all that work is going on. And certain costs not much of concerns in that --

coming, but globally, there's

some price pressure on the APIs we have heard from some of the channel checks. In terms of from Dewas versus then and

As far as Dewas products are concerned, it's only the products are getting transferred from Ratlam and Ratlam, we are creating the surpluses capacity so that the products which are that can be accommodated. So it's not a

newer kind of products to be launched and newer products are maybe few. It's more of a site kind of products, except sartans where we

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engagements like used to supply Toprol to AstraZeneca and some other players, I guess. So all those engagements will restart or you feel you will have to make a fresh start?

Ajit Kumar Jain: Let's say, tactically all those

there is no shipment of API to any formulators for

those kind of talk that wherever is possible to get those kind of business once again. But it's

time-consuming thing again because lot of places, our process has also changed. So we need to update those kind of parties with revised sampling. And then the approvals and all those things are there.

So API business will be a little s

lower to start with

consumptions will come from Ratlam. So Ratlam capacity which is getting freed by shifting of products to Dewas will be utilized for the purpose of our captive consumption more. And the and API business, if you look at

around 10% to 12% year

Ashish: Okay. Fair enough. Sir, lastly, on this Unichem, so in terms of liking operational changes like putting our processes, going for the yield improvement. So when

of things? Have we achieved enough kind of success in what we were planning to do with Unichem?

Ajit Kumar Jain: If you look at their results of the third quarter and all, they have significantly improved because they were i

improving from minus 14% in Q3 last year, it is now 8.8% kind of margin.

So the operations has started improving, their productivity have started coming. Their sales are growing by mo

improving in various markets like U

business improvements are there.

And they have Goa

products so that they have much larger capacity, but the bigger basis they can produce. So with

that, there could be a further improvement in their overall operation.

As far as process changes and all those are

happening everywhere on market extension, process improvements and all those kind of things. But your pharma industry being regulated, everything needs a regulatory approval. Once you do a process, again, go to

APIs or intermediates to the other formulators, all that. And then they need to again do processes and generate stability, file

And thereafter,

It's more for the captive consumption. So that journey will have to have, and it will take time.

It's a maybe 1

have envisaged. There could be some delay here and there,

have envisaged

Ashish: Just lastly, sir. So 2 years down the line, could this be a 15%, 20% EBITDA margin business?

Is that number achievable for Unichem? IPCA Laboratories Limited

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Page 11 of 15 Let's say, tactically all those kind of businesses because -- has completely come there is no shipment of API to any formulators for US in last 10 years. So we have restarted all those kind of talk that wherever is possible to get those kind of business once again. But it's consuming thing again because lot of places, our process has also changed. So we need to update those kind of parties with revised sampling. And then the approvals and all those things. So API business will be a little slower to start with for US. But the API for captive consumptions will come from Ratlam. So Ratlam capacity which is getting freed by shifting of products to Dewas will be utilized for the purpose of our captive consumption more. And the and API business, if you look at -- now from next financial year, we should be able to grow around 10% to 12% year-on-year.

Okay. Fair enough. Sir, lastly, on this Unichem, so in terms of liking operational changes like putting our processes, going for the yield improvement. So where are we in the overall scheme of things? Have we achieved enough kind of success in what we were planning to do with? If you look at their results of the third quarter and all, they have significantly improved because they were in losses. And now they have come in overall and margins has also started improving from minus 14% in Q3 last year, it is now 8.8% kind of margin.

So the operations has started improving, their productivity have started coming. Their sales are growing by more than 40% in current year. And that is also resulting -- businesses are also moving in various markets like US, Brazil, Europe. everywhere, we are seeing some kind of business improvements are there.

And they have Goa two their plants, the validation of processes are going on for the bigger products so that they have much larger capacity, but the bigger basis they can produce. So with that, there could be a further improvement in their overall operation.

As far as process changes and all those are -- it's a journey. It takes time.

That's

happening everywhere on market extension, process improvements and all those kind of things. But your pharma industry being regulated, everything needs a regulatory approval. Once you do a process, again, go to regulators, file with them, wait for their approvals. Then give the APIs or intermediates to the other formulators, all that. And then they need to again do processes and generate stability, file -- give those data to regulator.

And thereafter, the fructification happens. Here, most of those improvements are not for sale.

It's more for the captive consumption. So that journey will have to have, and it will take time.

It's a maybe 1 - 1.5-year journey. But I would say that, yes, the journey is happening

have envisaged. There could be some delay here and there, but journey is happening as we envisaged.

Just lastly, sir. So 2 years down the line, could this be a 15%, 20% EBITDA margin business?

Is that number achievable for Unichem? IPCA Laboratories Limited

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has completely come -- US related

in last 10 years. So we have restarted all

those kind of talk that wherever is possible to get those kind of business once again. But it's a consuming thing again because lot of places, our process has also changed. So we need to update those kind of parties with revised sampling. And then the approvals and all those things. But the API for captive

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Okay. Fair enough. Sir, lastly, on this Unichem, so in terms of liking operational changes like where are we in the overall scheme

of things? Have we achieved enough kind of success in what we were planning to do with

If you look at their results of the third quarter and all, they have significantly improved on losses. And now they have come in overall and margins have also started. So the operations have started improving, their productivity have started coming. Their sales are businesses are also Brazil, Europe. everywhere, we are seeing some kind of processes are going on for the bigger products so that they have much larger capacity, but the bigger basis they can produce. So with it's a journey. It takes time. That's -- work is happening everywhere on market extension, process improvements and all those kind of things. But your pharma industry being regulated, everything needs a regulatory approval. Once regulators, file with them, wait for their approvals. Then give the APIs or intermediates to the other formulators, all that. And then they need to again do -- their fructification happens. Here, most of those improvements are not for sale. It's more for the captive consumption. So that journey will have to have, and it will take time. year journey. But I would say that, yes, the journey is happening as we but journey is happening as we Just lastly, sir. So 2 years down the line, could this be a 15%, 20% EBITDA margin business?

Ajit Kumar Jain: We have guided for 15% kind of EBITDA margin.

Moderator: The next question

Shiva: My first question is with respect to the guidance. I mean if I see our international business, earlier, you said it was

what you're expecting in your Q3. Just wanted to understand for the different subsectors, what are the guidance? Are you holding in? Or is there any change?

Harish Kamath: As Mr. Jain has said, generic business will continue to grow. There will be some slowness in the API business for the time being and to some extent, in the ROW branded business. The growth has been lower than what we gave projection in the beginning

Shiva: So API, you are lowering and international branded you're lowering. The others are sticking directly...

Harish Kamath: Right. And both these business should give reasonable

growth in the next financial year. That

is what our guidance

going forward.

Shiva: Understood. Helpful. And the other thing I just wanted to know, obviously, the generic business, Unichem's also business is growing very strong. Just wanted some kind of what are the other reasons behind this sudden surge in demand? Because at the start, you only said that at the start of the year, the generic, you were expecting a single digit, but now it is upwards of 25%, 30%. So wanted

And going ahead, is it a one

Harish Kamath: No, no. Lot of operational changes are also made in the bargain. So their productivity has improved. Their production capacity has also benefit in US business. And they are also commercializing few of the new formulation for which, in the past, they have received approval.

And few more new products will also get commercialized in the next financial year. So all that is giving benefit. And in few products, maybe because of shortage in the market also, some benefit would have come to them.

Shiva: Okay. And with respect to your generic,

Harish Kamath: They're only into generic business. Nothing else.

Shiva: Your generic business also saw a very...

Harish Kamath: No. My generic business

fact, in first 9 months, the growth has been about 100%. European generic business has done very well. South Africa, we were looking for some deceleration, but that has also grown. So generic business, we don't see any concern as far as growth is concerned. IPCA Laboratories Limited February 15, 2024

Page 12 of 15 We have guided for 15% kind of EBITDA margin.

The next question is from the line of Shiva from Purnartha Investment Advisors.

My first question is with respect to the guidance. I mean if I see our international business, earlier, you said it was -- you were expecting a 12% growth but now you just said that 8% is what you're expecting in your Q3. Just wanted to understand for the different subsectors, what are the guidance? Are you holding in? Or is there any change?

As Mr. Jain has said, generic business will continue to grow. There will be some slowness in the API business for the time being and to some extent, in the ROW branded business. The growth has been lower than what we gave projection in the beginning of the year.

So API, you are lowering and international branded you're lowering. The others are sticking

Right. And both these business should give reasonable growth in the next financial year. That

is what our guidance is. So from this period on the API business should stabilize and grow going forward.

Understood. Helpful. And the other thing I just wanted to know, obviously, the generic business, Unichem's also business is growing very strong. Just wanted -- if you could just add some kind of what are the other reasons behind this sudden surge in demand? Because at the start, you only said that at the start of the year, the generic, you were expecting a single digit, but now it is upwards of 25%, 30%. So wanted to understand what changed in this high end? And going ahead, is it a one-off? Or is it more structural?

No, no. Lot of operational changes are also made in the bargain. So their productivity has improved. Their production capacity has also improved substantially, and that has given them benefit in US business. And they are also commercializing few of the new formulation for which, in the past, they have received approval.

And few more new products will also get commercialized in the next financial year. So they also have a basket of products to be commercialized. So all that is giving benefit. And in few products, maybe because of shortage in the market also, some benefit would have come to Okay. And with respect to your generic, is it more -- because of any shortages or is it...

They're only into generic business. Nothing else.

Your generic business also saw a very...

No. My generic business

ess, what has happened? The UK business is growing very

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some kind of what are the other reasons behind this sudden surge in demand? Because at the start, you only said that at the start of the year, the generic, you were expecting a single digit, to understand what changed in this high end?

No, no. Lot of operational changes are also made in the bargain. So their productivity has improved substantially, and that has given them benefit in US business. And they are also commercializing few of the new formulation for financial year. So they

also have a basket of products to be commercialized. So all that is giving benefit. And in few products, maybe because of shortage in the market also, some benefit would have come to because of any shortages or is it...

UK business is growing very nicely. In

fact, in first 9 months, the growth has been about 100%. European generic business has done very well. South Africa, we were looking for some decent growth, but that has also grown. So

Shiva: I just wanted to know, like the next 1 year, you're looking at a very strong growth, like the runway of this? Or is it

Harish Kamath: On a conservative basis, we can guide anywhere.

for generic business. Over and above that, whatever business will come out of on.

Shiva: Understood. Helpful. And just one small question. I wanted to understand your MR productivity. So we've seen the last quarter to get -- update the MR productivity? And what is the current strength and the plan for any additions going ahead?

Ajit Kumar Jain: Overall, MR productivity is around 4,25,000 currently. We are almost around 7,000 medical reps as of now. We will be adding certain number of people in current year. That process is going on. But additional will be not more than 5% increase in overall field force size.

Shiva: Okay. So last quarter, it was slightly MR?

Harish Kamath: Wait. Second quarter is always more productive. Because of seasonality issues and all. And this quarter, because of season not being that conducive, sales are also a little bit lower than what we expected. If not nothing, nothing abnormal. Second quarter is always the best quarter in the domestic branded business.

Ajit Kumar Jain: On per man side, I think we have added almost around current year.

Shiva: Understood. And just there's some notification from the government with respect to the medical professionals kind of antiviral or anything they should be slightly on a conservative basis. Did you feel anything on the ground or is it more just a statement from the government.

Harish Kamath: Pardon. We didn't make out what was your question actually.

Shiva: There were some rules that the government officials have told the medical representatives to be slightly on a conservative basis in prescribing pain o

hat...

Harish Kamath: We have not seen any impact, anything like that in the market place. No.

Moderator: The next question is from the line of Rashmi Shetty from Dolat Capital.

Rashmi Shetty: Sir, for the products, which you mentioned, 16 to 7 launches, which we will be doing in the business. That will be through Unichem. I mean, the sales will be the part of Unichem or will that be included in subsidiary or it will be part of generic business? IPCA Laboratories Limited
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Page 13 of 15 I just wanted to know, like the next 1 year, you're looking at a very strong growth, like the runway of this? Or is it -- this year has been a one-off, etcetera?

On a conservative basis, we can guide anywhere. between 12% to 15% growth going forward for generic business. Over and above that, whatever business will come out of

Understood. Helpful. And just one small question. I wanted to understand your MR productivity. So we've seen the last quarter that there was an improvement. So if you could just update the MR productivity? And what is the current strength and the plan for any additions going ahead?

Overall, MR productivity is around 4,25,000 current ly. We are almost around 7,000 medical reps as of now. We will be adding certain number of people in current year.

That process is going on. But additional will be not more than 5% increase in overall field

Okay. So last quarter, it was slightly higher, right? It was I think 4,60,000 was

Wait. Second quarter is always more productive. Because of seasonality issues and all. And this quarter, because of season not being that conducive, sales are also a little bit lower than what we expected. If not nothing, nothing abnormal. Second quarter is always the best quarter in the domestic branded business.

side, I think we have added almost around INR 20,000 productivity

Understood. And just there's some notification from the government with respect to the medical professionals kind of antiviral or anything they should be slightly on a conservative basis. Did you feel anything on the ground or is it more just a statement from the government.

Pardon. We didn't make out what was your question actually.

There were some rules that the government officials have told the medical representatives to be slightly on a conservative basis in prescribing pain or anything with respect to the acute basis. So in that...

We have not seen any impact, anything like that in the market place. No.

The next question is from the line of Rashmi Shetty from Dolat Capital.

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Overall, MR productivity is around 4,25,000 current ly. We are almost around 7,000 medical reps as of now. We will be adding certain number of people in current year.

That process is going on. But additional will be not more than 5% increase in overall field

higher, right? It was I think 4,60,000 was -- 4,63,000,

Wait. Second quarter is always more productive. Because of seasonality issues and all. And this quarter, because of season not being that conducive, sales are also a little bit lower than what we expected. If not nothing, nothing abnormal. Second quarter is always the best quarter 20,000 productivity per man in

Understood

d. And just there's some notification from the government with respect to the medical professionals kind of antiviral or anything they should be slightly on a conservative front from the government.

There were some rules that the government officials have told the medical representatives to do anything with respect to the acute products, which you mentioned, 16 to 7 launches, which we will be doing in the US business. That will be through Unichem. I mean, the sales will be the part of Unichem or -- and

Harish Kamath: Rashmi, earlier what was happening, I was manufacturing, and I was selling it to my marketing partner, right? We had 2, 3 marketing partners in the US. So on profit sharing basis.

Now what will happen, we will manufacture and sell to Unichem in my books also and in their books also. In any case, their books will get consolidated ultimately with my books. So there is no change because manufacturing they will do selling and distribution there.

Rashmi Shetty: Marketing. Understood.

Harish Kamath: That is correct. Right.

Rashmi Shetty: Okay. That is one thing. And secondly, on the India business, if you can give little bit color on how your pain segment has performed during the quarter, even about the performance.

Ajit Kumar Jain: Overall, pain portfolio in current year has grown by around 12%. This quarter, pain segment growth is a little lower at around 8% to 9% kind of thing. But overall, let's say, therapeutic wise on cardiovascular in current year, we have grown by around 13%. And the antibacterial growth is low at around 3%, CMS around 20%, Dermatology around 19%, urology around 24%, ophthalmology around 17% kind of growth. And others maybe around 8%, 9%. So overall, that's broadly the performances..

Rashmi Shetty: And your product Zerodol is still contributing significantly and it is growing double digit?

Ajit Kumar Jain: Current year, Zerodol growth is around

Rashmi Shetty: Okay. At the consolidation. How much would be the amortization that would be recognized due to this acquisition? Annual amortization?

Harish Kamath: Rashmi, it is an investment. There is no amortization. Earlier, what was happening, all acquisition costs used to get capitalized. Now all acquisition cost gets debited to P&L. That is why that INR

we purchase share and give considerations. So there is nothing to be amortized over a period of time.

Moderator: The next question is from the line of Mukherjee Sai on from Nomura.

Saion Mukherjee: Sir, just one Unichem, your guidance of crores EBITDA. What's the time line for that you're looking at?

Harish Kamath: FY '26.

Saion Mukherjee: And sir, with the process changes and market extensions, which in term, how should we think about growth in margins for Unichem from a slightly longer perspective? IPCA Laboratories Limited

February 15, 2024

Page 14 of 15 Rashmi, earlier what was happening, I was manufacturing, and I was selling it to my marketing partner, right? We had 2, 3 marketing partners in the US. So on profit sharing basis.

Now what will happen, we will manufacture and sell to Unichem US. So sales will get booked in my books also and in their books also. In any case, their books will get consolidated ultimately with my books. So there is no change because manufacturing IPCA they will do selling and distribution there.

Marketing. Understood.

That is correct. Right.

Okay. That is one thing. And secondly, on the India business, if you can give little bit color on how your pain segment has performed during the quarter, even Zerodol, if you can tell us about the performance.

Overall, pain portfolio in current year has grown by around 12%. This quarter, pain segment growth is a little lower at around 8% to 9% kind of thing. But overall, let's say, therapeutic wise on cardiovascular in current year, we have grown by around 13%. And the antibacterial growth is low at around 3%, CMS around 20%, Dermatology around 19%

%, urology around 24%, ophthalmology around 17% kind of growth. And others maybe around 8%, 9%. So overall, that's broadly the -- here numbers -- in various therapeutical performance performances..

And your product Zerodol is still contributing significantly and it is growing double digit?

Current year, Zerodol growth is around, say, around 8% to 9%.

Okay. At the -- in the range of 8%, 9%. Understood. And one more question on this Unichem consolidation. How much would be the amortization that would be recognized due to this acquisition? Annual amortization?

Rashmi, it is an investment. There is no amortization. Earlier, what was happening, all acquisition costs used to get capitalized. Now all acquisition cost gets debited to P&L. That is INR 40 crores deficit has come in the second quarter. Otherwise, all is investment. So we purchase share and give considerations. So there is nothing to be amortized over a period of The next question is from the line of Mukherjee Sai on from Nomura.

Sir, just one Unichem, your guidance of INR 2,000 crores and a 15% EBITDA margin, crores EBITDA. What's the time line for that you're looking at?

And sir, with the process changes and market extensions, which is probably slightly longer term, how should we think about growth in margins for Unichem from a slightly longer
IPCA Laboratories Limited

February 15, 2024

Rashmi, earlier what was happening, I was manufacturing, and I was selling it to my marketing partner, right? We had 2, 3 marketing partners in the US. So on profit sharing basis. US. So sales will get booked

in my books also and in their books also. In any case, their books will get consolidated
IPCA will do -- only

Okay. That is one thing. And secondly, on the India business, if you can give little bit color on Zerodol, if you can tell us

Overall, pain portfolio in current year has grown by around 12%. This quarter, pain segment growth is a little lower at around 8% to 9% kind of thing. But overall, let's say, therapeutic -
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we purchase share and give considerations. So there is nothing to be amortized over a period of 2,000 crores and a 15% EBITDA margin, INR300

s probably slightly longer

term, how should we think about growth in margins for Unichem from a slightly longer -term

Harish Kamath: Saion as far as this market expansion and change in sourcing, it's a regulatory business, and it will take time

near future, whatever we can do, that is what guidance we have given over next 2 years.

Saion Mukherjee: Okay. And sir, any assessment on the
that you would be launching in the market?

Harish Kamath: It is too early to give any guidance. See, nobody is waiting for your product. Even though I have cost competency, I will have to again relaunch product one by one and go on taking market share. There are only 3, 4 customers who matter in this business, you know very well. And they are already sourcing those products from a third party. It will take some time, but we are confident because of our processes in the API. And our cost comes

do well in the US market vis

Saion Mukherjee: Okay. And sir, when you mentioned 13%, 14% kind of

a growth in India, what's the

assessment on how much is price and volume mix in this

Harish Kamath: It will be around 4%, 5% price increase and the rest are all volume. This year, the growth has been little lower because of the seasonality and all, it is slightly below our expectation.

Otherwise, compared to market, we

Moderator: As there are no further questions from participants, I would now like to hand the conference over to the management for closing comments.

Harish Kamath: No, nothing. Most of the issues. We have already discussed
is nothing further to add. Thank you very much.

Moderator: Thank you. On behalf of DAM Capital Advisors Limited, that concludes this conference.

Thank you for joining us. You may now disconnect your lines.

Harish Kamath: Thank you, everyone. Thank you. Bye. IPCA Laboratories Limited

February 15, 2024

Page 15 of 15 Saion as far as this market expansion and change in sourcing, it's a regulatory business, and it

will take time . So the margin expansion will continue over a period of time. But immediate near future, whatever we can do, that is what guidance we have given over next 2 years.

Okay. And sir, any assessment on the US revenues for the next 2 years with that you would be launching in the market?

It is too early to give any guidance. See, nobody is waiting for your product. Even though I have cost competency, I will have to again relaunch product one by one and go on taking market share. There are only 3, 4 customers who matter in this business, you know very well. And they are already sourcing those products from a third party. It will take some time, but we are confident because of our processes in the API. And our cost competency, we will certainly do well in the US market vis-a-vis our formulations going forward.

Okay. And sir, when you mentioned 13%, 14% kind of a growth in India, what's the assessment on how much is price and volume mix in this growth expectations?

It will be around 4%, 5% price increase and the rest are all volume. This year, the growth has been little lower because of the seasonality and all, it is slightly below our expectation.

Otherwise, compared to market, we continue to do well. There is no issue.

As there are no further questions from participants , I would now like to hand the conference over to the management for closing comments.

No, nothing. Most of the issues. We have already discussed. All questions are answered. There is nothing further to add. Thank you very much.

Thank you. On behalf of DAM Capital Advisors Limited, that concludes this conference.

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February 15, 2024

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revenues for the next 2 years with 15, 17 products

It is too early to give any guidance. See, nobody is waiting for your product. Even though I have cost competency, I will have to again relaunch product one by one and go on taking market share. There are only 3, 4 customers who matter in this business, you know very well. And they are already sourcing those products from a third party. It will take some time, but we competency, we will certainly

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Thank you. On behalf of DAM Capital Advisors Limited,

that concludes this conference.

Call: Jun 2024

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June 3, 2024

B
SE Ltd.
Phiroze Jeejeebhoy Towers
Dalal Street
Mumbai 400 023
Scrip Code – 524494 National Stock Exchange India Limited,
Exchange Plaza, C-1, Block-G,
Bandra Kurla Complex, Bandra – (East).
Mumbai-400051.
Scrip Code : IPCALAB

Dear Sirs,
Pursuant to Regulation 30 of the Securities and Exchange Board of India (Listing Obligations and Disclosure Requirements) Regulations, 2015, we are enclosing herewith transcript of our Conference Call which was held on Thursday, 30th May, 2024 to discuss the Company's Q4 and FY24 earnings and business update.

Thanking you

Yours faithfully

For Ipca Laboratories Limited
Harish P. Kamath
Corporate Counsel & Company Secretary
Encl: a/a

Laboratories
Q4 FY '24 Earnings Conference
MANAGEMENT : M R. AJIT

CHIEF F
LIMITED
MR. HARISH
COMPANY

LIMITED
MODERATOR : M R. NITIN
LIMITED

Page 1 of 14 IPCA Laboratories Limited
Q4 FY '24 Earnings Conference Call"
May 30, 2024

JIT KUMAR JAIN – MANAGING DIRECTOR
FINANCIAL OFFICER – IPCA LABORATORIES
LIMITED
HARISH KAMATH – CORPORATE COUNSEL AND
COMPANY SECRETARY – IPCA LABORATORIES
LIMITED

NITIN AGARWAL - DAM CAPITAL ADVISORS
LIMITED

DIRECTOR AND
LABORATORIES
COUNSEL AND
LABORATORIES
ADVISORS

M
Moderator: Ladies and gentlemen, good day, and welcome to the Q4 FY '24 Earnings Conference Call of Ipca Laboratories Limited hosted by DAM Capital Advisors Limited.

participant lines will be in the listen

questions after the presentation concludes. Should you need assistance during the conference

call, please signal an operator by pressing star, then zero on your touch

note that this conference is being recorded.

I now hand the conference over to Mr. Nitin Agarwal from DAM Capital Advisors Limited.

Thank you and over to you, sir.

Nitin Agarwal: Thank you, Michelle. Hi. Good afternoon, everyone, and a very warm welcome to Ipca Labs'

Q4 F '24 Earnings Call

we have representing Ipca Labs, Mr. A.K. Jain, Managing Director; and Mr. Harish Kamath,
Corporate Counsel and Company Secretary.

I hand over the call to Mr. Jain to make the opening comments and then we'll o

for questions. Please go ahead, sir.

Ajit Kumar Jain: Thank you. Thank you Nitin and DAM Capital Advisors for organizing this call. afternoon to all participants, and thanks for taking out time and joining us for Q4 FY '24 Earnings Call.

looking statements based on our current business expectations that must be viewed in conjunction with risk that pharmaceutical industry faces.

Our actual future financial performance

may use your own judgment on the information given during the call. Domestic formulation business has delivered a growth of around 13% for the quarter. And for whole of the year, it delivered around 12%

pharmaceutical company as per IQVIA in Indian pharmaceutical market.

In Q4, as per IQVIA, we have beaten both on chronic and acute therapies. Overall, IPM has grown by around 6% in this quarter, w

Acute segment, market has grown by 3%, and we have

around 11%. And on Chronic, the market has grown by around 10% and our growth is around 12%. And overall, for the last 12

13% as per IQVIA as against 8% for IPM. So we have been continuously beating as far as domestic market is concerned, the overall market growth.

Overall, our market share as per the mid March 202

March '23. Last few years, our focus has been more on cities, and that has started delivering the top cities and that has started delivering results. Ipca has achieved a growth of around 16% in top 6 metros as agai

Ipca emerged as the fastest

March 2024. As far as export formulation business is concerned, for the quarter, it has IPCA Laboratories Limited

Page 2 of 14 Ladies and gentlemen, good day, and welcome to the Q4 FY '24 Earnings Conference Call of

Ipca Laboratories Limited hosted by DAM Capital Advisors Limited. As a reminder, all

participant lines will be in the listen -only mode and there will be an opportunity

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Thank you and over to you, sir.

Thank you, Michelle. Hi. Good afternoon, everyone, and a very warm welcome to Ipca Labs'

Earnings Call hosted by DAM Capital Advisors Private Limited. On the call today

we have representing Ipca Labs, Mr. A.K. Jain, Managing Director; and Mr. Harish Kamath,

Corporate Counsel and Company Secretary.

I hand over the call to Mr. Jain to make the opening comments and then we'll o

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Thank you. Thank you Nitin and DAM Capital

Advisors for organizing this call.

afternoon to all participants, and thanks for taking out time and joining us for Q4 FY '24

Earnings Call. Today's call and discussions and answer given, may include some forward

looking statements based on our current business expectations that must be viewed in

conjunction with risk that pharmaceutical industry faces.

Our actual future financial performance may differ from what is projected and perceived. You

may use your own judgment on the information given during the call. Domestic formulation

business has delivered a growth of around 13% for the quarter. And for whole of the year, it

delivered around 12% kind of growth. And Ipca continue to remain a 16th ranked

pharmaceutical company as per IQVIA in Indian pharmaceutical market.

In Q4, as per IQVIA, we have beaten both on chronic and acute therapies. Overall, IPM has

grown by around 6% in this quarter, whereas IQVIA has recorded our growth at 15%. On

Acute segment, market has grown by 3%, and we have -- IQVIA has recorded our growth as

around 11%. And on Chronic, the market has grown by around 10% and our growth is around

12%. And overall, for the last 12 months on a net basis, we have delivered a growth of around

13% as per IQVIA as against 8% for IPM. So we have been continuously beating as far as

domestic market is concerned, the overall market growth.

Overall, our market share as per the mid March 2024, has improved to 2.04% from 1.88% at

March '23. Last few years, our focus has been more on cities, and that has started delivering

the top cities and that has started delivering results. Ipca has achieved a growth of around 16%

in top 6 metros as against market growth of around 8%.

Ipca emerged as the fastest -growing country in top 25 players as per IPM as per the mid

March 2024. As far as export formulation business is concerned, for the quarter, it has IPCA Laboratories Limited

May 30, 2024

Ladies and gentlemen, good day, and welcome to the Q4 FY '24 Earnings Conference Call of

As a reminder, all

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Thank you. Thank you Nitin and DAM Capital Advisors for organizing this call. Good afternoon to all participants, and thanks for taking out time and joining us for Q4 FY '24

Today's call and discussions and answer given, may include some forward - looking statements based on our current business expectations that must be viewed in may differ from what is projected and perceived. You

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IQVIA has recorded our growth as around 11%. And on Chronic, the market has grown by around 10% and our growth is around months on a net basis, we have delivered a growth of around

13% as per IQVIA as against 8% for IPM. So we have been continuously beating as far as 4, has improved to 2.04% from 1.88% at

March '23. Last few years, our focus has been more on cities, and that has started delivering -- the top cities and that has started delivering results. Ipca has achieved a growth of around 16% growing country in top 25 players as per IPM as per the mid - March 2024. As far as export for

mulation business is concerned, for the quarter, it has delivered around 9% growth. And overall formula around INR 1,775 crores from a business around 8%.

In spite of generic export growth of around 22% for the year to around INR801 crores, overall growth is

promotional market like Russia and West Africa and decline in institutional generic business in the last financial year.

As far as margins are concerned, the stand is around 18.5% as against 11.29% that recorded in previous financial year in the fourth quarter. For full financial year, the EBITDA margin is achieved at around 19.29% as against 16.22% in FY '23. And consolidated EBITDA margins are at around 11.29% for Q4 FY '23.

And consolidated EBITDA margin for the year is around 16.72% for FY '24 as against 15.3% in FY '24. Material cost to sales ratio stand 35.58% in FY '23. And we

As far as the guidance for 2025 is concerned business growth of around 10.5% to 11% for FY '25. We expect that our EBITDA margins will furthe r improve from 19.29% to 20.5% to 21%. Our consolidated business to grow at around 14% to 14.25% for FY '25 and consolidated EBITDA to improve further from 16.72% to around 18% for the financial year 2025.

Having given all these numbers, I now request par

Moderator: Thank you very much sir.

Macquarie. Please go ahead.

Kunal Dhamesha: The first question on our own U.S. plants are kind of cleared. How is that business And have you started filing new ANDAs...

Moderator: Sorry to interrupt, sir, your voice is not clear. May I request you to use your handset?

Kunal Dhamesha: So how is our own U.S. business shaping up? And have we started filing ANDAs from our own plant as of now? And do we expect an 18% EBITDA margin guidance? Are we expecting our R&D expenses to go up?

Ajit Kumar Jain: Overall, let's say, that as far as U.S. is concerned, we have not started so far filing the ANDAs from our plants because it wi

pipeline is now building. So people are working now in R&D and thereafter, buyback shares will be taken. Stability will take a lot of time, 6 to 7 months time and then data compilation.

So it will take some time before we start filing as far as U.S. is concerned. As far as R&D is concerned, both companies put together are spending almost around which will translate intoIPCA Laboratories Limited

Page 3 of 14 delivered around 9% growth. And overall formula tion business for the year has reached to 1,775 crores from a business around INR1,659 crores, with a growth of around

In spite of generic export growth of around 22% for the year to around INR

801 crores, overall growth is lower because of challenges we have faced in branded promotional market like Russia and West Africa and decline in institutional generic business in the last financial year.

As far as margins are concerned, the stand-alone margin for the quarter is -- is around 18.5% as against 11.29% that recorded in previous financial year in the fourth quarter. For full financial year, the EBITDA margin is achieved at around 19.29% as against 16.22% in FY '23. And consolidated EBITDA margins are at around 14.98% for Q4 as against 11.29% for Q4 FY '23.

And consolidated EBITDA margin for the year is around 16.72% for FY '24 as against 15.3% in FY '23. Material cost to sales ratio stand-alone basis has improved to around 32.08% from 35.58% in FY '23. And we are witnessing a price stability for majority of our procurement.

As far as the guidance for 2025 is concerned -- FY '25 is concerned, we expect a stand business growth of around 10.5% to 11% for FY '25. We expect that our EBITDA margins r improve from 19.29% to 20.5% to 21%. Our consolidated business to grow at around 14% to 14.25% for FY '25 and consolidated EBITDA to improve further from 16.72% to around 18% for the financial year 2025.

Having given all these numbers, I now request participants to ask questions.

Thank you very much sir. The first question is from the line of Kunal Dhamesha from Please go ahead.

T

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Overall, let's say, that as far as U.S. is concerned, we have not started so far filing the ANDAs from our plants because it will take -- we had -- nothing we had in the pipeline for U.S. And pipeline is now building. So people are working now in R&D and thereafter, buyback shares will be taken. Stability will take a lot of time, 6 to 7 months time and then data compilation. It will take some time before we start filing as far as U.S. is concerned. As far as R&D is concerned, both companies put together are spending almost around INR250 which will translate into -- for ourselves and Unichem put together. And that IPCL Laboratories Limited May 30, 2024

tion business for the year has reached to

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INR981 crores from

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-- EBITDA margin

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will be taken. Stability will take a lot of time, 6 to 7 months time and then data compilation.

It will take some time before we start filing as far as U.S. is concerned. As far as R&D is

250 crores on R&D,

for ourselves and Unichem put together. And that translates into

around 3.25% to 3.5% kind of expenditure to sales. And more or less, this number would

remain in this particular range only as far as R&D is concerned. And the

your next question?

Kunal Dhamesha: So our U.S. --

Ajit Kumar Jain: Let's say, post plant clearance, a lot of work was to be done as far as there for a long period of time. Somewhere the IP status changed, somewhere changed, somewhere the processes have changed, also API has changed and all that. So that needs to be updated in all these kind of ANDAs and so all those activity was going on.

And now finally, I think last few days back, first shipment has product is in pipeline. And more products will be the shipment would start now. And a lot of the places where the IP status

of works are even going on right now

So that all the ANDAs are fully updated and then business starts. So hopefully, I think in current year, maybe around 6 to 7 products will be launched and that will be launched by

the

as the progress happens during the year. So as far as sales are concerned, any sales as far as U.S. is concerned.

Kunal Dhamesha: Okay. And while we have provided the outlook on a consolidated basis of around 14% top line growth, but can you provide more details on the business segment domestic API, export API and the generic business, et cetera?

Ajit Kumar Jain: Let's say, on a stand generics will also have a similar kind of growth. The promotional market of lower growth because of some issue being faced at

Russia and also West African market, there are some certain challenges there.

So there will be a little lower growth on that. And institutional

14% kind of growth. And we expect around 7% to 8% business growth in API side. So overall, IPCA, that should be around 11.5%

that's the stand

And on a consolidated basis, the growth is coming a little higher because last year, I think on consolidation, Unichem was acquired in our second quarter. So consolidation is quarter number was not full. August, yes, it was August number was there. So number was also not full.

So overall, that effect is also there in that. And overall, I think we should be almost around considering our business growth and Unichem's business growth, and overall, we should be almost around, I think sales

consolidation may reach to almost around

translate into that kind of number of 18%, 18.5% kind of overall. IPCA Laboratories Limited

Page 4 of 14 around 3.25% to 3.5% kind of expenditure to sales. And more or less, this number would remain in this particular range only as far as R&D is concerned. And the -- your next question?

-- our own U.S. dynamic sales, how has that shaped up post the plant clearance?

Let's say, post plant clearance, a lot of work was to be done as far as -- because we were not there for a long period of time. Somewhere the IP status changed, somewhere changed, somewhere the processes have changed, also API has changed and all that. So that needs to be updated in all these kind of ANDAs and so all those activity was going on.

And now finally, I think last few days back, first shipment has gone of one product and second product is in pipeline. And more products will be the shipment would start now. And a lot of the places where the IP status -- sorry, USP status -- where pharmacological status has changed, a lot of works are even going on right now.

So that all the ANDAs are fully updated and then business starts. So hopefully, I think in current year, maybe around 6 to 7 products will be launched and that will be launched by the as the progress happens during the year. So as far as sales are concerned, it does not include any sales as far as U.S. is concerned.

Okay. And while we have provided the outlook on a consolidated basis of around 14% top line growth, but can you provide more details on the business segment -wise growth, I domestic API, export API and the generic business, et cetera?

Let's say, on a stand-alone basis, domestic business is expected to grow around 12%. Export generics will also have a similar kind of growth. The promotional market will have some kind of lower growth because of some issue being faced at -- because of currencies depreciation in Russia and also West African market, there are some certain challenges there.

So there will be a little lower growth on that. And institutional business will deliver around 14% kind of growth. And we expect around 7% to 8% business growth in API side. So overall, IPCA, that should be around 11.5% -- 11% to 11.5% kind of growth would be there, yes. So that's the stand-alone number.

consolidated basis, the growth is coming a little higher because last year, I think on consolidation, Unichem was acquired in our second quarter. So consolidation is quarter number was not full. August, yes, it was August number was there. So number was also not full.

So overall, that effect is also there in that. And

d overall, I think we should be almost around considering our business growth and Unichem's business growth, and overall, we should be almost around, I think sales-wise, may be around INR 9,000 crores, and EBITDA overall consolidation may reach to almost around INR 1,600 crores plus kind of EBITDA. So that will translate into that kind of number of 18%, 18.5% kind of overall. IPCA Laboratories Limited May 30, 2024

around 3.25% to 3.5% kind of expenditure to sales. And more or less, this number would

-- sorry, what was

.S. dynamic sales, how has that shaped up post the plant clearance?

because we were not

there for a long period of time. Somewhere the IP status changed, somewhere our vendor had changed, somewhere the processes have changed, also API has changed and all that. So that needs to be updated in all these kind of ANDAs and so all those activity was going on.

gone of one product and second

product is in pipeline. And more products will be the shipment would start now. And a lot of where pharma status has changed, a lot

So that all the ANDAs are fully updated and then business starts. So hopefully, I think in current year, maybe around 6 to 7 products will be launched and that will be launched by the -- concerned, it does not include

Okay. And while we have provided the outlook on a consolidated basis of around 14% top line wise growth, let's say, API,

alone basis, domestic business is expected to grow around 12%. Export

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because of currencies depreciation in

Russia and also West African market, there are some certain challenges there.

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14% kind of growth. And we expect around 7% to 8% business growth in API side. So overall,

11% to 11.5% kind of growth would be there, yes. So

consolidated basis, the growth is coming a little higher because last year, I think on

consolidation, Unichem was acquired in our second quarter. So consolidation is -- even second quarter number was not full. August, yes, it was August number was there. So second quarter

So overall, that effect is also there in that. And overall, I think we should be almost around considering our business growth and Unichem's business growth, and overall, we should be 9,000 crores, and EBITDA overall

plus kind of EBITDA. So that will

Kunal Dhamesha: And sir, just one last, if acquisition addition, the synergy number that we had at around much of that would be factored into the

Ajit Kumar Jain: If you look at Unichem, around INR 45 crores. From there, they have achieved an EBITDA of is almost around year.

And as far as the changes are concerned, whatever the low material buying and somewhere rationalization, some where utility cost rationalizations and all those are maybe production efficiency improvement and all. These has come in the EBITDA margin and a lot of other things which we are looking at, like, say, sourcing changes from, let's say, from outside purchase to some of the APIs of Ipca and market extensions and those all work

API cost reduction is also work in progress because you need to do the stability and thereafter filings and then approvals and all. So those has not started to come in the overall EBITDA numbers right now.

Moderator: Ladies and gentlemen

connected while we try to reconnect. Ladies and gentlemen, thank you for patiently holding, the management's line has been reconnected. Over to you, sir.

Ajit Kumar Jain: So I would say

all. We are confident that all those things will be achieved. And better than that would be achieved, yes.

Moderator: The next question is from the line of Surya Narayan Patra from Limited.

Surya Patra: Sir, my first question is about our

How should we see, sir, in fact, the overall growth for the integrated operations? So whether the benefit of integration has started flowing in or what portion of the integration benefit is yet to come in? And let's say, in the

rms of the growth, while the domestic is one of the largest earnings contributor for us, and it's been consistently delivering double many years.

But from your

we should see in our export activities now after seeing some kind of a moderation in the recent past, just like

our next 2 years? If you can give some long helpful.

Ajit Kumar Jain: As far as integrations are concerned, let's say, it's not a merger. It's companies and both are run as a separate companies, and Unichem as Managing Director, and IPCA Laboratories Limited

Page 5 of 14 And sir, just one last, if I may. When we say the INR1,600 crores, apart from, let's say, the acquisition addition, the synergy number that we had at around INR 200 crores synergies, how much of that would be factored into the INR1,600 crores?

If you look at Unichem, I think last financial year, they had -- I think EBITDA was minus by 45 crores. From there, they have achieved an EBITDA of INR 100 crores. So there is almost around INR145 crores, say, in the current year once after -- for the whole of the And as far as the changes are concerned, whatever the low-hanging fruits are there, like say, material buying and somewhere rationalization, some where utility cost rationalizations and all those are maybe production efficiency improvement and all. These are the only factors so far has come in the EBITDA margin and a lot of other things which we are looking at, like, say, sourcing changes from, let's say, from outside purchase to some of the APIs of Ipca and market extensions and those all work -- are all work in progress.

API cost reduction is also work in progress because you need to do the stability and thereafter filings and then approvals and all. So those has not started to come in the overall EBITDA numbers right now.

Ladies and gentlemen, the line for the management has been disconnected. Kindly stay connected while we try to reconnect. Ladies and gentlemen, thank you for patiently holding, the management's line has been reconnected. Over to you, sir.

So I would say that we are confident in whatever we had talked around acquisition time and all. We are confident that all those things will be achieved. And better than that would be achieved, yes.

The next question is from the line of Surya Narayan Patra from PhillipCapital India Private Sir, my first question is about our -- although you have given the guidance for the current year.

How should we see, sir, in fact, the overall growth for the integrated operations? So whether of integration has started flowing in or what portion of the integration benefit is yet to come in? And let's say, in terms of the growth, while the domestic is one of the largest earnings contributor for us, and it's been consistently delivering double -di

But from your -- what should be the real earning driver for us, whether it is some uptick that we should see in our export activities now after seeing some kind of a moderation in the recent past, just like -- or what should really drive the earning momentum qualitatively from here for our next 2 years? If you can give some long-term oriented viewpoint then that will be really

As far as integrations are concerned, let's say, it's not a merger. It's --

companies and both are run as a separate companies, and Unichem as Managing Director, and IPCA Laboratories Limited May 30, 2024

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200 crores synergies, how

I think EBITDA was minus by

100 crores. So there

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How should we see, sir, in fact, the overall growth for the integrated operations? So whether of integration has started flowing in or what portion of the integration benefit is yet

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he runs that company. Integration benefits, whatever coming is relating to procurement is one area where integration relieves where we are getting advantages are coming in that because our buying efficiencies are much higher because volumes are much higher. So those advantages are definitely coming there. As far as the other areas are concerned, let's say, whatever those duplications are now avoided. So it's were incurring. That is no longer there. because of our expertise and utilities and also there are utility cost reductions and their operational efficiency on production side is also building up, so that's another advantage which is coming from integration. And Ipca is also able to extend together, both the companies and teams are working to reduce the cost of API, which was one of our major concerns for there. But getting the benefit will take some time because it's again, everything is regulatory and subsequently approvals and all. So it will may before some time in. As far as synergies of procurement process because they have started doing the R&D work and put in stability until the stability is all over and they go back to the regulators and take the approval of that source. Until such time, sources are added in their master files and all, they can't procure. So it's still to take the effect. So that effect will also take some more time.

Surya Patra: Okay. About the export outlook, if you can give some sense and which market that you think can be meaningful? And also U.S., as you are saying that, okay, it will see a kind of a gradual ramp up only, but at least benefiting from the Unichem acquisition or leveraging the Unichem's presence, we want to at least penetrate faster, quicker for APIs at least. On the export outlook front, if you can give some sense and if you can give some more clarity also about your key markets.

Ajit Kumar Jain: So bigger and bigger benefit of integrations will come of Unichem portfolio when we start putting all these Unichem's product in various markets like Europe, Australia, New Zealand, Canada, South Africa, all those markets when we start putting those products. So that's the process currently going on.

A lot of works are going on, on repeat bios and compounds those that work is going on. So till the time that work is over, it's monitored and there are time lines for that. But it takes time. It is not that overnight, those kind of work can be done portfolio of around 40, 50 formulations, and there portfolio of around 80 kind of formulations in generic markets. So all those becomes a significant size of number of products for the markets. So that is the work which is currently working in progress. IPCA Laboratories Limited

Page 6 of 14 he runs that company. Integration benefits, whatever coming is relating to procurement is one area where integration relieves where we are getting the advantage. Significant advantages are coming in that because our buying efficiencies are much higher because volumes are much higher. So those advantages are definitely coming there. As far as the other areas are concerned, let's say, whatever work both the companies are doing and there are some duplications for there. So those duplications are now avoided. So it's -- that unnecessary cost of both the organizations were incurring. That is no longer there. So that's another benefit that's coming because of our expertise and utilities and also there are utility cost reductions and their operational efficiency on production side is also building up, so that's another advantage which is coming from integration. And Ipca is also able to extend some kind of expertise to them on cost reductions and all put together, both the companies and teams are working to reduce the cost of API, which was one of our major concerns for there. But getting the benefit will take some time because it's again, everything is regulatory -- regulated process and work is happening to reduce the costs and subsequently approvals and all.

So it will may before some time -- it will take some time before those kind of approvals comes in. As far as synergies of procurement from Ipca of lower-cost API for them, it's again a process because they have started doing the R&D work and put in stability until the stability is all over and they go back to the regulators and take the approval of that source. Until such resources are added in their master files and all, they can't procure. So it's still to take the effect. So that effect will also take some more time.

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A lot of works are going on, on repeat bios and compiling all those kind of dossiers and all those that work is going on. So till the time that work is over, it's -- every project is being monitored and there are time lines for that. But it takes time. It is not that overnight, those kind of work can be done. So that the bigger benefit of that will come once, let's say, if cost portfolio of around 40, 50 formulations, and there portfolio of around 80 kind of formulations in generic markets. So all those becomes a significant size of number of products for the markets. So that is the work which is currently working in progress. IPCA Laboratories Limited
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So that's another benefit that's coming. Third is because of our expertise and utilities and also there are utility cost reductions and their operational efficiency on production side is also building up, so that's another advantage

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process because they have started doing the R&D work and put in stability until the stability is all over and they go back to the regulators and take the approval of that source. Until such resources are added in their master files and all, they can't procure. So it's still to take the

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On the export outlook front, if you can give some sense and if you can give some more clarity

So bigger and bigger benefit of integrations will come of Unichem portfolio when we start

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And that will give a larger integration benefit because even though Unichem is present in Europe, they are only marketing 5, 6 products where as their U.S. market is more than 80 products. And currently, they are also selling a good number of products out of that, more than 50 products. So it's an integration that's going to be the key drivers and on that, we are working, but it will take time to particular fashion.

Surya Patra: Okay. So then, sir, the 15% kind of a margin guidance for Unichem, what we had given, it is

kind of a back

Ajit Kumar Jain: No, I have not given given. Unichem will still take some time. I said that, yes, we are on a path, whatever we have talked. So I have said that from INR100 crores

in current year with all those kind of efficiencies what we are talking. But that will still not capture a lot of those things which we are currently talking, which are I'm saying.

Surya Patra: Okay. Just last one question that since it is the full year results performance that we are discussing. If you can give some sense about your key subsidiaries also because we have seen some impairment charge

should we think all our investment into various core or noncore subsidiaries, and their performance for the current year?

Ajit Kumar Jain: Let's say, what subsidies we have is one delivering all these

solid state chemistry now. So that subsidy is doing very well. I think their turnover may be around GBP15 million basis.

Second subsidy in India is Trophic Wellness, they market the nutraceuticals and they have also delivered good profit in current year and they are in profit. Third subsidiary

Bayshore. Now with Unichem coming in Bayshore was created only to market Ipca's product.

And now since

marketing certain kind of products, which we are sourcing from some from Bangladesh and some from India and all that.

So it was a very small operations and it had its own cost. So Bayshore is one which will be now -- by and large, the entire operations will happen through, not through Bayshore it's to be from. Unichem's also whatever was

being done from Bayshore, that will also get transferred to Unichem. So that's how integration will happen.

And another subsidiary that was

company we have created for CRAMS business in U.S. because we have very successful business operating from U.K. in the name of Onyx. So it was an extension of that because right IPCA Laboratories Limited

Page 7 of 14 And that will give a larger integration benefit because even though Unichem is present in Europe, they are only marketing 5, 6 products where as their U.S. market is more than 80 products. And currently, they are also selling a good number of products out of that, more than 50 products. So it's an integration that's going to be the key drivers and on that, we are working, but it will take time to -- because everything is regulated, and it has to be done in that particular fashion.

Okay. So then, sir, the 15% kind of a margin guidance for Unichem, what we had given, it is kind of a back-ended only, let's say, FY '26 or '27, like that.

No, I have not given any guidelines for Unichem. I have said consolidation guidelines are given. Unichem will still take some time. I said that, yes, we are on a path, whatever we have talked. So I have said that from INR 50 crores of minus EBITDA, they have reached to around crores in current year. And we expect them to reach to almost around

in current year with all those kind of efficiencies what we are talking. But that will still not capture a lot of those things which we are currently talking, which are in progress. That's what Okay. Just last one question that since it is the full year results performance that we are discussing. If you can give some sense about your key subsidiaries also because we have seen some impairment charge also relating to the credit that we have booked in this quarter. So how should we think all our investment into various core or noncore subsidiaries, and their performance for the current year?

Let's say, what subsidies we have is one is Onyx Pharmaceuticals, which is there at U.K. That's delivering all these -- the development of new manufacturing processes and all those kind of solid state chemistry now. So that subsidy is doing very well. I think their turnover may be around GBP15 million to GBP16 million, and they are a profitable company on a continuous

Second subsidy in India is Trophic Wellness, they market the nutraceuticals and they have also delivered good profit in current year and they are in profit. Third subsidiary

Bayshore. Now with Unichem coming in Bayshore was created only to market Ipca's product.

And now since Unichem is a bigger setup, so the relevance of that and they were only marketing certain kind of products, which we are sourcing from some of the suppliers like from Bangladesh and some from India and all that.

So it was a very small operations and it had its own cost. So Bayshore is one which will be by and large, the entire operations will happen through, not through Bayshore it's to be from. Unichem's -- Ipca's product will also be distributed in U.S. through Unichem and

also whatever was being done from Bayshore, that will also get transferred to Unichem. So that's how integration will happen.

And another subsidiary that we have is Pigsaw, that subsidiary we have created company we have created for CRAMS business in U.S. because we have very successful business operating from U.K. in the name of Onyx. So it was an extension of that because right
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And that will give a larger integration benefit because even though Unichem is present in Europe, they are only marketing 5, 6 products whereas their U.S. market is more than 80 products. And currently, they are also selling a good number of products out of that, more than 50 products. So it's an integration that's going to be the key drivers and on that, we are and it has to be done in that
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he 15% kind of a margin guidance for Unichem, what we had given, it is any guidelines for Unichem. I have said consolidation guidelines are given. Unichem will still take some time. I said that, yes, we are on a path, whatever we have 50 crores of minus EBITDA, they have reached to around in current year. And we expect them to reach to almost around INR225 crores in current year with all those kind of efficiencies what we are talking. But that will still not be in progress. That's what

Okay. Just last one question that since it is the full year results performance that we are discussing. If you can give some sense about your key subsidiaries also because we have seen range also relating to the credit that we have booked in this quarter. So how should we think all our investment into various core or noncore subsidiaries, and their is Onyx Pharmaceuticals, which is there at U.K. That's the development of new manufacturing processes and all those kind of solid state chemistry now. So that subsidiary is doing very well. I think their turnover may be close to GBP16 million, and they are a profitable company on a continuous basis. Second subsidiary in India is Trophic Wellness, they market the nutraceuticals and they have also delivered good profit in current year and they are in profit. Third subsidiary what we have is Bayshore. Now with Unichem coming in Bayshore was created only to market Ipca's product. of that and they were only
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now, no services being done by Onyx from extend there.

And some kind of, let's say, low volume and high value kind of API manufacturing facilities are there of certain narcotic products and all that kind of things. Onyx also has maybe 2, 3 new commercial API on their pipeline and development of new drugs. So that once the volume pick up, those kind of U.S. production may happen at Pigsaw and certain other narcotic products are right now under development at Pigsaw. So Pigsaw has some small losses currently. With the CRAMS business building up, that

We have 2 associated companies. One is Avik. Avik is a steroid business and they're also delivering profit. The only company where we have not been able to still come in the green is our Krebs that's fermentation operations. This company we have introduced amount of our own captive consumptions and all.

So they have started producing that and large capacity fermenters. So we are looking for some kind of there in terms of contract manufacturing and all. So far, it has not happened, but we've seen progress to utilize their unutilized capacities, which And as far as they have certain chemical blocks, which are being currently utilized. And those blocks are on the breakeven plus they are making profit. But on fermentation side, we still have loss and it may take some time Krebs operations.

Moderator: The next question is from the line of Chirag Dagli from DSP Mutual Fund.

Chirag Dagli: Sir, can you indicate in your guidance of

scale up? And just a little more color around the U.S. scale up over the next 3 years?

Ajit Kumar Jain: Let's say, we had almost around few months, and I think we have received almost around 4 approvals. And prior to date, I think 3 or 4 approvals has come. So almost around 18 plus around 8 number we have. And then there are balance. So right now, it's now whatever

updates are required in those existing files in terms of change in the processes or change in the pharmacopeial status and all that, that work is going on right now.

And at least around 6 to 7 products will be launched out of those kind of approved products in current financial year. And once all those updates are happened, then I think next year, the IPCA Laboratories Limited

Page 8 of 14 now, no services are being -- hardly there is any service to the U.S. company. It's all services being done by Onyx from -- to the European companies are there. So that is what we wanted to

And some kind of, let's say, low volume and high value kind of API production that very small manufacturing facilities are there of certain narcotic products and all that kind of things. Onyx also has maybe 2, 3 new commercial API on their pipeline and development of new drugs. So that once the volume pick up, those kind of -- once they are launched in the market and all, the U.S. production may happen at Pischah and certain other narcotic products are right now under development at Pischah. So Pischah has some small losses currently. With the CRAMS business building up, that will be not there.

We have 2 associated companies. One is Avik. Avik is a steroid business and they're also delivering profit. The only company where we have not been able to still come in the green is our Krebs that's fermentation operations. This company was producing simvastatin and there we have introduced some of our products like Serratia peptidase because we have a large amount of our own captive consumptions and all.

So they have started producing that and -- but still, they have very large capacity large capacity fermenters. So we are looking for some kind of -- the other opportunity is also there in terms of contract manufacturing and all. So far, it has not happened, but we've seen progress to utilize their unutilized capacities, which are there on fermentation side. And as far as they have certain chemical blocks, which are being currently utilized. And those blocks are on the breakeven plus they are making profit. But on fermentation side, we still have loss and it may take some maybe 1.5 years' time before we start making profit from Krebs operations.

The next question is from the line of Chirag Dagli from DSP Mutual Fund.

Sir, can you indicate in your guidance of INR 9,000 crores, how are you baking in the scale up? And just a little more color around the U.S. scale up over the next 3 years?

Let's say, we had almost around -- Ipca's around 18 products were approved I think in the last few months, and I think we have received almost around -- current month itself, we have received around 4 approvals. And prior to date, I think 3 or 4 approvals has come.

So almost around 18 plus around 8 -- 7 or 8 approvals has already come. So that's the overall number we have. And then there are balance filings are there. So once those approval comes in. So right now, it's now whatever updates are required in those existing files in terms of change in the processes or change in the pharmacopeial status and all that, that work is going

and at least around 6 to 7 products will be launched out of those kind of approved products in current financial year. And once all those updates are happened, then I think next year, the IPCA Laboratories Limited May 30, 2024

hardly there is any service to the U.S. company. It's all services to the European companies are there. So that is what we wanted to production that very small

manufacturing facilities are there of certain narcotic products and all that kind of things. Onyx also has maybe 2, 3 new commercial API on their pipeline and development of new drugs. So once they are launched in the market and all, the U.S. production may happen at Pischah and certain other narcotic products are right now under development at Pischah. So Pischah has some

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We have 2 associated companies. One is Avik. Avik is a steroid business and they're also delivering profit. The only company where we have not been able to still come in the green is y was producing simvastatin and there -- because we have a large but still, they have very large capacities and very

the other opportunity is also

there in terms of contract manufacturing and all. So far, it has not happened, but we've seen which are there on fermentation side.

And as far as they have certain chemical blocks, which are being currently utilized. And those blocks are on the breakeven plus they are making profit. But on fermentation side, we still maybe 1.5 years' time before we start making profit from

9,000 crores, how are you baking in the U.S.

scale up? And just a little more color around the U.S. scale up over the next 3 years?

IPCA's around 18 products were approved I think in the last

current month itself, we have

received around 4 approvals. And prior to date, I think 3 or 4 approvals has come.

7 or 8 approvals has already come. So that's the overall

filings are there. So once those approval comes

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change in the processes or change in the pharmacopeial status and all that, that work is going

and at least around 6 to 7 products will be launched out of those kind of approved products in

current financial year. And once all those updations are happened, then I think next year, the

bigger ramp -

financial year.

Chirag Dagli: So FY '26, you should not only see the full impact of the 6 to 7 launches in '25, but also more launches?

Ajit Kumar Jain: Yes, yes. Yes.

Chirag Dagli: Sir, these 25 that you have or 26 that you have as

the market over 3 years. Is that how we should think about it?

Ajit Kumar Jain: Yes, that's true. Maybe a few out of that may not be viable now. So

because most of them are from our own

maybe there are a

Chirag Dagli: Understood. And sir, can you also give some color around margins in the API and the exports business? Some very basic math

teens kind of margins? Does that make sense? And how have these behaved over the last

maybe 3 years?

Moderator: Sir, I'm sorry, the management line has been disconnected. Kindly stay connected

reconnect them, yes. Ladies and gentlemen, thank you for patiently holding. The line for the

management has been reconnected. Over to you, sir.

Harish Kamath: Chirag?

Chirag Dagli: Sir, do you want me to repeat the question?

Ajit Kumar Jain: No, no, no. I think there is some problem in connectivity off and on, the lines are getting

disconnected. Yes, Chirag?

Chirag Dagli: Sir, do you want me to repeat the question?

Harish Kamath: Yes, yes, please.

Chirag Dagli: Sir, I was asking on the segment

business, export formulations and API business at least over the last 3 years. And going

forward, how are you thinking about these business margins?

Harish Kamath: Chirag, with this raw material

improve going forward, 100 to 150 basis points next 2, 3 years. That is what is our guidance.

Chirag Dagli: 100 to -- over the next 3 years is what you're saying, sir?

Harish Kamath: Every year, 100 to 150 basis points.

Chirag Dagli: Over the next 3 years, okay. Understood. IPCA Laboratories Limited

Page 9 of 14 -up would happen because all those products will be commercialized in next financial year.

So FY '26, you should not only see the full impact of the 6 to 7 launches in '25, but also more

Yes, yes. Yes.

Sir, these 25 that you have or 26 that you have as approved products, all of them should be in

the market over 3 years. Is that how we should think about it?

Yes, that's true. Maybe a few out of that may not be viable now. So -- but there are very few

because most of them are from our own API source. It's not an outsourced API. So

maybe there are a few maybe -

- may or may not be market area.

Understood. And sir, can you also give some color around margins in the API and the exports business? Some very basic math suggests that these are businesses which are still in the early

teens kind of margins? Does that make sense? And how have these behaved over the last maybe 3 years?

Sir, I'm sorry, the management line has been disconnected. Kindly stay connected

reconnect them, yes. Ladies and gentlemen, thank you for patiently holding. The line for the

management has been reconnected. Over to you, sir.

Sir, do you want me to repeat the question?

No, no, no. I think there is some problem in connectivity off and on, the lines are getting disconnected. Yes, Chirag?

Sir, do you want me to repeat the question?

Yes, yes, please.

Sir, I was asking on the segmental, how should we think about margins in the exports and API business, export formulations and API business at least over the last 3 years. And going forward, how are you thinking about these business margins?

Chirag, with this raw material prices now stabilizing, we are very confident our margins will improve going forward, 100 to 150 basis points next 2, 3 years. That is what is our guidance. over the next 3 years is what you're saying, sir?

ar, 100 to 150 basis points.

Over the next 3 years, okay. Understood. IPCA Laboratories Limited

May 30, 2024

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So FY '26, you should not only see the full impact of the 6 to 7 launches in '25, but also more approved products, all of them should be in but there are very few

API source. It's not an outsourced API. So -- but

Understood. And sir, can you also give some color around margins in the API and the exports suggests that these are businesses which are still in the early

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forward, how are you thinking about these business margins?

Chirag, with this raw material prices now stabilizing, we are very confident our margins will

improve going forward, 100 to 150 basis points next 2, 3 years. That is what is our guidance.

Harish Kamath: Our aim is to reach ultimately to that level of around 24%, 25% over the next 6, 7 years.

Chirag Dagli: Understood, sir. And sir, over the last 3 years, have

businesses come down substantially, that understanding is right?

Harish Kamath: There was also a lot of fluctuation in the material cost. That was the primary reason. Even this year also, the margin improvement is basic

over the overhead expenses, nothing else.

ratio of total business was higher where value addition is more. These are the 3 basic things, which added to

Moderator: The next question is from the line of Bino Pathiparampil from Elara Capital.

Bino Pathiparampil: Clarification on the margin, sir, if I heard right, you have given a more consolidated EBITDA margin guidance of 18% for FY '25, correct?

Ajit Kumar Jain: Yes.

Harish Kamath: Yes.

Bino Pathiparampil: Okay. And you also told around INR 225 crores of EBITDA in FY '25?

Ajit Kumar Jain: Yes.

Bino Pathiparampil: To roughly calculate

from around 6% last year to around 9.5%, 10% this year. So the entire EBITDA margin at the consolidated level increasing from FY '24 to '25 seems to be coming from Unichem. There is no significant improvement, I can see in the rest of Ipca. Am I reading it correct?

Ajit Kumar Jain: No. Ipca's, basically, EBITDA margins in current year is 19.29%. From there, it will move to around 20.5% to 21%, yes. That's what we said.

Bino Pathiparampil: There are also some improvements. Understood, sir. And

second, sir, on the top line guidance,

I heard 2 numbers. One is a 14% top line growth and other is

is correct or there is some difference between these two?

Harish Kamath: Bino, what happened actually in the consolidated results of FY '24, Unichem consolidation was only from August onwards. So in the financial year '25 whole year consolidation will

happen. So to my top line, whatever is there, about

consolidated will also get added.

Bino Pathiparampil: Understood. So the reported number will be 14% growth on the consolidated number? Or will it be INR 9,000 crores?

Harish Kamath: 14% growth on consolidated number, yes. And on a stand

Moderator: The next question is from the line of Kunal Dhamesha from Macquarie. IPCA Laboratories Limited

Page 10 of 14 Our aim is to reach ultimately to that level of around 24%, 25% over the next 6, 7 years. Understood, sir. And sir, over the last 3 years, have the margins for these businesses come down substantially, that understanding is right?

There was also a lot of fluctuation in the material cost. That was the primary reason. Even this year also, the margin improvement is basically on account of lower material costs, plus control over the overhead expenses, nothing else. Plus contribution from formulation business as a ratio of total business was higher where value addition is more. These are the 3 basic things, which added to this margin expansion.

The next question is from the line of Bino Pathiparampil from Elara Capital.

Clarification on the margin, sir, if I heard right, you have given a more consolidated EBITDA margin guidance of 18% for FY '25, correct?

Okay. And you also told -- has answered to one of the questions that Unichem should do 225 crores of EBITDA in FY '25?

To roughly calculate, the INR 225 crores is Unichem has to do, its EBITDA margin should go from around 6% last year to around 9.5%, 10% this year. So the entire EBITDA margin at the consolidated level increasing from FY '24 to '25 seems to be coming from Unichem. There is no significant improvement, I can see in the rest of Ipca. Am I reading it correct?

No. Ipca's, basically, EBITDA margins in current year is 19.29%. From there, it will move to around 20.5% to 21%, yes. That's what we said.

There are also some improvements. Understood, sir. And second, sir, on the top line guidance, I heard 2 numbers. One is a 14% top line growth and other is INR 9,000 crores is correct or there is some difference between these two?

Bino, what happened actually in the consolidated results of FY '24, Unichem consolidation was only from August onwards. So in the financial year '25 whole year consolidation will happen. So to my top line, whatever is there, about INR 2,000 crores of Unichem consolidated will also get added.

Understood. So the reported number will be 14% growth on the consolidated number? Or will it be 9,000 crores?

14% growth on consolidated number, yes. And on a stand-alone number, around 10.5% to 11%.

The next question is from the line of Kunal Dhamesha from Macquarie. IPCA Laboratories Limited May 30, 2024

Our aim is to reach ultimately to that level of around 24%, 25% over the next 6, 7 years. the margins for these -- both these

There was also a lot of fluctuation in the material cost. That was the primary reason. Even this year also, the margin improvement is basically on account of lower material costs, plus control

Plus contribution from formulation business as a ratio of total business was higher where value addition is more. These are the 3 basic things,

Clarification on the margin, sir, if I heard right, you have given a more consolidated EBITDA margin has answered to one of the questions that Unichem should do

is Unichem has to do, its EBITDA margin should go from around 6% last year to around 9.5%, 10% this year. So the entire EBITDA margin at the consolidated level increasing from FY '24 to '25 seems to be coming from Unichem. There is no significant improvement, I can see in the rest of Ipca.

Am I reading it correct?

No. Ipca's, basically, EBITDA margins in current year is 19.29%. From there, it will move to

There are also some improvements. Understood, sir. And second, sir, on the top line guidance, crores number, which

Bino, what happened actually in the consolidated results of FY '24, Unichem consolidation was only from August onwards. So in the financial year '25 whole year consolidation will 2,000 crores of Unichem top line

Understood. So the reported number will be 14% growth on the consolidated number? Or will it be around 10.5% to 11%.

Kunal Dhamesha: Sir, the EBITDA margin guidance of around 18%, does that include the other income?

Harish Kamath: No, no. Now we have stopped including other we have presented in the press conference, it is excluding other income it is excluding other income.

Kunal Dhamesha: Okay. So 18% excluding other income.

Harish Kamath: Yes. We have excluded this year about

Kunal Dhamesha: And for Unichem, the EBITDA margin improvement, is it largely a function of new product launches, if yes, how many

Harish Kamath: No, no that Mr. Jain has already explained, whatever low

capturing. The other work is ongoing. The benefit will come perhaps maybe start getting benefits from the next financial year. Launch a bit more time whereas all other work, which can be done fast, like integration of purchases, raw material costs, utility costs, a little bit improvement in the operational efficiency of their API facilities.

seeing, last financial year also and the current financial year also.

Kunal Dhamesha: But there will be growth as well, right? expecting it to be around

Harish Kamath: That is right. Current year expected

Kunal Dhamesha: So how many product launches are we factoring in for Unichem? And what is the price erosion that we are baking in for the Unichem's U.S. business?

Harish Kamath: Unichem, their gross margin has been steady. There is no change. More or less, their pricing is also on a stabilized basis, hardly any changes happening. So they will launch maybe current year 5 to 6 formulations in the U.S. market.

Kunal Dhamesha: Okay. And anything on the outlook?

Harish Kamath: Maybe around

Kunal Dhamesha: Total should be

Harish Kamath: Yes, on a consolidated basis, that is right.

Kunal Dhamesha: Okay. And sir, our U.S. facility maybe what is the current EBITDA drag

Harish Kamath: Maybe around

for the U.S. market. In fact, 2 formulations are already shipped to U.S. in the current month. IPCA Laboratories Limited

Page 11 of 14 Sir, the EBITDA margin guidance of around 18%, does that include the other income?

No, no. Now we have stopped including other income in our EBITDA. Whatever calculation we have presented in the press conference, it is excluding other income -- press release, sorry, it is excluding other income.

Okay. So 18% excluding other income.

Yes. We have excluded other income. We have also excluded exchange gains. What we made this year about INR20 crores, that also we have excluded.

And for Unichem, the EBITDA margin improvement, is it largely a function of new product launches, if yes, how many products?

No, no that Mr. Jain has already explained, whatever low-hanging fruits are there that we are capturing. The other work is ongoing. The benefit will come perhaps maybe start getting benefits from the next financial year. Launch and source change and all that will take a little bit more time whereas all other work, which can be done fast, like integration of purchases, raw material costs, utility costs, a little bit improvement in the operational efficiency of their API facilities. All this has only contributed whatever incremental EBITDA, the Unichem is seeing, last financial year also and the current financial year also.

But there will be growth as well, right? INR1,700 crores revenue for Unichem, we are it to be around INR2,000 crores?

That is right. Current year expected -- yes.

So

how many product launches are we factoring in for Unichem? And what is the price erosion that we are baking in for the Unichem's U.S. business?

Unichem, their gross margin has been steady. There is no change. More or less, their pricing is also on a stabilized basis, hardly any changes happening. So they will launch maybe current year 5 to 6 formulations in the U.S. market.

Okay. And anything on the capex front for this year at a consol level, what would be our

Maybe around INR300 crores to INR 350 crores, including our normal, whatever Total should be INR350 crores or total should be somewhere around INR 500 crores?

Yes, on a consolidated basis, that is right.

Okay. And sir, our U.S. facilities, Silvassa, Pithampur, what is the current utilization level or maybe what is the current EBITDA drag that they are putting for us at a console level?

Maybe around INR50 crores, INR 60 crores drag. Silvassa has already started manufacturing for the U.S. market. In fact, 2 formulations are already shipped to U.S. in the current month. IPCA Laboratories Limited May 30, 2024

Sir, the EBITDA margin guidance of around 18%, does that include the other income?

income in our EBITDA. Whatever calculation

press release, sorry,

excluded other income. We have also excluded exchange gains. What we made

And for Unichem, the EBITDA margin improvement, is it largely a function of new product hanging fruits are there that we are

capturing. The other work is ongoing. The benefit will come perhaps maybe start getting

and source change and all that will take a little bit more time whereas all other work, which can be done fast, like integration of purchases, raw material costs, utility costs, a little bit improvement in the operational efficiency of their All this has only contributed whatever incremental EBITDA, the Unichem is revenue for Unichem, we are So how many product launches are we factoring in for Unichem? And what is the price erosion Unichem, their gross margin has been steady. There is no change. More or less, their pricing is also on a stabilized basis, hardly any changes happening. So they will launch maybe current front for this year at a console level, what would be our 350 crores, including our normal, whatever capex. 500 crores? what is the current utilization level or that they are putting for us at a console level? 60 crores drag. Silvassa has already started manufacturing for the U.S. market. In fact, 2 formulations are already shipped to U.S. in the current month.

Another 2, 3 products are under commercialization. And Pithampur facility, we are also using for other markets like Australia and New Zealand, Europe and all, where current capacity utilization may be around 35%, yes.

Kunal Dhamesha: And then one last question. If

starts increasing, shall it positively impact our API business? Or you don't see this one

Harish Kamath: See, what was happening, any incremental raw material cost, we used to pass unfortunately, the situation was not so in the last 2 financial years because of stocking and other situation. But hopefully, going forward, everything should get normalized. So I don't think from here on, anything adverse will happen as far as the

Ajit Kumar Jain: By and large, prices are stable at market, and I think we are not witnessing any kind of major change in any kind of procurement prices. Minor change here and there may happen, but that will not impact right now

Kunal Dhamesha: But this raw material pricing cycle has also impacted our API pricing as well, right? Our API prices have also come down in the last couple of years, API business prices

Ajit Kumar Jain: Not all. Only a few.

Harish Kamath: The major impact in the API business was because of a single product, Losartan, where currently there is a stability sale price also and raw material price also.

Kunal Dhamesha: And at some point, we had also put a continuous manufacturing

facility for sartan, how is that doing?

Harish Kamath: No, it was not for sartan, for some intermediate, that work is progressing. It will be a slow progress. You can't expect mira

Moderator: The next question is from the line of Tushar Manudhane from Motilal Oswal Financial Services.

Tushar Manudhane: Sir, just on the India domestic formulation, the top 16 metros forms what percentage domestic formulation sales for us?

Ajit Kumar Jain: The metro-wise sales, we don't capture and separately monitor it. It's monitor is IQVIA numbers that

tabulate the numbers based on the reps territory wise, we don't tabulate as per the metro, and that's not how we see the numbers.

But what we have done in the last few years is that we have more focus on metro side, increase depending on the overall number of doctors

our field force in metro cities. And that's what I said that, that has started resulting in giving a higher growth. So IQVIA has captured almost around 16% growth for us in 6 large metro IPCA Laboratories Limited

Page 12 of 14 2, 3 products are under commercialization. And Pithampur facility, we are also using for other markets like Australia and New Zealand, Europe and all, where current capacity utilization may be around 35%, yes.

And then one last question. If let's say, the raw material prices were to move adversely, if it starts increasing, shall it positively impact our API business? Or you don't see this one

See, what was happening, any incremental raw material cost, we used to pass unfortunately, the situation was not so in the last 2 financial years because of stocking and other situation. But hopefully, going forward, everything should get normalized. So I don't think from here on, anything adverse will happen as far as the material cost is concerned.

By and large, prices are stable at market, and I think we are not witnessing any kind of major change in any kind of procurement prices. Minor change here and there may happen, but that will not impact right now. So more or less, it's a very steady kind of prices are there coming.

But this raw material pricing cycle has also impacted our API pricing as well, right? Our API prices have also come down in the last couple of years, API business prices, like realization in

API business.

Not all. Only a few.

The major impact in the API business was because of a single product, Losartan, where currently there is a stability sale price also and raw material price also.

And at some point, we had also put a continuous manufacturing facility for sartan, how is that

No, it was not for sartan, for some intermediate, that work is progressing. It will be a slow progress. You can't expect miracle over there. Things are happening, but it is slow.

The next question is from the line of Tushar Manudhane from Motilal Oswal Financial

Sir, just on the India domestic formulation, the top 16 metros forms what percentage of domestic formulation sales for us?

wise sales, we don't capture and separately monitor it. It's -- basically, what we monitor is IQVIA numbers that -- how they are reporting the overall numbers because we numbers based on the reps territory wise, we don't tabulate as per the metro, and that's not how we see the numbers.

But what we have done in the last few years is that we have more focus on metro side, increase depending on the overall number of doctors practicing there. We have increased the strength of our field force in metro cities. And that's what I said that, that has started resulting in giving a higher growth. So IQVIA has captured almost around 16% growth for us in 6 large metro IPCA Laboratories Limited May 30, 2024

2, 3 products are under commercialization. And Pithampur facility, we are also using for other markets like Australia and New Zealand, Europe and all, where current capacity if let's say, the raw material prices were to move adversely, if it starts increasing

, shall it positively impact our API business? Or you don't see this one -off...

See, what was happening, any incremental raw material cost, we used to pass on. But unfortunately, the situation was not so in the last 2 financial years because of stocking and other situation. But hopefully, going forward, everything should get normalized. So I don't material cost is concerned.

By and large, prices are stable at market, and I think we are not witnessing any kind of major change in any kind of procurement prices. Minor change here and there may happen, but that way. So more or less, it's a very steady kind of pricing are there coming.

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But what we have done in the last few years is that we have more focus on metro side, increase practicing there. We have increased the strength of

our field force in metro cities. And that's what I said that, that has started resulting in giving a higher growth. So IQVIA has captured almost around 16% growth for us in 6 large metro

cities. And as a

the business for us.

Tushar Manudhane: So at least on the field force side, if you could share how many are dedicated for metro cities?

Ajit Kumar Jain: Division wise, it's a different

Harish Kamath: Tushar, we have 21 market divisions.

Tushar Manudhane: No, no, no, division

Harish Kamath: Division has presence in all metro cities.

Tushar Manudhane: Okay. And what's your outlook at the industry growth for, say, next 12 to 24 months for domestic formulation? Industry industry level.

Ajit Kumar Jain: The industry is currently, I think setting challenges on very robust and also because of all those kind of significant amount of heat and the temperature is rising everywhere and all. So that is also resulting in the overall lower growth in the market because people are not ve

longer period of time, we are not seeing such kind of numbers for Acute segment.

So over a period of time, Acute should revive. Chronic has already revived and Chronic markets are growing very well

are there. And once the Acute segment revives, overall market may start growing again by

around 10% to 12% and currently 7% to 8% kind of growths are there in the market.

Tushar Manudhane: Understood. So that's helpful.

Ajit Kumar Jain: [inaudible 0:41:11]

Tushar Manudhane: Sorry, sir, I missed your statement.

Ajit Kumar Jain: If markets start growing by around 10% to 11% kind of thing, our growth in domestic then we'll start giving around 14% kind of growth.

Tushar Manudhane: Understood. And for fourth quarter or for full year, if you could also share price volume and new launches for Ipca?

Harish Kamath: Pardon, Tushar?

Tushar Manudhane: Sir, price volume and new launches growth for Ipca?

Harish Kamath: See, current year wholesale price index, you also know, Tushar, there is no price increase as far as the products which are under NLEM. So otherwise, the normal 4%, 5%, 6% price increase, maybe another

introduction, another 2%. IPCA Laboratories Limited

Page 13 of 14 cities. And as against market was growing in those are around 8%. So metros are now driving the business for us.

So at least on the field force side, if you could share how many

are dedicated for metro cities?

Division wise, it's a different number. I don't...

Tushar, we have 21 market divisions.

No, no, no, division-wise, sir, our overall field force metro, non-metro...

Division has presence in all metro cities.

What's your outlook at the industry growth for, say, next 12 to 24 months for domestic formulation? Industry-wise, you already shared your revenue growth just on the industry level.

The industry is currently, I think setting challenges on Acute segment, Acute growth are not very robust and also because of all those kind of significant amount of heat and the temperature is rising everywhere and all. So that is also resulting in the overall lower growth in the market because people are not venturing out and all those kind of things. So longer period of time, we are not seeing such kind of numbers for Acute segment.

So over a period of time, Acute should revive. Chronic has already revived and Chronic markets are growing very well. So overall, it's on only the Acute segment, where certain issues are there. And once the Acute segment revives, overall market may start growing again by around 10% to 12% and currently 7% to 8% kind of growths are there in the market.

Understood. So that's helpful.

[inaudible 0:41:11] it should be go to around 14%, yes.

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Understood. And for fourth quarter or for full year, if you could also share price volume and new launches for Ipca?

Pardon, Tushar?

Price volume and new launches growth for Ipca?

See, current year wholesale price index, you also know, Tushar, there is no price increase as far as the products which are under NLEM. So otherwise, the normal 4%, 5%, 6% price increase, maybe another 5%, 6% volume growth. I'm telling non-NLEM and plus new product introduction, another 2%. IPCA Laboratories Limited

May 30, 2024

Against market was growing in those are around 8%. So metros are now driving

So at least on the field force side, if you could share how many are dedicated for metro cities?

What's your outlook at the industry growth for, say, next 12 to 24 months for

wise, you already shared your revenue growth just on the

Acute segment, Acute growth are not

very robust and also because of all those kind of significant amount of heat and the temperature is rising everywhere and all. So that is also resulting in the overall lower growth in venturing out and all those kind of things. So -- but over a

longer period of time, we are not seeing such kind of numbers for Acute segment.

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is. So overall, it's on only the Acute segment, where certain issues

are there. And once the Acute segment revives, overall market may start growing again by around 10% to 12% and currently 7% to 8% kind of growths are there in the market.

If markets start growing by around 10% to 11% kind of thing, our growth in domestic market,

Understood. And for fourth quarter or for full year, if you could also share price volume and

See, current year wholesale price index, you also know, Tushar, there is no price increase as

far as the products which are under NLEM. So otherwise, the normal 4%, 5%, 6% price NLEM and plus new product

Tushar Manudhane: Understood. And secondly, sir, any further clarity in terms of the inspection at Unichem side, I guess they have been inspected last in 2020.

Harish Kamath: Nothing. Only one plant got inspected and without a ny 483, they have cleared the inspection. Beyond that there are no other plants got inspected. Only one facility got reinspected.

Moderator: The next question is from the line of Jayant, an current participant is not answering. And that was the last question. I would now like to hand the conference over

er to the management for closing comments. Over to you, sir.

Harish Kamath: Michelle, unless there comments we want to make. So you can the question queue, anything, nothing?

Moderator: Sir, nobody is there in the queue.

Harish Kamath: Okay. Then we can close, Michelle.

Moderator: Thank you so much, sir.

Harish Kamath: Thank you, all.

Moderator: Thank you, sir. Ladies and gentlemen, on behalf of DAM Capital Advisors Limited, that concludes this conference. We thank you for joining us lines. Thank you. IPCA Laboratories Limited

Page 14 of 14 Understood. And secondly, sir, any further clarity in terms of the inspection at Unichem side, I guess they have been inspected last in 2020.

Nothing. Only one plant got inspected and without a ny 483, they have cleared the inspection. Beyond that there are no other plants got inspected. Only one facility got reinspected.

The next question is from the line of Jayant, an individual investor. Ladies and gentlemen, the current participant is not answering. And that was the last question. I would now like to hand the conference over to the management for closing comments. Over to you, sir.

Michelle, unless there is anybody else asking questions, I don't think there is any further comments we want to make. So you can -- one more time you can ask if anybody is there in the question queue, anything, nothing?

Sir, nobody is there in the queue.

Okay. Then we can close, Michelle.

Thank you so much, sir.

Thank you, all.

Thank you, sir. Ladies and gentlemen, on behalf of DAM Capital Advisors Limited, that concludes this conference. We thank you for joining us and you may now disconnect your lines. Thank you. IPCA Laboratories Limited

May 30, 2024

Understood. And secondly, sir, any further clarity in terms of the inspection at Unichem side, I Nothing. Only one plant got inspected and without a ny 483, they have cleared the inspection. Beyond that there are no other plants got inspected. Only one facility got reinspected.

Ladies and gentlemen, the

current participant is not answering. And that was the last question. I would now like to hand the conference over to the management for closing comments. Over to you, sir.

There is anybody else asking questions, I don't think there is any further one more time you can ask if anybody is there in

Thank you, sir. Ladies and gentlemen, on behalf of DAM Capital Advisors Limited, that and you may now disconnect your

Call: Aug 2024

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August 19, 2024

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Mumbai-400051.

Scrip Code : IPCALAB

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ear Sirs,

Pursuant to Regulation 30 of the Securities and Exchange Board of India (Listing Obligations and Disclosure Requirements) Regulations, 2015, we are enclosing herewith transcript of our Conference Call which was held on Wednesday, 14th August, 2024 to discuss the Company's Q1FY25 earnings and business update.

Thanking you

Yours faithfully

For Ipca Laboratories Limited

Harish P. Kamath

Corporate Counsel & Company Secretary

Encl: a/a

"Ipca Laboratories

Conference Call

MANAGEMENT : M R. A. K.

LABORATORIES

MR. HARISH

COMPANY

LIMITED

MODERATORS : M R. NITIN

Laboratories Limited Q1 FY25 Earnings

Conference Call "

August 14, 2024

K. JAIN – MANAGING DIRECTOR , IPCA

LABORATORIES LIMITED

HARISH KAMATH – CORPORATE COUNSEL

COMPANY SECRETARY , IPCA LABORATORIES

LIMITED

NITIN AGARWAL – DAM CAPITAL ADVISORS

Earnings

IPCA

COUNSEL &

LABORATORIES

ADVISORS

IPCA Laboratories Limited

August 14, 2024

Page 2 of 8 Moderator: Ladies and gentlemen, good day and welcome to the IPCA Laboratories Earnings Conference Call hosted by DAM Capital Advisors Limited.

As a reminder, all participant lines will be in the listen-only mode and there will be an opportunity for you to ask questions after the presentation concludes. Should you need assistance during the conference call, please signal an operator by pressing "*" then "0" on your touchtone phone. Please note that this conference is being recorded.

I now hand the conference over to Mr. Nitin Agarwal from DAM Capital Advisors Limited.

Thank you and over to you, Mr. Nitin.

Nitin Agarwal: Thanks, Priya. Good afternoon, everyone, and a very warm welcome to IPCA Lab's Q1 FY '25 earnings call hosted by DAM Capital Advisors Limited.

On the call today, we have representing IPCA Lab Management, Mr. A. K. Jain – Managing Director; and Mr. Harish Kamath – Corporate Counsel and Company Secretary.

I will hand over the call to Mr. Jain to make the Opening Comments, and then we will open the floor for a quick Q&A. Mr. Jain, please go ahead, sir.

A.K. Jain: Thanks, Nitin, and DAM Capital for organizing this call. Good afternoon to all participants, and thanks for taking out time and joining us for Q1 FY '25 Earnings Call.

Today's call and discussions and answer given may include some forward-looking statements based on our current business expectations that must be viewed in conjunction with the risk that pharmaceutical industry business faces. Our actual future financial performance may differ from what is projected and perceived. You may take your own judgment on information given during the call.

Domestic formulation:

Our domestic formulation business for the quarter has delivered a growth of around 12%. If you look at external data MAT June '24, IPCA is ranked as a 16th pharma Company in IQVIA, and it's the fastest-growing Company among the top 20 players as per MAT June '24. We have delivered market beating growth in both acute and chronic segments and that are recorded by IQVIA for Q1 '25. Overall, IPM in this period has grown by around 9% and IPCA delivered growth of 15%.

On Acute Segment:

IPM growth was around 8%; we have growth of around 12%. And on chronic segment, IPM growth was 11%, and we have delivered around 20% growth as per IQVIA.

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Page 3 of 8 The Company continued to increase its market share, the MAT June 2024, our market share has crossed around 2.01% from 1.91% in MAT June '23. And for Q1 '24, our market share has gone up to around 2.17% as against Q1 '23 of 2.06%. So, there is a clear gain of almost around 11 basis points.

On export formulation business, there is a decline of 1% in Q1 '25 from around Rs. 398 crores to Rs. 395 crores. We have faced major challenges in shipping, getting containers timely and some of the challenge also faced on the supply chain side, that has resulted in a decline in the business.

On API Business:

We continue to face some challenges. And in Q1 '25, the business declined by 2% from Rs. 295 crores to around Rs. 287 crores.

On Margin Basis:

If you look at margin or standalone EBITDA margin for Q1 is 22.25% is better than our guidelines of 21% for the financial year. Our consolidated EBITDA margin is around 18.52% is also better than overall guidelines for the year at around 18% for the year. Improvement in the margin are because of improvement in overall product mix, lower input costs as well as lower manufacturing and other costs.

Income from Operations:

If you look at, the Company has delivered a standalone growth of around 5%. It is lower compared to our guidelines of around 10.5% to 11%, largely because of exports that we have discussed above. We expect better growth in line with our projections for Q1 '25 and also for the rest of the year. Consolidation results are not comparable as Unichem resu

Its are

consolidated from the second quarter of FY '24.

Having given the broad numbers, then I would request participants to ask their questions.

Moderator: Thank you very much. We will now begin the question-and-answer session. The first question is from the line of Tushar Manudhane from Motilal Oswal Financial Services. Please go ahead.

Tushar Manudhane: Sir, on the gross margin front, firstly on an ex-Unichem basis, there has been a very healthy win. Is this to do with lower exports? And so as the exports scale up, would we see some rationalization of gross margin going forward?

A.K. Jain: Let's say, our exports also, we have good margins. It's not that except the U.K. where the margins are a little lower, but all other markets also we have got good margins. So, that's the reason for overall...

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Page 4 of 8 Tushar Manudhane: So, this kind of gross margin is sustainable for FY '25 per se?

A.K. Jain: If you look at this, the only factor which is there, we have lower gross margin on API side and API business has not grown. So, to some extent, because of this product mix also, there margins could be better. But is largely because of product mix improvement and also because of lower input costs. And also our operating costs remaining in control. If you look at our manufacturing and other expenditure, that has grown by just 2% here. Employment costs may be around 9%, here.

Tushar Manudhane: So, sorry for that, sir. Sir, secondly, on the exports also, do you see revival happening soon or this logistics issue might prevail for a couple of quarters?

A.K. Jain: Logistics issue will take some more time because the ground situation has not improved yet.

So, those issues will continue for some more time. But exports certainly will improve. I think the major setback in this quarter, we have faced mostly in one particular geography, Australia, New Zealand, where the business has gone down by almost around Rs. 40 crores, so that is the

one, which is, by and large, is relating to some supply chain on the API side that got a little issue. So, we are not able to manufacture those kind of products, supplies may come maybe in this quarter. So, if things start happening again on third quarter onwards from that market. So, that was one major challenge we have faced during this quarter and some export shipments also got a little delayed in the market here because of the shipping issues.

Tushar Manudhane: Understood. And lastly, on API side, if you could just share what would have been the volume growth and the price erosion that would happen in the quarter?

A.K. Jain: Price erosions are now very limited, right? Price erosions were there, but now it's very, very limited. Now it's not, maybe 2%, 3% here and there, but price erosion trend has stopped now.

And I would say that the input cost is also not moving up to that extent. There is a marginal improvement here and there in solvents and others. But by and large, your material costs are also very stable here.

Moderator: Thank you. The next question is from the line of Aayan from Nomura. Please go ahead.

Aayan: Just wanted to understand the issue on export formulation and API, you highlighted supply issues. So, the guidance that you had given end of last quarter, now with respect to API delivering 6%, 7% growth and generic also double-digit growth. How should we think about that given this uncertainty? And how much it can be recovered for the rest of the year?

A.K. Jain: Yes. The overall guidance if you look at was 10.5% to 11% growth for the year. And I think second quarter we will certainly deliver that kind of growth. And going forward, also that kind of growth will come, but I think whatever deficiency has come in the quarter, that's very

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Page 5 of 8 difficult to bridge. So, overall, for the year, there could be overall growth

of around 9% or so, broadly.

Aayan: Understood. And on Unichem, if you can update on the progress that you've seen. We've seen improvement in gross margins. And the overheads have remained largely flat. So, how are you think about the progress there? And the synergies that you mentioned, both on the revenue and the cost side, where are we with respect to realizing those? And if you can give some color on the future here.

A.K. Jain: So, on the topline side, I think there is marginal pressure on pricing. So, it's not very high.

Even looking at that also, the gross margins have improved because we could substantially reduce the lower pricing on procurement side and advantage, we could extent for the overall, combining the volumes of procurement of IPCA and Unichem put together and then negotiating the prices. So, our price negotiation is far more improved. There are certain operating efficiencies has come in their operations, and that is also resulting in the overall better margin side. And on utility side, they have further improved the cost on utilities, and therefore, the manufacturing other expenses have not grown in line with overall business growth and all so that also savings has come. Some of the intermediates, they could reduce the cost of production. And I think that's going to be commercialized in next 2 quarters. So, that advantage will also come. And as far as other objectives of market extensions are concerned, there is every month a review is happening, and lot of work are happening on that line. But I think those advantage would come in the, I think, maybe around 1, 1.5 years from now.

Nothing is going to come very quickly because a lot of work are happening, the other compilations are going on. They will be filed with regulators. And once they review and whatever their queries are there, that replied, only after then, we will get the approvals and then marketing preparations, all that. So, it's a 1.5 to 2 years kind of journey. So, that work is continuously going on for extending products to the various markets, whether it's Europe, whether it's a market in Latin America like Chile or whether it's Australia, New Zealand, or those kind of Canada markets. So, everywhere those kind of work are happening. So, that's a little longer term, and that is what will give the real advantage once those benefits start coming in. On API process reduction side, also a lot of work is happening. But again, it may take 1.5 years' time for that to reflect in the results. So, right now, it's basically all low-hanging fruits, that is what we could like, say, operating efficiencies, purchasing efficiencies. And their shipping costs, I think earlier, they were practically almost around 60% of their volumes were going through air and 40% by sea for U.S. market. So, that has been reversed now. It's only 17%, 18% is now going by air. But in spite of that, their freight costs have moved up in this quarter, largely because sea freight has also gone almost around 3x. So, overall, maybe I think in time to come, the situation will ease, and I think what operational efficiencies which we have built up, that will bring even shipping costs and time to come down. So, that will further add to the overall profitability of Unichem.

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Page 6 of 8 Moderator: Thank you. Next question will be from the line of Shiva from Purnartha Investment Advisors.

Please go ahead.

Shiva: Congrats on strong margins posted. My first question is with respect to Unichem. For the full year, I just wanted to understand, obviously, Unichem posted a great number last year in generics. So, the base has been a little bit on the higher side. And the first quarter, as you pointed out, one was the logistics, which is pulled off. But on an overall level, how do you see the environment of generics in U.S.A. per se? And how do you look at it for Unichem?

A.K. Jain:

So, there is not much of pricing pressure. Its only marginal pressures are there. But otherwise, let's say, the U.S. is a good market, and we are not seeing that kind of bloodbath now. So, it's a better time for this generic business overall.

Shiva: And the demand outlook is strong. Do you feel there's a double-digit potential growth? Or how do you look at the overall growth?

A.K. Jain: It's possible to achieve double-digit kind of growth for us, yes.

Shiva: And with respect to MR, obviously, we've added substantial amount earlier. Just wanted to understand what was the productivity of the MR for the full last year? And what is the current strength? And how do you look at the productivity for this year as a percentage of the exact number, what kind of improvement are we looking at?

A.K. Jain: We have close to around 6,500 MRs right now, last year may around a little less than 6,000 around that time. And some more MRs are being added now because 1 more division on pain we are starting now. It may be around the next 2 months' time that the division will be launched in the market. So, in overall productivity, I think around 1st Quarter last year, we had a productivity of 4.21 lakhs. And current year first quarter, it is around, I think, 4.52 lakhs of the productivity for month, but there is a significant improvement from 4.21 lakhs to 4.52 lakhs per month, despite the overall increase in the field staff.

Moderator: Thank you. The next question will be from the line of Damayanti Kerai from HSBC. Please go ahead.

Damayanti Kerai: Sir, you mentioned the shortfall on the export side, which you have seen in 1 quarter that might not be bridged. So, how do you see the overall export growth for the market? And in terms of profitability at the consolidated level, what are your expectations for FY '25?

A.K. Jain: Overall, I think topline growth, our earlier projection was around 10.5% to 11%. That may remain around 9% for the whole of the year for the Company. I'm talking IPCA as a standalone. And as far as profitability are concerned, I think that it's going to be better than what we have initially projected, what the earlier guidelines we have given last year was for IPCA Laboratories Limited

August 14, 2024

Page 7 of 8 Q4, around that time the profitability of around 18.5% overall, we have the consolidated margins we have guided. And overall EBITDA for the standalone was guided around 20.5% to 21%. So, there are possibility of further improvement in that because our current quarter margins are better and second quarters are much better quarter. So, it may further exceed that and overall, margins maybe around 0.5 basis point to 1 basis point, it will be higher than what guidance we have given earlier.

Damayanti Kerai: Okay. That's helpful, sir. And my second question is if you can update us on your advancement in the U.S. market in terms of how you're advancing in supplies or in filing for the market? Like I understand, it's slightly longer term to scale up, but nonetheless, if you can talk about the progress which you have seen so far?

A.K. Jain: So, currently, I think, 2 products are launched already there. And I think in this balance period of current financial year, at least 3 to 4 products will be commercialized more. So, around 5 to 6 products will be launched in the current year, and then next year may be another 6 to 7 products may be launched. So, overall, next 2 years, I think we should reach to around 12 to 13 kind of products in the market, yes.

Damayanti Kerai: But this should be helping at least in better utilization of your U.S. plants, right? Although sales will come maybe later on. We will see better sales later. But at this point of time, you are utilizing plants better and that has been...?

A.K. Jain: Utilizing plants better, and that will also improve the overall profitability because most of these products are from captive

consumption. So, practically, everything is from captive

consumption. So, our API plant utilizations and our formulation plant utilization, that will lead to the overall margins also.

Damayanti Kerai: So, sir, 12 to 13 launches in the next 2 years, cumulatively. And what's the update on the filing part? Are you filing new products or on the existing ANDAs only you are trying to update the dossiers?

A.K. Jain: See, last 10 years, we did not work on U.S. market. So, there is no pipeline for filing in IPCA as far as, so that pipeline is building now, and it takes time. So, a lot of bioinoculant studies and other things are going on. So, once we file, then we will start updating. But still, I think

maybe 6, 8 months away from filing anything new.

Moderator: Thank you. As there are no further questions from the participants, I'd like to hand over the conference to the management for closing comments.

A.K. Jain: We have nothing to add. So, if there are no further questions, we can close this con call.

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Page 8 of 8 Moderator: Thank you. On behalf of DAM Capital Advisors Limited, that concludes this conference. Thank you for joining us, and you may now disconnect your lines.

Call: Nov 2024

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November 18, 2024

BSE Ltd.

Phiroze Jeejeebhoy Towers

Dalal Street

Mumbai 400 023

Scrip Code – 524494 National Stock Exchange India Limited,

Exchange Plaza, C-1, Block-G,

Bandra Kurla Complex, Bandra – (East).

Mumbai-400051.

Scrip Code : IPCALAB

Dear Sirs,

Pursuant to Regulation 30 of the Securities and Exchange Board of India (Listing Obligations and Disclosure Requirements) Regulations, 2015, we are enclosing herewith transcript of our Conference Call which was held on Thursday, 14th November, 2024 to discuss the Company's Q2H1FY25 earnings and business update..

Thanking you

Yours faithfully

For Ipca Laboratories Limited

Harish P. Kamath

Corporate Counsel & Company Secretary

Encl: a/a

"Ipca

Q2 FY '25

November 14

MANAGEMENT : M R. AJIT

IPCA L

MR. HARISH

COMPANY

LIMITED

MODERATOR : M R. NITIN

LIMITED

Page 1 of 17 Ipca Laboratories Limited

5 Earnings Conference Call"

November 14 , 2024

JIT KUMAR JAIN –MANAGING DIRECTOR

LABORATORIES LIMITED

ARISH KAMATH – CORPORATE COUNSEL AND

OMPANY SECRETARY – IPCA LABORATORIES

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ITIN AGARWAL – DAM CAPITAL ADVISORS

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Moderator: Ladies and gentlemen, good day, and welcome to the Conference Call

lines will be in the listen

after the presentation concludes. Should you need assistance during the signal an operator by pressing star, then zero on your touch conference is being recorded.

I now hand the conference over to Mr. Nitin Agarwal from DAM Capital Advisors Limited.

Thank you, and over

Nitin Agarwal: Thank you. Good afternoon, everyone, and a very warm welcome to post- earnings conference call hosted by DAM Capital Advisors Limited. On the call today, we have representing

Kamath, Company Secretary and Company Counsel.

I will hand over the call to Mr. Jain to make the opening comments, and then we'll open the floor for questions. Please go ahead.

A.K. Jain Thanks, Nitin and DAM Capital

answer given may include some forward

expectations. It must be viewed in conjunction with the risk that pharmaceutical industry

business faces. Our pursuit. You may take your own judgment on information given during the call.

Business performance. Domestic formulation business delivered a growth of 11% for the quarter. Mid - fastest-growing company among the top 20 players.

'25 and late September '24. Overall, IPM growth is around 8% and as per IQVIA around 13% growth. And mid IPCA has delivered around 14% growth.

Both on acute and chronic segment,

Acute segment 12%. And on chronic segment, your market growth is around 10% and we have delivered around 17% growth as per IQVIA.

IPCA continued to improve its market share. In Q2 FY '25, our market share has increased to 2.14% as against 2.04% in Q2 FY '24. And mid 2.03% as against 1.92% in mid point improvement in the overall in market share. And in second quarter, the improvement almost around 10 basis points. We have now 6 brands among the top 300 brands in the IPM. CTD- T has now entered in top 300 brands list with 193 rank in mid rank gain.

On export formulation business, we have delivered a round 15 branded promotional business has declined by around 6% in this quarter. Generic business has IPCA Laboratories Limited November

Page 2 of 17 Ladies and gentlemen, good day, and welcome to the IPCA Laboratories Limited Q2 FY '25 Conference Call, hosted by DAM Capital Advisors Limited. As a reminder, all participant lines will be in the listen-only mode and there will be an opportunity for you to ask questions after the presentation concludes. Should you need assistance during the conference call, please signal an operator by pressing star, then zero on your touch-tone phone. Please note that this conference is being recorded.

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Thank you, and over to you, sir.

Thank you. Good afternoon, everyone, and a very warm welcome to IPCA earnings conference call hosted by DAM Capital Advisors Limited. On the call today, we have representing IPCA management Mr. A.K. Jain, Joint Managing Director; and Mr. Harish Kamath, Company Secretary and Company Counsel.

I will hand over the call to Mr. Jain to make the opening comments, and then we'll open the floor for questions. Please go ahead.

Thanks, Nitin and DAM Capital for organizing this call. Today's call and discussions and answer given may include some forward-looking statements based on our current business expectations. It must be viewed in conjunction with the risk that pharmaceutical industry business faces. Our actual future financial projections may differ from what is projected in pursuit. You may take your own judgment on information given during the call.

Business performance. Domestic formulation business delivered a growth of 11% for the -September 2024, IPCA is ranked as the 16th player in -- as per IQVIA and the growing company among the top 20 players. IPCA has outpaced the industry in Q2 FY '25 and late September '24. Overall, IPM growth is around 8% and IPCA has delivered almost per IQVIA around 13% growth. And mid -September '25, IPM growth is around 8% and has delivered around 14% growth.

Both on acute and chronic segment, IPCA has delivered better growth compared to the market. Acute segment in this quarter has grown by almost around 7% and IPCA 12%. And on chronic segment, your market growth is around 10% and we have delivered around 17% growth as per IQVIA.

continued to improve its market share. In Q2 FY '25, our market share has increased to as against 2.04% in Q2 FY '24. And mid -September 2024, our market share is around 2.03% as against 1.92% in mid -September '23. So overall, there is almost around 11 basis point improvement in the overall in market share. And in second quarter, the improvement almost around 10 basis points. We have now 6 brands among the top 300 brands in the IPM. T has now entered in top 300 brands list with 193 rank in mid -September 2024 with 88

On export formulation business, we have delivered a round 15% growth for the quarter. The branded promotional business has declined by around 6% in this quarter. Generic business has IPCA Laboratories Limited November 14, 2024

Laboratories Limited Q2 FY '25

As a reminder, all participant only mode and there will be an opportunity for you to ask questions conference call, please

Please note that this

I now hand the conference over to Mr. Nitin Agarwal from DAM Capital Advisors Limited.

IPCA Labs Q2 FY '25

earnings conference call hosted by DAM Capital Advisors Limited. On the call today, we have Mr. Nitin Agarwal, Managing Director; and Mr. Harish Jain, Managing Director.

I will hand over the call to Mr. Jain to make the opening comments, and then we'll open the floor for organizing this call. Today's call and discussions are based on our current business

expectations. It must be viewed in conjunction with the risk that pharmaceutical industry

actual future financial projections may differ from what is projected in our business

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Business performance. Domestic formulation business delivered a growth of 11% for the quarter as per IQVIA and the

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September '25, IPM growth is around 8% and

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growth is around

12%. And on chronic segment, your market growth is around 10% and we have delivered

continued to improve its market share. In Q2 FY '25, our market share has increased to

September 2024, our market share is around

September '23. So overall, there is almost around 1.1 basis

point improvement in the overall in market share. And in second quarter, the improvement is

almost around 10 basis points. We have now 6 brands among the top 300 brands in the IPM.

September 2024

with 88

% growth for the quarter. The

branded promotional business has declined by around 6% in this quarter. Generic business has

grown by around 8%, and institutional business in this quarter has grown by almost around

85%. So overall business growth has been around

around 15% overall for the quarter. Overall API business has declined by around 5%.

Domestic business has recovered and delivered a growth of around 14% for the quarter. But

API business has come

And overall API business for the quarter is around

same period last year.

On margin front, our stand

20.86% in same period last year, an improvement of almost around 2.03%. Our consolidated

EBITDA margin for Q2 FY '25 is at 19.10% as against 17.64% for Q2 FY '24, an

improvement of around 1.46%. The improvement in the margin is largely due to improvement

in product mix, lower input costs and lower manufacturing and other overhead. Both the stand

alone and consolidated EBITDA margins are better than the guidelines given before the FY

'25.

Having given the broad numbers, now I request participants to ask questions.

Moderator: The first question is from the line of Kunal Dhamesha from Macquarie.

Kunal Dhamesha: So sir, the first question on the FY '25 outlook that we had provided earlier on the top line

consolidated top line and EBITDA margin. If you can update

are your revised ex

of the banks in the recent phone calls have also highlighted...

Moderator: Mr. Kunal, your voice is fluctuating. I would repeat

question.

Kunal Dhamesha: Is it better now?

A.K. Jain Kunal, in the

Kunal Dhamesha: Sorry, sir, sorry, sir. Is it better now?

A.K. Jain Yes, better now.

Kunal Dhamesha: Sure. Sir, I just wanted to ask, we had provided some guidance on top line and EBITDA

margin on a consolidated basis

updated expectation for FY '25?

A.K. Jain If you look at our margin side, our guidance for stand

that -- I think, yes, incrementally, we have delivered around 22.

for the full year overall

against 21% guideline. And the similar line, overall consolidated margins will also be better.

Overall growth projections given for

for the whole of the financial year, we will have a growth of almost around 9% to 10% now. IPCA Laboratories Limited

November

Page 3 of 17 grown by around 8%, and institutional business in this quarter has grown by almost around

85%. So overall business growth has been around -- generic business, business growth is around 15% overall for the quarter. Overall API business has declined by around 5%. Domestic business has recovered and delivered a growth of around 14% for the quarter. But API business has come -- API export business has continued to show some kind of decline. And overall API business for the quarter is around INR 319 crores as against same period last year.

On margin front, our standalone margin for the Q2 EBITDA margin is 22.89% against 20.86% in same period last year, an improvement of almost around 2.03%. Our consolidated EBITDA margin for Q2 FY '25 is at 19.10% as against 17.64% for Q2 FY '24, an improvement of around 1.46%. The improvement in the margin is largely due to improvement in product mix, lower input costs and lower manufacturing and other overhead. Both the standalone and consolidated EBITDA margins are better than the guidelines given before the FY. Having given the broad numbers, now I request participants to ask questions. The first question is from the line of Kunal Dhamesha from Macquarie.

So sir, the first question on the FY '25 outlook that we had provided earlier on the top line consolidated top line and EBITDA margin. If you can update us after H1 performance what revised expectation for the full year '25 have a further impact on consumption of the banks in the recent phone calls have also highlighted...

Mr. Kunal, your voice is fluctuating. I would repeat -- I would request you to repeat your question. Is it better now? background also so

me noise is coming.

Sorry, sir, sorry, sir. Is it better now?

Yes, better now.

Sure. Sir, I just wanted to ask, we had provided some guidance on top line and EBITDA margin on a consolidated basis with the H1 performance behind us, what would be your updated expectation for FY '25?

If you look at our margin side, our guidance for standalone margin was around 21% as against I think, yes, incrementally, we have delivered around 22.89%. And therefore, overall,

for the full year overall -- your -- standalone EBITDA margins are likely to be around 22% as against 21% guideline. And the similar line, overall consolidated margins will also be better.

Overall growth projections given for the whole year was around 10% to 11%. As against this, for the whole of the financial year, we will have a growth of almost around 9% to 10% now. IPCA Laboratories Limited November 14, 2024

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improvement of around 1.46%. The improvement in the margin is largely due to improvement in product mix, lower input costs and lower manufacturing and other overhead. Both the standalone and consolidated EBITDA margins are better than the guidelines given before the FY.

estimations. So sir, the first question on the FY '25 outlook that we had provided earlier on the top line -- after H1 performance what impact on consumption? Some

I would request you to repeat your

Sure. Sir, I just wanted to ask, we had provided some guidance on top line and EBITDA with the H1 performance behind us, what would be your standalone margin was around 21% as against

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against 21% guideline. And the similar line, overall consolidated margins will also be better.

For the whole year was around 10% to 11%. As against this,

for the whole of the financial year, we will have a growth of almost around 9% to 10% now.

Kunal Dhamesha: Okay. So probably at the absolute EBITDA level, more or less the same because lower top line and the margins.

achieving those synergies? What have you already realized in this results in the last couple of quarters? And where do we see that going in the next 3, 4 quarters

A.K. Jain Unichem, we have taken over

Unichem sourcing product from us, work is still going on. That portion has not started, which will also have some kind of cost reduction for them, a few of them are currently buying from outside. And I think May, it may take around 5, 6 months. So in current year, practically nothing of that nature will happen. We also talked about Unichem's improvement in the API processes, where I think all have reduced overall their manufacturing cost and validations are over. Now all these 6 products, the improvements are almost around somewhere between the 25% to 30% reduction in API.

Now the whole process of filing and then taking increment is already done and the balance is in pipeline already. And as far as the procurements are concerned, a lot of benefit has already come as buying are now shaken up by the common group. And whatever all got extended to the Unichem also. So those advantages come. As far as market extensions are come, there are a lot of work are in pipeline and we said that it is going to take a little longer filing in the market and all that. So this may take one more year to start, only then

the products where the straight away your U.S. dossiers can be filed in Europe and various other markets. So that process is going on. Right now, a few products are already filed, which approvals are yet pending. Larger product range to extend to the other market is going to around 1 more year because it's all regulatory process and what of data needs to be generated. But our initial calculations, where we were talking that on second year onwards, we should be able to get around

I think that will surpass in the current year itself. In first half of the current year, the EBITDA margin of Unichem is

filing, the approvals are received and all that. So the

Kunal Dhamesha: And sir, last one, if I may. How is our plant clearances? Have you launched any products? And how is the uptake in those products? A.K. Jain I think overall, we have spent goods to US, But most of the goods had reached to them at the end of the period, I think they are highly out of that almost

these were all in stock. And now sales will start reflecting from the third quarter onwards. So technically, it's not eliminated in consolidation practically in the power. So nothing major has IPCA Laboratories Limited November

Page 4 of 17 Okay. So probably at the absolute EBITDA level, more or less the same because lower top line and the margins. Sir, for the Unichem business in terms of synergies, where are we in terms of achieving those synergies? What have you already realized in this results in the last couple of quarters? And where do we see that going in the next 3, 4 quarters?

Unichem, we have taken over -- we have spoken about many synergies part. As far as your Unichem sourcing product from us, work is still going on. That portion has not started, which will also have some kind of cost reduction for them, a few of our APIs, which they are currently buying from outside. And I think May, it may take around 5, 6 months.

So in current year, practically nothing of that nature will happen. We also talked about Unichem's improvement in the API processes, where I think almost around 6 products, we have reduced overall their manufacturing cost and validations are over. Now all these 6 products, the improvements are almost around somewhere between the 25% to 30% reduction. Now the whole process of filing and then taking approval and that will start. Fixed product increment is already done and the balance is in pipeline already. And as far as the procurements are concerned, a lot of benefit has already come as buying are now shaken up by the common group. And whatever IPCA benefits are there in terms of lower your pricing, that all got extended to the Unichem also. So those advantages come.

As far as market extensions are come, there are a lot of work are in pipeline and we said that it is going to take a little longer time because it's post validation then stability studies and then filing in the market and all that. So this may take one more year to -- for that kind of things to start, only the products where the -- no further bioequivalences are to be done and where you straight away your U.S. dossiers can be filed in Europe and various other markets.

So that process is going on. Right now, a few products are already filed, which approvals are yet pending. Larger product range to extend to the other market is going to take another almost around 1 more year because it's all regulatory process and what of data needs to be generated. But our initial calculations, where we were talking that on second year onwards, we should be able to get around INR200 crores kind of EBITDA margin.

I think that will surpass in the current year itself. In first half of the current year, the EBITDA margin of Unichem is INR113.75 crores. All these improvements will keep on coming in the, the approvals are received and all that. So the process is going on.

And sir, last one, if I may. How is our own US b

business shaping up now since we have the plant clearances? Have you launched any products? And how is the uptake in those products? I think overall, we have spent almost around -- up to September around INR 30 crores worth of goods to US, But most of the goods had reached to them at the end of the period, I think they are highly out of that almost -- which is INR1 crores, INR 1.5 crores sales has happened and these were all in stock. And now sales will start reflecting from the third quarter onwards. So technically, it's not eliminated in consolidation practically in the power. So nothing major has
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Okay. So probably at the absolute EBITDA level, more or less the same because lower top line Sir, for the Unichem business in terms of synergies, where are we in terms of achieving those synergies? What have you already realized in this results in the last couple of we have spoken about many synergies part. As far as your Unichem sourcing product from us, work is still going on. That portion has not started, which our APIs, which they are

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have reduced overall their manufacturing cost and validations are over. Now all these 6 products, the improvements are almost around somewhere between the 25% to 30% reduction in approval and that will start. Fixed product

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technically, it's not eliminated in consolidation practically in the power. So nothing major has

happened. We already sent the

year, we will launch around

Kunal Dhamesha: And this is U.S. sales will be recognizing in our P & L directly or will recognize through Bayshore?

A.K. Jain No, we have

Unichem. Because in order to have entire synergies that U.S. business will be done entirely under one umbrella. So we think Unichem is very big ger business. All these

business is already transferred to Unichem. And entire business will also be done through

Unichem. So there are no duplication of the old marketing and administrative and all those

kind of setup. It will be all done through Unichem.

Moderator: The next question is from the line of Dharmil from Dalmus Capital Management LLP.

Dharmil: Congratulations on really good set of numbers.

Moderator: Mr. Dharmil, may I request you to please speak up. Your voice is coming out as muffled.

Dharmil: Is this clearer now?

Moderator: Yes. Please

proceed with your question.

Dharmil: My questions are again on Unichem. Earlier in the previous calls, you had given in balance of

around INR 2,000 crores revenue. So while in H1, we have all participants and somewhere

around INR 900 crores. So is the guidance still on the plan? Or I mean, where are we up to on

the guidance? Is this still achievable for FY '25?

A.K. Jain I think overall business of Unichem may remain around

crores in the current

Dharmil: Got it. And EBITDA margins.

A.K. Jain EBITDA margins, let's say, first quarter was almost around 12.52%. Second quarter, it has

improved to 14.35% Overall, I think it will remain 14% to 15% for the remaining period.
Dharmil: Got it. And 11% revenue growth in the current quarter for Unichem, can you break it down into how much was it volume driven and how much was price driven? And in general, what is the pricing scenario for...

A.K. Jain Pricing-wise, if you see that there is

kind of price declines are there. So overall, like I said, U.S. business has grown by almost around 12%, 12.5%. There is some decline in Brazil and overall contract manufacturing business has done

consolidated sales, it's almost around 9.4% improvement is there in current. And taking into the other operating income and others including, it's around 11% kind of overall growth there in the further quarter. IPCA Laboratories Limited

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Page 5 of 17 happened. We already sent the six products and another 3 are in pipeline. So I think current year, we will launch around -- almost around 6 products.

And this is U.S. sales will be recognizing in our P & L directly or will recognize through

No, we have said that Bayshore entity, wherever business is the one, that was transferred to the Unichem. Because in order to have entire synergies that U.S. business will be done entirely under one umbrella. So we think Unichem is very bigger business. All these business is already transferred to Unichem. And entire business will also be done through Unichem. So there are no duplication of the old marketing and administrative and all those kind of setup. It will be all done through Unichem.

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I think overall business of Unichem may remain around INR1,850 to INR crores in the current financial year. Yes.

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Dharmil: Understood. And what would be the current capacity utilization in Unichem? And how do you expect it to ramp up over the next 2 to 3 years?

A.K. Jain Let's say, overall, Unit 1 and -- having good capacity utilizations, maybe around the 70% to 80% kind of utilizations out there. Unit 2 Goa, this is a bigger unit and larger capacity. That's, I think, hardly around 20% kind of utilizations are there.

Unichem's product in various markets and filings and all that.

With that, the capacities of Goa plant will be utilized. So as far as the Ghaziabad plant is concerned, as far as the Bambai plant

So those capacities

European approvals and Australia and New Zealand. So there are so many markets, they have approvals.

Dharmil: Understood. And are there

Unichem? Are there any pipeline of products to be launched in next 1 or 2 years?

A.K. Jain I think we will continue to launch around 4 to 5 products every year.

Dharmil: Okay. And this would be entirely formulations only?

A.K. Jain Yes, formulations yes.

Dharmil: Okay. And what could be your revenue guidance for F Y '26 and '27 for Unichem?

A.K. Jain So far, we have not burned it out. So we will let you know in financial year.

Moderator: The next question is from the line of Surya Narayan Patra from PhillipCapital India Private Limited.

Surya Patra: Sir, my first question about the U.S. business. First of all, can you give us some the Piparia unit

Bayshore Unichem with us, so in the way it has already been indicated that US business is going to happen through

So while we are seeing a kind of a strong export growth number for Unichem, but export growth has been muted consistently. So how should one think about the U.S. business going ahead for

the U.S. business, compliance of Piparia and the growth in the U.S. side.

A.K. Jain All plants, we already received the approvals and also there is no pending issue as far as Piparia plant is concerned. So all

plant. So there are absolutely no outstanding issues anywhere.

Surya Patra: Okay. All the 3 units are cleared now. IPCA Laboratories Limited

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r

Page 6 of 17 Understood. And what would be the current capacity utilization in Unichem? And how do you expect it to ramp up over the next 2 to 3 years?

Let's say, overall, Unit 1 and -- Unit 1 at Goa and I think Ghaziabad, both these plants are having good capacity utilizations, maybe around the 70% to 80% kind of utilizations out there.

Unit 2 Goa, this is a bigger unit and larger capacity. That's, I think, hardly around 20% kind of utilizations are there. So as the U.S. business and other businesses are extending the market of Unichem's product in various markets and filings and all that.

With that, the capacities of Goa plant will be utilized. So as far as the Ghaziabad plant is concerned, as far as the Bambai plant is concerned, that utilization is almost around 30%, 35%.

So those capacities -- and that plant is having all other approvals also, all the ROW market, European approvals and Australia and New Zealand. So there are so many markets, they have

Understood. And are there -- I mean, what is the trend in terms of product approvals in Unichem? Are there any pipeline of products to be launched in next 1 or 2 years?

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Yes, formulations yes.

Okay. And what could be your revenue guidance for F Y '26 and '27 for Unichem?

So far, we have not burned it out. So we will let you know in the last quarter of the current financial year.

The next question is from the line of Surya Narayan Patra from PhillipCapital India Private

Sir, my first question about the U.S. business. First of all, can you give us some the Piparia unit -- USA compliance? That is one. And secondly, after the integration of the Bayshore Unichem with us, so in the way it has already been indicated that US business is going to happen through -- everything through Unichem.

While we are seeing a kind of a strong export growth number for Unichem, but export growth has been muted consistently. So how should one think about the U.S. business going ahead for IPCA impacting the growth numbers? And that would be the question about the U.S. business, compliance of Piparia and the growth in the U.S. side. All plants, we already received the approvals and also there is no pending issue as far as Piparia plant is concerned. So all IPCA plants are cleared already, which includes Piparia plant. So there are absolutely no outstanding issues anywhere. Okay. All the 3 units are cleared now. IPCA Laboratories Limited
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A.K. Jain Yes, all 3 units are clear simultaneously, yes.

Surya Patra: Okay. Regards to

Unichem, and in terms of the performance so far, what we have seen in the recent quarters, Unichem is doing well, but our growth numbers are on the export side still the remaining muted. On the formulation side, can you just clarify what is really impacting here for us?

A.K. Jain As far as the branded formulation business is concerned, we have muted growth. In fact, in the first half of the current year, we have minus 2% growth on branded formulation largely because of all these currency fluctuations. And I think ruble from 80 level has gone to almost around more than 95. So that has reflected and a good amount of business comes from that market, so Russia and all.

So that has a little impacted. I think from third quarter, I think in ROW market, we expect around 12% to 13% kind of growth. So all of the year, the business growth in ROW will revive and is likely to be around 7% to 8% kind of growth for the whole of the year ROW market, branded formulations business.

As far as your generic businesses are concerned, by and large, let's say, first European business is concerned, except UK, that business is good and we have reasonably good growth around. UK, there are certain concerns are coming on pricing and all and overstocking in that market. So probably this year, the UK business growth will remain muted only or there may not be any growth in that market. So that's the future. As far as Canada business is concerned, that business will have around 10% kind of growth.

Australia and New Zealand in the first half was, because of some supply kind of constrain on APIs or certain APIs, and that has impacted the business. So that we expect the recovery because those shipments have started coming from outsourced API. So there will be recovery in those markets. As far as overall South Africa is concerned, we will see some kind of there because some tenders are lost there, and that business will have some kind of decline.

So overall, we see a generic business

Generic business will also have a similar kind of growth. Distributors better growth this year because last year, the availability of injectables because of plant upgradations and installations of some additional machines and renovation part. So that half of the year, that plant was not open businesses. So overall generics, we will see around 12% kind of growth for the financial year.

Surya Patra: Sir, this the institutional business this quarter, bump of what we are witnessing, it is off thing? It is sustainable.

A.K. Jain No, no, no. Last year in this period, injectables were not available.

Surya Patra: Okay. So now this is a kind of sustainable business and can see ramp up?

A.K. Jain Yes, yes. IPCA Laboratories Limited

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Page 7 of 17 Yes, all 3 units are clear simultaneously, yes.

Okay. Regards to the US business, since now everything is going to be routed through Unichem, and in terms of the performance so far, what we have seen in the recent quarters, Unichem is doing well, but our growth numbers are on the export side still the remaining on the formulation side, can you just clarify what is really impacting here for us?

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As far as your generic businesses are concerned, by and large, let's say, first European business is concerned, except UK, that business is good and we have reasonably good growth around -- we should have almost for the whole of the year, around 10% kind of growth. UK, there are certain concerns are coming on pricing and all and overstocking in that market. So probably this year, the UK business growth will remain muted only or there may not be any growth in that market. So that's the future. As far as Canada business is concerned, that business will have around 10% kind of growth.

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Surya Patra: Okay. Sir, in r

so how do you think about your

A.K. Jain Overall, Unichem R&D, let's say, we were doing some work on biotech that's completely stopped. They will co

will also do. So the list will be some products, we will keep on developing, some

will keep on developing. Some products where synergies are better in terms of our API basket, we will continue to develop. So both the teams will work on process development.

Surya Patra: In fact, in the current quarter, you are seeing a significant lower number for Unichem and other expenses which generally captures R&D. So hence, that is why I

What is the kind of savings that we are seeing, whether it is from the reduced R&D spend on the Unichem side or it is something else?

A.K. Jain R&D spend of base is almost around 3% overall, the 3% to 4%, 3%, 3.5% will continue there. And Overall, R&D spend is also around 3% of the turnover for the company,

Unichem put together, consolidated number. So more or less, it will remain. Once our biotech plant is commissioned, which may happen during the, I think, in the

financial year. Thereafter, once we start producing the batches and then clinical work

then the next financial year, the overall R&D cost may go up to around 4.5%, 4.25% here.

Moderator: The next question is from the line of Aru

Arun: I hope you are hearing me well?

Moderator: Yes, Mr. Arun. Proceed with your question.

Arun: See, I just wanted just a few short questions and probably short answers as well. See, the PAT comparison, can you do sort of a ballpark figure as

versus international? Because the revenue split as almost 50

the percentage of domestic PAT and what is the percentage of international PAT, profit after tax?

A.K. Jain Normally, if you look

levels. And if you look at gross margins of

compared to India market. We have

India business, India formulation business.

Then comes the business which we do in Europe, Australia, New Zealand and Canada. Gross

margin, thereafter, I think South Africa are lower and U.K. also, gross margins are lower. And

last comes is the API. So

have domestic formulation. And we have good overall margins in Generics also.

Arun: Sir, regarding the domestic formulations, in fact, I was referring to only the last quarter's performance,

rated. Don't you think that there is overall dependence on one product? Or is it

company planning to also develop some products which could probably give a balance? IPCA Laboratories Limited November

Page 8 of 17 Okay. Sir, in regards to R&D. So now after the integration of the U S business with Unichem, so how do you think about your IPCA's R&D versus Unichem R&D?

Overall, Unichem R&D, let's say, we were doing some work on biotech that's completely

stopped. They will continue to do work on formulation development for U. S. market and

will also do. So the list will be some products, we will keep on developing, some

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Unichem put together, consolidated number. So more or less, it will remain. Once our biotech

plant is commissioned, which may happen during the, I think, in the end of the current

financial year. Thereafter, once we start producing the batches and then clinical work

then the next financial year, the overall R&D cost may go up to around 4.5%, 4.25% here.

The next question is from the line of Arun from FPL.

I hope you are hearing me well?

Yes, Mr. Arun. Proceed with your question.

See, I just wanted just a few short questions and probably short answers as well. See, the PAT comparison, can you do sort of a ballpark figure as to how do we compare with domestic versus international? Because the revenue split is almost 50-50. Regarding the PAT, what is the percentage of domestic PAT and what is the percentage of international PAT, profit after tax. Normally, if you look at -- we don't divide that way, but we monitor the overall gross margin levels. And if you look at gross margins of -- we had better gross margins in ROW market compared to India market. We have -- the next business line is from -- gross margin India business, India formulation business.

Then comes the business which we do in Europe, Australia, New Zealand and Canada. Gross margin, thereafter, I think South Africa are lower and U.K. also, gross margins are lower. And last comes is the API. So overall, we have highest gross margin or ROW branded. Next is we have domestic formulation. And we have good overall margins in Generics also.

Sir, regarding the domestic formulations, in fact, I was referring to only the last quarter's then your 52% comes from anti-inflammatories or NSAIDs, which is presumably

rated. Don't you think that there is overall dependence on one product? Or is it

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S business with Unichem,

Overall, Unichem R&D, let's say, we were doing some work on biotech that's completely continue to do work on formulation development for U.S. market and IPCA

will also do. So the list will be some products, we will keep on developing, some -- Unichem will keep on developing. Some products where synergies are better in terms of our API basket, we will continue to develop. So both the teams will work on process development.

In fact, in the current quarter, you are seeing a significant lower number for Unichem and other wanted to have some clarity.

What is the kind of savings that we are seeing, whether it is from the reduced R&D spend on R&D spend of base is almost around 3% overall, the 3% to 4%, 3%, 3.5% will continue to be there. And Overall, R&D spend is also around 3% of the turnover for the company, IPCA and Unichem put together, consolidated number. So more or less, it will remain. Once our biotech end of the current

financial year. Thereafter, once we start producing the batches and then clinical work -- and then the next financial year, the overall R&D cost may go up to around 4.5%, 4.25% here.

See, I just wanted just a few short questions and probably short answers as well. See, the PAT to how do we compare with domestic

50. Regarding the PAT, what is

the percentage of domestic PAT and what is the percentage of international PAT, profit after tax. We don't divide that way, but we monitor the overall gross margin

we had better gross margins in ROW market

gross margin-wise is the

Then comes the business

in which we do in Europe, Australia, New Zealand and Canada. Gross

margin, thereafter, I think South Africa are lower and U.K. also, gross margins are lower. And overall, we have highest gross margin or ROW branded. Next is we

have domestic formulation. And we have good overall margins in Generics also.

Sir, regarding the domestic formulations, in fact, I was referring to only the last quarter's anti-inflammatories or NSAIDs, which is presumably

rated. Don't you think that there is overall dependence on one product? Or is it -- is the company planning to also develop some products which could probably give a balance?

A.K. Jain Let's say, pain management constitute of

management. So pain management has 2 segments. One is rheumatoid arthritis and osteoarthritis. And rheumatoid arthritis consists of a large number of products. And have disease-modifying agents that are marketed.

They are more chronic than even cardiovasculars, but they are classified as acute. And rheumatoid arthritis, we have very strong leadership. We have more than 60% market share. In every product we

management group. So it's not overdependent. Every product has leadership in your segment where we have a good number of products marketing for rheumatoid arthritis.

As far as your osteo

brand is there. And

there, which is like a brand which is for etodolac and other drugs and some all marketing brand name of Pacimol and there are other brands are there. So

significant market share. So it's not only one product which has confronted. Zerodol is not the only product in pain management. So, it's completely --

Arun: Just one more question if you can allow me. Have the revenues of the value to the exclusivity started churning? Does it come into the have approvals of lamotrigine, etodolac, alendronate. Have these molecules started maybe in the near future?

A.K. Jain: Some of those molecules, Unichem is already marketing in U.S.

Arun: Okay. Yes.

A.K. Jain: Etodolac is IPCA

be, I think we always shipped 3 products and another 3 are in pipeline. So last will be etodolac.

Moderator: The next question is from the line of Nirali Shah

Nirali Shah: I just have 2 quick questions. First one is that on the launches. So we have been planning to launch almost around 6

therapies are we trying to

flavor on the how it will contribute our top line, any numbers, any word about number? And if not that, the market size of these products. So any thing meaningful

opportunity and data on this would be helpful.

Harish Kamath: Yes, as Mr. Jain has already explained, 3 products, we have already shipped to Unichem and it has landed in U.S. So whatever primary sales we have done, it got knocked off in consolidation because

gestation period between the time we shipped to U.S. and those products started getting marketed. So by the end of the current financial year, we should be launching about 6 products

in the U.S. market. That is what is our target. And whenever we were there in these products in IPCA Laboratories Limited November

Page 9 of 17 Let's say, pain management constitute of -- it's not NSAID only, it's completely pain management. So pain management has 2 segments. One is rheumatoid arthritis and osteoarthritis. And rheumatoid arthritis consists of a large number of products. And modifying agents that are marketed.

They are more chronic than even cardiovasculars, but they are classified as acute. And rheumatoid arthritis, we have very strong leadership. We have more than 60% market share. In every product we market, we have market leadership. So that is also clubbed with pain management group. So it's not overdependent. Every product has leadership in your segment where we have a good number of products marketing for rheumatoid arthritis.

As far as your osteoarthritis and those segments are concerned, yes, Zerodol is brand is there. And -- but apart from that also, we have a good number of other brands

are

there, which is like a brand which is for etodolac and other drugs and some all marketing brand name of Pacimol and there are other brands are there. So -- and they also have a significant market share. So it's not only one product which has confronted. Zerodol is not the only product in pain management. So, it's completely -- risk is divided here.

Just one more question if you can allow me. Have the revenues of the value to the exclusivity started churning? Does it come into the IPCA or it -- does it go to the Unichem? Because we have approvals of lamotrigine, etodolac, alendronate, risperidone and levocetirizine and all. Have these molecules started -- generics started yielding revenue? Or will it come maybe in the near future?

Some of those molecules, Unichem is already marketing in U.S.

IPCA products and that will be launched, I think maybe end of the year. So it may be, I think we always shipped 3 products and another 3 are in pipeline. So last will be etodolac.

The next question is from the line of Nirali Shah from Ashoka Stock Broking

I just have 2 quick questions. First one is that on the launches. So we have been planning to launch almost around 6 -- 5 to 6 products in FY '25. So if any color on these products, what therapies are we trying to target or geographies are we trying to target? If you could give some flavor on the how it will contribute our top line, any numbers, any word about number? And if not that, the market size of these products. So any thing meaningful -- or any meaningful opportunity and data on this would be helpful.

Yes, as Mr. Jain has already explained, 3 products, we have already shipped to Unichem and it has landed in U.S. So whatever primary sales we have done, it got knocked off in consolidation because that product is not moved to the market. So there will be always a gestation period between the time we shipped to U.S. and those products started getting marketed. So by the end of the current financial year, we should be launching about 6 products in U.S. market. That is what is our target. And whenever we were there in these products in IPCA Laboratories Limited November 14, 2024

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osteoarthritis. And rheumatoid arthritis consists of a large number of products. And there, we They are more chronic than even cardiovasculars, but they are classified as acute. And rheumatoid arthritis, we have very strong leadership. We have more than 60% market share. In market, we have market leadership. So that is also clubbed with pain management group. So it's not overdependent. Every product has leadership in your segment where we have a good number of products marketing for rheumatoid arthritis. arthritis and those segments are concerned, yes, Zerodol is -- the flagship but apart from that also, we have a good number of other brands are there, which is like a brand which is for etodolac and other drugs and some all marketing in the and they also have a significant market share. So it's not only one product which has confronted. Zerodol is not the Just one more question if you can allow me. Have the revenues of the value to the exclusivity does it go to the Unichem? Because we e, risperidone and levocetirizine and all.

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the earlier time, we used to have a very good market share. But gaining market share will take some time, but we are very confident these products will do well, as i

Nirali Shah: So what kind of market share are we targeting?

Harish Kamath: For example, in U.S., maybe 10 years back, in most of these products, my market shares were anywhere between, say, 20% and in one product it was 80%.

Nirali Shah: Okay. That is helpful. And for example, from a 2 years perspective, we plan to launch around 13 to 15 products, so how are we planning now about that?

Harish Kamath: We will be shipping 6 products to Unichem US. Maybe identical number in the next financial year.

Nirali Shah: Okay. And...

Harish Kamath: Unichem itself also will be launching 5 to 6 of their new molecules in the U.S. market in the current financial year.

Nirali Shah: Understood. And my next question is what could be possible growth perspective? Which geography do we see to be contributing the highest and followed by basically, my question is what could be our possible growth drivers in terms of geography?

Harish Kamath: Practically, IPCA

IPCA products being sold in the U.S. market going forward in the next 3 to 5 years. Similarly, one more opportunity will come. We will be taking Unichem products in all other markets where earlier the

Zealand, Canada, So Unichem will also benefit out of that. So as an entity see a very good growth going forward in the generic formulation business.

Nirali Shah: Understood. Just a last one, if I can squeeze in. On the supply chain issues. So are we still facing any disruptions that persisted in Australia and New Zealand?

Harish Kamath: Nothing as such. No issues. Problem was there in the second half of the last financial non-availability of one material, which we already bought in the current financial year. And the business has already started. So as we speak, there is no problem as far as material issues. There is no issue.

Moderator: The next question is

Kunal Dhamesha: On this U.S. business arrangement that the U.S. business or the by Unichem. Will there be any transfer pricing between here where profitability given our stake in Unichem is around 70%. So how the economics basically work out for us when we sell our product through Unichem?

Harish Kamath: Kunal, if you recollect, whenever we were earlier there in the U.S. market, it was only similar line, correct? Our products were marketed by other marketing partners on a profit IPCA Laboratories Limited

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Page 10 of 17 the earlier time, we used to have a very good market share. But gaining market share will take some time, but we are very confident these products will do well, as it was earlier doing.

So what kind of market share are we targeting?

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Understood. And my next question is what could be possible growth drivers from a 3 perspective? Which

geography do we see to be contributing the highest and followed by basically, my question is what could be our possible growth drivers in terms of geography?

IPCA sales in U.S. today is currently 0. So you will see a very good growth in products being sold in the U.S. market going forward in the next 3 to 5 years. Similarly, one more opportunity will come. We will be taking Unichem products in all other markets where earlier they were not marketing, like ROW market, whole of Europe, Australia, New Zealand, Canada. So Unichem will also benefit out of that. So as an entity see a very good growth going forward in the generic formulation business.

Good. Just a last one, if I can squeeze in. On the supply chain issues. So are we still facing any disruptions that persisted in Australia and New Zealand?

Nothing as such. No issues. Problem was there in the second half of the last financial year, availability of one material, which we already bought in the current financial year. And the business has already started. So as we speak, there is no problem as far as material issues. There is no issue.

The next question is from the line of Kunal Dhamesha from Macquarie.

On this U.S. business arrangement that the U.S. business or the IPCA U.S. product will be sold by Unichem. Will there be any transfer pricing between here where IPCA will account for some equity given our stake in Unichem is around 70%. So how the economics basically work out for us when we sell our product through Unichem?

Kunal, if you recollect, whenever we were earlier there in the U.S. market, it was only similar right? Our products were marketed by other marketing partners on a profit sharing basis. IPCA Laboratories Limited November 14, 2024

the earlier time, we used to have a very good market share. But gaining market share will take time as it was earlier doing.

For example, in U.S., maybe 10 years back, in most of these products, my market shares were

Okay. That is helpful. And for example, from a 2 years perspective, we plan to launch around

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basically, my question is what could be our possible growth drivers in terms of geography?

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the business has already started. So as we speak, there is no problem as far as material-related U.S. product will be sold

will account for some

equity given our stake in Unichem is around 70%. So how the economics basically work

Kunal, if you recollect, whenever we were earlier there in the U.S. market, it was only similar right? Our products were marketed by other marketing partners on a profit-sharing

arrangement. So similar way, Unichem operation will be done. So we will sell our products to Unichem US. There will be a margin in our sales. And at US level, there will be profit sharing arrangement also, both. And most of these products are also backed by my own API, so there will be some benefit out of API manufacturing also.

Kunal Dhamesha: Sure, sir. Understood. And on the generic business revenue, Jain sir told that the gro

guidance

of around 12%. Is that for the remaining part of the year? How should we think about it?

Harish Kamath: Yes, for the second half of the current financial year. But overall, including the first half and second half, the generic business should

Kunal Dhamesha: Sir, for generic business, first half is only 2% growth, right? So then...

Harish Kamath: I understand because the shipment of remaining as a stock in Unichem on hand, it has got knocked off in the consolidated business. I'm talking here consolidated business, not stand

Kunal Dhamesha: Correct. So probably business is that the way to understand? You would have signed maybe 1 quarter inventory.

Harish Kamath: Yes, yes, that is right, yes.

Kunal Dhamesha: Okay, okay, okay. And sir, just one on the India business. What's the current sales force in the India business. And after addition, how is the productivity coming along for the India business in terms of sales force?

Harish Kamath: We currently have about 7,000 medical reps in the field. And whatever guidance we have earlier, all the additional people are contributing in the same way what we initially thought. There is no issue absolutely. So they will become productive division years.

Kunal Dhamesha: 2 to 3 years.

Harish Kamath: Some divisions, productivity will be faster than the other divisions like cardiac and all. So as per our plan, everything is moving. There is no issue.

Kunal Dhamesha: Okay. Got it.

A.K. Jain And, Kunal, if you look at around 4.62 lakh for the first half of the current year compared to 4.36 lakhs in the last financial year same. So overall, there is a good improvement in overall productivity in spite of addition of the people.

Moderator: The next question is from the line of Zain from Dol at Capital.

Zain: Just wanted to ask a question against institutional business, can you repeat the guidance for the business for FY '25? IPCA Laboratories Limited
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Page 11 of 17 arrangement. So similar way, Unichem operation will be done. So we will sell our products to Unichem US. There will be a margin in our sales. And at US level, there will be profit sharing arrangement also, both. And most of these products are also backed by my own API, so there will be some benefit out of API manufacturing also.

Sure, sir. Understood. And on the generic business revenue, Jain sir told that the growth guidance of around 12%. Is that for the remaining part of the year? How should we think about it? Yes, for the second half of the current financial year. But overall, including the first half and second half, the generic business should grow anywhere between 10% to 12%.

Sir, for generic business, first half is only 2% growth, right? So then...

I understand because the shipment of IPCA did to Unichem US. So because it was still remaining as a stock in Unichem on hand, it has got knocked off in the consolidated business. I'm talking here consolidated business, not stand-alone.

Correct. So probably INR30 crores -- or INR60 crores additional, and then there is a base business is that the way to understand? You would have signed maybe 1 quarter inventory.

Yes, yes, that is right, yes.

Okay, okay, okay. And sir, just one on the India business. What's the current sales force in the India business. And after addition, how is the productivity coming along for the India business in terms of sales force?

We currently have about 7,000 medical reps in the field. And whatever guidance we have earlier, all the additional people are contributing in the same way what we initially thought. There is no issue absolutely. So they will become productive division-wise between 2 to 3 years, productivity will be faster than the other divisions like cardiac and all. So as per our plan, everything is moving. There is no issue.

And, Kunal, if you look at around 4.62 lakh for the first half of the current year compared to 4.36 lakhs in the last financial year same. So overall, there is a good improvement in overall productivity in spite of addition of the people.

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4.36 lakhs in the last financial year same. So overall, there is a good improvement in overall
question against institutional business, can you repeat the guidance for the

Harish Kamath: Which one? I think you're not

Zain: Am I audible now?

Harish Kamath: Yes, you are audible now.

Zain: So I was asking, sir, about institutional business guidance for FY '25.

Harish Kamath: See, we have earlier also explained this institutional business consists only of antimalarial
formulations. So this business will fluctuate anywhere between
crores going forward. I'm talking annual business.

Zain: Okay. And sir, for India business guidance for '25?

Harish Kamath: So whatever guidance we gave in the beginning of the year, anywhere between 11% to 12%,
we stand by that. The

Moderator: The next question is from the line of Tushar Manudhane from Motilal Oswal Financial
Services.

Tushar Manudhane: Sir, just with the earlier comment of the pecking order of the gross margin. So just a
clarification, so even at the
higher than domestic formulation?

Harish Kamath: Yes, yes. Even at EBITDA level.

Tushar Manudhane: Okay. Sir, secondly, with respect to relaunches of the products from
Unichem products basically, so it seems it's almost about now 8, 9 years. So the price erosion
in the products which we are supposed to launch, like compared to what we were there in
2013, '14, what kind of price decline would have happened in those products
ones which we are going to relaunch?

Harish Kamath: We don't see any price decline in them.

Tushar Manudhane: So price decline there, there is no price difference.

Harish Kamath: Better than what it was when we were there in the market

Tushar Manudhane: Interesting. I mean, was it because that people have
of reduced the competition? Or if you could throw some light?

Harish Kamath: In these products, we were having a very big market
prices increased. They have moderated, of course, subsequently. But still it is now better than
what it was 10 years back.

Tushar Manudhane: Got you. So considering these launches and subsequently in FY '26. So specifically Unichem
- specifically

share. IPCA Laboratories Limited

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Page 12 of 17 Which one? I think you're not -- your voice is breaking. Hello?

Am I audible now?

Yes, you are audible now. Yes.

So I was asking, sir, about institutional business guidance for FY '25.

See, we have earlier also explained this institu

tional business consists only of antimalarial
formulations. So this business will fluctuate anywhere between INR 300 crores to
crores going forward. I'm talking annual business.

Okay. And sir, for India business guidance for '25?

So whatever guidance we gave in the beginning of the year, anywhere between 11% to 12%,
we stand by that. There is no problem.

The next question is from the line of Tushar Manudhane from Motilal Oswal Financial

Sir, just with the earlier comment of the pecking order of the gross margin. So just a
clarification, so even at the EBITDA margin level, would be ROW- branded generics would be

higher than domestic formulation?

Yes, yes. Even at EBITDA level.

Okay. Sir, secondly, with respect to relaunches of the products from IPCA's plant, excluding Unichem products basically, so it seems it's almost about now 8, 9 years. So the price erosion in the products which we are supposed to launch, like compared to what we were there in 2013, '14, what kind of price decline would have happened in those products ones which we are going to relaunch?

We don't see any price decline in them.

So price decline there, there is no price difference.

Better than what it was when we were there in the market 10 years back.

Interesting. I mean, was it because that people have -- I mean, the companies have exited, sort of reduced the competition? Or if you could throw some light?

In these products, we were having a very big market share. The moment we went out, the prices increased. They have moderated, of course, subsequently. But still it is now better than what it was 10 years back.

Got you. So considering these launches and subsequently in FY '26. So specifically Unichem specifically IPCA ex Unichem, what kind of U.S. sales one can expect in FY '26, if you can IPCA Laboratories Limited November 14, 2024

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Got you. So considering these launches and subsequently in FY '26. So specifically Unichem - ex Unichem, what kind of U.S. sales one can expect in FY '26, if you can

Harish Kamath: It is too early to give the combined sales of

financial year. As we progress, maybe in the subsequent con call, we will give the guidance.

But whatever we said in the beginning of the year, our plan of launching 6 to 7 molecules in the U.S. in the current financial

Tushar Manudhane: And sir, lastly, on generics exports business, again. Like the first half numbers look lower. But in the base of second half FY '24 is also low. So that way then, will enough number because even if I go by the run rate of what we have done in 2Q, the growth will be really strong in second half FY '23.

Harish Kamath: I agree, but everything ultimately depends on what kind of market. See, the U.S. business, what we see, the market share improvement will be gradual. So it is very difficult to comment how much market share we will get in the immediate financial year for the products which are already launched. So all that permutation combination and question marks are already there.

That is why, we will do fair guidance in the

latter half of the current financial year, maybe in

the fourth quarter con call, what we are expecting in the next financial year as far as the U.S.

business is concerned. Current year, our generic business should be anywhere between 12% to 15%. That is what is the guidance.

Tushar Manudhane: Even sir -- even if you go by the generics exports for the current quarter run rate when your U.S. product launches will be strong for second half of FY '22.

Harish Kamath: There are challenges. As Mr. Jain has already said in the South Africa, where we lost certain tender products and in the U.K. market. Considerin

If the situation improves, we may do better than what we are committing. Because in the last year, second half, there was very good business from South Africa market. which looks today difficult.

Moderator: The next question is from the line of Arun from FPL.

Arun: So just trying to understand the protocol, orange book for possible? Or is it being done...

Harish Kamath: It is possible. Earlier also, whatever products which were approved in our name, they were

getting marketed by other marketing partners. Every company does that, and it is the practice in the U.S. market.

Arun: In fact, I was thinking that products is the key. Correct?

Harish Kamath: Yes, yes. Manufacturing has to be from the site from where the product has got approval in the -- by US FDA. That is the only requirement. IPCA Laboratories Limited
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Page 13 of 17 It is too early to give the combined sales of IPCA plus Unichem as a group in the next financial year. As we progress, maybe in the subsequent con call, we will give the guidance.

But whatever we said in the beginning of the year, our plan of launching 6 to 7 molecules in the U.S. in the current financial year, that is progressing as we anticipated.

And sir, lastly, on generics exports business, again. Like the first half numbers look lower. But in the base of second half FY '24 is also low. So that way then, will -- 12% will be still a enough number because even if I go by the run rate of what we have done in 2Q, the growth will be really strong in second half FY '23.

I agree, but everything ultimately depends on what kind of market. See, the U.S. business, e, the market share improvement will be gradual. So it is very difficult to comment how much market share we will get in the immediate -- in the second half of the current financial year for the products which are already launched. So all that permutation combination and question marks are already there.

That is why, we will do fair guidance in the latter half of the current financial year, maybe in the fourth quarter con call, what we are expecting in the next financial year as far as the U.S. concerned. Current year, our generic business should be anywhere between 12% to 15%. That is what is the guidance.

even if you go by the generics exports for the current quarter run rate when your U.S. product launches will be additional over and above this, still the numbers look quite strong for second half of FY '22.

There are challenges. As Mr. Jain has already said in the South Africa, where we lost certain tender products and in the U.K. market. Considering all that, we are giving a muted guidance. If the situation improves, we may do better than what we are committing. Because in the last year, second half, there was very good business from South Africa market. which looks today ext question is from the line of Arun from FPL.

So just trying to understand the protocol, see, if a product that is approved by the FDA in the orange book for IPCA, still, it can be better for marketing and distribution by Unichem. Is it Or is it being done...

It is possible. Earlier also, whatever products which were approved in our name, they were getting marketed by other marketing partners. Every company does that, and it is the practice in the U.S. market.

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at products -- so that means only the manufacturing is the one, which is the key. Correct?

Yes, yes. Manufacturing has to be from the site from where the product has got approval in the by US FDA. That is the only requirement. Marketing can be done by any other company. IPCA Laboratories Limited
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plus Unichem as a group in the next

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I agree, but everything ultimately depends on what kind of market. See, the U.S. business, e, the market share improvement will be gradual. So it is very difficult to comment in the second half of the current

financial year for the products which are already launched. So all that permutation

That is why, we will do fair guidance in the latter half of the current financial year, maybe in the fourth quarter con call, what we are expecting in the next financial year as far as the U.S. concerned. Current year, our generic business should be anywhere between 12% to

even if you go by the generics exports for the current quarter run rate when your e additional over and above this, still the numbers look quite

There are challenges. As Mr. Jain has already said in the South Africa, where we lost certain g all that, we are giving a muted guidance.

If the situation improves, we may do better than what we are committing. Because in the last year, second half, there was very good business from South Africa market. which looks today

ee, if a product that is approved by the FDA in the

, still, it can be better for marketing and distribution by Unichem. Is it

It is possible. Earlier also, whatever products which were approved in our name, they were getting marketed by other marketing partners. Every company does that, and it is the practice so that means only the manufacturing is the one, which
Yes, yes. Manufacturing has to be from the site from where the product has got approval in the
revenue. Marketing can be done by any other company.

Arun: As far as IPCA
approvals, correct? The other...

Harish Kamath: Formulation facilities, Silvassa and Indore. And AP I facility, Ratlam.

Arun: Ratlam, okay. Is there any move

Harish Kamath: Purely for domestic market. From Kandla, we also cater to all other markets other than U.S.
Europe, Australia and all, we're catering from Kandla. It is a better FM facility.

Arun: And we are satisfied

Harish Kamath: Yes, yes. We have nothing outstanding as far as US FDA matter is concerned.

Moderator: The next question is from the line of Kunal Dhamesha from Macquarie

Kunal Dhamesha: Sir, just one clarification. You said that the mix business guidance would include our U.S.
revenue, which we have supplied. But then doesn't that U.S. revenue will go through a
subsidiary, which is Unichem?

Harish Kamath: Was, but ultimately, it will get consolidated in my account because Unichem also is my
subsidiary.

Kunal Dhamesha: Sir, but then like
are guiding for 12%, and then we might end up our doing double counting.

Harish Kamath: That 2% growth was stand-alone IPCA, and guidance is for consolidated business. Ultimately,
everybody will see consolidated business. For example, stand-alone business, I have done
some sales from IPCA through Unichem, which is booked in my books. But that material just

to reach the U.S. and it has not gone to customer. In the consolidated, it is knocked off. So
consolidated is more important than stand-alone. So as far as generic business is concerned,
better let us go by consolidated guidelines.

Kunal Dhamesha: Okay. So sir, would you -- at some point, will you change our segment reporting so that it
helps us understand the businesses better? Because I think Europe is also now sizable business
for us, right?

Harish Kamath: See, Kunal, what has happened, actually, the issue is confusion. We took over Unichem in the
last financial year in the month of August. Anything we talk today is not comparable apple
apple. Because last

year, consolidation of Unichem started in our books
say, from September. So last year, consolidation of Unichem was there only for 1 month and a
few days. Whereas currently, it is there for all 6 months. So in the next financial year, the
apple-to-apple comparison will become clear
consolidated guidelines as far as the generic business is concerned.

Kunal Dhamesha: In our consolidated top line growth guidance for this year is around 9%. Is that correct?

A.K. Jain Yes. IPCA Laboratories Limited
November

Page 14 of 17 IPCA is concerned, we have only Silvassa and Indore, which have the U.S.
approvals, correct? The other...

Formulation facilities, Silvassa and Indore. And AP I facility, Ratlam.

Ratlam, okay. Is there any move to make Kandla, Dehradun, Sikkim and all?

Purely for domestic market. From Kandla, we also cater to all other markets other than U.S.
Europe, Australia and all, we're catering from Kandla. It is a better FM facility.

And we are satisfied with all the observations of US FDA, correct?

Yes, yes. We have nothing outstanding as far as US FDA matter is concerned.

The next question is from the line of Kunal Dhamesha from Macquarie.

Sir, just one clarification. You said that the mix business guidance would include our U.S.
revenue, which we have supplied. But then doesn't that U.S. revenue will go through a
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Sir, but then like -to-like there is a confusion, right? The generic business has grown at 2%. We
are guiding for 12%, and then we might end up our doing double counting.

That 2% growth was stand-alone IPCA, and guidance is for consolidated business. Ultimately,
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some sales from IPCA through Unichem, which is booked in my books. But that material just
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Purely for domestic market. From Kandla, we also cater to all other markets other than U.S. better FM facility.

Yes, yes. We have nothing outstanding as far as US FDA matter is concerned.

Sir, just one clarification. You said that the mix business guidance would include our U.S. revenue, which we have supplied. But then doesn't that U.S. revenue will go through a ultimately, it will get consolidated in my account because Unichem also is my like there is a confusion, right? The generic business has grown at 2%. We, and guidance is for consolidated business. Ultimately, alone business, I have done which is booked in my books. But that material just to reach the U.S. and it has not gone to customer. In the consolidated, it is knocked off. So alone. So as

far as generic business is concerned, at some point, will you change our segment reporting so that it helps us understand the businesses better? Because I think Europe is also now sizable business. See, Kunal, what has happened, actually, the issue is confusion. We took over Unichem in the last financial year in the month of August. Anything we talk today is not comparable apple-to-apple only from the month, say, from September. So last year, consolidation of Unichem was there only for 1 month and a few days. Whereas currently, it is there for all 6 months. So in the next financial year, the er, and we will be giving guidance market-wise. In our consolidated top line growth guidance for this year is around 9%. Is that correct?

Harish Kamath: Yes.

Kunal Dhamesha: All the business included.

Harish Kamath: Correct. Right.

Moderator: The next question is from the line of Harshit Dhoot from Dymon Asia.

Harshit Dhoot: My next question is on the order expenses. We have the tender business, in which gross margin is directly still the data is a bit higher to see the way the business is getting ramped out. So is it fair to assume that the 27% going forward?

Harish Kamath: See, again, I said consolidated numbers are not strictly comparable because last year consolidation, Unichem numbers were there only for 1 month and few days. This year, it is for all 6 months. So financial year, everything will be comparable apple to apple. For example, in the current financial year, 6 months, my other expenses also include entire 6 in the last financial year, 6 months, it was only for one month and a few days. So you can't compare that.

Harshit Dhoot: No, see, sequential basis also, right, in the ForEx losses. Sir, I just want expenses going forward. So I just wanted to understand how this operating leverage benefit will play out as we are focusing a lot on this.

Harish Kamath: You can take whatever run rate of other ex quarter figures are there. More or less, it will continue. Don't see anything about last financial year. Current financial year, first quarter, second quarter, other expenses are all exceptional expenses in that, that will continue.

Moderator: The next question is from the line of Kunal Randeria from Axis Capital.

Kunal Randeria: Sir, the October IQVIA data for India showed that the growth has slowed down to around 6%. So to your internal nu

Harish Kamath: No, we are growing as whatever we have projected and all of the year, our growth will be anywhere between 11% to 12%.

Kunal Randeria: Okay. All right. And just to kind of reconfirm, it's a broad the European franchise?

Harish Kamath: No, nothing, nothing. When they were showing 15%, 16%, 20% growth also, we are growing around 11% and 12%.

Moderator: The next question is from the line of Shiva from Purnartha Investment Advisors IPCL Laboratories Limited November

Page 15 of 17 All the business included.

Correct. Right.

The next question is from the line of Harshit Dhoot from Dymon Asia.

My next question is on the order expenses. We have the tender business, in which gross margin is directly playing to EBITDA. Our domestic productivity has increased a lot. Then still the data is a bit higher to see the way the business is getting ramped out. So is it fair to assume that the 27% -- I'm talking about a consolidated level, is 27% of her expenses will continue going forward?

See, again, I said consolidated numbers are not strictly comparable because last year consolidation, Unichem numbers were there only for 1 month and few days. This year, it is for all 6 months. So that confusion will be there in the current financial year. From the next financial year, everything will be comparable apple to apple. For example, in the current financial year, 6 months, my other expenses also include entire 6-month expenses of Unichem. Whereas in the last financial year, 6 months, it was only for one month and a few days. So

you can't

compare that.

No, see, sequential basis also, right, INR574 crores to INR637 crores. INR 637 crore in the ForEx losses. Sir, I just want to understand the generics for the SG&A for the other expenses going forward. So I just wanted to understand how this operating leverage benefit will play out as we are focusing a lot on this.

You can take whatever run rate of other expenses in the consolidated first quarter and second quarter figures are there. More or less, it will continue. Don't see anything about last financial year. Current financial year, first quarter, second quarter, other expenses are all similar expenses in that, that will continue.

The next question is from the line of Kunal Randeria from Axis Capital.

Sir, the October IQVIA data for India showed that the growth has slowed down to around 6%. So to your internal number also shows a slowdown?

No, we are growing as whatever we have projected and all of the year, our growth will be anywhere between 11% to 12%.

Okay. All right. And just to kind of reconfirm, it's a broad-based growth, right the European franchise?

No, nothing, nothing. When they were showing 15%, 16%, 20% growth also, we are growing around 11% and 12%.

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No, we are growing as whatever we have projected and all of the year, our growth will be based growth, right, and not just at

No, nothing, nothing. When they were showing 15%, 16%, 20% growth also, we are growing ours.

Shiv: My first question is with respect to the U.S. thing. Earlier, when we were in 2013, 2014, '15.

What was our total revenue in U.S. at that time? And if you could split between what was the formulations and API? And what was the profitability at that time

Harish Kamath: Our total U.S. business at that time was around

crores, INR 160 crores API business. And in both formulation and API business, including the share of profit, we had a very good EBITDA margin.

Shiv: Okay. So it was comparable to the ROE as well, the rest of the market was in the top.

Harish Kamath: Yes, yes, yes.

Shiv: Okay, okay. Great. And the second is with respect to your other businesses. Obviously, it's like somewhere around

and you are seeing some progress. Over the last few quarters, it's been

INR 80 crores subsidiaries revenue and earlier, it was slightly higher. If you could just throw some light what is

your subsidiaries revenue? This is excluding Unichem.

Harish Kamath: Subsidiaries, one is Trophic Wellness, which is doing reasonably well around 10%, 12% top line growth and maybe

15%

nutraceutical business. Then other subsidiary is Onyx Scientific, which is into CRAMS business, and it is based out of U.K. There also the business is steady. This year, they have a certain issue about sustain their operation.

Only subsidiary which is now not delivering, which going forward should do better is, Pishah, which is out of U.S. They are also partly into CRAMS and partly manufacturing for the U.S. and other markets, where certain projects are going off. So these are our operating subsidiaries. Apart from that, we recently started marketing our own products in the U.K. market through our own subsidiary which are into business.

Moderator: The next question is from the line of

Zain: Sir, just one question from my side. Sir, generic business guidance, excluding Unichem is, for FY '25?

Harish Kamath: Excluding Unichem, So it will be around maybe 8% or so.

Zain: For the full year?

Harish Kamath: Yes, IPCA stand

Moderator: Thank you very much. As there are no further questions, I would now like to hand the conference over to the IPCA Laboratories Limited

November

Page 16 of 17 My first question is with respect to the U.S. thing. Earlier, when we were in 2013, 2014, '15.

What was our total revenue in U.S. at that time? And if you could split between what was the formulations and API? And what was the profitability at that time?

Our total U.S. business at that time was around INR 400 crores, including about 160 crores API business. And in both formulation and API business, including the share of profit, we had a very good EBITDA margin.

Okay. So it was comparable to the ROE as well, the rest of the market was in the top.

Yes, yes, yes.

Okay, okay. Great. And the second is with respect to your other businesses. Obviously, it's like somewhere around INR 80 crores. Obviously, you said last time that you were working on that

and you are seeing some progress. Over the last few quarters, it's been INR

80 crores subsidiaries revenue and earlier, it was slightly higher. If you could just throw some light what is -- how is the progress over there? And going ahead, how do you look at

your subsidiaries revenue? This is excluding Unichem.

Subsidiaries, one is Trophic Wellness, which is doing reasonably well around 10%, 12% top line growth and maybe 15%, 20% bottom line growth. Trophic Wellness which is into nutraceutical business. Then other subsidiary is Onyx Scientific, which is into CRAMS business, and it is based out of U.K. There also the business is steady. This year, they have a certain issue about discretionary spending coming down in the market. But still, they will sustain their operation.

Only subsidiary which is now not delivering, which going forward should do better is, Pishah, which is out of U.S. They are also partly into CRAMS and partly into small manufacturing for the U.S. and other markets, where certain projects are going off. So these are our operating subsidiaries. Apart from that, we recently started marketing our own products in the U.K. market through our own subsidiary, IPCA U.K. So these are major subsidiaries, which are into business.

The next question is from the line of Zain from Dolat Capital.

Sir, just one question from my side. Sir, generic business guidance, excluding Unichem is, for Excluding Unichem, So it will be around maybe 8% or so.

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Thank you very much. As there are no further questions, I would now like to hand the conference over to the management for closing comments. IPCA Laboratories Limited

November 14, 2024

My first question is with respect to the U.S. thing . Earlier, when we were in 2013, 2014, '15. What was our total revenue in U.S. at that time? And if you could split between what was the 400 crores, including about INR150 160 crores API business. And in both formulation and API business, including the Okay. So it was comparable to the ROE

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U.K. So these are major subsidiaries,

Sir, just one question from my side. Sir, generic business guidance, excluding Unichem is, for

Thank you very much. As there are no further questions, I would now like to hand the

Harish Kamath: No, nothing. Nothing from our side. If there are no further questions, I think we can close this con call. And thanks all the participants for attending this con call organized by DAM Capital.

Thank you all.

Moderator: Sure, sir. Thank you so much. On behalf of DAM Capital Advisors Limited, that concludes this conference. Thank you for joining us, and you may now disconnect your lines.

Harish Kamath: Thank you all. IPCA Laboratories Limited

November

Page 17 of 17 No, nothing. Nothing from our side. If there are no further questions, I think we can close this con call. And thanks all the participants for attending this con call organized by DAM Capital.

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November 14, 2024

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Call: Feb 2025

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February 18, 2025

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Scrip Code – 524494 National Stock Exchange India Limited,

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Mumbai-400051.

Scrip Code : IPCALAB

Dear Sirs,

Pursuant to Regulation 30 of the Securities and Exchange Board of India (Listing Obligations and Disclosure Requirements) Regulations, 2015, we are enclosing herewith transcript of our Conference Call which was held on Thursday, 13th February, 2025 to discuss the Company's Q3 FY25 earnings and business update..

Thanking you

Yours faithfully

For Ipca Laboratories Limited

Harish P. Kamath

Corporate Counsel & Company Secretary

Encl: a/a

"Ipca

Q3 FY25

February 13

MANAGEMENT : M R. AJIT

LABORATORIES

MR. HARISH

COMPANY

LIMITED

MODERATOR : M R. NITIN

LIMITED

Page 1 of 19 Ipca Laboratories Limited

Earnings Conference Call"

February 13, 2025

JIT KUMAR JAIN– MANAGING DIRECTOR

LABORATORIES LIMITED

HARISH KAMATH – CORPORATE COUNSEL AND

COMPANY SECRETARY – IPCA LABORATORIES

LIMITED

NITIN AGARWAL – DAM CAPITAL ADVISORS

LIMITED

DIRECTOR – IPCA

COUNSEL AND

LABORATORIES

ADVISORS

Moderator: Ladies and gentlemen, good day and welcome to

Conference Call hosted by DAM Capital Advisors Limited.

will be in the listen

the presentation concludes. Should

signal an operator by pressing star then zero on your touchtone phone. Please note that this conference is being recorded.

I now hand the conference over to Mr.

you, and over to you, sir.

Nitin Agarwal: Thank you, Muskan. Good afternoon, everyone, and a very warm welcome to

'25 Post Results Earnings Call

we have representing

Harish Kamath, Corporate Counsel & Company Secretary

to make the opening comments and then we'll open the floor for questions. Please go ahead,

sir.

A.K. Jain: Thanks, Nitin and DAM Capital for organizing this call. Today's call and discussions and

answer given may include some forward expectations. This must be viewed in conjunction with risks that pharmaceutical business face. Our actual future financial performance may differ from what is projected and perceived. You may use your own judgment on information given during the call. The domestic formulation business has delivered around a growth of around 6% for the quarter. On MAT December '24, Ipca is ranked as 16th company as per IQVIA and its fastest growing among the top 20 players. Ipca continued to improve its market share. There is an 11 basis point improvement in market share in this particular quarter from 1.95 MAT market share at December '23 to 2.05% on MAT December current financial year. Six brands of the companies are among the top 300 brands in the country. And both on acute and chronic market segment, we are delivering better growth compared to the market. Overall pharma market in this quarter has grown by around 7.4%. IQVIA is tracking our growth at 11.4%. On acute segment, market has grown by around 6%. Our growth is tracked by IQVIA as 8.7%. And on chronic segment, IPM growth is around 9.7% and in this period, we have grown by around 17.1%. Overall, our formulation business has delivered a growth of around 6% for the quarter and API business has also delivered a growth of around 12% for the quarter. If you look at our standalone Q3 FY '25 EBITDA margin, it is at around 24.25% as against 18.52% in Q3 FY '24. There is an improvement of almost around 5.73%. If you look at 9 months basis, we have delivered an EBITDA of around 23.14% as against previous year 9 months of around 19.55%. Ipca Laboratories Limited February 13, 2025

Page 2 of 19 Ladies and gentlemen, good day and welcome to Ipca Laboratories Q3 FY '25 Earnings Conference Call hosted by DAM Capital Advisors Limited. As a reminder, all participant lines will be in the listen-only mode and there will be an opportunity for you to ask questions after the presentation concludes. Should you need assistance during the conference call, please signal an operator by pressing star then zero on your touchtone phone. Please note that this conference is being recorded. I now hand the conference over to Mr. Nitin Agarwal from DAM Capital Advisors. you, and over to you, sir. Thank you, Muskan. Good afternoon, everyone, and a very warm welcome to Post Results Earnings Call hosted

by DAM Capital Advisors Limited. On the call today, we have representing Ipca Lab management, Mr. Ajit Kumar Jain, Managing Director and Mr. Kamath, Corporate Counsel & Company Secretary. I will hand over the call to Mr. Jain to make the opening comments and then we'll open the floor for questions. Please go ahead, Thanks, Nitin and DAM Capital for organizing this call. Today's call and discussions and answer given may include some forward-looking statements based on our current business expectations. This must be viewed in conjunction with risks that pharmaceutical business face. Our actual future financial performance may differ from what is projected and perceived. You may use your own judgment on information given during the call. The domestic formulation business has delivered around -- a growth of around 6% for the quarter. On MAT December '24, Ipca is ranked as 16th company as per IQVIA and its fastest growing among the top 20 players. Ipca continued to improve its market share. There is an 11 basis point improvement in market share in this particular quarter from 1.95 MAT market share at December '23 to 2.05% on MAT December current financial year. Six brands of the companies are among the top 300 brands in the country. And both on acute and chronic market segment, we are delivering better growth compared to the market. Overall pharma market in this quarter has grown by around 7.4%. IQVIA is tracking our growth at 11.4%. On acute segment, market has grown by around 6%. Our growth is tracked by IQVIA as 8.7%. And on chronic segment, IPM growth is around 9.7% and in this period, we have grown by around 17.1%. Overall, our formulation business has delivered a growth of around 6% for the quarter and API business has also delivered a growth of around 12% for the quarter. If you look at our standalone Q3 FY '25 EBITDA margin, it is at around 24.25% as against 18.52% in Q3 FY '24. There is an improvement of almost around 5.73%. If you look at 9 months basis, we have delivered an EBITDA of around 23.14% as against previous year 9 months of around 19.55%. Laboratories Limited February 13, 2025

Laboratories Q3 FY '25 Earnings
As a reminder, all participant lines will be in the listen-only mode and there will be an opportunity for you to ask questions after the presentation concludes. Should you need assistance during the conference call, please signal an operator by pressing star then zero on your touchtone phone. Please note that this conference is being recorded. I now hand the conference over to Mr. Nitin Agarwal from DAM Capital Advisors. Thank you, Muskan. Good afternoon, everyone, and a very warm welcome to Ipca Lab's Q3 FY '25 Earnings Conference Call hosted by DAM Capital Advisors Limited. On the call today,

Jain, Managing Director and Mr.

. I will hand over the call to Mr. Jain

to make the opening comments and then we'll open the floor for questions. Please go ahead,

Thanks, Nitin and DAM Capital for organizing this call. Today's call and discussions and

looking statements based on our current business

tical business face.

Our actual future financial performance may differ from what is projected and perceived. You

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is ranked as 16th company as per IQVIA and its fastest

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Six brands of the companies are among the top 300 brands in the country. And both on acute

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pharma market in this quarter has grown by around 7.4%. IQVIA is tracking our growth at

On acute segment, market has grown by around 6%. Our growth is tracked by IQVIA

and in this period, we have

Overall, our formulation business has delivered a growth of around 6% for the quarter and API

business has also delivered a growth of around 12% for the quarter. If you look at our

FY '25 EBITDA margin, it is at around 24.25% as against 18.52% in Q3 FY

If you look at 9 months basis, we have

delivered an EBITDA of around 23.14% as against previous year 9 months of around 19.55%.

There is an improvement of almost around 3.59%. And

overall guidance

around 21%, but

of around 23% to 24%.

around 19.87% as against 16.1% in Q3 FY '24. There is an improvement of around 3.77%.

And if you look at 9 months basis, it's around 19.18% as against 17.34% in the previous

financial year. There is an improvement of almost around 1.84%.

As against overall, our guidelines were around 18% for the year. As against

around 19.18%. And hopefully, 19.18% to 19.5% this is the range in which the overall

consolidated margins will

consolidated EBITDA margins are better

Having given the broad numbers, now I'll request participants to ask questions.

Moderator: Thank you very much. We will now begin the question and answer session.

is from the line of Surya Narayan Patra from PhillipCapital (India) Private Limited.

ahead.

Surya Narayan Patra: Congratulations for the good set of numbers, sir. My first question is on the gross margin, sir.

So I think the positive surprise is

And if I see this is one of the highest ever gross margin number that we have seen for the

quarter. What is driving this and how sustainable is this one, sir?

A.K. Jain: See, gross margin this period

let's say, turnover in this quarter has grown by around 10%. Material cost, there is a significant

reduction, against 10% growth, material cost has come down by around 5%. So that is the

impact.

And that impact is mainly

less pricing are more or less here and there. There is hardly any change. So it's a certain kind of

product mix improvement that is there, that has helped

another factor which has happened that last year in the same quarter, our ROW market

business was very low.

It was around

only because

in the lower. But in this particular quarter, that number has come high. So that has also added

to the -- overall to the margin because there, our margins are better, and it's

company as a whole in any business line.

So that has also helped in overall better margins in the current quarter. But there is a

significant improvement is there. If you look at each quarter by quarter, our material cost ratios

are continuously improving. If you

material cost ratio was around 28.9%, in quarter 2 it was around 29.59%. This quarter, it has

come to around 27.62%. Ipca Laboratories Limited

February

Page 3 of 19 here is an improvement of almost around 3.59%. And overall guidance for the year was

around 21%, but for whole of our financial year our EBITDA is likely to remain in the range

of around 23% to 24%. Overall, on consolidated EBITDA margin basis for Q3 FY '2

around 19.87% as against 16.1% in Q3 FY '24. There is an improvement of around 3.77%.

And if you look at 9 months basis, it's around 19.18% as against 17.34% in the previous

financial year. There is an improvement of almost a round 1.84%.
 t overall, our guidelines was around 18% for the ye ar. As ag ainst we are delivering
 .18%. And hopefully, 19.18% to 19.5% this is the ra nge in which the overall
 consolidated margins w ould remain for the current f inancial year. So both on stand
 consolidated EBITDA margins are be tter than our guidelines for FY25.
 Having given the broad numbers, now I'll request pa rticipants to ask questions.
 Thank you very much. We will now begin the question and answer session.
 is from the line of Surya Narayan Patra from Philli pCapital (India) Private Limited.
 Congratulations for the good set of numbers, sir. M y first question is on the gross margin, sir.
 So I think the positive surprise in the quarter, what we are witnessing is in the gross margins.
 And if I see this is one of the highest ever gross margin number that we have seen for the
 quarter. What is driving this and how sustainable i s this one, sir?
 See, gross margin this p articular quarter was exceptionally high mainly bec ause the overall,
 let's say, turnover in this quarter has grown by ar ound 10%. Material cost, there is a significant
 reduction, against 10% growth, material cost has co me down by around 5%. So that i

s the
 And that impact is mainly -- we don't see any kind of reduction in the material pricing. More or
 less pricing are more or less here and there. There is hardly any change. So it's a certain kind of
 product mix improvement that is there, that has he lped us with a better gross margin.
 another factor which has happened that last year in the same quarter, our ROW market
 business was very low.
 It was around INR104 crores-or- so. And this year, it has grown by almost around 50 %. It's
 only because some shipments here and there has happened in last quarter and that has resulted
 in the lower. But in this particular quarter, that number has come high. So that has also added
 overall to the margin because there, our margins ar e better, and it's
 company as a whole in any business line.
 So that has also helped in overall better margins i n the current quarter. But there is a
 significant improvement is there. If you look at ea ch quarter by quarter, our material cost ratios
 inuously improving. If yo u look at the number on a stand alone basis, in quarter 1
 material cost ratio was around 28.9%, in quarter 2 it was around 29.59%. This quarter, it has
 come to around 27.62%. Laboratories Limited
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ce for the year was
 ut for whole of our financial year our EBITDA is li kely to remain in the range
 Overall, on consolidated EBITDA margin basis for Q3 FY '2 4 is at
 around 19.87% as against 16.1% in Q3 FY '24. There is an improvement of around 3.77%.
 And if you look at 9 months basis, it's around 19.1 8% as against 17.34% in the previous
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 .18%. And hopefully, 19.18% to 19.5% this is the ra nge in which the overall
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 material cost ratio was around 28.9%, in quarter 2 it was around 29.59%. This quarter, it has

And overall, for the 9 months, it is at 28.73%. So more
 will remain around 28.73% that's the kind of broadl y around that 28% to 29% is the
 the overall. So

at 9 months versus the improvement is there in overall in the current financial year.

So it's largely

portfolio has done well, we are de

market on --

improvement.

Surya Narayan Patra: Okay. And is it fair to believe, sir, even the turn around for Unichem, that is playing role in the gross margin improvement here in the consolidated level?

A.K. Jain:

Talking about stand

they were having around 5% EBITDA margin. And now their EBITD

improved to almost around close to 12%. So that is also helping in consolidations to deliver the better margins.

Surya Narayan Patra: Okay. Sir, the second question is on the U.S. business front, sir. So could you give some color about the kind of the progress on the product launches from our portfolio, although now it has been included in the Unichem

business in Unichem. So how should one monitor the progress of our U.S. business

Unichem? Because

Unichem, sir?

A.K. Jain: As far as Ipca

around 4 products till now and almost

the stocks has gone in the current quarter and end of last quarter. So nothing meaningful has happened as far as the overall consolidated numbers are concerned.

We have made shipments from here, but

that. So that process has just started. We have started winning some kind of the bids and all. So

in the coming quarters, that will start reflecting. But right now, U.S. business doesn't have

much of impact as far as our overall business is concerned currently because hardly any meaningful number has come so far, yes.

Surya Narayan Patra: Okay. Just last one question from my side. About the institutional business, in the light of all these funding issues

that we are having which was a kind of a promising business and a futuristic business

opportunity what we're targeting through hormones, so how should one think those potential

business and the existing business in the institutional side?

A.K. Jain: As far as institutions are concerned, it's by and large, antimalarial business only. And I think in current scenario where U.S. has abruptly stopped the U.S. aids to the various programs

are still assessing their Ipca Laboratories Limited

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Page 4 of 19 And overall, for the 9 months, it is at 28.73%. So more or less, for the fourth quarter also, it will remain around 28.73% that's the kind of broadly around that 28% to 29% is the

So -- and last year, for the first 9 months, this ratio was around 32%. So if you look

at 9 months versus this, so there is almost around improvement of 3.37%. And so that

improvement is there in overall in the current financial year.

So it's largely because of better product mix and our -- overall, if you see that our chronic

portfolio has done well, we are delivering much better growth now, and we are beating the

-- continuously on chronic also. So that is also helping overall in the margin

improvement.

Okay. And is it fair to believe, sir, even the turn around for Unichem, that is

playing role in the gross margin improvement here in the consolidated level?

Talking about stand alone side, as far as Unichem is concerned, last year, around same time,

they were having around 5% EBITDA margin. And now their EBITDA margin has also

improved to almost around close to 12%. So that is also helping in consolidations to deliver the

better margins.

Okay. Sir, the second question is on the U.S. business front, sir. So could you give some color

the kind of the progress on the product launches from our portfolio, although now it has

been included in the Unichem portfolio. And now considering the integration of this U.S.

business in Unichem. So how should one monitor the progress of our U.S. business

Unichem? Because -- or in the light of that, are you going to give an upgraded guidance for

Unichem, sir?

Ipca portfolio in Unichem is concerned, let's say -- I would say that we have shipped

around 4 products till now and almost around 7 to 8 products are in pipeline. So

the stocks has gone in the current quarter and end of last quarter. So nothing meaningful has

happened as far as the overall consolidated numbers are concerned.

We have made shipments from here, but it will take some time for the market bidding and all

that. So that process has just started. We have started winning some kind of the bids and all. So

in the co

ming quarters, that will start reflecting. But right now, U.S. business doesn't have impact as far as our overall business is concerned currently because hardly any meaningful number has come so far, yes.

Okay. Just last one question from my side. About the institutional business, in the light of all these funding issues by the agencies. So how should one think about the injectable business that we are having which was a kind of a promising business and a futuristic business opportunity what we're targeting through hormonal, so how should one think those potentialness and the existing business in the institutional side?

As far as institutions are concerned, it's by and large, antimalarial business only. And I think in current scenario where U.S. has abruptly stopped the U.S. aids to the various programs are still assessing their -- the impact of that. So currently, we have not heard from any Laboratories Limited
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or less, for the fourth quarter also, it will remain around 28.73% that's the kind of broadly around that 28% to 29% is the -- what is and last year, for the first 9 months, this ratio was around 32%. So if you look is, so there is almost around improvement of 3.37%. And so that overall, if you see that our chronic livering much better growth now, and we are beating the continuously on chronic also. So that is also helping overall in the margin Okay. And is it fair to believe, sir, even the turn around for Unichem, that is also kind of

alone side, as far as Unichem is concerned, last year, around same time, A margin has also improved to almost around close to 12%. So that is also helping in consolidations to deliver the Okay. Sir, the second question is on the U.S. business front, sir. So could you give some color the kind of the progress on the product launches from our portfolio, although now it has portfolio. And now considering the integration of this U.S. business in Unichem. So how should one monitor the progress of our U.S. business in or in the light of that, are you going to give an upgraded guidance for I would say that we have shipped around 7 to 8 products are in pipeline. So -- and mostly, the stocks has gone in the current quarter and end of last quarter. So nothing meaningful has but it will take some time for the market bidding and all that. So that process has just started. We have started winning some kind of the bids and all. So in the coming quarters, that will start reflecting. But right now, U.S. business doesn't have impact as far as our overall business is concerned currently because hardly any Okay. Just last one question from my side. About the institutional business, in the light of all issues by the agencies. So how should one think about the injectable business that we are having which was a kind of a promising business and a futuristic business opportunity what we're targeting through hormonal, so how should one think those potential As far as institutions are concerned, it's by and large, antimalarial business only. And I think in current scenario where U.S. has abruptly stopped the U.S. aids to the various programs. So we the impact of that. So currently, we have not heard from any

institution any kind of cancellation of orders. But we have calculated our internal number that what kind of business on a year basis we were doing with, where U.S. aid to the concerned donor.

So that business is around difficult to say, but yes, that is the number which we have, which is relating to the U.S. aids business. And we didn't even know how much U.S. aid is giving funds to the global fund. global fund is also receiving the U.S. aid and how global fund will thereafter take up, that number is not known to us. So I will not like to comment on that. But U.S. aid to the global fund. So that is not known to me right now.

Surya Narayan Patra: Sure, sir. Thank you.

Moderator: Thank you. The

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ease go ahead.

Shiva: Firstly, congratulations on a great set of numbers, essentially with respect to the margins. My first question is with respect to generics. This quarter, there was a slight bit of weakness. Could you just say any particular reason or what was the reason behind numbers in generics?

A.K. Jain: By and large, this lower generic numbers are mainly because of South Africa. We were doing a business of around maybe a round INR 75 crores to orders are lost and all those kind of things are there.

But we are working on next

to be there in South Africa business in the next financial year. But in current financial year, that's the one reason that which has overall impacted our overall generic number.

Shiva: And with respect to Unichem, obviously, there was a steady progress and the margins have done way better than expectation. So I just wanted to understand for the next 1 year how are you looking at

during the acquisitions time. So how are you looking at Unichem's growth and margin for the next 1 year or what are the kind of the levers that have you played and what are left, if you could give more color to that?

A.K. Jain: So right now, all operations all. It's synergetic benefits and your and other developed markets and all.

basically all improvements what we could brought about in the overall in Unichem's operations and buying efficiencies we have created, that is what is reflecting in their overall margin.

And we are also asking our U.S. team to be a little more aggressive and all, and we are monitoring that part. And we see a much better business which is coming now in U.S. also. Ipca Laboratories Limited February

Page 5 of 19 institution any kind of cancellation of orders. But we have calculated our internal number that what kind of business on a year basis we were doing with, where the aids were given by the U.S. aid to the concerned donor.

So that business is around INR40 crores, yes. So how much of that will impact, right now it's difficult to say, but yes, that is the number which we have, which is relating to the U.S. aids business. And we didn't even know how much U.S. aid is giving funds to the global fund. global fund is also receiving the U.S. aid and how global fund will thereafter take up, that number is not known to us. So I will not like to comment on that. But there would be some U.S. aid to the global fund. So that is not known to me right now.

Sure, sir. Thank you.

Thank you. The next question is from the line of Shiva from Purnartha Investment Advisors Please go ahead.

Firstly, congratulations on a great set of numbers, essentially with respect to the margins. My first question is with respect to generics. This quarter, there was a slight bit of weakness. Could you just say any particular reason or what was the reason behind that kind of slightly lower numbers in generics?

By and large, this lower generic numbers are mainly because of South Africa. We were doing a business of around INR120 crores in South Africa in a year. I think this year, the number round INR40 crores-or-so. So there will be almost around INR 80 crore

75 crores to INR 80 crores kind of decline in South Africa business because of some tender orders are lost and all those kind of things are there.

But we are working on next year's plan, and there will be significant improvements are likely to be there in South Africa business in the next financial year. But in current financial year, that's the one reason that which has overall impacted our overall generic number.

And with respect to Unichem, obviously, there was a steady progress and the margins have done way better than expectation. So I just wanted to understand for the next 1 year how are you looking at -- because the margins have improved better than what we have during the acquisitions time. So how are you looking at Unichem's growth and margin for the next 1 year or what are

the kind of the levers that have you played and what are left, if you could give more color to that?

So right now, all the improvements, which is coming is basically the improvement in operations all. It's synergetic benefits and your -- extending the product range to other markets and other developed markets and all. That's a little long-term game. So right now, it is basically all improvements what we could brought about in the overall in Unichem's operations and buying efficiencies we have created, that is what is reflecting in their overall margin.

And we are also asking our U.S. team to be a little more aggressive and all, and we are monitoring that part. And we see a much better business which is coming now in U.S. also. Laboratories Limited February 13, 2025

institution any kind of cancellation of orders. But we have calculated our internal number that where the aids were given by the

, yes. So how much of that will impact, right now it's

difficult to say, but yes, that is the number which we have, which is relating to the U.S. aids business. And we didn't even know how much U.S. aid is giving funds to the global fund. So if global fund is also receiving the U.S. aid and how global fund will thereafter take up, that there would be some

Shiva from Purnartha Investment Advisors .

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By and large, this lower generic numbers are mainly because of South Africa. We were doing in South Africa in a year. I think this year, the number 80 crores kind of --

80 crores kind of decline in South Africa business because of some tender

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to be there in South Africa business in the next financial year. But in current financial year, that's the one reason that which has overall impacted our overall generic number.

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And overall, it's basically improvement in operation that has got the results

long way to go, I would say that, the margin will keep on improving as far as Unichem is concerned.

A lot of work is happening on API side. It's in work in progress because the API efficiencies are one where it will also reduce the captive

not able to sell the APIs to, let's say, the Indian market or other markets where the

the price-sensitive markets and all that is because their overall production cost is higher.

So they are most

start improving efficiencies on that and all. So that will also bring a lot of continuous

improvement. And these improvement numbers will start reflecting in the next 1 or 2 quarter because one of their

quarter somewhere.

So that will start reflecting after a quarter

coming in, filing happens from there and some

of those materials, the cost of API production will go down. So there will be continuous improvements will happen

in Unichem's operation further.

Moderator: The next question is from the line of Tushar from ahead.

Tushar: Sir, just extending your comment now with backward integration of Unichem's formulations and subsequently, chronic share increasing in India formulation business. Qualitatively, at least, if you can

one can think for FY '26?

A.K. Jain: So right now, the budget exercise is going on. So once the budget numbers are finalized and overall -- so normally, we give those kind of guidelines

quarter results. So around that time, we will give the guidelines. But I would say that the

margins are improving and will continue to improve, but the guidelines we will be able to give along with our annual

Tushar: Sir, secondly, just on the API products portfolio level, is the inventory now more or less getting normalized at industry level or we are still seeing pricing pressure?

A.K. Jain: Right now, we have not noticed any kind of pricing pressure

have moved, other solvent prices have come down. I think on the chemical side, there are

hardly any kind of movement. And intermediate side, we have seen slight improvement in few, but we have seen reduction in many more.

So overall basis, I would say this is a neutral. And I don't foresee that in next 2 quarters also,

there could be any kind of further improvements in the overall, let's say, increase in the prices.

So more or less the similar trend will continue.

Tushar: And just lastly, the effective tax rate, how much do you think about for full year '25? Ipca Laboratories Limited February

Page 6 of 19 And overall, it's basically improvement in operation that has got the results

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are one where it will also reduce the captive consumption cost and also right now, Unichem is

not able to sell the APIs to, let's say, the Indian market or other markets where the

sensitive markets and all that is because their overall production cost is higher.

So they are mostly consuming the API for their own production for U.S. and all. So once we start improving efficiencies on that and all. So that will also bring a lot of continuous improvement. And these improvement numbers will start reflecting in the next 1 or 2 quarter because one of their -- the bigger plant, which is likely to be operational maybe in the next quarter somewhere.

So that will start reflecting after a quarter -or-so once the regulatory approvals and all start coming in, filing happens from there and some kind of -- once they start captive consumptions of those materials, the cost of API production will go down. So there will be continuous improvements will happen in Unichem's operation further.

The next question is from the line of Tushar from Motilal Oswal Financial Services.

Sir, just extending your comment now with backward integration of Unichem's formulations and subsequently, chronic share increasing in India formulation business. Qualitatively, at least, if you could share, compared to FY '25 consol EBITDA margin, what kind of margins one can think for FY '26?

So right now, the budget exercise is going on. So once the budget numbers are finalized and so normally, we give those kind of guidelines along with our -- the first quarter quarter results. So around that time, we will give the guidelines. But I would say that the margins are improving and will continue to improve, but the guidelines we will be able to give along with our annual results.

Sir, secondly, just on the API products portfolio level, is the inventory now more or less getting normalized at industry level or we are still seeing pricing pressure?

Right now, we have not noticed any kind of pricing pressure. Somewhere some solvent prices have moved, other solvent prices have come down. I think on the chemical

side, there are

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And overall, it's basically improvement in operation that has got the results right now and a long way to go, I would say that, the margin will keep on improving as far as Unichem is. A lot of work is happening on API side. It's in work in progress because the API efficiencies consumption cost and also right now, Unichem is

not able to sell the APIs to, let's say, the Indian market or other markets where the -- more of sensitive markets and all that is because their overall production cost is higher.

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Oswal Financial Services. Please go

Sir, just extending your comment now with backward integration of Unichem's formulations and subsequently, chronic share increasing in India formulation business. Qualitatively, at could share, compared to FY '25 consol EBITDA margin, what kind of margins

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So overall basis, I would say this is a neutral. And I don't foresee that in next 2 quarters also, there could be any kind of further improvements in the overall, let's say, increase in the prices.

And just lastly, the effective tax rate, how much do you think about for full year '25?

A.K. Jain: Overall tax rate for us is 25%, but some kind of disallowances on CSR and also on the marketing cost and all wise, I think overall tax will remain around 27% to

Tushar: All right. Thank you. That's it.

Moderator: Thank you The next question is from the line of Nitin Agarwal from DAM Capital Advisors.

Please go ahead.

Nitin Agarwal: Sir, on the generic business, sir, can you provide an update on how have they sort of done so far in 9 months and how are you looking at it going forward?

A.K. Jain: Overall, U.K. was also very fiercely competitive market. So overall, I think U.K. numbers are muted more or less in the line with

EU numbers is

But overall, South Africa is a little down, and also Australia and New Zealand numbers are down.

Australia numbers are down mainly because of some supply chain issues on ACI, which we were using for formulations. So now that issues are resolved. So in this quarter, Australia numbers have improved, and I think overall in next quarter also those numbers will. So that's the broad reason for overall lower growth on generic side.

Nitin Agarwal: And then looking forward, is the U.K. business, how are you looking expecting a turnaround in the

business that I think is coming slower than expected

we looking at the business now, sir, when you look at

A.K. Jain: Let's say, I think second quarter was very bad. But third quarter onwards, the prices have again started improving there and business has of launches also in pipeline. So I think in U.K. numbers, we will see around 15% to 17% kind of overall growth in next financial year.

Nitin Agarwal: And sir, Europe will continue to grow at these double

A.K. Jain: Yes.

Nitin Agarwal: And then lastly, on branded formulations, what was quarter?

A.K. Jain: It's only, let's say, last quarter

because the shipment in that quarter was low. And now it has come to the normalized level. So this quarter's number is broader the other quarter.

So more or less, that impact is a onetime impact

Q3 number last year was low, so it's appearing to be high growth. But overall, on this promotional market business, we are looking for around 8% to 9% growth for the whole of the financial year. Ipca Laboratories Limited

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Page 7 of 19 Overall tax rate for us is 25%, but some kind of deductions on CSR and also on the marketing cost and all wise, I think overall tax will remain around 27% to 28% kind of thing. All right. Thank you. That's it.

The next question is from the line of Nitin Agarwal from DAM Capital Advisors.

Please go ahead.

Sir, on the generic business, sir, can you provide an update on the EU and the U.K. market?

How have they sort of done so far in 9 months and how are you looking at it going forward?

Overall, U.K. was also very fiercely competitive market. So overall, I think U.K. numbers are muted more or less in the line with what we had previous year 9 months. So it has not grown.

EU numbers is -- we had good growth in EU. So around 14%, 15% is the overall growth there.

But overall, South Africa is a little down, and also Australia and New Zealand numbers are

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were using for formulations. So now that issues are resolved. So in this quarter, Australia

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And then looking forward, is the U.K. business, how are you looking --

expecting a turnaround in the business that I think is coming slower than expected

we looking at the business now, sir, when you look at -- take a 2- year view on the business?

Let's say, I think second quarter was very bad. But third quarter onwards, the prices have again started improving there and business has started improving overall. And I think we have a lot of launches also in pipeline. So I think in U.K. numbers, we will see around 15% to 17% kind of overall growth in next financial year.

And sir, Europe will continue to grow at these double-digit growth rates?

And then lastly, on branded formulations, what was -- what drove such high growth this

It's only, let's say, last quarter -- last year on the same quarter, the number was very low

because the shipment in that quarter was low. And now it has come to the normalized level. So this quarter's number is broader -- more or less is similar to the plus/minus 5%, 7% compared to the other quarter.

So more or less, that impact is a onetime impact because the number of last quarter

Q3 number last year was low, so it's appearing to be high growth. But overall, on this promotional market business, we are looking for around 8% to 9% growth for the whole of the financial year. Laboratories Limited

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Overall tax rate for us is 25%, but some kind of disallowances on CSR and also on the 28% kind of thing.

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were using for formulations. So now that issues are resolved. So in this quarter, Australia

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expecting a turnaround in the business that I think is coming slower than expected, so how are

your year view on the business?

Let's say, I think second quarter was very bad. But third quarter onwards, the prices have again

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of launches also in pipeline. So I think in U.K. numbers, we will see around 15% to 17% kind

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because the shipment in that quarter was low. And now it has come to the normalized level. So

more or less is similar to the plus/minus 5%, 7% compared to

because the number of last quarter -- sorry,

Q3 number last year was low, so it's appearing to be high growth. But overall, on this

promotional market business, we are looking for around 8% to 9% growth for the whole of the

Nitin Agarwal: Okay. And sir, lastly...

A.K. Jain: And gross number is looking muted is also because of your depreciation of r

Nitin Agarwal: And then lastly, on the API business, sir, how should we now think about the API business going forward?

A.K. Jain: 8% to 10 % growth.

Nitin Agarwal: And sir, the newer capacities in both Dewas and all, Dewas have come through now, they are

- you start using the Dewas capacities?

A.K. Jain: Yes, Dewas capacity we have started already, yes. But capacity utilization is around 35%

40%. So it is still too

are pending. So once that happens, then capacity utilizations will pick up.

Nitin Agarwal: Okay. Thank you.

Moderator: Thank you. The next question is from

(India) Private Limited.

Surya Narayan Patra: Yes, sir. So this is an extended question about APIs. In fact, sir, API export particularly, that was one of the key earning driver also for

effectiveness there. But if I see that, okay, during the COVID period, the kind of run rate, what

we have been seeing even after 4, 5 years, we have not touched that number.

So obviously, there was the is

seen from the U.K. side, post that we have seen the return is a kind of a moderated performance

only. So if you can give some sense of what is currently

are currently the drivers? And going ahead, what should drive the growth for us?

Whether it is a new product or it is a new capacity that will drive the APIs? Could you give

some sense about the API portfolio as a whole and the export market particularly?

A.K. Jain: Let's say, on COVID period, the major

and hydroxychloroquine because they were required for COVID and that has also come with

good pricing and all. So that has given overall high numbers around that

subsequently, we have faced the problem on certain business. So that has resulted in overall

lower growth and also, we were carrying higher inventories and

intermediate pricings and all.

And pricing has slashed down to ar

So around \$50 now. So that has also resulted in overall turnover number coming lower on that

account and prices of intermediates also of those API has significantly declined.

So that has resulted i

the APIs and also on portfolio approach now all these things are of things of past, we also lost Ipca Laboratories Limited

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Page 8 of 19 kay. And sir, lastly...

And gross number is looking muted is also because of your depreciation of r o

And then lastly, on the API business, sir, how should we now think about the API business

going forward?
% growth

h.

And sir, the newer capacities in both Dewas and all, Dewas have come through now, they are you start using the Dewas capacities?

Yes, Dewas capacity we have started already, yes. But capacity utilization is around 35% 40%. So it is still too -- because a lot of regulatory approvals has yet to come and inspections are pending. So once that happens, then capacity utilizations will pick up.

Okay. Thank you.

The next question is from the line of Surya Narayan Patra from PhillipCapital (India) Private Limited. Please go ahead.

Yes, sir. So this is an extended question about APIs. In fact, sir, API export particularly, that was one of the key earning driver also for us for a longer period of time because of our cost effectiveness there. But if I see that, okay, during the COVID period, the kind of run rate, what we have been seeing even after 4, 5 years, we have not touched that number.

So obviously, there was the issues post the impurities in the couple of key APIs, what we've seen from the U.K. side, post that we have seen the re is a kind of a moderated performance only. So if you can give some sense of what is currently -- or which are the key products which currently the drivers? And going ahead, what should drive the growth for us?

Whether it is a new product or it is a new capacity that will drive the APIs? Could you give some sense about the API portfolio as a whole and the export market particularly?

Let's say, on COVID period, the major -- the API business buildup was around chloroquine and hydroxychloroquine because they were required for COVID and that has also come with good pricing and all. So that has given overall high numbers around that subsequently, we have faced the problem on certain business. So that has resulted in overall lower growth and also, we were carrying higher inventories and -- which were at higher intermediate pricings and all.

And pricing has slashed down to around from \$100 level to almost around \$40, \$50 level now.

So around \$50 now. So that has also resulted in overall turnover number coming lower on that account and prices of intermediates also of those API has significantly declined.

So that has resulted in overall lower number. And overall portfolio-wise, we are also adding the APIs and also on portfolio approach now all the things are of things of past, we also lost Laboratories Limited February 13, 2025

ouble.

And then lastly, on the API business, sir, how should we now think about the API business

And sir, the newer capacities in both Dewas and all, Dewas have come through now, they are -

Yes, Dewas capacity we have started already, yes. But capacity utilization is around 35%, because a lot of regulatory approvals has yet to come and inspections

the line of Surya Narayan Patra from PhillipCapital

Yes, sir. So this is an extended question about APIs. In fact, sir, API export particularly, that us for a longer period of time because of our cost

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issues post the impurities in the couple of key APIs, what we've

seen from the U.K. side, post that we have seen the re is a kind of a moderated performance or which are the key products which

currently the drivers? And going ahead, what should drive the growth for us?

Whether it is a new product or it is a new capacity that will drive the APIs? Could you give some sense about the API portfolio as a whole and the export market particularly?

the API business buildup was around chloroquine

and hydroxychloroquine because they were required for COVID and that has also come with good pricing and all. So that has given overall high numbers around that time. And

subsequently, we have faced the problem on certain business. So that has resulted in overall which were at higher

around from \$100 level to almost around \$40, \$50 level now.

So around \$50 now. So that has

also resulted in overall turnover number coming lower on that

account and prices of intermediates also of those API has significantly declined.

wise, we are also adding

the APIs and also on portfolio approach now all the things are of things of past, we also lost

a significant business in Iran. We were doing almost around

of business in Iran.

And today, that business is 0. So that has also resulted in overall lower

have dollars or currencies to pay and therefore, th at market, we are not able to sell anything right now. So that business has also co
Iran is no longer there with us. So that has also i mpacted overall business. And now since portfolio is also increasing and we have Ratlam cap acity, by and large, the incremental capacities will be used

Dewas capacity is available and all that will resul t in around 8% to 10% kind of overall API business increase. More specific numbers I'll be ab le to give after the quarter number, where

give the proper guidelines on that.

Surya Narayan Patra: Is the Sartans still kind of the largest product se gment for our API business, sir?

A.K. Jain: Yes. Individual number

number. But --

sales number is not moving up. Some market prices h ave started moving up. But overall, on a mix basis, I w

Surya Narayan Patra: Okay. Just on the U.S. business side, from the pers pective of Unichem, now since they are having the integrated operation at their end, so we know that pre making business because of the whatever, kind of not so si gnificant integrated portfolio as well as not so complex generic products there in the por tfolio.

So here onwards that Unichem as a whole, it's a kin d of significant chunk of the consolidated business. So

basis and how should one think about that, particul arly regards to U.S.? Also considering the concern of the tariff and all that, so how should o ne really position about Unich portion of the business, which is U.S.?

A.K. Jain: So if you look at Unichem business, the product por tfolio is of the order products only, and they are continuously launching 3 to 4 kind of new products every year. And probably in the next few years, at least 5 to 6 kind of launches can happen year portfolio, and Ipca portfolio also the launches wou ld happen.

With consolidation with Unichem the business overal l, so what kind of expenditure duplicate expenditure was ther

coming because standalone Bayshore was having this again marketing operations and cost, and they were not able to recover those costs because b usiness operation around that time and when we wer e not having FDA approval. Ipca Laboratories Limited

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Page 9 of 19 a significant business in Iran. We were doing almos t around INR75 crores, INR of business in Iran.

And today, that business is 0. So that has also res ulted in overall lower -- because they don't have dollars or currencies to pay and therefore, th at market, we are not able to sell anything right now. So that business has also co me down. So that consistent business what we have on Iran is no longer there with us. So that has also i mpacted overall business. And now since portfolio is also increasing and we have Ratlam cap acity, by and large, the incremental capacities will be used for our U.S. captive consumptions and all.

Dewas capacity is available and all that will resul t in around 8% to 10% kind of overall API business increase. More specific numbers I'll be ab le to give after the -- along with the fourth quarter number, where -- after our annual budget exercise is complete, and w e will be able to give the proper guidelines on that.

Is the Sartans still kind of the largest product se gment for our API business, sir?

Yes. Individual number -wise, yes , this is giving the highest growth, yes, highest o verall

-- and we are also seeing that with even volume number s going up, overall, your sales number is not moving up. Some market prices h ave started moving up. But over

all, on a

mix basis, I w ould say that number is still muted, yes.

Okay. Just on the U.S. business side, from the pers pective of Unichem, now since they are having the integrated operation at their end, so we know that pre -acquisition, it was loss business because of the whatever, kind of not so si gnificant integrated portfolio as well as not so complex generic products there in the por tfolio.

So here onwards that Unichem as a whole, it's a kin d of significant chunk of the consolidated going ahead, what is the strategy there for the U.S . business on a consolidated basis and how should one think about that, particul arly regards to U.S.? Also considering the concern of the tariff and all that, so how should o ne really position about Unich portion of the business, which is U.S.?

So if you look at Unichem business, the product por tfolio is of the order products only, and they are continuously launching 3 to 4 kind of new products every year. And probably in the years, at least 5 to 6 kind of launches can happen year -on-year on Unichem's portfolio, and Ipca portfolio also the launches wou ld happen.

With consolidation with Unichem the business overal l, so what kind of expenditure duplicate expenditure was ther e that we have already eliminated and that benefit has started

coming because standalone Bayshore was having this again marketing operations and cost, and they were not able to recover those costs because business operation around that time and not having FDA approval. Laboratories Limited
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INR 80 crores kind because they don't have dollars or currencies to pay and therefore, at market, we are not able to sell anything. So that consistent business what we have on Iran is no longer there with us. So that has also impacted overall business. And now since portfolio is also increasing and we have Ratlam capacity, by and large, the incremental Dewas capacity is available and all that will result in around 8% to 10% kind of overall API along with the fourth after our annual budget exercise is complete, and we will be able to. Is the Sartans still kind of the largest product segment for our API business, sir? , this is giving the highest growth, yes, highest overall and we are also seeing that with even volume numbers going up, overall, your sales number is not moving up. Some market prices have started moving up. But overall, on a Okay. Just on the U.S. business side, from the perspective of Unichem, now since they are acquisition, it was loss - business because of the whatever, kind of not so significant integrated portfolio as well. So here onwards that Unichem as a whole, it's a kind of significant chunk of the consolidated going ahead, what is the strategy there for the U.S. business on a consolidated basis and how should one think about that, particularly regards to U.S.? Also considering the concern of the tariff and all that, so how should one really position about Unichem's larger. So if you look at Unichem business, the product portfolio is of the order products only, and they are continuously launching 3 to 4 kind of new products every year. And probably in the year on Unichem's. With consolidation with Unichem the business overall, so what kind of expenditure -- that we have already eliminated and that benefit has started coming because standalone Bayshore was having this again marketing operations and cost, and they were not able to recover those costs because business operation around that time and

So that cost was a burden. So that cost has gone up has those kind of people and they don't need to hire additional people to do the Bayshore and also Ipca business. So that is resulting in. Surya Narayan Patra: Okay. And just last one, sir, about the subsidiaries. How do Moderator: Sir, I just request you to rejoin the queue, please. Surya Narayan Patra: Sure. Moderator: Thank you. The next question is from

the line of ASK Investment Managers. Gagan Thareja: Sir, the first question is on the gross debt levels. If you could give out the gross debt levels and how should we think of it going ahead? A.K. Jain: Overall, I think gross debt is around And we have almost around crores kind of debt overall, practically that number will become nil because debt repayment and all, overall cash holding and if you see, Gagan Thareja: Sir, this is on the standalone level. A.K. Jain: Standalone level. Gagan Thareja: On the consolidated level, what could Harish Kamath: Consolidated level, there are hardly any borrowings in Unichem. It's not a about \$ 12 million. Gagan Thareja: All right, sir. And on your domestic portfolio? And how have And what do A.K. Jain: Overall, if you look at the pain portfolio, overall for the first 9 months of current year, on pain portfolio, we have grown by around 14%, which includes osteoarthritis and rheumatoid arthritis both. So in both the market segment, we have leadership and that portfolio has grown by around 14%. So that portfolio continues to do very well for us. But certain markets like antimalarial this year Antibacterial have just grown by 1%. Cough and cold has grown by 4%. So these are the portfolios where we have lagging. Our cardiovascular portfolios are now doing better. Our urology, then dermatology and nutraceuticals and also gastrointestinal portfolio, too better. So overall, we have around

portfolio, we have around 12% internal growth. Ipca Laboratories Limited
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Page 10 of 19 So that cost was a burden. So that cost has gone up -- gone out now because Unichem already has those kind of people and they don't need to hire additional people to do the Bayshore and also Ipca business. So that is resulting in overall in operational cost decrease for us. Okay. And just last one, sir, about the subsidiaries. How do you see their performance... request you to rejoin the queue, please.

The next question is from the line of Gagan Thareja from ASK Investment ASK Investment Managers. Please go ahead.

Sir, the first question is on the gross debt levels. If you could give out the gross debt levels and how would we think of it going ahead?

Overall, I think gross debt is around INR 900 crores in the balance sheet for Ipca standalone. And we have almost around INR 600 crores of cash. So net of cash, we have around crores kind of debt overall, cash what is available with us. And I think next financial year, practically that number will become nil because debt repayment and all, overall cash holding and if you see, net debt would be practically zero.

Sir, this is on the standalone level, on the consolidated level?

Standalone level.

consolidated level, what could be gross debt be?

Consolidated level, there are hardly any borrowings in Unichem. It's not a -- 12 million, \$13 million -- \$30 million overall.

All right, sir. And on -- can you also give the salience of Zerodol and its line extensions in your domestic portfolio? And how have -- how has that franchise grown for you year And what do you think of that particular brand going forward?

Overall, if you look at the pain portfolio, overall for the first 9 months of current year, on pain portfolio, we have grown by around 14%, which includes osteoarthritis and rheumatoid both. So in both the market segment, we have leadership and that portfolio has grown by around 14%. So that portfolio continues to do very well for us. But certain markets like antimalarial this year has not grown, so practically zero growth on there. Antibacterial have just grown by 1%. Cough and cold has grown by 4%. So these are the portfolios where we have lagging. Our cardiovascular portfolios are now doing better. Our urology, then dermatology and nutraceuticals and also gastrointestinal portfolio, they are doing better. So overall, we have around -- if you look at first 9 months of current year, on overall portfolio, we have

around 12% internal growth. Laboratories Limited
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gone out now because Unichem already has those kind of people and they don't need to hire additional people to do the Bayshore and overall in operational cost decrease for us. you their performance...

Gagan Thareja from ASK Investment from

Sir, the first question is on the gross debt levels. If you could give out the gross debt levels and 900 crores in the balance sheet for Ipca standalone.

600 crores of cash. So net of cash, we have around INR 300 cash what is available with us. And I think next financial year, practically that number will become nil because debt repayment and all, overall cash holding -- maybe less than

can you also give the salience of Zerodol and its line extensions in

how has that franchise grown for you year -to-date?

Overall, if you look at the pain portfolio, overall for the first 9 months of current year, on pain portfolio, we have grown by around 14%, which includes osteoarthritis and rheumatoid both. So in both the market segment, we have leadership and that portfolio has grown by around 14%. So that portfolio continues to do very well for us. But certain markets like antibacterial have just grown by 1%. Cough and cold has grown by 4%. So these are the portfolios where we have lagging. Our cardiovascular portfolios are now doing better. Our urology, then dermatology and nutraceuticals and also gastrointestinal portfolio, they are doing better. So overall, we have around -- if you look at first 9 months of current year, on overall

Gagan Thareja: Okay. And on the subsidiaries, if you could give some flavor of the subsidiary both at a P&L level and also at a balance sheet level, if some details can be given out?

Harish Kamath: Except Pishga and our associate company Krebs, other all companies are profitable as on date. Bayshore, as Mr. Jain has said, we were incurred has gone from the

Other than that all subsidiary and associates, they are profit in the consolidated level.

Gagan Thareja: Okay. All right. But potentially, there would be room for further improvement in margins in all

of those?

Harish Kamath: Yes, definitely, definitely. Everywhere, there is potential room to improve margins. Especially PISG, we are working on long

Gagan Thareja: Okay. Thank you, sir. I will get back in the queue. Thanks for taking my questions.

Moderator: Thank you. The next question is from the line of Pulkat Management.

Pulkat Singh: Congrats on a good set of numbers. My first question is on the U.S. portfolio for Ipca that's going to be marketed by Unichem. What is the potential revenue opportunity for you over the next 3 to 5 years as per your own

Harish Kamath: See, before our U.S. FDA issue started, maybe in the year 2012 dollar was about

products. So out of those 10 products, w

other products are on the verge of getting manufactured. So gradually, we will build our business through Unichem on those initial products, which were earlier selling in the market in the U.S. market

And we have very good cost benefit because of backward integration, our own API and all. In most of those APIs, I'm also maybe one of the largest manufacturers in the world.

Pulkat Singh: Understood. So the level you crossed, let's say, kind of percentage margins are then recorded at Unichem level for the marketing?

Harish Kamath: Unichem, whatever

Those marketing partners are

profit, for sharing cost of distribution, everything is on paper. It will be beneficial to both Unichem as well as Ipca.

Pulkat Singh: Yes. I'm just trying to understand what is the dilutive e

Harish Kamath: We have not spent any money for doing business. Whatever plans earlier we were manufacturing U.S. products, they were as good as not manufacturing anything. Then we started gradually using them for other

capacity utilization was very less. Ipca Laboratories Limited

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Page 11 of 19 Okay. And on the subsidia

ries, if you could give some flavor of the subsidiary

both at a P&L level and also at a balance sheet level, if some details can be given out?

Except PISG and our associate company Krebs, other all companies are profitable as on date.

Bayshore, as Mr. Jain has said, we were incurring losses because of administrative costs that has gone from the -- our books now. So only PISG and Krebs are little cause of concern.

Other than that all subsidiary and associates, there are profit in the consolidated level.

ght. But potentially, there would be room for further improvement in margins in all

Yes, definitely, definitely. Everywhere, there is potential room to improve margins. Especially

PISG, we are working on long-term plan and all, it should turn around in a couple of quarters.

Okay. Thank you, sir. I will get back in the queue. Thanks for taking my questions.

The next question is from the line of Pulkat Singh from Dalmus Capital

Management. Please go ahead.

Congrats on a good set of numbers. My first question is on the U.S. portfolio for Ipca that's going to be marketed by Unichem. What is the potential revenue opportunity for you over the next 3 to 5 years as per your own estimation, a rough range?

See, before our U.S. FDA issue started, maybe in the year 2012-'13, when exchange rupee dollar was about INR60, we did about INR250 crores formulation business with about 10 products. So out of those 10 products, we have just manufactured and shipped 4 products. Few other products are on the verge of getting manufactured. So gradually, we will build our business through Unichem on those initial products, which were earlier selling in the market in the U.S. market . .

And we have very good cost benefit because of backward integration, our own API and all. In most of those APIs, I'm also maybe one of the largest manufacturers in the world.

Understood. So the level you crossed, let's say, INR100 crores or INR 200 crores of size, what kind of percentage margins are then recorded at Unichem level for the marketing?

Unichem, whatever -- see, earlier also we were doing business through marketing partner.

Those marketing partners are now replaced with the Unichem. There is a formula for sharing profit, for sharing cost of distribution, everything is on paper. It will be beneficial to both Unichem as well as Ipca.

Yes. I'm just trying to understand what is the dilutive effect it has because Unichem is at...

We have not spent any money for doing business. Whatever plans earlier we were manufacturing U.S. products, they were as good as not manufacturing anything. Then we started gradually using them for other markets like Europe and all. In spite of that, their capacity utilization was very less. Laboratories Limited

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Okay. And on the subsidiaries, if you could give some flavor of the subsidiary performance both at a P&L level and also at a balance sheet level, if some details can be given out? Except PISGAL and our associate company Krebs, other all companies are profitable as on date. Incurring losses because of administrative costs that are in our books now. So only PISGAL and Krebs are little cause of concern. Other than that all subsidiary and associates, they are all profit in the consolidated level. Right. But potentially, there would be room for further improvement in margins in all. Yes, definitely, definitely. Everywhere, there is potential room to improve margins. Especially it should turn around in a couple of quarters. Okay. Thank you, sir. I will get back in the queue. Thanks for taking my questions. Singhal from Dalmus Capital. Congrats on a good set of numbers. My first question is on the U.S. portfolio for Ipca that's going to be marketed by Unichem. What is the potential revenue opportunity for you over the '13, when exchange rupee - formulation business with about 10. We have just manufactured and shipped 4 products. Few

other products are on the verge of getting manufactured. So gradually, we will build our business through Unichem on those initial products, which were earlier selling in the market -- And we have very good cost benefit because of backward integration, our own API and all. In most of those APIs, I'm also maybe one of the largest manufacturers in the world. 200 crores of size, what kind of percentage margins are then recorded at Unichem level for the marketing? See, earlier also we were doing business through marketing partner. Now replaced with the Unichem. There is a formula for sharing profit, for sharing cost of distribution, everything is on paper. It will be beneficial to both. Effect it has because Unichem is at... We have not spent any money for doing business. Whatever plans earlier we were manufacturing U.S. products, they were as good as not manufacturing anything. Then we markets like Europe and all. In spite of that, they

Once we do progression in our U.S. business through Unichem, whatever overhead recovery will also improve. That will also indirectly benefit me as well as my API add production. So all those benefits will come over a period of time as and we go on improving our U.S. business.

Pulkit Singhal: Understood. And when it comes to Unichem's own facilities, I think they are at 50% to 60% utilization. Is my understanding?

Harish Kamath: That is also gradually improving. Goa, too, which was newly commissioned, there also they have started gradually ramping up the production. So all Unichem productivity also. That is also one of the reasons because of higher production. So all verticals, wherever operational efficiency can be encashed, everything is being worked on.

Pulkit Singhal: Understood. And sir, in how many years do you see that you would be the Unichem facilities...

Harish Kamath: So next 4 to 5 years, I don't think they will need any further capacity other than routine capacity improvement plans and all. And whatever API they want to produce going forward that capex is

capacity available. So API there were a little bit bottlenecks, which are being now addressed.

Pulkit Singhal: Thank you for answering my questions. All the best.

Moderator: Thank you. The Services. Please go ahead.

Tushar: Sir, just again on Unichem, given that they are also now primarily into U.S. business and Ipca also has. So any thoughts on sort of merging Un

Harish Kamath: No, no. There is no currently any such plans. But the product portfolio of Unichem and Ipca except few products which are common, rest are all different products. And as Mr. Jain has said, we are already having a plan to

Australia and New Zealand, most of the Europe and a large ROW market, that action plan is already on, product registration, document generation, all work is happening.

Tushar: And of course, separate listed entities?

Harish Kamath: We have not thought on that so far. Just we are trying to now consolidate and improve Unichem performance. That is our focus.

Tushar: And sir, just secondly on domestic formulation, if you could share price volume new launches data for the quarter and for 9 months?

A.K. Jain: See one particular reason for not taking up consolidation is also because we are looking for a strategy of hedging. In Ipca Laboratories Limited

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Page 12 of 19 Once we do progression in our U.S. business through Unichem, whatever overhead recovery will also improve. That will also indirectly benefit me as well as my API additional production. So all those benefits will come over a period of time as and we go on improving our U.S. business.

Understood. And when it comes to Unichem's own facilities, I think they are at 50% to 60% utilization. Is my understanding correct?

That is also gradually improving. Goa, too, which was newly commissioned, there also they have started gradually ramping up the production. So all-round improvement is there in the Unichem production

ductivity also. That is also one of the reasons why operating cost is coming down because of higher production. So all verticals, wherever operational efficiency can be enhanced, everything is being worked on.

Understood. And sir, in how many years do you see that you would be almost fully utilizing the Unichem facilities...

So next 4 to 5 years, I don't think they will need any further capacity other than routine capacity improvement plans and all. And whatever API they want to produce going forward is already happening at Pithampur API site. Formulation, they have adequate capacity available. So API there were a little bit bottlenecks, which are being now addressed. Thank you for answering my questions. All the best.

you. The next question is from the line of Tushar from Motilal

Please go ahead.

Sir, just again on Unichem, given that they are also now primarily into U.S. business and Ipca also has. So any thoughts on sort of merging Unichem along with Ipca?

No, no. There is no currently any such plans. But the product portfolio of Unichem and Ipca except few products which are common, rest are all different products. And as Mr. Jain has said, we are already having a plan to take their products to other markets they were hitherto not present, Australia and New Zealand, most of the Europe and also ROW market, that action plan is already on, product registration, document generation, all work is happening.

And of course, the business-wise integration is very much happening, but then why to have 2 separate listed entities?

We have not thought on that so far. Just we are trying to now consolidate and improve Unichem performance. That is our focus.

sir, just secondly on domestic formulation, if you could share price volume new launches data for the quarter and for 9 months?

See one particular reason for not taking up consolidation is also because we are looking for a strategy of hedging. If anything happens to Ipca or anything happens to Unichem like we have Laboratories Limited
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Once we do progression in our U.S. business through Unichem, whatever overhead recovery will also improve. That will also indirectly benefit me as well as my API additional

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The next question is from the line of Tushar from Motilal Oswal Financial

Sir, just again on Unichem, given that they are also now primarily into U.S. business and Ipca

No, no. There is no currently any such plans. But the product portfolio of Unichem and Ipca except few products which are common, rest are all different products. And as Mr. Jain has said, we

take their products to other markets they were hitherto not present, Australia and New Zealand, most of the Europe and also ROW market, that action plan is already on, product registration, document generation, all work is happening.

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See one particular reason for not taking up consolidation is also

because we are looking for a

if anything happens to Ipca or anything happens to Unichem like we have

burned our fingers in past, so we don't want that situation to have.

keeping quality and manufacturing everything separate. And

happening, you can produce product utilizing other capacities and all.

So business disturbance doesn't happen. And therefore, currently, there is no such idea of merging both of them. Because at the top of the mind of management is always there, that it should operate as a hedging for each other.

Tushar: Sure, sir. Sir, if you could address the domestic formulation questions, price volume, new launches.

Harish Kamath: Pardon, Tushar, what was your question?

Tushar: Sir, price volume and new launches for the

Harish Kamath: Most of the growth was because of volume. New launches are hardly anything. Price may be overall 5% to 6%, not more than that. And as you recollect, last year, there was hardly any price increase in NLEM products.

Tushar: Understood. That's it.

Moderator: Thank you. Thank you.

Please go ahead.

Shiva: And with respect to margins at standalone level, just wanted to understand going ahead, how do we -- I mean, are there any other, as you said raw materials, we did not get much of but you're saying it's only by the mix. So how do you look at going ahead? Is there any other operational levers at standalone level that we can show any improvement or you kinds of more improvement will be slower?

Harish Kamath: Other than material cost, there was some increase in manpower cost because of addition of people. So as you recollect, the last 1, 1.5 years, we have added a lot of people in the domestic market. Now they are slowly becoming productive for the company. So going forward, there will be some benefit out of growth or they will bring. So overall, our guidance stays going forward also maybe next 3, 4 years, 100 to 150 basis point margin improvement.

A.K. Jain: See, normally, our material costs used to be around 20% of overall sales. Currently, it is around 21.5% or near about, it's largely because of addition of people. And a lot of those additions, which we have made in the past are

takes time, somewhere in normal therapies, it takes around 3 years' time.

Chronic is sometimes it takes a little more. So some of the people have become productive in very second year

is yet to become productive. And as their productivity moves up, we'll have overall good set of numbers. Ipca Laboratories Limited

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Page 13 of 19 burned our fingers in past, so we don't want that situation to have. And therefore, we are keeping quality and manufacturing everything separate. And -- so in the event of anything

happening, you can produce product utilizing other capacities and all.

So business disturbance doesn't happen. And therefore, currently, there is no such idea of merging both of them. Because at the top of the mind of management is always there, that it should operate as a hedging for each other.

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Pardon, Tushar, what was your question?

Sir, price volume and new launches for the quarter?

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Understood. That's it. Thank you.

Thank you. The next question is from the line of Shiva from Purnatha Investment Advisors

Please go ahead.

And with respect to margins at standalone level, just wanted to understand going ahead, how

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Currently, in current financials, we are seeing that permanent productivity has gone up by almost around 20,000, on an average on a total around 6,700 people. So that's overall productivity improvement in the field. And this productivity improvement will keep on happening because we have added a significant number of people in last few years.

Shiva: Okay. So to understand correctly, if there is no much change in the raw materials, the most of the production or the margin benefit will flow through from the employee cost is what you're saying?

A.K. Jain: Yes, employment cost also will happen, then over capacity utilizations will also help in overall better improvement...

Shiva: Operating leverage. Okay. And you're saying about the MR. So if you could just give some details about the present MR and what is the divisions, like 2 years ago, we made additional 4 divisions, how are their productivity?

A.K. Jain: Overall, I think we have around 6,700 people currently. And overall productivity per month is around 4,45,000.

Shiva: 4,35,000, for this quarter?

A.K. Jain: 4,45,000.

Shiva: This is for

this quarter?

A.K. Jain: Yes, up to 9 months current year.

Shiva: Okay, 9 months. Okay. And how does that compare to the last year?

A.K. Jain: It was around 4,25,000 with 6,300 people

Shiva: Okay. And what do you new divisions? How will that look like once they settle down in 1.5 year 1 or 2 years?

A.K. Jain: Productivity each 25,000, 30,000 average productivity improvements will be there, on a continuous basis. In terms of current improvement, what we are seeing in current year, that improvement will continue even after addition of people.

Shiva: Understood. And how is your initial experience? I mean you said that you've sent it to U.S. market last quarter, how was the initial feedback and how are you finding it right now in this quarter in hand?

Harish Kamath: See, Unichem team has already started bidding for the products in which we have a cost competency. So slowly and steadily, they are gaining orders. But it will take time because there are already other players in the market and the sellers are people. So it works on contracts, 3 months, 6 months. So as and when people come for bidding that time we participate. So there will be some gestation period from the day the goods is Ipca Laboratories Limited
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Yes, up to 9 months current year.

Okay, 9 months. Okay. And how does that compare to the last year?

It was around 4,25,000 with 6,300 people. Currently, 6,700 and 4,45,000 per month.

Okay. And what do you -- once they settle down what kind of number do they hit, I mean the new divisions? How will that look like once they settle down in 1.5 year 1 or 2 years?

Productivity each year, even if there is 300, 400 people additions will continue to have around 25,000, 30,000 average productivity improvements will be there, on a continuous basis. In terms of current improvement, what we are seeing in current year, that improvement will continue even after addition of people.

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received and your sales commence. And then this quarter.

Shiva: And the growth guidance you're sticking with the guidance that you've given?

Harish Kamath: Yes. So it is in line with whatever we are expecting.

Shiva: Okay. Thank you. I will get back.

Moderator: Thank you. Th ahead.

Saion Mukherjee: On the EBITDA margin

it be fair that presume the domestic business

some color given the fact that the employee productivities are rising, raw material prices have come down. Qualitatively, if you can talk about the profitability or EBITDA margin for the domestic business?

Harish Kamath: See, Mr. Jain has already explained, the major reason for this number is because of product mix change. So if you see business wise, there is hardly any change in whatever we have been telling from the beginning gross margin

margins and when the margins better business improves, the overall EBITDA and gross margin improves, it is that way.

And wherever there is better margin, those businesses

example, domestic and branded formulation business, ROW market. Typically, they have the highest margin in the company's overall top line.

A.K. Jain: If you look at, let's say, current year, antimalarials has not grown

antimalarial. Antibacterial is also a low

growth. Cough and cold is also generally a low

and that cost of packaging is high on

other products margin, business has grown faster and better where margins are better. So that is also reflecting in the overall EBITDA margin.

Saion Mukherjee: Yes. So basically, sir, what I was trying

24% margin, your business has API, institutional on the lower side and ROW India business

are probably higher than the company average. So I'm just wondering if it is significantly higher or margin

the domestic business?

A.K. Jain: Domestic margin will further improve. As the productivity improve, margins will keep on improving and margins are definitely higher.

Saion Mukherjee: And sir, the other question I wanted to ask is now since the businesses have stabilized on a growth path, what are the new areas the management is thinking about investing whether it is Ipca Laboratories Limited February

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19 received and your sales commence. And then there will be a gradual progress quarter after

And the growth guidance you're sticking with the guidance that you've given?

So it is in line with whatever we are expecting.

Okay. Thank you. I will get back.

Thank you. The next question is from the line of Saion Mukherjee from Nomura.

On the EBITDA margin front, I think on a stand alone basis, you are already 23%, 24%. Would

it be fair that presume the domestic business margins are materially higher, if you can give

some color given the fact that the employee productivities are rising, raw material prices have

come down. Qualitatively, if you can talk about the profitability or EBITDA margin for the

domestic business? And what are your expectations on that going forward?

See, Mr. Jain has already explained, the major reason for this number is because of product mix change. So if you see business wise, there is hardly any change in whatever we have been

telling from the beginning gross margin-wise. So only business-wise, there are different

margins and when the margins better business improves, the overall EBITDA and gross

margin improves, it is that way.

And wherever there is better margin, those businesses, we are growing year after year. For

example, domestic and branded formulation business, ROW market. Typically, they have the highest margin in the company's overall top line.

If you look at, let's say, current year, antimalarials has not grown. We have lowest margin in

antimalarial. Antibacterial is also a low-margin business, that has not grown. It's just 1%

growth. Cough and cold is also generally a low-margin business because it's all bottle packings

and that cost of packaging is high on the products, so that business has just grown by 4%. All

other products margin, business has grown faster and better where margins are better. So that

is also reflecting in the overall EBITDA margin.

Yes. So basically, sir, what I was trying to get at is the fact that -- I mean, if I look at 23%,

24% margin, your business has API, institutional on the lower side and ROW India business

are probably higher than the company average. So I'm just wondering if it is significantly

higher or marginally higher than where you -- where standalone margins are, particularly for the domestic business?

Domestic margin will further improve. As the productivity improve, margins will keep on

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And sir, the other question I wanted to ask is now since the businesses have stabilized on a

growth path, what are the new areas the management is thinking about investing whether it is Laboratories Limited

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And the growth guidance you're sticking with the guidance that you've given? from Nomura. Please go alone basis, you are already 23%, 24%. Would gross margins are materially higher, if you can give some color given the fact that the employee productivities are rising, raw material prices have come down. Qualitatively, if you can talk about the profitability or EBITDA margin for the See, Mr. Jain has already explained, the major reason for this number is because of product mix change. So if you see business wise, there is hardly any change in whatever we have been wise, there are different margins and when the margins better business improves, the overall EBITDA and gross sales, we are growing year after year. For example, domestic and branded formulation business, ROW market. Typically, they have the own. We have lowest margin in margin business, that has not grown. It's just 1% margin business because it's all bottle packings the products, so that business has just grown by 4%. All other products margin, business has grown faster and better where margins are better. So that I mean, if I look at 23%, 24% margin, your business has API, institutional on the lower side a

and ROW India business are probably higher than the company average. So I'm just wondering if it is significantly where standalone margins are, particularly for Domestic margin will further improve. As the productivity improve, margins will keep on And sir, the other question I wanted to ask is now since the businesses have stabilized on a growth path, what are the new areas the management is thinking about investing whether it is

India or U.S. if you can share any plans that you want to new initiatives that you are taking?

A.K. Jain: See, the new areas at number one is, let's say, we are leaders in pain management. And as far as the orthopedics and dentals are concerned, we have significant leadership there kind of products. And now we are trying to leverage those relationships and now started a new division called Flexicare for adding the people orthopedics for other indications because pain is one area, products.

So gradually, we are ramping up. Right now, division is people. Recruitment of people is going on. So maybe another 200 people will be added in. I think next year that division will reach to the breakeven point because we have a strong relationship in this therapy area. So we should be able to looking at. Another area we're looking at cardiovasculars, now we have started beating the market growth and significantly compared to the market and all. And this is the further time for us to further consolidate our offering in the market.

So next financial year, cardiology. Then another area is dermatology that we have done well and build the business on dermatology in the last few years. And we are missing on cosmetic dermatology. So we have lined up the products

And I think one more division we will add in next financial year, from there in the mid of the next financial year on cosmetic dermatology. So wherever areas, like say, urology, we are doing well. So giving us almost around 20% kind of 22% kind of growth. So some people additions will happen in urology area. So all these therapy areas where we are continuously consolidating, which are the high areas. So that's a continuous journey.

Saion Mukherjee: And anything on the U.S., sir, in terms of ANDA filing across Unichem and Ipca? Any product category segment? And how should we think about the research and development expenditure, what is it

A.K. Jain: Let's say, our business philosophy is that we, by and large, use our captive product for the ANDA developments and all. So now last, I think, 10, 12 years, Ipca has not filed anything but right now, there are a good

and all. So I think every year, we should be able to now file 5, 6 kinds of Ipca ANDAs, so Unichem will also continue to do that kind of number. And more or less, it's going to remain from, let's say, captive API. Some of the products we may outsource also.

But broadly, so it's not that we have to file end number of products because our strategy is to always keep backward integrated products for forward integrations and all. So more or less, are not changing that strategy. So it will remain in that line. Ipca Laboratories Limited

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Page 16 of 19 India or U.S. if you can share any plans that you want to -- that you can share at this point on

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So next financial year, we will, again, adding 1 more division with around 300 people in cardiology. Then another area is dermatology that we have done well and build the business on dermatology in the last few years. And we are missing on cosmetic dermatology. So we have p the products -- a lot of products under development and all.

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Saion Mukherjee: And R&D spend, sir?

A.K. Jain: Currently, both Ipca and Unichem put together, it's around 3%, 3.25% kind of R&D cost. That cost is likely to move to around 4%.

Saion Mukherjee: Okay. Thank you.

Moderator: Thank you. The
Please go ahead.

Harsh Bhatia: Sir, in the second quarter, you had mentioned that there was some U.S. sales at was shipped out,

Harish Kamath: Sorry, you're not audible now, Harsh. What was your question?

Harsh Bhatia: So we were saying that there were some U.S. sales in second quarter that we they were shipped out, the third quarter?

Harish Kamath: You are not audible.

Moderator: Sir, I just request you to rejoin, please. The next question is from the line of B Equirus. Please go ahead.

Bharat: So sir, we have done phenomenally well in the past years in domestic business. So how do you see this business behaving as compared to IPM in the at least next 2, 3 years, if you talk a bit about it?

Harish Kamath: So more or less, whatever our growth, 1.5x IPM growth, hopefully, we should continue with that coming few years.

Bharat: And how big our pain management therapy would be in the overall business?

Harish Kamath: About 52%.

Bharat: Sir, somewhere the largest product would be Zerodol and if I'm not wrong that product is almost INR 750 crores,

Harish Kamath: In spite of that, the pain therapy has grown by 14% in the 9 months of the current financial year.

Bharat: Are we calling out how big is Zerodol for us at this moment?

Harish Kamath: So 2 Zerodol SKUs are amongst the top 300 selling country.

Bharat: Right. So are you expecting pain management to stay at almost like at 13%, 14% forward as well? Is it possible to... Ipca Laboratories Limited
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Page 17 of 19 And R&D spend, sir?

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Okay. Thank you.

Thank you. The next question is from the line of Harsh Bhatia from Bandhan Mutual Fund.
Please go ahead.

Sir, in the second quarter, you had mentioned that there was some U.S. sales at was shipped out, but not booked. Have we booked those sales this quarter?

Sorry, you're not audible now, Harsh. What was your question?

So we were saying that there were some U.S. sales in second quarter that we they were shipped out, but not booked in the second quarter. Those sales have been booked in the third quarter?

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3 SKUs, top 300 selling brands in the

Right. So are you expecting pain management to stay at almost like at 13%, 14% growth going

Harish Kamath: Yes, definitely, unless pain management grows 13%, 14%, I can't grow 1.5x the market growth. So that is almost 52% of my overall business.

Bharat: But what is driving this growth in the

growth will be maintained? Because we'll be covering large part of the market, doctor access

will be also one of the foremost when it comes to the pain management. So how we are

looking to maintain the

A.K. Jain: Let's say, not only osteoarthritis product, but theumatoid arthritis products are also growing

faster. And if more penetration of disease presence in the country is very high. It's all we had

to create enabling m

rheumatologist to the other areas and educating doctors and all.

So rheumatology portfolio, is last 10, 15 years, also, we have seen continuously it's growing

1.5x the market growth.

down. Significant work is still to be done to make all these therapies available in any nook and corner of the country.

And as far as the pain is concerned, Zerodol is continuously growing.

It is growing faster than the overall IPM, it's almost around 1.5x the market is growing. And

we don't see any kind of problem in growing this therapy also in next 3, 4 years at current pace.

So we are not seeing any kind of chal

concerned, there are not much on particularly on osteoarthritis side. On rheumatoid arthritis

side, yes, there are a lot of opportunities and of the new patented products, and we are working on everything

continue to add the new product portfolios as and when the patent expiry happens and all.

So we -- and also, we are further augmenting our ortho offering by addition of new d

which we are currently in the process of doing that so that we can leverage those relations in

the -- particularly in ortho segment. So that segment will continue to remain focus for us, and

we will -- we don't foresee any kind of difficulty in g

faster than the overall company growth.

Harish Kamath: And every major product I'm selling in pain category, I'm the market leader and my growth is higher than the market growth.

Bharat: Okay. Sure. Thanks a lot,

Moderator: Thank you. As there are no further questions from the participants, I will hand the conference over to the management for closing comments. Over to you, sir.

Harish Kamath: No, more or less most of the a

anything further to be added. Thank you. Thank you all the participants. Thank

you very much. Ipca Laboratories Limited

February

Page 18 of 19 Yes, definitely, unless pain management grows 13%, 14%, I can't grow 1.5x the market growth. So that is almost 52% of my overall business.

But what is driving this growth in the overall pain management? If you could talk and how this

growth will be maintained? Because we'll be covering large part of the market, doctor access

will be also one of the foremost when it comes to the pain management. So how we are

looking to maintain this growth going forward as well?

Let's say, not only osteoarthritis product, but theumatoid arthritis products are also growing

faster. And if more penetration of disease presence in the country is very high. It's all we had

to create enabling more number of rheumatologists practicing in the market and taking those

rheumatologist to the other areas and educating doctors and all.

So rheumatology portfolio, is last 10, 15 years, also, we have seen continuously it's growing

1.5x the market growth. And we don't foresee next 5 years also that growth rate can come

down. Significant work is still to be done to make all these therapies available in any nook and

corner of the country.

And as far as the pain is concerned, Zerodol is continuously growing. Even in this market, also it is growing faster than the overall IPM, it's almost around 1.5x the market is growing. And we don't see any kind of problem in growing this therapy also in next 3, 4 years at current So we are not seeing any kind of challenge. And as far as the new product offerings are concerned, there are not much on particularly on osteoarthritis side. On rheumatoid arthritis side, yes, there are a lot of opportunities and of the new patented products, and we are working on everything of that. So we are keeping our complete hold on that kind of things, and we will continue to add the new product portfolios as and when the patent expiry happens and all. and also, we are further augmenting our ortho offering by addition of new divisions which we are currently in the process of doing that so that we can leverage those relations in particularly in ortho segment. So that segment will continue to remain focus for us, and we don't foresee any kind of difficulty in growing this business. In fact, it will grow faster than the overall company growth.

And every major product I'm selling in pain category, I'm the market leader and my growth is higher than the market growth.

Okay. Sure. Thanks a lot, sir.

As there are no further questions from the participants, I will hand the conference over to the management for closing comments. Over to you, sir.

No, more or less most of the areas we have covered in the call. I don't think there is anything further to be added. Thank you. Thank you all the participants. Thank you very much. Laboratories Limited
February 13, 2025

Yes, definitely, unless pain management grows 13%, 14%, I can't grow 1.5x the market overall pain management? If you could talk and how this growth will be maintained? Because we'll be covering large part of the market, doctor access will be also one of the foremost when it comes to the pain management. So how we are Let's say, not only osteoarthritis product, but rheumatoid arthritis products are also growing faster. And if more penetration of disease presence in the country is very high. It's all we had more number of rheumatologists practicing in the market and taking those So rheumatology portfolio, is last 10, 15 years, also, we have seen continuously it's growing And we don't foresee next 5 years also that growth rate can come down. Significant work is still to be done to make all these therapies available in any nook and Even in this market, also it is growing faster than the overall IPM, it's almost around 1.5x the market is growing. And we don't see any kind of problem in growing this therapy also in next 3, 4 years at current level

And as far as the new product offerings are concerned, there are not much on particularly on osteoarthritis side. On rheumatoid arthritis side, yes, there are a lot of opportunities and of the new patented products, and we are working of that. So we are keeping our complete hold on that kind of things, and we will continue to add the new product portfolios as and when the patent expiry happens and all. and also, we are further augmenting our ortho offering by addition of new divisions, which we are currently in the process of doing that so that we can leverage those relations in particularly in ortho segment. So that segment will continue to remain focus for us, and growing this business. In fact, it will grow And every major product I'm selling in pain category, I'm the market leader and my growth is As there are no further questions from the participants, I will hand the conference . I don't think there is anything further to be added. Thank you. Thank you all the participants. Thank you very much.

Moderator: Thank you, sir

Thank you for joining us, and you may now disconnect your lines. Thank you. Laboratories Limited
February

Page 19 of 19, sir. On behalf of DAM Capital Advisors Limited, that concludes this conference. Thank you for joining us, and you may now disconnect your lines. Thank you. Laboratories Limited
February 13, 2025

. On behalf of DAM Capital Advisors Limited, that concludes this conference. may now disconnect your lines. Thank you.

Call: Jun 2025

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June 2, 2025
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Phiroze Jeejeebhoy Towers
Dalal Street
Mumbai 400 023
Scrip Code – 524494 National Stock Exchange India Limited,
Exchange Plaza, C-1, Block-G,
Bandra Kurla Complex, Bandra – (East).
Mumbai-400051.
Scrip Code : IPCALAB
D

Dear Sirs,
Pursuant to Regulation 30 of the Securities and Exchange Board of India (Listing Obligations and Disclosure Requirements) Regulations, 2015, we are enclosing herewith transcript of our Conference Call which was held on Friday, 30th May, 2025 to discuss the Company's Q4 FY25 earnings and business update.

Thanking you

Yours faithfully

For Ipca Laboratories Limited

Harish P. Kamath

Corporate Counsel & Company Secretary

Encl: a/a

"Ipca

Q4 FY '25

MANAGEMENT : M R. AJIT

LABORATORIES

MR. HARISH

COMPANY

LIMITED

MODERATOR : M R. NITIN

LIMITED

Page 1 of 14 Ipca Laboratories Limited

5 Earnings Conference Call"

May 30, 2025

JIT KUMAR JAIN– MANAGING DIRECTOR

LABORATORIES LIMITED

HARISH KAMATH – CORPORATE COUNSEL AND

COMPANY SECRETARY – IPCA LABORATORIES

LIMITED

NITIN AGARWAL – DAM CAPITAL ADVISORS

LIMITED

DIRECTOR – IPCA

COUNSEL AND

LABORATORIES

ADVISORS

Moderator: Ladies and gentlemen, good day, and welcome to Ipca Labs Q4 FY '25 Earnings Conference Call hosted by DAM Capital Advisors.

The call will be in audio-only mode and there will be an opportunity for you to ask questions after the presentation

concludes. Should you need assistance during the conference call, please dial

pressing star then zero on a touchtone phone.

The call is

recorded. I now hand the conference over to Mr. Nitin Agarwal from DAM Capital Advisors. Thank

you, and over to you, sir.

Nitin Agarwal: Thank you,

Ipca Laboratories Q4 FY '25 Earnings Call, hosted by DAM Capital Advisors Limited. On the call

today representing Ipca management, we've got Mr. A.K. Jain, Managing Director; and Mr.

Harish Kamath, Corporate Counsel and Company Secretary.

I will hand over the call to Mr. Jain to make the opening comments, and we will open the floor

for questions. Mr. Jain, please go ahead, sir.

Ajit Kumar: Thanks, Nitin, and DAM Capital Advisors for organizing this call, and welcome to all

participants. Today's earnings call and discussions and answers given may include some

forward-looking statements based on our current business expectation. This must be viewed

conjunction with risks that pharmaceutical business faces. Our actual financial performance may differ from
 You may use your own judgment on information given during the call. Our domestic business for Q4 has delivered around 12% business growth.
 Mid- March '25, Ipca is ranked at the 16th as per IQVIA as fastest top 20 players. Ipca continued to improve its market improved our market share by around 9 basis points to almost around 2. mid- March '24.
 Both on acute and chronic segment, we had delivered better growth compared to the market. As per IQVIA, overall 13.2%. On acute segment, the market growth was 6.9% . Ipca delivered around 10.9%. On chronic, market growth was around 9.8%. Our growth is tracked by IQVIA as 17.9% overall. Compared to up. The market gets around 61% from acute and in case of chronic, it is 39%. For Ipca, it's around 66% for acute and 34% for chronic. Market is not identifying rheumatoid arthritis chronic segment, but this is more chronic than any other segment because it's all disease modifying agents, which are to be taken for life. But if you include that, then our chronic segment contribution would be much higher. Ipca Laboratories Limited

Page 2 of 14 Ladies and gentlemen, good day, and welcome to Ipca Labs Q4 FY '25 Earnings Conference hosted by DAM Capital Advisors. As a reminder, all participant lines will be in the listen only mode and there will be an opportunity for you to ask questions after the presentation concludes. Should you need assistance during the conference call, please signal an operator by pressing star then zero on a touchtone phone. Please note that

this conference is being
 I now hand the conference over to Mr. Nitin Agarwal from DAM Capital Advisors. Thank you, and over to you, sir.
 Yusuf. Hi, good afternoon, everyone, and a very warm welcome to Ipca Laboratories Q4 FY '25 Earnings Call, hosted by DAM Capital Advisors Limited. On the call today representing Ipca management, we've got Mr. A.K. Jain, Managing Director; and Mr. math, Corporate Counsel and Company Secretary.
 I will hand over the call to Mr. Jain to make the opening comments, and we will open the floor for questions. Mr. Jain, please go ahead, sir.
 Thanks, Nitin, and DAM Capital Advisors for organizing this call, and welcome to all participants. Today's earnings call and discussions and answers given may include some looking statements based on our current business expectation. This must be in conjunction with risks that pharmaceutical business faces. Our actual financial performance may differ from what is perceived or projected.
 You may use your own judgment on information given during the call. Our domestic business for Q4 has delivered a growth of around 11%. And overall, for the whole of the year, it has delivered around 12% business growth.
 March '25, Ipca is ranked at the 16th as per IQVIA as fastest -growing company among the top 20 players. Ipca continued to improve its market share. In last quarter of Q4 also, we have improved our market share by around 9 basis points to almost around 2.07% from 1.8% in March '24.
 Both on acute and chronic segment, we had delivered better growth compared to the market. As per IQVIA, overall market growth was around 8%, Ipca delivered at a growth of around 13.2%. On acute segment, the market growth was 6.9% . Ipca delivered around 10.9%. On chronic, market growth was around 9.8%. Our growth is tracked by IQVIA as 17.9% overall. Compared to industry, our contribution of chronic segment is lower, but we are fast catching up. The market gets around 61% from acute and in case of chronic, it is 39%. For Ipca, it's around 66% for acute and 34% for chronic. Market is not identifying rheumatoid arthritis chronic segment, but this is more chronic than any other segment because it's all disease modifying agents, which are to be taken for life. But if you include that, then our chronic segment contribution would be much higher. Laboratories Limited
 May 30, 2025

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today representing Ipca management, we've got Mr. A .K. Jain, Managing Director; and Mr. I will hand over the call to Mr. Jain to make the opening comments, and we will open the floor Thanks, Nitin, and DAM Capital Advisors for organizing this call, and welcome to all participants. Today's earning call and discussions and answer given may include some looking statements based on our current business expectation. This must be viewed in conjunction with risks that pharmaceutical business faces. Our actual financial performance You may use your own judgment on information given during the call. Our domestic business had a growth of around 11%. And overall, for the whole of the year, it has growing company among the share. In last quarter of Q4 also, we have 07% from 1.8% in

Both on acute and chronic segment, we had delivered better growth compared to the market. If market growth was around 8%, Ipca delivered at a growth of around 13.2%. On acute segment, the market growth was 6.9% . Ipca delivered around 10

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You will recall that has helped our company to get better share from metro market. For market, let's say, from 2022 to 2025. The chronic 30 metro cities are giving a contribution of around around 32.66%, which has moved around a 34.19% in '25. So there is cities contribution to the market has gone up by 1. 53%. But as far as Ipca is concerned, our market share in '22 was around 32.65% for all 30 metro cities. It has now moved to around 37.52%. So there is a significant increase of almost around 4.67% contribution, which is coming from metro. So that is helped by our overall metro city coverage, which post the reasons that we are also growing faster in the market. Our export formulation business around 10% for FY '25 from formulation business has delivered a growth of around 3%. Generic business delivered a growth of around 15% from And for full financial year, the business has grown to around crores.

So there is a growth of around 7% in overall branded business, which includes the institutional business. The lower growth for the financial year in generic business is mainly due to decline in business in South Africa from around 74%, that's mainly on account of the loss of certain tenders in South African market. Our API business has delivered a growth of 2% for the quarter whole of the financial

current year, improved our margins trend. Overall, if you look at stand margins is at around 21.19% as against 18.5% in Q4 '24. There is an improvement of almost around 2.66% and absolute term your EBITDA margin has gone up from around INR 347 Stand-alone FY '25 EBITDA margins is around 22.66% as against 19.29% for FY '24. There's an improvement of almost around INR1,189 crores 27%.

Consolidated EBITDA margins for Q4 is at around 18. 24% as against 14.98% in Q4 FY '24. There is again improvement of almost around 3.26%. And overall EBITDA has gone from INR 305 crores to EBITDA margin for FY '25 is at around 18.94% as against 16.72% in FY '24, an improvement of around 2.22%. And overall EBITDA margins has gone up from INR1,693 crores 31%. And we have delivered better margins as against the guidelines given for the year. Our overall guidance for the year was around 18% kind of consolidated EBITDA margin as against that, we have delivered around 18.94% overall. Our subsidiary Unich Ipca Laboratories L

Page 3 of 14 You will recall that post- COVID, we have increased our coverage to the metro cities, and that has helped our company to get better share from metro market. For market, let's say, from 2022 to 2025. The chronic 30 metro cities are giving a contribution of around around 32.66%, which has moved around a 34.19% in '25. So there is an

cities contribution to the market has gone up by 1.53%.

But as far as Ipca is concerned, our market share in '22 was around 32.65% for all 30 metros now moved to around 37.52%. So there is a significant increase of almost around 4.67% contribution, which is coming from metro. So that is helped by our overall metro city coverage, which post-COVID, we have changed that and that has given us -- the reasons that we are also growing faster in the market. Our export formulation business -- the branded formulation business has delivered a growth of around 10% for FY '25 from INR527 crores to around INR 582 crores. For Q4, branded business has delivered a growth

of around 3%. Generic business delivered a growth of around 15% from INR312 crores to around INR 357 crores for the quarter FY '25. And for full financial year, the business has grown to around INR 1,336 crores from 1,248 crores. So there is a growth of around 7% in overall branded business, which includes the institutional business. The lower growth for the financial year in generic business is mainly due to decline in business in South Africa from INR113 crores to around INR39 crores, a decline of almost around 74%, that's mainly on account of the loss of certain tenders in South African market. Our API business has delivered a growth of 2% for the quarter -- for the Q4 2025. And for the whole of the financial year, there is just a 1% growth in the API business. So we have, in the current year, improved our margins trend. Overall, if you look at stand-alone Q4 EBITDA margins is at around 21.19% as against 18.5% in Q4 '24. There is an improvement of almost 2.66% and absolute term your EBITDA margin has gone up from 347 crores, an increase of almost around 24%.

alone FY '25 EBITDA margins is around 22.66% as against 19.29% for FY '24. There's an improvement of almost around 3.37%. And overall EBITDA margins has gone up from 347 crores to around INR1,533 crores, and there is an overall increase of almost around 43%. Consolidated EBITDA margins for Q4 is at around 18.24% as against 14.98% in Q4 FY '24. There is again improvement of almost around 3.26%. And overall EBITDA has gone from 305 crores to INR 410 crores. There is an increase of almost around 35%. Consolidated EBITDA margin for FY '25 is at around 18.94% as against 16.72% in FY '24, an improvement of around 2.22%. And overall EBITDA margins has gone up from INR 347 crores. There is an improvement of almost around -- an increase of almost a 31%. And we have delivered better margins as against the guidelines given for the year. Our overall guidance for the year was around 18% kind of consolidated EBITDA margin as against that, we have delivered around 18.94% overall. Our subsidiary Unichem has delivered Laboratories Limited May 30, 2025

COVID, we have increased our coverage to the metro cities, and that has helped our company to get better share from metro market. For market, let's say, from 2022 to 2025. The chronic 30 metro cities are giving a contribution of around -- in 2022, it was increase of metro

But as far as Ipca is concerned, our market share in '22 was around 32.65% for all 30 metros now moved to around 37.52%. So there is a significant increase of almost around 4.67% contribution, which is coming from metro. So that is helped by our overall metro city -- and that's one of

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So there is a growth of around 7% in overall branded business, which includes the institutional business. The lower growth for the financial year in generic business is mainly due to decline in business in South Africa from INR113 crores to around INR39 crores, a decline of almost around 74%, that's mainly on account of the loss of certain tenders in South African market.

Our API business has delivered a growth of 2% for the quarter -- for the Q4 2025. And for the whole of the financial year, there is just a 1% growth in the API business. So we have, in the current year, improved our margins trend. Overall, if you look at stand-alone Q4 EBITDA margins is at around 21.19% as against 18.5% in Q4 '24. There is an improvement of almost 2.66% and absolute term your EBITDA margin has gone up from INR279 crores to around INR1,533 crores, and there is an overall increase of almost around 43%. Consolidated EBITDA margins for Q4 is at around 18.24% as against 14.98% in Q4 FY '24. There is again improvement of almost around 3.26%. And overall EBITDA has gone from 305 crores to INR 410 crores. There is an increase of almost around 35%. Consolidated EBITDA margin for FY '25 is at around 18.94% as against 16.72% in FY '24, an improvement of around 2.22%. And overall EBITDA margins has gone up from INR 347 crores. There is an improvement of almost around -- an increase of almost a 31%. And we have delivered better margins as against the guidelines given for the year.

Our overall guidance for the year was around 18% kind of consolidated EBITDA margin as against that, we have delivered around 18.94% overall. Our subsidiary Unichem has delivered Laboratories Limited May 30, 2025

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EBITDA margin for FY '25 is at around 18.94% as against 16.72% in FY '24, an improvement INR 1,288 crores to an increase of almost a round 31%. And we have delivered better margins as against the guidelines given for the year. Our overall guidance for the year was around 18% kind of consolidated EBITDA margin as we have delivered

a consolidated growth of around 18% from business, an improvement in EBITDA margin from crores. And in percentage term from 4.87% to around 12.55%. And if you look at last 2 quarters, EBITDA margin, it was in the range of around 14% to 16%. With overall improvement in business as well as improvement in operational efficiencies, we could deliver the overall better EBITDA margins for Unichem. The guidance for next financial year around 8% to 10% in the FY '25 and we expect our EBITDA margins to further improve by around 1% consolidated basis for the year.

Having given the broad numbers, now I'll request participants to ask for questions.

Moderator: Thank you very much.

PhillipCapital.

Surya Narayan Patra: Sir, my first question about the U.S. business potential, see have done. So now since we have integrated Unichem fully, so what is the U.S. revenue that we would have reported in the consolidated number for that market? And also, if you some sense now since it is integrated, part of our U.S. business is getting routed through them also.

So like -- in terms of the product that you would have added. So if you can give some U.S. sales that we have added this year because of our own

U.S. number that we have seen for the group as a whole? And what is our outlook that we would be having for FY '26, sir

Ajit Kumar: As far as Ipca is concerned, U.S. has not made any significant overall contribution to the overall generic business, I think we have stand worth around

quarter, very small shipment has happened in the earlier quarters. So overall, and as transit time and all put together, I think on a consolidated basis, it is just contributing around crores or INR

So it has not contributed a significant business in the current financial year. We have just, I think, in last financial year, we have shipped around the 3 products and fourth product was shipped in the month of March. And I think in current year, we will have 7 more products.

So I think overall, the current year, I think overall U.S. business should contribute around INR100 crores for U.S. business Ipca Laboratories Ltd

Page 4 of 14 a consolidated growth of around 18% from INR1,785 crores to around INR 2,211 business, an improvement in EBITDA margin from INR87 crores to almost around . And in percentage term from 4.87% to around 12.55%.

And if you look at last 2 quarters, EBITDA margin, it was in the range of around 14% to 16%. With overall improvement in business as well as improvement in operational efficiencies, we could deliver the overall better EBITDA margins for Unichem.

For next financial year -- current financial year is that we'll continue to grow around 8% to 10% in the FY '25 and we expect our EBITDA margins to further improve by around 1% consolidated basis for the -- from 18.94% to around 20% for the current financial year. Having given the broad numbers, now I'll request participants to ask for questions.

Thank you very much. First question is from the line of Surya Narayan Patra from PhillipCapital. Please go ahead.

question about the U.S. business potential, see -- and U.S. business that we would have done. So now since we have integrated Unichem fully, so what is the U.S. revenue that we would have reported in the consolidated number for that market? And also, if you some sense now since it is integrated, part of our U.S. business is getting routed through them in terms of the product -- new product introductions and the incremental business that you would have added. So if you can give some sense that, okay, what is the incremental U.S. sales

that we have added this year because of our own product? And what is the overall U.S. number that we have seen for the group as a whole? And what is our outlook that we would be having for FY '26, sir?

As far as Ipca is concerned, U.S. has not made any significant overall contribution to the overall generic business, I think we have stand-alone basis, I think we have shipped goods worth around INR65 crores, but most of the shipment has happened in the third and fourth quarter, very small shipment has happened in the earlier quarters. So overall, and as transit time and all put together, I think on a consolidated basis, it is just contributing around INR 23 crores kind of business.

So it has not contributed a significant business in the current financial year. We have just, I think, in last financial year, we have shipped around the 3 products and fourth product was shipped in the month of March. And I think in current year, we will be shipping almost around 7 more products.

So I think overall, the current year, I think overall U.S. business should contribute around crores for us in the current financial year. That is what is our internal budgets are there for U.S. business for final sales in U.S. market. And as far as Unichem is concerned, Unichem Laboratories Limited May 30, 2025

2,211 crores overall

to almost around INR265

and if you look at last 2 quarters, EBITDA margin, it was in the range of around 14% to 16%.

With overall improvement in business as well as improvement in operational efficiencies, we current financial year is that we'll continue to grow

around 8% to 10% in the FY '25 and we expect our EBITDA margins to further improve by from 18.94% to around 20% for the current financial

Having given the broad numbers, now I'll request participants to ask for questions.

First question is from the line of Surya Narayan Patra from and U.S. business that we would

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And what is the overall

U.S. number that we have seen for the group as a whole? And what is our outlook that we

As far as Ipca is concerned, U.S. has not made any significant overall contribution to the alone basis, I think we have shipped goods

in the third and fourth

quarter, very small shipment has happened in the earlier quarters. So overall, and as transit time and all put together, I think on a consolidated basis, it is just contributing around INR22

So it has not contributed a significant business in the current financial year. We have just, I think, in last financial year, we have shipped around the 3 products and fourth product was will be shipping almost around

So I think overall, the current year, I think overall U.S. business should contribute around for us in the current financial year. That is what is our internal budgets are there for final sales in U.S. market. And as far as Unichem is concerned, Unichem

had achieved a U.S. business of around previous financial year.

So they have delivered overall growth of around 22% , but this also includes the business of Bayshore, which was earlier group with Ipca and now it is grouped with Unichem now. So around 22% growth they have delivered. And overall, Unichem has delivered a the financial year, a growth of almost around 19% in the overall turnover. And I think including other income, it's around 18% overall delivered.

Surya Narayan Patra: Sure, sir. Sir, just an extended point integrated, our R&D also should have seen some kind of integration because at the time of acquisition itself that you have been talking about rationalizing

the consolidated R&D spend

by -- so -- what is

witnessing. So going ahead, what would be your spend for the group as a whole or for let's say, on a consolidated level basis? And what R&D priorities that you would be having going a in terms of ANDAs in terms of APIs.

Ajit Kumar: I think Ipca has already started filing. I think first filing has been done in the month of April in current year. And I think in current year, we should file almost around 6 to 7 products. And overall, we have capacity to develop almost around 20 products, so which globally for India, ROW and all these other developed markets. So overall, that's the kind of development will happen. As far as R&D expenditures are concerned, we are at all currently around 3.25% as far as the Ipca concerned . And the stand

And this also includes the biotech, and this expenditure is likely to be around 4% in the current financial year. And as far as Unichem is concerned, their business development cycle because initially, their focus was shifted towards overall let's say, market extensions and filings in the various markets of their existing product going on.

And I think they will also be

done is, whatever duplications was there, that has been avoided. But rest, Unichem team is independently doing their work and Ipca team is independent. So nobody from Ipca, let's say, the senior management is, let's say, our operating management of R&D of Ipca is not supervising the Unichem R&D. Unichem R&D is completely independent.

Surya Narayan Patra: Okay. Just last 1 question from my side, sir. So in fact, the export growth generally is because our export was considered to be the growth engine for Ipca some time back. But in the recent period that obviously we have seen

impurity issue in a couple of products and initiated by the Euro

And this year, FY '25 numbers are also kind of similarly weak, so like how should one really think about it? The

in the South African market. Is it because of the cost issue

about your overall export growth plans because that used to be the kind of a real driver for us. Ipca Laboratories Limited

Page 5 of 14 had achieved a U.S. business of around INR1,317 crores as against INR previous financial year.

So they have delivered overall growth of around 22% , but this also includes the business of Bayshore, which was earlier group with Ipca and now it is grouped with Unichem now. So around 22% growth they have delivered. And overall, Unichem has delivered a the financial year, a growth of almost around 19% in the overall turnover. And I think including other income, it's around 18% overall -- is the overall growth Unichem has Sure, sir. Sir, just an extended point on the U.S. business itself. So now since Unichem is integrated, our R&D also should have seen some kind of integration because at the time of acquisition itself that you have been talking about rationalizing the consolidated R&D spend what is the kind of -- because there is no greater filing momentum that we are witnessing. So going ahead, what would be your spend for the group as a whole or for let's say, on a consolidated level basis? And what R&D priorities that you would be having going a in terms of ANDAs in terms of APIs.

I think Ipca has already started filing. I think first filing has been done in the month of April in current year. And I think in current year, we should file almost around 6 to 7 ucts. And overall, we have capacity to develop almost around 20 products, so which globally for India, ROW and all these other developed markets. So overall, that's the kind of development will happen. As far as R&D expenditures are concerned, we are at all currently around 3.25% as far as the Ipca concerned . And the stand-alone I'm talking.

And this also includes the biotech, and this expenditure is likely to be around 4% in the current financial year. And as far as Unichem is

concerned, their business development, overall

development cycle because initially, their focus was shifted towards overall let's say, market extensions and filings in the various markets of their existing products. So that journey is

And I think they will also be filing around 3 to 4 products in current year. So what we have done is, whatever duplications was there, that has been avoided. But rest, Unichem team is independently doing their work and Ipca team is independent. So nobody from Ipca, let's say, senior management is, let's say, our operating management of R&D of Ipca is not supervising the Unichem R&D. Unichem R&D is completely independent.

Okay. Just last 1 question from my side, sir. So in fact, the export growth generally is because our export was considered to be the growth engine for Ipca some time back. But in the recent period that obviously we have seen -- they have faced challenges because of, let's say, the impurity issue in a couple of products and initiated by the European.

And this year, FY '25 numbers are also kind of similarly weak, so like how should one really think about it? The -- and you also mentioned about a couple of this thing contract getting lost in the South African market. Is it because of the cost issue or so could you give some sense

about your overall export growth plans because that used to be the kind of a real driver for us. Laboratories Limited May 30, 2025

INR 1,077 crores in

So they have delivered overall growth of around 22% , but this also includes the business of Bayshore, which was earlier group with Ipca and now it is grouped with Unichem now. So around 22% growth they have delivered. And overall, Unichem has delivered a -- for whole of the financial year, a growth of almost around 19% in the overall turnover. And I think is the overall growth Unichem has

on the U.S. business itself. So now since Unichem is

integrated, our R&D also should have seen some kind of integration because at the time of acquisition itself that you have been talking about rationalizing the consolidated R&D spend because there is no greater filing momentum that we are witnessing. So going ahead, what would be your spend for the group as a whole or for let's say, on a consolidated level basis? And what R&D priorities that you would be having going ahead I think Ipca has already started filing. I think first filing has been done in the -- I think, in the month of April in current year. And I think in current year, we should file almost around 6 to 7 products. And overall, we have capacity to develop almost around 20 products, so which globally for India, ROW and all these other developed markets. So overall, that's the kind of development will happen. As far as R&D expenditures are concerned, we are at almost around alone I'm talking. And this also includes the biotech, and this expenditure is likely to be around 4% in the current business development, overall development cycle because initially, their focus was shifted towards overall let's say, market. So that journey is the filing around 3 to 4 products in current year. So what we have done is, whatever duplications was there, that has been avoided. But rest, Unichem team is independently doing their work and Ipca team is independent. So nobody from Ipca, let's say, for management is, let's say, our operating management of R&D of Ipca is not. Okay. Just last 1 question from my side, sir. So in fact, the export growth generally is been -- our export was considered to be the growth engine for Ipca some time back. But in the recent they have faced challenges because of, let's say, the And this year, FY '25 numbers are also kind of similarly weak, so like how should one really and you also mentioned about a couple of this thing contract getting lost or so could you give some sense about your overall export growth plans because that used to be the kind of a real driver for us.

Ajit Kumar: And let's say, overall export formulation business will continue to have a growth of around 10% to 11% for us. And

is gearing up and already as I talked that we should be able to do almost around development of around 20 products in a year. So that is what is currently happening and I think the U.S. market and Europe market and all. Now a number of filings are all increasing now.

Surya Narayan Patra: Okay. But the guidance showcasing any kind of synergy benefit of acquisition or the c It is a normalized growth possibly which we just maintained.

Ajit Kumar: So Unichem's portfolio, I think, let's say, filings have started happening, but approvals will take some more time. So till the time those approvals guidelines. So as and when those approvals will come, we will start adding those products to our overall --

Surya Narayan Patra: Is it more about non

Ajit Kumar: Yes, it's a non

Moderator: Next question is from the line of Damayanti Kerai from HSBC.

Damayanti Kerai: My question is again on export market. So if you can talk a bit more about performance in key markets like U.S., Australi

And for these markets, specifically the bigger one, like on an overall basis, you mentioned 10% to 11%, but if you can also talk like how should we look at growth in these bigger market in both generics and branded parts.

Harish Kamath: As far as the branded formulation business is concerned, we have grown this year by around 10%. CIS, which is the large branded promotional market, the growth is muted at around 2%.

And for the current financial business. Apart from CIS market, all other markets have grown well in the branded generic business of ROW market.

West Africa has grown by 34%. Latin America has grown by 17%. And Southeast Asia has grown by 24%. Only in case of Middle East, Africa, there is a degrowth of about 21%. It is a small market contributing around

As far as the generic business is concerned, Europe has grown by 12% grown by 10%. And U.S. is a new market. Last year, there was no sale this year, the sale is around INR 65 crores. Australia and New Zealand, there is some inventory so there is a degrowth of around 11% from

INR268 crores

Canada, there is hardly any growth,

INR113 crores

products, there is a degrowth of around 65%. So overall, generic business is flat Ipca Laboratories L

10% to 11% for us. And we are now working on to say, expediting our filings I think R&D is gearing up and already as I talked that we should be able to do almost around development of around 20 products in a year. So that is what is currently happening and I think the U.S. market and Europe market and all. Now a number of filings are all increasing now.

Okay. But the guidance -- growth guidance that you have mentioned 10%. So that is in no way showcasing any kind of synergy benefit of acquisition or the cross-selling benefit or anything. It is a normalized growth possibly which we just maintained.

So Unichem's portfolio, I think, let's say, filings have started happening, but approvals will take some more time. So till the time those approvals come, we are not including them in our guidelines. So as and when those approvals will come, we will start adding those products to our basket, yes. So that is taking some time.

Is it more about non-U.S. market, sir?

Yes, it's a non-U.S. market. Yes.

Next question is from the line of Damayanti Kerai from HSBC.

My question is again on export market. So if you can talk a bit more about performance in key markets like U.S., Australia and New Zealand, et cetera, as well as in some branded market.

And for these markets, specifically the bigger one, like on an overall basis, you mentioned 10% to 11%, but if you can also talk like how should we look

at growth in these bigger market

th generics and branded parts.

As far as the branded formulation business is concerned, we have grown this year by around 10%. CIS, which is the large branded promotional market, the growth is muted at around 2%.

And for the current financial year, we are guiding a growth of around 10% from the CIS business. Apart from CIS market, all other markets have grown well in the branded generic business of ROW market.

West Africa has grown by 34%. Latin America has grown by 17%. And Southeast Asia has grown by 24%. Only in case of Middle East, Africa, there is a degrowth of about 21%. It is a small market contributing around INR70 crores.

As far as the generic business is concerned, Europe has grown by 12% --

grown by 10%. And U.S. is a new market. Last year, there was no sale this year, the sale is 65 crores. Australia and New Zealand, there is some inventory

there is a degrowth of around 11% from INR 301 crores, the market has come down to around crores.

Canada, there is hardly any growth, INR 116 crores was last year. This year, it is around crores. And South Africa, Mr. Jain has already said, because of loss of certain tender

products, there is a degrowth of around 65%. So overall, generic business is flat Laboratories Limited May 30, 2025

And let's say, overall export formulation business will continue to have a growth of around

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market and Europe market and all. Now a number of filings are all increasing now.

growth guidance that you have mentioned 10%. So that is in no way

selling benefit or anything.

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guidelines. So as and when those approvals will come, we will start adding those products to My question is again on export market. So if you can talk a bit more about performance in key

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And for these markets, specifically the bigger one, like on an overall basis, you mentioned

10% to 11%, but if you can also talk like how should we look at growth in these bigger market

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business. Apart from CIS market, all other markets have grown well in the branded generic

West Africa has grown by 34%. Latin America has grown by 17%. And Southeast Asia has

grown by 24%. Only in case of Middle East, Africa, there is a degrowth of about 21%. It is a sorry, Europe has

grown by 10%. And U.S. is a new market. Last year, there was no sale this year, the sale is 65 crores. Australia and New Zealand, there is some inventory rationalization. So

301 crores, the market has come down to around

116 crores was last year. This year, it is around

s already said, because of loss of certain tender

products, there is a degrowth of around 65%. So overall, generic business is flat INR981 crores

last year. This year also have grown to a

So including institutional business, overall generic business there is a growth of 7%. The total export business there is a growth of 8%. So 10% is promotional market, and generic market, including institutional business, there is a growth of about 10%.

Damayanti Kerai: Okay. Sir, just a question, CIS, like why we saw a 2% growth? What has happened there?

Harish Kamath: It is mainly because of the INR 90, now it has come down to

Damayanti Kerai: Okay. Okay. And then my second question is...

Harish Kamath: Even though the

re i

currency fluctuation.

Damayanti Kerai: Okay. So volumes were healthy, but because of this currency fluctuation on a reported basis...

Harish Kamath: That is right. Yes, yes.

Damayanti Kerai: Okay. That's helpful. My second question is if you can update on some of the newer projects, which Ipca was working on, so some new plants, etc etc, where work has been ongoing for last year or so. So if you can update on those.

Harish Kamath: Four of the manufacturing the current financial year, that include monoclonal antibody facility, which is coming up at Pithampur, Madhya Pradesh. So one intermediate API manufacturing facility Wardha near Nagpur.

One new formulation facility for domestic market is coming up at Dewas. So these are the 3 manufacturing facilities that are coming up in India, and 1 more greenfield manufacturing facilities being set up by Pisgah w

facility will also start trial production in the current financial year. It will be injectable and oral liquids.

Damayanti Kerai: So all the plants, they will start...

Harish Kamath: Trial production will start in the current financial year.

Damayanti Kerai: Okay. And then scale up should be more visible in coming years, right? So this year mainly...

Harish Kamath: That is right. FY '27 and '28 onwards, you will see some scale up in the business.

Damayanti Kerai: Okay. And my last question is on Unichem, although like margins have moved up substantially. But when do we see it moving closer to the consolidated average because during, I guess, the deal, there was talk about cross Ipca Laboratories L

Page 7 of 14 last year. This year also INR981 crores, whereas institutional business from INR have grown to a round INR355 crores, a growth of around 33%.

So including institutional business, overall generic business there is a growth of 7%. The total export business there is a growth of 8%. So 10% is promotional market, and generic market, including institutional business, 7%. So overall, generic business, there is a formulation business, there is a growth of about 10%.

Okay. Sir, just a question, CIS, like why we saw a 2% growth? What has happened there?

It is mainly because of this is currency fluctuation because dollar versus rupee rate. So it crossed 90, now it has come down to INR 79. So we feel this year, the growth will be better.

Okay. Okay. And then my second question is...

Even though there is a volume growth in the market. Value growth is only 2% because of the currency fluctuation.

Okay. So volumes were healthy, but because of this currency fluctuation on a reported basis... That is right. Yes, yes.

Okay. That's helpful. My second question is if you can update on some of the newer projects, which Ipca was working on, so some new plants, etc etc, where work has been ongoing for last year or so. So if you can update on those.

Four of the manufacturing -- new manufacturing greenfield plant will start trial production in the current financial year, that include monoclonal antibody facility, which is coming up at Pithampur, Madhya Pradesh. So one intermediate API manufacturing facility Wardha near Nagpur.

One new formulation facility for domestic market is coming up at Dewas. So these are the 3 manufacturing facilities that are coming up in India, and 1 more greenfield manufacturing facilities being set up by Pisgah which is our step-down subsidiary in North Carolina. So that facility will also start trial production in the current financial year. It will be injectable and oral So all the plants, they will start...

tion will start in the current financial year.

Okay. And then scale up should be more visible in coming years, right? So this year mainly...

That is right. FY '27 and '28 onwards, you will see some scale up in the business.

Okay. And my last question is on Unichem, although like margins have moved up substantially. But when do we see it moving closer to the consolidated average

rage because during,

I guess, the deal, there was talk about cross-market selling, et cetera. So I understand on the Laboratories Limited May 30, 2025

INR 267 crores, we

So including institutional business, overall generic business there is a growth of 7%. The total export business there is a growth of 8%. So 10% is promotional market, and generic market, I business, 7%. So overall, generic business, there is a formulation

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Okay. That's helpful. My second question is if you can update on some of the newer projects, which Ipca was working on, so some new plants, et cetera, where work has been ongoing for new manufacturing greenfield plant will start trial production in

the current financial year, that include monoclonal antibody facility, which is coming up atility is coming at

One new formulation facility for domestic market is coming up at Dewas. So these are the 3 manufacturing facilities that are coming up in India, and 1 more greenfield manufacturing down subsidiary in North Carolina. So that

facility will also start trial production in the current financial year. It will be injectable and oral

Okay. And then scale up should be more visible in coming years, right? So this year mainly...

That is right. FY '27 and '28 onwards, you will see some scale up in the business.

Okay. And my last question is on Unichem, although like margins have moved up substantially. But when do we see it moving closer to the consolidated average because during, etera. So I understand on the

raw material also procurement part, a lot of synergies has been achieved, but what about other margin drivers for the Unichem portfolio.

Harish Kamath: No, no, whatever guidance we gave at the time of acquisition of Unichem, is work in progress. Since it is a regulated business, everywhere, there are issues relating to those year application, registration, all those things are going on. The benefit of all this integration, what we spoke at the time of acquisition, current financial year onwards.

Damayanti Kerai: Okay. So '26 onwards, we should be seeing some more ...

Harish Kamath: Yes, you will start seeing the benefit.

Ajit Kumar: See we were talking around [

of its operation. And I think we already achieved a round INR264 crores overall in Unichem.

That is without, let's say, not a single API of Ipca is qualified as still in the Unichem because they are work in progress. And not a single product of Unichem has been approved in other markets. So all those synergies are yet to

on continuously keep on improving.

Damayanti Kerai: Okay, sir. And as some

onwards, we should be seeing a better pickup in the margins?

Ajit Kumar: Yes.

Moderator: Next question is from the line of Chintan Doshi, an individual investor.

Chintan Doshi: Sir, I see a lot of activities are going at the Pithampur facility that has belonged to the Unichem laboratory, right? So as you already mentioned...

Harish Kamath: That is API facility.

Chintan Doshi: Right. So can you give us a light like are we

start or how it is like it is going to contribute from this year onwards? Or we are looking just

the number will be going to contribute next year onwards?

Harish Kamath: It will be some next financial year onwards.

will happen only in the next financial year.

Moderator: Next question is from the line of Shiva from Purnatha Investment Advisors.

Shiva: So my first question is with respect to the

crores. If you could just throw some light on the breakup of where we spend the amount and for the next year, what will be the total

Har

ish Kamath: Apart from routine maintenance

level. I told you 4 projects are currently under implementation, which will start trial production in the current financial year. Ipca Laboratories Limited

Page 8 of 14 raw material also procurement part, a lot of synergies has been achieved, but what about other margin drivers for the Unichem portfolio.

No, no, whatever guidance we gave at the time of acquisition of Unichem, is

work in progress. Since it is a regulated business, everywhere, there are issues relating to those year application, registration, all those things are going on. The benefit of all this integration, what we spoke at the time of acquisition, hopefully, we'll start yielding some benefit from the current financial year onwards.

Okay. So '26 onwards, we should be seeing some more ...

Yes, you will start seeing the benefit.

See we were talking around [INR300 crores kind of 24:07] EBITDA margins after 2 full year of its operation. And I think we already achieved a round INR264 crores overall in Unichem.

That is without, let's say, not a single API of Ipca is qualified as still in the Unichem because work in progress. And not a single product of Unichem has been approved in other markets. So all those synergies are yet to -- yet to be. But still, let's say, the margins will keep on continuously keep on improving.

Okay, sir. And as some of these factors start delivering, as you mentioned, maybe this year onwards, we should be seeing a better pickup in the margins?

Next question is from the line of Chintan Doshi, an individual investor.

See a lot of activities are going at the Pithampur facility that has belonged to the Unichem laboratory, right? So as you already mentioned...

That is API facility.

Right. So can you give us a light like are we -- like it is a start -- trial production is going to start or how it is like it is going to contribute from this year onwards? Or we are looking just the number will be going to contribute next year onwards?

It will be some next financial year onwards. This year, trial production will start, but scale up will happen only in the next financial year.

Next question is from the line of Shiva from Purnatha Investment Advisors.

So my first question is with respect to the capex. We've spent somewhere about crores. If you could just throw some light on the breakup of where we spend the amount and for the next year, what will be the total capex of our company.

Apart from routine maintenance capex, which will be around INR250 crores, level. I told you 4 projects are currently under implementation, which will start trial production in the current financial year. Laboratories Limited

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raw material also procurement part, a lot of synergies has been achieved, but what about other No, no, whatever guidance we gave at the time of acquisition of Unichem, many things are work in progress. Since it is a regulated business, everywhere, there are issues relating to those year application, registration, all those things are going on. The benefit of all this integration, hopefully, we'll start yielding some benefit from the

] EBITDA margins after 2 full year

of its operation. And I think we already achieved a round INR264 crores overall in Unichem.

That is without, let's say, not a single API of Ipca is qualified as still in the Unichem because work in progress. And not a single product of Unichem has been approved in other yet to be. But still, let's say, the margins will keep

some of these factors start delivering, as you mentioned, maybe this year

see a lot of activities are going at the Pithampur facility that has belonged to the Unichem trial production is going to

start or how it is like it is going to contribute from this year onwards? Or we are looking just

This year, trial production will start, but scale up

somewhere about INR775

crores. If you could just throw some light on the

breakup of where we spend the amount and

0 crores, INR300 crores

level. I told you 4 projects are currently under implementation, which will start trial production

Shiva: Okay. And the breakup of what

Harish Kamath: So around \$20 million is for the injectable and oral liquid facility that is coming up at North Carolina, U.S. around

at Dewas, another

at Nagpur, plus monoclonal antibody facility another around

major capexes, which will get capitalized in the current financial year, and all those facility will start trial production. In this financial year

Shiva: Okay. So biosimilar one, you had something in Pithampur that is the same?

Harish Kamath: That is the same one, which we'll start trial production in the current financial year.

Shiva: Okay. And you've given the overall guidance

How are the Unichem and the stand

mean, at the stand

level?

Harish Kamath: Unichem current

margin. So whatever guidance we gave at the time of acquisition of Unichem, they achieved that 1 year before our guidance. Hopefully, current year also, this should improve their EBITDA margin

But whatever

market where they are not present as of now, Australia and New Zealand, Europe, that work in progress, that benefit will come perhaps a year after next year. So dossiers are getting filed, it will get registered, then we will slowly start marketing their product.

Shiva: Understood. And as of now that the Bayshore is only INR 2,011 crores that they...

Harish Kamath: No, no, Bayshore is about 1st of October.

Shiva: Okay. You said we had only

Harish Kamath: No, no, that is generic formulation through Unichem in the U.S. So from our side...

Shiva: Unichem also use Bayshore's...

Harish Kamath: Bayshore, I don't manufacture anything for Bayshore other facilities, including from Bangladesh and all.

Shiva: Okay. Okay. And with respect to the stand institution with respect to the funding issues that U.S. has cut down that for the next year? What kind of institutional growth are you looking at? Ipca Laboratories L

Page 9 of 14 Okay. And the breakup of what -- where we are spending in.

So around \$20 million is for the injectable and oral liquid facility that is coming up at North Carolina, U.S. around INR 250 crores for a formulation facility for domestic market coming up at Dewas, another INR 200 crores, INR 250 crores for API and intermediate facility coming up at Nagpur, plus monoclonal antibody facility another around INR 250 crores. These are the , which will get capitalized in the current financial year, and all those facility will start trial production. In this financial year, that is FY '26.

Okay. So biosimilar one, you had something in Pithampur that is the same?

That is the same one, which we'll start trial production in the current financial year.

Okay. And you've given the overall guidance of 8% to 10% and EBITDA margin of 20%.

How are the Unichem and the stand-alone breakup? Like if you could just throw some light? I mean, at the stand-alone level, how do you look at the growth and the margin at Unichem Unichem currently around INR 2,000 crores annual sales and around 14%, 15% EBITDA margin. So whatever guidance we gave at the time of acquisition of Unichem, they achieved that 1 year before our guidance. Hopefully, current year also, this should improve their EBITDA margin by about 1% and about 8% to 10% growth in the top line.

But whatever -- the synergy of our acquisition of Unichem, their products we are taking to the market where they are not present as of now, Australia and New Zealand, Europe, that work in , that benefit will come perhaps a year after next year. So dossiers are getting filed, it will get registered, then we will slowly start marketing their product.

Understood. And as of now that the Bayshore is only INR 22 crores in Unichem's revenue 2,011 crores that they...

No, no, Bayshore is about INR 150 crores, you could say top li

ne. Unichem acquired that from

1st of October.

Okay. You said we had only INR 22 crores of sales in U.S.

No, no, that is Ipca. So we also post our -- yes, yes, facility clearance, we started marketing our generic formulation through Unichem in the U.S. So from our side...

Unichem also use Bayshore's...

Bayshore, I don't manufacture anything for Bayshore. Bayshore is acquiring products from other facilities, including from Bangladesh and all.

Okay. Okay. And with respect to the stand-alone, we had something about the institution with respect to the funding issues that U.S. has cut down. How are we looking at that for the next year? What kind of institutional growth are you looking at? Laboratories Limited May 30, 2025

So around \$20 million is for the injectable and oral liquid facility that is coming up at North 250 crores for a formulation facility for domestic market coming up intermediate facility coming up 250 crores. These are the , which will get capitalized in the current financial year, and all those facility will That is the same one, which we'll start trial production in the current financial year. of 8% to 10% and EBITDA margin of 20%.

alone breakup? Like if you could just throw some light? I alone level, how do you look at the growth and the margin at Unichem annual sales and around 14%, 15% EBITDA margin. So whatever guidance we gave at the time of acquisition of Unichem, they achieved that 1 year before our guidance. Hopefully, current year also, this should improve their the synergy of our acquisition of Unichem, their products we are taking to the market where they are not present as of now, Australia and New Zealand, Europe, that work in , that benefit will come perhaps a year after next year. So dossiers are getting filed, it 2 crores in Unichem's revenue in , you could say top line. Unichem acquired that from yes, yes, facility clearance, we started marketing our . Bayshore is acquiring products on from alone, we had something about the -- in the . How are we looking at

Harish Kamath: There is no exact clarity in that. Having said this , we are hoping we should grow that institutional business in the current financial year more because a year before our injectable line was undergoing some modernization and all, that is why the sales were less in FY '24. That is why you feel current year that is FY '25 growth is higher in the institutional business. From that level also, we see this year also we should grow that business maybe around 8% to 10%.

Shiva: Okay. And how do you look at the API things sizes wise? Are there any stability that is coming? Or how do you look at your API, volume and the price.

Harish Kamath: API business and pricing was at peak during COVID time. From that time onwards, there is a consistent downward trend in the API pricing. So even though we have improved our volume compared to what we sold in the prices continuously coming down. But now there is a stability slowly, we feel it will start slightly improving from this level. So in the current financial year...

Shiva: The volume growth will be the

Harish Kamath: That is correct. Yes. So FY '26, you will see volume growth as well as price growth when it comes to the API business.

Shiva: And how are you looking at it after like in the second growth? Or you look gradually...

Harish Kamath: We are seeing some picking up in the market in the fourth quarter itself.

Shiva: Okay. And the domestic one. So consistently, we've been doing share, and we've done quite good in the domestic arena. So you feel that will be will I keep winning market share in [domestic?

Harish Kamath: Next 3 to 4 years, we will That is what is our guidance.

Moderator: Next question is from the line of Kunal Randeria from Axis Capital.

Kunal Randeria: Sir, you have, I think, around 7,000 marketing reps in India. So which means the PCPM is just over 4 lakhs. So with your current portfolio, what do you think will be the optimum

Harish Kamath: See, now the business is growing

g around 12%. If

man productivity also increased by 12%. But having said that, every year, we add in the normal circumstances, 400 to 500 people just to take care of increase in the medical practitioners and all. So that trend will much per man productivity because of our nature of products, what we market, anti where volumes are very high, value is very low. So that also has some impact on this per man productivity. Ipca Laboratories Ltd

Page 10 of 14 There is no exact clarity in that. Having said this , we are hoping we should grow that institutional business in the current financial year also. That is FY '26. This year, the growth is more because a year before our injectable line was undergoing some modernization and all, that is why the sales were less in FY '24. That is why you feel current year that is FY '25 growth is higher in the institutional business. From that level also, we see this year also we should grow that business maybe around 8% to 10%.

Okay. And how do you look at the API things sizes wise? Are there any stability that is coming? Or how do you look at your API, volume and the price.

API business and pricing was at peak during COVID time. From that time onwards, there is a consistent downward trend in the API pricing. So even though we have improved our volume compared to what we sold in -- during COVID time, you don't see that in the value because of the prices continuously coming down. But now there is a stability slowly, we feel it will start slightly improving from this level. So in the current financial year...

The volume growth will be the top line growth because there will be stability in the prices.

That is correct. Yes. So FY '26, you will see volume growth as well as price growth when it comes to the API business.

And how are you looking at it after like in the second half onwards, it will be a slightly higher growth? Or you look gradually...

We are seeing some picking up in the market in the fourth quarter itself.

Okay. And the domestic one. So consistently, we've been doing -- we've been gain share, and we've done quite good in the domestic arena. So you feel that will be

I keep winning market share in [inaudible 0:32:28] and how are you seeing the position in Next 3 to 4 years, we will beat the market growth, and we should grow 1.5x market growth.

That is what is our -- historically, we have done. And going forward 3, 4 years, that is our

Next question is from the line of Kunal Randeria from Axis Capital.

Sir, you have, I think, around 7,000 marketing reps in India. So which means the PCPM is just over 4 lakhs. So with your current portfolio, what do you think will be the optimum

See, now the business is growing around 12%. If we don't add any PSR in the market, our per man productivity also increased by 12%. But having said that, every year, we add in the normal circumstances, 400 to 500 people just to take care of increase in the medical practitioners and all. So that trend will continue. So even though value-wise, you don't see much per man productivity because of our nature of products, what we market, anti where volumes are very high, value is very low. So that also has some impact on this per man

Laboratories Limited

May 30, 2025

There is no exact clarity in that. Having said this, we are hoping we should grow that also. That is FY '26. This year, the growth is

more because a year before our injectable line was undergoing some modernization and all, that is why the sales were less in FY '24. That is why you feel current year that is FY '25 institutional business. From that level also, we see this year also we

Okay. And how do you look at the API things sizes wise? Are there any stability that is

API business and pricing was at peak during COVID time. From that time onwards, there is a consistent downward trend in the API pricing. So even though we have improved our volume ID time, you don't see that

in the value because of

the prices continuously coming down. But now there is a stability slowly, we feel it will start top line growth because there will be stability in the prices.

That is correct. Yes. So FY '26, you will see volume growth as well as price growth when it ends half onwards, it will be a slightly higher

we've been gaining market

share, and we've done quite good in the domestic arena. So you feel that will be -- state -- you and how are you seeing the position in

beat the market growth, and we should grow 1.5x market growth.

historically, we have done. And going forward 3, 4 years, that is our

Sir, you have, I think, around 7,000 marketing reps in India. So which means the PCPM is just over 4 lakhs. So with your current portfolio, what do you think will be the optimum PCPM?

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man productivity also increased by 12%. But having said that, every year, we add in the normal circumstances, 400 to 500 people just to take care of increase in the medical

wise, you don't see

much per man productivity because of our nature of products, what we market, anti-malarial, where volumes are very high, value is very low. So that also has some impact on this per man

Kunal Randeria: Sure, but there's still scope to increase at to get it to maybe 5 lakhs, 5.5 lakhs in 4 to 5 years?

Harish Kamath: So currently, it is around 4 lakh and 4.3 lakhs. It should grow around 8%, maybe compounding next 3 to 4 years. With the addition

Kunal Randeria: Got it. So that will continue for the next 2 years. Got it. Sir, secondly, on the U.S. business, your -- I mean now that you are kind of ramping up your filings and everything, do you think realistically the ki

crores, INR 400 crores business, excluding Unichem, your own business?

Harish Kamath: That is Ipca product, manufactured at Ipca India facility, correct?

Kunal Randeria: Yes, sir.

Harish Kamath: So whatever figure we have given is possible. So 10 years back, we were doing about crores with only around 8 products. So we just started. Some products have reached U.S.

another 5 to 6 products will get commercialized in the current

is a pipeline for new product commercialization year after year. And we have also ramped up now development of products for the U.S. market.

Kunal Randeria: Right. But just to clarify, your strategy has been to back it with

we have the DMF filing

Harish Kamath: Most of the filings are backed by my own APIs.

Moderator: Next question is from the line of Dharmil Shah from Dalmus Capital Management.

Dharmil Shah: I have more specific questions on Unichem. We've seen the fourth quarter results. Gross margin sharply declined from 64% in 3Q to 55%. Was there any one

Or what was the reason for...

Harish Kamath: No, no, it is major

Dharmil Shah: Okay. I mean, and any specific therapy that we shift

Harish Kamath: No, no, nothing like that, depending on market situation, market demand, market growth, plus minuses will happen

products give slightly lower margin. So majorly, the impact is because of that. There is nothing one-off or anything in this.

Ajit Kumar: In fact, fourth quarter, the contract manufa

crores. So there, the margins are lower yes because material cost is higher there. There is no marketing and other costs involved.

Dharmil Shah: Understood. And on the guidance, you give 1 year guidance of abo

1% improvement in EBIT margin. But once we assume the synergies come in, in the next 2 to 3 years, geographical synergies or maybe API coming in from it. What do you expect the revenue growth and margins for Unichem 2 to 3 years from now? Laboratories Limited

Page 11 of 14 Sure, but there's still scope to increase at to get it to maybe 5 lakhs, 5.5 lakhs in 4 to 5 years?

So currently, it is around 4 lakh and 4.3 lakhs. It should grow around 8%, maybe compounding next 3 to 4 years. With the addition of around 400, 500 people.

Got it. So that will

continue for the next 2 years. Got it. Sir, secondly, on the U.S. business,

I mean now that you are kind of ramping up your filings and everything, do you think realistically the kind of filings here in the next 3 to 4 years, this business could be a 400 crores business, excluding Unichem, your own business?

That is Ipca product, manufactured at Ipca India facility, correct?

So whatever figure we have given is possible. So 10 years back, we were doing about

crores with only around 8 products. So we just started. Some products have reached U.S.

another 5 to 6 products will get commercialized in the current financial year. Thereafter, there is a pipeline for new product commercialization year after year. And we have also ramped up now development of products for the U.S. market.

Right. But just to clarify, your strategy has been to back it with your own APIs. So wherever we have the DMF filings, you use that DMF filing for [inaudible 0:35:27].

Most of the filings are backed by my own APIs.

Next question is from the line of Dharmil Shah from Dalmus Capital Management.

I have more specific questions on Unichem. We've seen the fourth quarter results. Gross

margin sharply declined from 64% in 3Q to 55%. Was there any one-off in these 2 quarters?

Or what was the reason for...

No, no, it is majorly because of the product mix change.

Okay. I mean, and any specific therapy that we shift -- tilted towards or...

No, no, nothing like that, depending on market situation, market demand, market growth, plus minuses will happen in the therapies some therapies, some products give better margins. Some products give slightly lower margin. So majorly, the impact is because of that. There is nothing off or anything in this.

In fact, fourth quarter, the contract manufacturing has gone up from INR 58

. So there, the margins are lower yes because material cost is higher there. There is no marketing and other costs involved.

Understood. And on the guidance, you give 1 year guidance of about 10% revenue growth and 1% improvement in EBIT margin. But once we assume the synergies come in, in the next 2 to

3 years, geographical synergies or maybe API coming in from it. What do you expect the revenue growth and margins for Unichem 2 to 3 years from now? Laboratories Limited

May 30, 2025

Sure, but there's still scope to increase at to get it to maybe 5 lakhs, 5.5 lakhs in 4 to 5 years?

So currently, it is around 4 lakh and 4.3 lakhs. It should grow around 8%, maybe compounding

Got it. So that will continue for the next 2 years. Got it. Sir, secondly, on the U.S. business,

I mean now that you are kind of ramping up your filings and everything, do you think

kind of filings here in the next 3 to 4 years, this business could be a INR300

So whatever figure we have given is possible. So 10 years back, we were doing about INR240 crores with only around 8 products. So we just started. Some products have reached U.S.

financial year. Thereafter, there

is a pipeline for new product commercialization year after year. And we have also ramped up with your own APIs. So wherever

Next question is from the line of Dharmil Shah from Dalmus Capital Management.

I have more specific questions on Unichem. We've seen the fourth quarter results. Gross off in these 2 quarters?

No, no, nothing like that, depending on market situation, market demand, market growth, plus in the therapies some therapies, some products give better margins. Some products give slightly lower margin. So majorly, the impact is because of that. There is nothing 58 crores to INR90

. So there, the margins are lower yes because material cost is higher there. There is not 10% revenue growth and

1% improvement in EBIT margin. But once we assume the synergies come in, in the next 2 to 3 years, geographical synergies or maybe API coming in from it. What do you expect the

Harish Kamath: See, ideally, our in

tention, the margin should grow to around 18%, 18% to 20%. That is the maximum what we can achieve because they are into only generic business, and API business. I'm talking about Unichem.

Dharmil Shah: Understood. Revenue growth over the next 2 to 3 years?

Harish Kamath: Around 10% to 12%. Only silver lining, they have a lot of capacity available to grow their business. So there is no need for any fresh investment in facility creation in the immediate future.

Dharmil Shah: Understood. So what could be the utilization right now as on date?

Harish Kamath: So their major formulation facility, Goa, just last year commenced commercial production. So there, they can do a lot of production. There is a lot of capacity available not a constraint for Unichem.

Dharmil Shah: Understood. And lastly, I mean are there any effects of U.S. tariffs on pharma, very broad question, but are you seeing any effects...

Harish Kamath: Whatever guidance we have given will be definitely a variation in whatever guidance we have given.

Moderator: Next question is from the line of Rashmi Shetty from Dolat Capital.

Rashmi Shetty: Couple of clarification. How much how much are you guiding for FY '26, the total number?

Ajit Kumar: Currently is around

Harish Kamath: So FY '24 plus FY '25 put together INR 1,000 crores.

Rashmi Shetty: INR 1,000 crores. And how much of that we have already spent in '25?

Harish Kamath: Around INR 600 crores, we have already spent.

Rashmi Shetty: So INR 400 crores in

Harish Kamath: That is correct, yes.

Rashmi Shetty: Okay. And sir, in the API segment, what is the growth guidance for FY '26, sir?

Harish Kamath: Around 6%, 7%, Rashmi, not beyond that.

Rashmi Shetty: 6% to 7%. And last one clarification, which I wanted. Earlier, you mentioned that institutional business plus generic business will give a growth of around 7%. So in case of the generic business is growing flat for FY '26 also then your institutional 24%, 25%, right? Ipca Laboratories Ltd

Page 12 of 14 See, ideally, our intention, the margin should grow to around 18%, 18% to 20%. That is the maximum what we can achieve because they are into only generic business, and API business. I'm talking about Unichem.

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So their major formulation facility, Goa, just last year commenced commercial production. So there, they can do a lot of production. There is a lot of capacity available there. So capacity is not a constraint for Unichem.

Understood. And lastly, I mean are there any effects of U.S. tariffs on pharma, very broad question, but are you seeing any effects...

Whatever guidance we have given without considering what you spoke. So if that comes, there will be definitely a variation in whatever guidance we have given.

Next question is from the line of Rashmi Shetty from Dolat Capital.

Couple of clarification. How much capex have we spent in total capex spend in FY '25? And how much are you guiding for FY '26, the total number?

Currently is around INR400 crores.

So FY '24 plus FY '25 put together -- sorry, FY '25 plus FY '26 put together, it will be around 1,000 crores.

1,000 crores. And how much of that we have already spent in '25?

600 crores, we have already spent.

400 crores more is expected to be in FY '26?

That is correct, yes.

Okay. And sir, in the API segment, what is the growth guidance for FY '26, sir?

Around 6%, 7%, Rashmi, not beyond that.

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May 30, 2025

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6% to 7%. And last one clarification, which I wanted. Earlier, you mentioned that institutional business plus generic business will give a growth of around 7%. So in case of the generic

tional business growth will be around

Harish Kamath: No, no, no. FY '26, we are projecting a growth of 1.0% in the generic business, including institutional business, both put together.

Rashmi Shetty: Okay. So your generic...

Harish Kamath: The planned generic business or in the current financial year, excluding institutional business.

Rashmi Shetty: Got it. So your generic segment, excluding institutional business will also grow around 8% to 10% and your institutional will also grow in that

Harish Kamath: Around that line, yes.

Moderator: Next question is from the line of Tushar Manudhane from Motilal Oswal Financial Service.

Tushar Manudhane: Just on this product filings from Ipca side for U.S. market. So the one which you report for '26, these are like what refiling of the already approved product for U.S. market or...

Harish Kamath: No, no. They are fresh development, fresh filing Tushar.

Tushar Manudhane: Understood. So 67 new filing...

Harish Kamath: Everything got over in the

Tushar Manudhane: Got it. And sir, any particular reason you would like to highlight where the business with products being shipped but still taking longer is the competition pressure so much that it's a little difficult to push our pr

Harish Kamath: It is nothing like that as and when the inquiry gets quoted, we do participate. But already, people are with somebody else in contract and all. So it will be a gradual progress

U.S. generic business is concerned. Having said this, whatever benefit we have cost, other thing, own API that remain today also.

Tushar Manudhane: Understood. Understood. And just lastly, how many to be added for FY '26?

Harish Kamath: Around 400.

Moderator: Next question is from the line of Rahul Jeewani from IIFL Securities Limited.

Rahul Jeewani: Yes. Sir, this revenue guidance which you gave of 8% to 10% for FY '26, Isn't that a bit conservative num

300, 400 basis points every year. And for the export businesses as well, we have generally

indicated about a 10%, 11% kind of growth excluding the API business. So are we a bit

conservative in terms of the overall revenue growth guidance for next year?

Harish Kamath: If you see our business segment and turnover, API grows by 6%, 7%, and all formulation business, excluding India business grew by around 1.0% and India grows by around 1

overall growth will be 8% to 10% only. Ipca Laboratories Limited

Page 13 of 14 No, no, no. FY '26, we are projecting a growth of 1.0% in the generic business, including institutional business, both put together.

Okay. So your generic...

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Everything got over in the last financial year.

Got it. And sir, any particular reason you would like to highlight where the business with products being shipped but still taking longer is the competition pressure so much that it's a little difficult to push our product after like after getting into this market after many years.

It is nothing like that as and when the inquiry gets quoted, we do participate. But already, people are with somebody else in contract and all. So it will be a gradual progress

U.S. generic business is concerned. Having said this, whatever benefit we have cost, other thing, own API that remain today also.

Understood. Understood. And just lastly, how many -- I missed that number, how many MRs added for FY '26?

Next question is from the line of Rahul Jeewani from IIFL Securities Limited.

Yes. Sir, this revenue guidance which you gave of 8% to 10% for FY '26, Isn't that a bit conservative number given that -- in the domestic business, we are beating market growth by 300, 400 basis points every year. And for the export businesses as well, we have generally indicated about a 10%, 11% kind of growth excluding the API business. So are we a bit conservative in terms of the overall revenue growth guidance for next year?

If you see our business segment and turnover, API grows by 6%, 7%, and all formulation business, excluding India business grew by around 10% and India grows by around 10% overall growth will be 8% to 10% only. Laboratories Limited

May 30, 2025

No, no, no. FY '26, we are projecting a growth of 10% in the generic business, including The planned generic business or in the current financial year, excluding institutional business.

Got it. So your generic segment, excluding institutional business will also grow around 8% to 10%. Next question is from the line of Tushar Manudhane from Motilal Oswal Financial Service.

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Got it. And sir, any particular reason you would like to highlight where the business with products being shipped but still taking longer is the competition pressure so much that it's a product after like after getting into this market after many years.

It is nothing like that as and when the inquiry gets quoted, we do participate. But already, people are with somebody else in contract and all. So it will be a gradual progress as far as the U.S. generic business is concerned. Having said this, whatever benefit we have cost, other

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If you see our business segment and turnover, API grows by 6%, 7%, and all formulation business, excluding India business grew by around 10% and India grows by around 12%. The

Rahul Jeewani: Okay, sir. So this is including Unichem as well. You were talking about.

Harish Kamath: Yes, yes. Even Unichem business also will grow around 8% to 10%. So overall, company as a whole group level also, we should grow around 8% to 10%.

Rahul Jeewani: Sure, sir. And sir, once the integration benefits of Unichem start

playing out going into the

next couple of years, when do you think that this growth of 8% to 10% would accelerate going forward? And which...

Harish Kamath: Around -- That time, the top line should grow around 12%

Rahul Jeewani: Okay. Sure, sir. And sir, on the U.S. business, I missed the number for it. So at 1 point, you said INR22 crores

What is the U.S., sales...

Harish Kamath: In our stand -

Whereas in the consolidated account what actually got sold by Unichem market is that they sold is INR

Rahul Jeewani: Okay, sure sir, last question on Unichem. You indicated about a 100 basis point margin expansion for Unichem going into next year. Now would this margin expansion be on the full year margins of Unichem or the 14%, 16% margins which Unichem had in the second half of last year?

Harish Kamath: No, no, it is on the whole year, we are talking.

Moderator: As there are no further questions from the participants, I would now like to hand the conference over to the management for the closing comments.

Harish Kamath: Hopefully, we have answered all the questions. I don't think there is anything further to add.

Thank you very much all the participants. Thank you.

Moderator: On behalf of DAM Capital Advisors, that concludes this conference. Thank you all for joining us, and you may now disconnect your lines.

Harish Kamath: Thank you. Bye. Ipca Laboratories Ltd

Page 14 of 14 Okay, sir. So this is including Unichem as well. You were talking about.

Yes, yes. Even Unichem business also will grow around 8% to 10%. So overall, company as a level also, we should grow around 8% to 10%.

Sure, sir. And sir, once the integration benefits of Unichem start playing out going into the next couple of years, when do you think that this growth of 8% to 10% would accelerate going And which...

That time, the top line should grow around 12% -- 12%, 13%.

Okay. Sure, sir. And sir, on the U.S. business, I missed the number for it. So at 1 point, you crores to INR23 crores. And at some other point, you also indicated

What is the U.S., sales...

-alone accounts, what we have built to Unichem U.S. is INR

Whereas in the consolidated account what actually got sold by Unichem U.S. in the U.S. market is that INR23 crores. So it is INR25 crores, yes. So what we ship is INR INR 25 crores.

Okay, sure sir, last question on Unichem. You indicated about a 100 basis point margin for Unichem going into next year. Now would this margin expansion be on the full year margins of Unichem or the 14%, 16% margins which Unichem had in the second half of No, no, it is on the whole year, we are talking.

there are no further questions from the participants, I would now like to hand the conference over to the management for the closing comments.

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Thank you very much all the participants. Thank you.

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May 30, 2025

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Okay. Sure, sir. And sir, on the U.S. business, I missed the number for it. So at 1 point, you

. And at some other point, you also indicated INR65 crores.

INR 65 crores. Okay.

em U.S. in the U.S.

INR 65 crores, what

Okay, sure sir, last question on Unichem. You indicated about a 100 basis point margin

for Unichem going into next year. Now would this margin expansion be on the full year margins of Unichem or the 14%, 16% margins which Unichem had in the second half of there are no further questions from the participants, I would now like

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On behalf of DAM Capital Advisors, that concludes this conference. Thank you all for joining

Call: Aug 2025

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August 14, 2025

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Phiroze Jeejeebhoy Towers

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Scrip Code – 524494 National Stock Exchange India Limited,

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Mumbai-400051.

Scrip Code : IPCALAB

Dear Sirs,

Pursuant to Regulation 30 of the Securities and Exchange Board of India (Listing Obligations and Disclosure Requirements) Regulations, 2015, please find transcript of our Conference Call which was held on Tuesday, 12th August, 2025 to discuss the Company's Q1 FY26 earnings and business update.

Thanking you

Yours faithfully

For Ipca Laboratories Limited

Harish P. Kamath

Corporate Counsel & Company Secretary

"Ipca Laboratories Limited

Conference Call"

MANAGEMENT : M R. A. K.

LABORATORIES

MR. HARISH

COMPANY

LIMITED

MODERATOR : M R. NITIN

Ipca Laboratories Limited Q1 FY '26 Earnings

Conference Call"

August 12, 2025

K. JAIN – MANAGING DIRECTOR , IPCA

LABORATORIES LIMITED

ARISH KAMATH – CORPORATE COUNSEL AND

OMPANY SECRETARY – IPCA LABORATORIES

IMITED

ITIN AGARWAL – DAM CAPITAL

Earnings

PCA

OUNSEL AND

ABORATORIES

Ipca Laboratories Limited

August 12, 2025

Page 2 of 13

Moderator: Ladies and gentlemen, good day and welcome to the Ipca Labs Q1 FY '26 Earnings Conference Call hosted by DAM Capital.

As a reminder, all participant lines will be in the listen-only mode and there will be an opportunity for you to ask questions after the presentation concludes. Should you need assistance during the conference call, please signal an operator by pressing '*', then '0' on your touchtone phone. Please note that this conference is being recorded.

I now hand the conference over to Nitin Agarwal from DAM Capital. Thank you and over to you.

Nitin Agarwal: Thank you. Hi, good afternoon, everyone and a very warm welcome to Ipca Labs Q1 FY '26 Earnings Call hosted by DAM Capital Advisors Limited.

On the call today, we have representing Ipca Labs management, Mr. A. K. Jain - Managing Director and Mr. Harish Kamath - Corporate Counsel and Company Secretary.

I will hand over the call to Mr. Jain for the opening comments and then we will open the floor for questions. Please go ahead, sir.

A. K. Jain: Thanks, Nitin and Dam Capital for organizing this call. Today's hearing calls and discussions and answer given may include some forward-looking statements based on our current business expectations. This must be viewed in conjunction with risk that pharmaceutical business faces.

Our actual and future financial performance may differ from what is projected or perceived. You may take your own judgments on information given during the call.

Our domestic business in the 1st Quarter of the current financial year has grown by around 10%. Ipca on mid-June 2025 has maintained its rank as 16th as per IQVIA. Overall, Ipca continued to improve its market share. Compared to the 1st Quarter last financial year, mid-June 2024, there is around 7 bps increase in the overall market share from 2.01%-2.08% in mid-June 2025. Six brands of Ipca continue to remain in around top 30 brands in the country. Both in acute chronic segments, we have delivered better growth compared to the market in mid-June 2025 as per IQVIA.

Overall, for the export business, our branded formulation business has grown by 10% in this particular quarter to around Rs. 124 crores from around Rs. 113 crores in last financial year in the 1st Quarter. Generic business in the quarter has delivered around 15% growth. Generic business has around Rs. 326 crores as against Rs. 283 crores in last financial year. API business has delivered around 12% growth. There is some decline in the domestic business, but export business more particularly from Europe and Latin America, has done well and that has resulted in around 12% kind of growth.

On margin fronts:

Ipca Laboratories Limited

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Q1 FY '26 standalone Ipca has improved its margin from 23.82% as against 22.22% in Q1 FY '25. However, the consolidated EBITDA margins are at around 18.39% in Q1 FY '26 as against 18.52% in Q1 FY '25. There is a marginal decline in that and overall, our standalone net profit is up by around 26% to around Rs. 262 crores and consolidated net profit is up by 18% to around Rs. 234 crores.

Given the broad numbers, now I will request participants to ask questions.

Moderator: Thank you very much. We will now begin the question-and-answer session. The first question is from the line of Saion Mukherjee from Nomura. Please go ahead.

Saion Mukherjee: Yes. Thank you for taking my question. So, on Unichem, we have seen decline in gross margin in this quarter. Also, the overhead expenses for the consolidated business has gone up, which seem to have impacted the overall EBITDA margin. So, if you can explain the dynamics which is impacting the margin and in the backdrop of this quarter's results, how are you seeing for the full year? What will be your guidance with respect to consolidated EBITDA margins?

A. K. Jain: As far as Unichem is

concerned, Unichem US business has grown by around 12% and overall, the Unichem business has grown, consolidated number is around 9% growth. Some business has declined in their Asia and African markets, more particularly Asia market because of issue ongoing in Myanmar. From Rs. 23 crores, the business has come down to around Rs. 8 crores because certain import licenses are not received and the shipments could not happen during this particular period. The Brazil business is also down from Rs. 21 crores to around Rs. 14 crores. So, these are the two numbers where some decline is there. Asia business has good margins, but that business has declined in the quarter. Overall, European business has done well. So, that has grown by around 37% from Rs. 26 crores to around Rs. 36 crores. But as far as US is concerned, on 4 major products, they have lost the market share in this quarter where the profitability was better and on other products, they have gained the market again. So, overall number-wise, the overall business growth is appearing to be 12%, but overall margin-wise, there is a decline because some of the profitable products, the market shares are lost. And that is one of the reasons that overall margins has declined and also Asia business declined and Brazil business some declined. That has resulted in overall lower margins for the quarter. In addition to that, in Unichem's accounts, there is an additional provision of around Rs. 12 crores because of currency fluctuation because of this European Competition Commission's provision which is made last in March last financial year. And because of adverse movement of Euro compared to the cross-currency level has gone up and as a result of that around Rs. 12 crores additional provisions are made. And there are almost around Rs. 10 crores additional expenditure debited to the P&L account because of closer announce at the facility which they have in Ireland. And so around Rs. 10 crores provision was made in the books of accounts. So, that has resulted in the overall lower profit as far as Unichem is concerned. And overall, if you look at the whole of the financial year, our guidance for the consolidated number was around 9%-10% overall growth and overall margin increased by around 1% EBITDA margin. More or less, I think the topline would remain in the similar kind of range, but EBITDA margin may

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not improve by 1%, it may be around 0.75% or so. So, that will be slight change in the overall

margin guidelines for the current year.

Saion Mukherjee: And my second question, on the India business, there is a 10% growth which is still better than the market, but seem to be a little slower than what we had seen in the past. Anything you would like to call out as far as India business and demand environment is concerned?

A. K. Jain: In the India business, let us say most therapies we have done well, except cardiovascular therapy, because in this therapy, we have done the reorganization of business. We have added two more marketing divisions in this therapy. And because of the disturbance of product to people and shifting of people and products to various new divisions and all, it took some time to recruit the manpower, all the additional manpower. So, that has resulted in cardiovascular business in this quarter has not grown to our expectations. The growth has come down to around 8% in this particular quarter. But there is faster recovery is happening and we are hopeful that we will do much better than we were doing earlier as far as cardiovascular therapies are concerned.

Saion Mukherjee: Thank you.

Moderator: Thank you. The next question is from the line of Tushar Manudhane from Motilal Oswal Financial Services. Please go ahead.

Tushar Manudhane: Yes, sir. Thanks for the opportunity. So, just again on domestic formulation, if you could also share

how the chronic and the acute growth has been for the quarter compared to IPM?

A. K. Jain: If you look at the overall IPM has grown by around 8%. And our growth is tracked by IQVIA as 11.6%. Acute growth was 6.8%. We have recorded a growth of 9.8%. And chronic IQVIA growth is around 9.9%. And IQVIA has recorded our growth as around 15.1%.

Tushar Manudhane: So, 15.1% for Ipca and 9.9% for industry? Correct?

A. K. Jain: No, I said 9.9% for industry and Ipca is 15.1%.

Tushar Manudhane: Chronic?

A. K. Jain: Yes, chronic. But our internal growth is low because of the overall, in case of cardiovascular therapy, there is a two more divisions are added in current years. And that has resulted in little bit lesser business. Overall, at the secondary level, prescription-wise, that has not impacted much. That is what I see.

Tushar Manudhane: Sure, got that. How much manpower are we adding in this division and then overall MR addition?

A. K. Jain: Almost around 400 people are added in cardiovascular market.

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Tushar Manudhane: And any other therapy, any more MRs to be added in this year, just to complete that?

A. K. Jain: Broadly, that entire expansion exercise is over here.

Tushar Manudhane: Just one more from my side, on Unichem, while products had impacted the current performance, but where are we in terms of having the synergy in place? And subsequently, what would be the overall US sales for Ipca, including Unichem for the quarter?

A. K. Jain: Let us say, overall, as far as Unichem is also concerned, we are hopeful that there will be recovery. Even on the products there in the 1st Quarter, we have lost some kind of market share. But we expect those kinds of recoveries to happen in the coming quarters.

Tushar Manudhane: And sir, the business from the Ipca side, when do we see that scaling up?

A. K. Jain: Let us say, we have started shipping the products and overall, I think, whatever current deal wins, which has happened so far, I think that could translate around \$15-\$16 million kind of business and still there is, we are in 1st Quarter, so business will further move up.

Tushar Manudhane: And sir, lastly on this, when do we start filing or let us say, increase the phase of filing from our side, as in Ipca side?

A. K. Jain: We have already initiated the filing, I think one filing has happened in this quarter and almost around 15-16 products are under various stages of development here.

Tushar Manudhane: Got it, sir. That is it. Thanks.

Moderator: Thank you. The next question is from the line of Surya Narayan Patra from Phillip Capital. Please go ahead.

Surya Narayan Patra: Yes, thanks for this opportunity, sir.

Moderator: Sorry to interrupt you, Mr. Surya Narayan. Actually, there is a lot of disturbance from your line, from your background.

Surya Narayan Patra: Yes. Is it, I am audible?

Moderator: Yes, you are audible.

Surya Narayan Patra: Yes. Thank you, sir. So, basically about the US business, so we had seen in the previous quarter around Rs. 20-Rs. 22 odd crores kind of incremental business for Ipca. So, how is the trend moving from that level and are we seeing any kind of incremental kind of visibility from our interaction what we would be having with the bulk buyers in the US market? See, in fact, I am seeing there is a relatively stronger generic growth. So, if you can go both the point I was connecting, so if you can give some clarity to those aspects?

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A. K. Jain: Let us say, I have already indicated that whatever deal wins, which has happened so far, that indicates that almost around the annual turnover could be almost around \$16 million as far as Ipca is concerned. And more number of products are being shipped there and there is almost around 3 quarters more are there. So, we will win definitely more nu

mber of deals and

hopefully the business will move up further as far as Ipca is concerned.

Moderator: Sorry to interrupt you, sir. The participant line has been dropped. I will take the next question. The next question is from the line of Chirag from D SP Mutual Fund. Please go ahead.

Chirag: Yes, sir, thank you for the opportunity. So, just a clarification, what you are broadly indicating is that the 10% India formulations growth that we saw in the 1st Quarter seems like an aberration and that this would accelerate as we go along. Is that understanding correct, sir?

A. K. Jain: Yes, because our other therapies are growing faster and our main therapy, like say even with the pain management in this quarter, we have recorded a growth of around 13%.

Chirag: Understood. And sir, any sense on how the UK business has done for us for both the Ipca business as well as the Unichem business? And is there any change that is happening post the FDA that has been signed? How do you look at this development, positively, negatively? Just how are you thinking about this one?

A. K. Jain: As far as FDA is concerned, that doesn't impact pharmaceuticals because there is hardly any change as far as the business environment is concerned. And as far as the UK business is concerned, it is very fast competitive and I think this quarter was not good for us also because there was excess inventory in the market and some of the players were offloading the short dated expiries and with that the most product prices were coming down. And we have seen in the market that some of the products were even selling below cost. What has been shipped from India, the sales prices in UK was lower than that. So, overall, it was a very tough kind of market scenario was there in UK as far as the 1st Quarter is concerned. As far as Unichem is concerned, in 1st Quarter, some of their product had a shortage in that market. So, they had a good business overall in UK in the 1st Quarter of the current year. And therefore, their European business had moved up.

Chirag: Understood. Thank you, sir.

Moderator: Thank you. The next question is from the line of Rashmi from Dolat Capital. Please go ahead.

Rashmi: Yes, thanks for the opportunity. Sir, can you just revisit your guidance for each segment? You have already given EBITDA margin guidance for full year, but for all your domestic business as well as each of your export business and Unichem numbers for this full year?

A. K. Jain: Rashmi, as far as the topline guidance is concerned, there is no change. So, this quarter also the business has grown and hopefully by the end of the year also, we should be somewhere between 9%-10% topline growth. Only if you have consolidated EBITDA margin, there would

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be a little bit lower than what the guidance was given. Instead of 100 bps increase, it will be about 75 bps. But topline, we are not changing any guidance.

Rashmi: Understood. And that is only because of basically lower margin from the Unichem?

A. K. Jain: That is right. If you see our standalone business, the EBITDA margin is better than what we guided. Only because of lower Unichem EBITDA margin, we are reducing guidance by about 25 bps.

Rashmi: And so, if we consider Unichem numbers, so in Unichem also, whatever you had guided earlier that we would be crossing around Rs. 300 crores of EBITDA this year. That still remains intact in the subsequent quarters.

Harish Kamath: No, I don't think looking at 1st Quarter what has happened, it won't be possible this year. But hopefully going forward in the next 3 quarters, they should do better than what they have done in the 1st Quarter.

Rashmi: Got it, sir. Thank you. That is it from my side.

Moderator: Thank you. The next question is from the line of Saion Mukherjee from Nomura. Please go ahead.

Saion Mukherjee: Thanks for the follow up. Just on

e clarification on Unichem. You called out Rs. 12 crores

currency fluctuation and Rs. 10 crores additional impact because of the Euro provision. So, this Rs. 20 odd crores that you mentioned, this is as part of other expenses? And also, is there any onetime like shell stock adjustment, etc., because of the competition?

Harish Kamath: It is part of the other expenses. What happened, there was a 14 million EU penalty for which

we provided in the last financial year, 14 million Euro. But the penalty demand has not come so far. In the intervening period between last year and current year, the Euro has appreciated. So, that is the reason we have to make additional provision of another Rs. 12 crores. The penalty was already provided in the books. Today also demand has not come. Unless there is a demand, we can't pay and that liability was open. And because Euro appreciated, we were forced to make additional provision.

Saion Mukherjee: Right, sir. That is clear, sir.

Harish Kamath: Ireland, we are closing down that facility. So, the amount Rs. 8-Rs. 10 crores is all redundancy amount which we have to pay to employees who are going out.

Saion Mukherjee: Sir, I was also asking about, because you had some competitive pressure in the US, was there any sort of shell stock adjustment or any such additional provisions that came in the quarter?

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Harish Kamath: No, nothing like that, Saion. What happened, 2-3 products where they were having very good market share and their own API and good margin, they lost business to some competition. So, they have gained market share in other products, but that business has yet to come.

Saion Mukherjee: Thank you.

Moderator: Thank you. The next question is from the line of Tushar Manudhane from Motilal Oswal Financial Services. Please go ahead.

Tushar Manudhane: Sir, just on API side, what do we see in terms of pricing trends now? Are they stable or are they further still on the downtrend? And subsequently, what is happening on the dollar side?

Harish Kamath: Positively stable. It is not downtrend. And demand is gradually improving in export market.

Tushar Manudhane: And then any addition of product that can come up for us or we would be largely existing portfolio is what will drive growth?

Harish Kamath: Every year, 2-3 new products come into the market.

Tushar Manudhane: Understood, sir. Thank you, sir. That is it from my side.

Harish Kamath: Yes. Thanks, Tushar.

Moderator: Thank you. The next question is from the line of Surya Narayan Patra from Phillip Capital. Please go ahead.

Surya Narayan Patra: Yes. Thanks for the opportunity, again, sir. So, sir, if you can just elaborate about the subsidiary performance, how are they really doing? Is there any kind of impact that you are seeing there or things are normal?

A. K. Jain: Only one subsidiary which was always doing better, Onyx Scientific. This year, they have not done that well because all these not necessary expenses are being reduced by all multinational companies. So, their, whatever businesses were coming for projects and all, it has reduced. So, they were making consistent profits during the last one decade. But this year, the situation is difficult. Other than that, Pisgah continues to be incurring losses, but in line with what it was incurring last year. The injectable project is ongoing and should get commercially ready by second half of this financial year. Post that, only some improvement can be seen in the Pisgah financials.

Surya Narayan Patra: And the institutional sales, see, in fact?

A. K. Jain: It is stagnant, same as last year, 1st Quarter.

Surya Narayan Patra: This is a seasonality factor, sir?

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Harish Kamath: No, mostly due to funding. But this year, we do not see any growth in the institutional business. First quarter

what we did last year, we did this year. Going forward also, we believe we should be able to do, but there won't be any growth.

Surya Narayan Patra: And regards to recently expanded capacity, sir, if you just can give an update that, let us say, Dewas or the upgraded plant of Ramdev, how are those facilities really?

A. K. Jain: No, all new facilities, what we told will get commercialized in the current financial year.

Nothing recently got commercialized. Dewas is an old facility, commercialized 3 years back.

Surya Narayan Patra: No, in fact, the regulatory inspection and all that, that you are thinking about?

Harish Kamath: Regulatory inspections, one agency came and inspected, others are expected. So, we have started filing dossiers from Dewas and export business to some market have also already commenced.

Surya Narayan Patra: Sure. Thank you, sir.

Moderator: Thank you. The next question is from the line of Kunal Randeria from Axis Capital. Please go ahead.

Kunal Randeria: Hello, sir. Thanks for the opportunity. Sir, your standalone gross margins are very strong, around 74%. It was something similar last quarter also. So, I am just wondering, what is

driving this margin expansion used to be in mid 60s earlier? And is there any more headroom to it or you see some downside in the short term?

A. K. Jain: No, whatever improvement is there mostly because of the product mix. There is no fundamental change otherwise. So, this year, in the 1st Quarter season, products which were not having better margin, the sales were less. So, if you see therapeutic growth also where margins are better, those therapies have grown better than what it was last year. That is the only reason. Nothing beyond that. There is no other fundamental change either in procurement price or selling price.

Kunal Randeria: Right, sir. But you did also mention India business should kind of pick up growth. So, you should be able to at least maintain these margins, right?

A. K. Jain: Our guidance was also to increase overall standalone margin by almost around 1.5%. So, that has happened in 1st Quarter and that trend will continue overall in the current financial year.

And in 1st Quarter current year, we did better business in a lot of markets like Canada.

Australia and New Zealand, there was a significant shipment, maybe exceeding 100% of their growth. And there the margins were better. So, overall material cost has little come down.

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Kunal Randeria: All right. Just maybe, second question is on Sales force. I think there were just over 7000 people. What are your plans for expansion for the next 2-3 years? Maybe 200-300 people annually or you think this is enough now for the next few years?

A. K. Jain: Maybe around 3%-4% field additions will keep on happening every year.

Kunal Randeria: Right. And would it be across your therapies or anything in particular that we should be looking at?

A. K. Jain: More towards the specialty segment, not towards the generalist segment. More towards the specialty, yes.

Kunal Randeria: Right.

A. K. Jain: Derma, we would like to add more people. Urology, we would like to add more people. CNS, we would like to add more people in time to come. Cardiac, we have recently added, so there will not be much of addition.

Kunal Randeria: Sure. So, see, some of the smaller therapies which are actually growing very fast, we are doubling down on those. Got it, sir.

A. K. Jain: Yes.

Kunal Randeria: And just one more, you touched upon some of your subsidiaries' performance. Now, these have been a big drag on your financials. So, taking a slightly longer-term view, when should we expect these subsidiaries to kind of contribute meaningfully to the bottomline? In this quarter, they have kind of a negative contribution. So, maybe 1 year, 2 years, 3 years, how many years will it take for them to

contribute?

A. K. Jain: Let us say, these subsidiaries are mainly to overall, say, increase our international business, like say, Europe, UK, we have started subsidiaries. Current year, 1st Quarter, it has given loss, but there is a long way to go with business and we definitely expect much greater, maybe around more than Rs. 300 crores business in UK in time to come with all the products in pipeline which getting the matured and having registration in those markets. So, it is the beginning. So, for some quarter, some kind of losses may happen. Last year, Europe, UK has given good profit, but current year, yes, the market conditions were bad and they resulted in lower profit. As far as Onyx is concerned, again, Harish has already told that this company was always giving us 25%-27% kind of EBITDA margins and by and large, they are serving to the innovator companies or the large pharma companies in terms of initial, let us say, new chemical entities, initial all these solid state chemistry and developing the manufacturing processes for them and all that. That kind of services they are doing. They are not in generic kind of therapies and all. So, that company was doing well, but in the 1st Quarter current year, they have also reported a loss of almost around 300,000 sterling pound as a loss. And lastly, because that new product initiations or the new project initiation by all these, let us say, either

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by big pharma or by the virtual pharma companies are very less. And funding availability because of all these disturbed market and uncertainties are creating that kind of market scenario. So, that trend we are seeing in last 6 months that is happening. Still, we are not seeing any kind of change. So, probably, this year is going to be a difficult year as far as Onyx is concerned. As far as Unichem is concerned, Unichem, after our takeover, things were working better and we are hoping that things would be far better in time to come. We have yet to do a lot of things there and business expectations of expanding their businesses in other

markets and all, that is all work in progress. So, overall, I think in shorter period, yes, there could be some quarters here and there, these kind of things could happen, but long-term visibility and all that would be very good. We look that yes, kind of Ipca business model is there, similar kind of business model we should, except domestic market, they will not be there, but all other markets, we are looking to expand their businesses and all. So, in future, they should also do better. And as far as your Pisgah is concerned, one facility is under installation there, it may take some more time, another 5-6 months, 6 months more. And once they commercialize, yes, initial period, they may also incur some kind of losses because it will take time to build the businesses there, but that will also result. So, I think 2-3 years period is a good, 2 years period is a good number to see that. We scale up all these kind of subsidiaries. We are also setting up another subsidiary in Germany and initiating the registration of the company. So, for some time, that company also may incur losses, but we see that now we will aggressively participate in the German markets and register our products and start. So, it is a journey, maybe 1 or 2 years journey may happen of initial losses and then building up the business. So, that is bound to happen when we are scaling up our businesses in various markets.

Kunal Randeria: All right, sir. That is very helpful. Thank you, sir.

Moderator: Thank you. The next question is from the line of Nikhil Mathur from HDFC Mutual Fund. Please go ahead.

Nikhil Mathur: Hello, sir. Good evening. Sir, I just wanted to revisit the overall guidance that you have given. So, did I hear it right that you are expecting 19% growth in FY '26 and console EBITDA

margin to improve by 75 basis points versus 1% basis points that was the earlier guidance?

A. K. Jain: Yes, that is correct.

Nikhil Mathur: Got it. But sir, you are at 18% in 1Q. So, the incremental improvement that the margins will see, it will be majorly from the domestic business or from Unichem. So, which all parts of the businesses do you expect margin expansion in 9 months of remainder of the year?

Harish Kamath: Nikhil, the Q2 business in the domestic market is always highest. So, you will see some improvement in Q2 itself. Historically, Q2 business gives the maximum quarter business in the domestic market. Plus, as we told you, the operation and financial performance of Unichem also should improve going forward.

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Nikhil Mathur: Understood. Sir, on the domestic profitability front, can you give some directional sense as to where the domestic margins are today versus the console level? And do you foresee margin expansion in domestic business every year going forward or there can be some years, let us say, next year could be a build-up year and then again, there could be some decline. So, how does one think about the domestic profitability over 2-3 year period from now?

A. K. Jain: If you don't add too many people, margins will definitely keep on expanding because your productivity keeps on building up. And in the last few years, we have added a lot of people.

And once they start adding to the overall business, then margins keep on improving. And in the current financial year, if also in the 1st Quarter, if you look, from 22.25% in last year 1st Quarter, we had reported a standalone margin of 23.82%. So, there is more than 1.5% increase in overall margin in the 1st Quarter itself. And that trend would continue.

Nikhil Mathur: So, you are in the middle of margin expansion in the domestic business as well, and that should continue?

A. K. Jain: Yes.

Nikhil Mathur: Understood. And sir, one final question on the Unichem side. I understand the moving parts here, what you called out for 1Q. Just wanted to check on both FY '26 and beyond FY '26. So, do we expect any sort of EBITDA growth in FY '26? And what is your take on FY '27 and '28? I know a lot of synergy benefits are yet to play out. When do they start kicking in? And when do we see that hockey stick kind of improvement in Unichem numbers going forward?

A. K. Jain: I think synergy business will still take around one year time. That is what we are hoping because we have started now filing the products in various markets. Once registration starts coming in, then we will initiate the marketing and all that kind of thing. And in current Financial Year, in 1st Quarter, it is all because of product mix changes and some kind of deal lost in the US market for some of the products. That has resulted in the overall lower margin and also some one-time provisions in the balance sheet that has also resulted in some kind of debits to the P&L account. But we are hopeful for the next 9 months of the current financial year.

Nikhil Mathur: So, Unichem, can see EBITDA growth in FY '26 on a full year basis?

Harish Kamath: No. Growth, I don't think it is possible because of Q1, what has happened.

Nikhil Mathur: Got it, sir. And sir, if I may, one final question. On the Ipca standalone US business, can you call out the margin drag that is there? And secondly, any large-size launches can we expect in

the next 12-15 months, large-size launches can be a few tens of millions of dollars. Anything of that sort are you expecting in the Ipca standalone US business?

Harish Kamath: See, we have already launched 4 products of Ipca in the US market. Those products, as Mr. Jain said, has a visibility of about \$15-\$16 million business in the current financial year.

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Another 4-5 products also

should get launched during the current financial year. But immediately after launch, you get market share, the business actually starts. There will be some gap. But going forward, every year, 5-6 Ipca products will go on getting launched in the US market.

Nikhil Mathur: And sir, how do you account it in the standalone books of the US business?

Harish Kamath: Whatever transfer price from Ipca to Unichem, we book in the standalone and actual sale, what is happening in the US, we book in consolidated.

Nikhil Mathur: Any ballpark, thumb rule number that let us say if X million dollars is the revenue from a product, this much is booked in standalone and this much in Unichem?

Harish Kamath: Actually, our business with Unichem is on profit sharing. Earlier, our business with other partners also on the same footing. So, whatever US sales is there, certain percentage will go to them as selling and distribution cost. And whatever profit is remaining, that will be shared between Ipca and Unichem. So, that is the same model what we were following in the earlier version when we were there in the US market. And for doing this US Ipca business, they are not going to add any people, same people will be handling also Ipca business. So, whatever selling and distribution, whatever margin they get, plus share of profit is their margin.

Nikhil Mathur: Got it, sir. Thank you so much and all the best.

Moderator: Thank you. Ladies and gentlemen, as there are no further questions, I now hand the conference over to the management for closing comments.

Harish Kamath: Yes, thank you. Since all the questions are asked and there is no more further questions, we will close this call. Thank you all for participating in our concall. Thank you.

Moderator: Thank you. Ladies and gentlemen, on behalf of DAM Capital Advisors and Ipca Labs, that concludes this conference. Thank you for joining us and you may now disconnect your lines.

Call: Nov 2025

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November 17, 2025

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Dear Sirs,

Pursuant to Regulation 30 of the Securities and Exchange Board of India (Listing Obligations and Disclosure Requirements) Regulations, 2015, please find transcript of our Conference Call which was held on Thursday, 13th November, 2025 to discuss the Company's Q2 FY26 earnings and business update.

Thanking you

Yours faithfully

For Ipca Laboratories Limited

Harish P. Kamath

Corporate Counsel & Company Secretary

"Ipca

Q2 FY '26

November 13

MANAGEMENT : M R. A.K.

LABORATORIES

MR. HARISH

COMPANY

LIMITED

MODERATOR : M R. NITIN

LIMITED

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Q2 FY '26 Earnings Conference Call"

November 13 , 2025

A.K. JAIN – MANAGING DIRECTOR – IPCA

LABORATORIES LIMITED

HARISH KAMATH – CORPORATE COUNSEL AND

COMPANY SECRETARY – IPCA LABORATORIES

LIMITED

NITIN AGARWAL – DAM CAPITAL ADVISORS

LIMITED

IPCA

COUNSEL AND

LABORATORIES

ADVISORS

Moderator: Ladies and gentlemen, good day, and welcome to Ipca Laboratories Earnings Conference Call Q2 FY '26 hosted by DAM Capital.

The call will be in audio conference mode, and there will be an opportunity for you to ask questions after the

conference concludes. Should you need assistance during the conference call, please signal an operator by pressing star, then zero on your touch screen. The call will be recorded.

I now hand over the call to Mr. Nitin Agarwal

Nitin Agarwal: Thank you. Hi, good afternoon, everyone, and a very warm welcome to Ipca Labs Q2 FY '26 Earnings Call hosted by DAM Capital Advisors Limited.

I am representing Ipca Lab management:

Kamath, Corporate Counsel and Company Secretary.

I will hand over the call to Mr. Jain to make the opening comments, and we will open the floor for questions subsequently. Please go ahead, sir.

A.K. Jain: Thank you. Thanks, Nitin, and DAM Capital for organizing this call. Today's hearing call and discussions and answer given may include some forward looking statements on the current business expectations. This must be viewed in conjunction with risks to the pharmaceutical business faces. Our actual financial performance may differ from what is projected and perceived. You may use your own judgment on the information given during the call.

Domestic formulation business for Q2 FY '26 has delivered a growth quarter. Business of the quarter has impacted due to GST rate rationalizations, rate structure correction made during the month of September 2025. And we have seen that subsequent to that in October month, we had a very good business recovery on domestic market.

Ipca's MAT September 2025, rank continued to remain around 16 as per IQVIA. Compared to MAT- September 2024, market share of Ipca has improved from 2.3% to 2.8% in MAT September 2025. Both on acute and chronic segment, we have outpaced the IPM as per IQVIA data for the quarter. Overall market growth in this period has been around 7.8% and Ipca has grown in Q2 around 11.6%.

On acute side, market has grown by around 6.2%. Ipca's growth was around 8.2%. On chronic side, market has grown by around 10.3% and Ipca growth tracked by IPI is around 14.2%.

Both chronic and acute business both have delivered better growth.

And overall share of chronic business in overall Ipca business has moved up from 34% in last quarter to around 35% now. For market, it is around 40%. So we are continuously now increasing our business share from chronic business now.

On export formulation business for the quarter is around INR493 crores as against

crores in last financial year. That has declined by around -- almost around 9% for the quarter.

And for H1, it is around INR941 crores as against INR 937 crores in H1 '25, almost flat. But

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Page 2 of 15 Ladies and gentlemen, good day, and welcome to Ipca Laboratories Earnings Conference Call Q2 FY '26 hosted by DAM Capital. As a reminder, all participant lines will be in listen mode, and there will be an opportunity for you to ask questions after the presentation concludes. Should you need assistance during the conference call, please signal an operator by pressing star, then zero on your touch-tone phone. Please note that this conference is being I now hand over the call to Mr. Nitin Agarwal. Thank you, and over to you, sir.

Thank you. Hi, good afternoon, everyone, and a very warm welcome to Ipca Labs Q2 FY '26

Earnings Call hosted by DAM Capital Advisors Limited. On the call today, we have representing Ipca Lab management: Mr. A.K. Jain, Managing Director; and Mr. Harish Kamath, Corporate Counsel and Company Secretary.

I will hand over the call to Mr. Jain to make the opening comments, and we will open the floor for questions subsequently. Please go ahead, sir.

Thank you. Thanks, Nitin, and DAM Capital for organizing this call. Today's hearing call and discussions and answer given may include some forward-looking statements based on our current business expectations. This must be viewed in conjunction with risks that pharmaceutical business faces. Our actual financial performance may differ from what is projected and perceived. You may use your own judgment on the information given during the Domestic formulation business for Q2 FY '26 has delivered a growth of around 8% for the quarter. Business of the quarter has impacted due to GST rate rationalizations, rate structure correction made during the month of September 2025. And we have seen that subsequent to that in October month, we had a very good business recovery on domestic market. Ipca's MAT September 2025, rank continued to remain around 16 as per IQVIA. Compared to September 2024, market share of Ipca has improved from 2.3% to 2.8% in MAT September 2025. Both on acute and chronic segment, we have outpaced the IPM as per IQVIA data for the quarter. Overall market growth in this period has been around 7.8% and Ipca has grown in Q2 around 11.6%.

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in this period has been around 7.8% and Ipca has grown by around 8.2%. On acute side, market has grown by around 6.2%. Ipca's growth was around 8.2%. On chronic side, market has grown by around 10.3% and Ipca growth tracked by IPI is around 14.2%. And overall share of chronic business in overall Ipca business has moved up from 34% in last year. For market, it is around 40%. So we are continuously now at 493 crores as against INR 541 crores almost around 9% for the quarter. 937 crores in H1 '25, almost flat. But

we are expecting a business growth of around almost around 8% to 9% on generic formulations in H2 '26.

On API front, for API business, Q2 FY '26 has delivered a growth of around 28% from INR 319 crores to around

America. Overall API business of current financial year is expected to grow around 14-15%.

For Q2 FY '26, R&D spend has increased to around 3.91% of the turnover from 2.7% for Q2 FY '25. Higher R&D spend of around 4% of turnover will continue in the for the current financial year.

On margin front, our stand

'26 as against 22.89% in Q2 FY '25, an improvement of almost around 2.57%. Consolidated EBITDA margin for Q2 FY '26 is at around 21.68% as against 19.1% for Q2 FY '25. That consolidated EBITDA margin for the quarter has also

And looking at overall the margin improvements in the Q2 of the current financial year, we see that from our guidance of around 20% consolidated margin, the margin are expected to be better by almost around 1% in the second quarter.

Having given the broad numbers, now I request participants to ask the questions.

Moderator: Thank you. We will now begin the question and answer session. of Saion Mukherjee

Saion Mukherjee: I just wanted to know, sir, your comments on GST impact. If you can quantify and also if you can throw some light around various therapy dynamics in India, how those are growing in the secondary market, please?

A.K. Jain: Overall, let's say, the pain is our biggest segment that continues to grow around 10% to 11% kind of growth is there on that segment. In Q2, we have around 10% growth. And for H1 '26, we have 11% growth.

As far as cardiovascular segment is concerned, the first quarter of current year, we had a major restructuring in cardiovascular business because we have added two more divisions and that the first quarter business because of that.

But in second quarter, we see good recovery around

And for consolidated for H1, the growth is around 10% on cardiovascular business.

antimalarials has seen decline in this quarter also and the H1 '26. This quarter by around 8% and overall decline is around 2%. Anti-bacterial in this quarter, the growth was around 4%.

Overall for the half year, it is around 5%. CNS segment, we had around 18% kind of growth and for H1, it is around 14%. Co Ipca Laboratories Limited

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Page 3 of 15 we are expecting a business growth of around almost around 8% to 9% on generic formulations in H2 '26.

On API front, for API business, Q2 FY '26 has delivered a growth of around 28% from 319 crores to around INR 408 crores on back of better business from Europe and Latin

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On margin front, our stand-alone EBITDA margin has improved to around 25.46% for Q2 FY '26 as against 22.89% in Q2 FY '25, an improvement of almost around 2.57%. Consolidated EBITDA margin for Q2 FY '26 is at around 21.68% as against 19.1% for Q2 FY '25. That consolidated EBITDA margin for the quarter has also improved by almost around 2.58%. And looking at overall the margin improvements in the Q2 of the current financial year, we see that from our guidance of around 20% consolidated margin, the margin are expected to be better by almost around 1% in the

second half, and that improvement will be there.

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grown by almost around 17% and for first half, it has grown by around 18%. Derma business in this quarter has grown by around 11%, and urology business was also around 11%. This is in spite of -- there is an impact in

the month of September because that growth was very, very low for us.

Saion Mukherjee: So, sir, what was the impact? And what is your guidance for the full year for India growth now?

A.K. Jain: Let's say, overall, our guidance was

Saion Mukherjee: Okay. And the other question I would like to understand from you is on Unichem. So if you can just take us through what we should expect? You talked about synergies before, part is realized, part will be. So if you can talk about the time lines and the quantum there? And what is your guidance on EBITDA margin for Unichem this year or next year, please?

A.K. Jain: Let's say, as far as Unichem is concerned, let's say, we were talking about reductions we need to work to do as far as their shipping, logistics and that was already done. Their energy cost reductions was already done. In last financial year itself, that was done.

As far as the business issues are concerned, number one was that we should extend their product to the various markets. So that work has started. And I think around 12 product dossiers are filed in European market and other markets, that filing has started. So that work and after this filing, probably

And then we'll start extending their product businesses to the other markets. So that work is going on.

As far as qualifying whatever API they are buying from outside and there the Ipca is one major source. That qualification applications are already say data are generated and fed with regulatory authorities once, let's say, that's clear. So far, no sourcing has started from Ipca. So once that approvals come, so that there is some

kind of delay may happen.

But thereafter, probably from next financial year, some of our major APIs, we should start supplying to them after the regulatory approvals are there. So that's the overall journey, which is currently happening.

As far as Unichem margins are concerned, first quarter was largely impacted because of some restructuring, which has happened in Europe because one of their facility manufacturing facilities which was there in Europe, there we had hands

that facility. That business

So overall, they were incurring around

expenditure. So that expenditure will be cut now. And that manufacturing

and all approvals has received. And I think the normal business has already started from their Baddi facility, which has all those kind of approvals and all customers and all regulatory approvals and everything is in place. Ipca Laboratories Limited

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So, sir, what was the impact? And what is your guidance for the full year for India growth

Let's say, overall, our guidance was around 10% to 11%. And broadly, we will be in that line.

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the time.

And then we'll start extending their product businesses to the other markets. So that work is

As far as qualifying whatever API they are buying from outside and there the Ipca is one major source. That qualification applications are already say data are generated and fed with regulatory authorities once, let's say, that's clear. So far, no sourcing has started from Ipca. So once that approvals come, so that there is some -- may be around six months to nine months kind of delay may happen.

But thereafter, probably from next financial year, some of our major APIs, we should start supplying to them after the regulatory approvals are there. So that's the overall journey, which is currently happening.

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So overall, they were incurring around EUR3.5 million to EUR 4 million every year, the expenditure. So that expenditure will be cut now. And that manufacturing and all the sources

and all approvals has received. And I think the normal business has already started from their Baddi facility, which has all those kind of approvals and all customers and all regulatory affairs and everything is in place. Laboratories Limited
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were there. And I think that cost has settled their first quarter account.

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On European Union kind of penalties and all that payments were made. And I think since euro has moved adversely, so that provision was also there in the first quarter of exchange difference of around

Second quarter was normal.

They had a good business growth in U.S. around 12%

done well. And therefore, I think over

which is around 1

So more improvements will start coming in once, let's say, dossier filing, which

and there their approvals start coming in from the various markets and we start extending their product to the other markets. So that advantage will still going to take some more time.

So, I think overall, their business margins are expected

the second quarter, but larger improvement may take place only after the various approvals, what we are expecting.

Saion Mukherjee: And then, sir, we could get to what, 15%, 20% kind of levels? What would be after all approvals and benefits?

A.K. Jain: The business also has to mature because business starts, so it will take time. So, let's say, I would say it may

Moderator: The next question is from th

Aanchal: Yes. So I just wanted some clarity around the synergies from Unichem. So we see that the R&D has increased in this quarter. But say, going ahead, if, for example, the R&D from Ipca is around INR 200 crores, while

consolidated level comes to around

say that this expense from

crores?

A.K. Jain: No, that expenditure reduction will not happen because Unichem has to do a lot of work in terms of, let's say, extending their dossier to the various markets. And a lot of places, there are repeat bioequivalent study need to be done for filing in other mar

Zealand, Canada, all those markets, Europe filing a nd all and all are required, then somewhere trade dress ne eds to be matched because somewhere colors of the tablet may be different and other So a lot of those kind of work or incremental work need to be done in order to align the product portfolio and getting those kind of approva ls. So, in fact, those expenditures are going to remain. What we have eliminated is that So there will be no duplication. But as far as work is concerned, in fact, that cost has already Ipca Laboratories Limited November 13

Page 5 of 15 d facility is being -- getting closed down. And so these are the major cha nges which were there. And I think that cost has settled their first quarter account.

On European Union kind of penalties and all that pa yments were made. And I think since euro moved adversely, so that provision was also there i n the first quarter of exchange difference of around INR10 crores to INR 12 crores, which has also impacted the first quar Second quarter was normal.

They had a good business growth in U.S. around 12% , and their European business has also done well. And therefore, I think over INR60 crores kind of EBITDA margins they have, which is around 1 1% or so of the second quarter.

So more improvements will start coming in once, let 's say, dossier filing, which and there their approvals start coming in from the various markets and we start extending their product to the other markets. So that advantage wil I still going to take some more time.

So, I think overall, their business margins are exp ected to remain around what is in line with the second quarter, but larger improvement may take place only after the various approvals, what we are expecting.

And then, sir, we could get to what, 15%, 20% kind of levels? What would be after all approvals and benefits?

The business also has to mature because business st arts, so it will take time. So, let's say, I would say it may -- for that margins to go up, it may be around 1.5 to 2 years. stion is from th e line of Aanchal from Lotus Wealth.

Yes. So I just wanted some clarity around the syner gies from Unichem. So we see that the R&D has increased in this quarter. But say, going a head, if, for example, the R&D from Ipca is 200 crores,

whil e the R&D from Unichem is around INR 100 crores. This at the consol level comes to around INR 300 crores, correct? So going ahead in the next yea r, can we say that this expense from INR300 crores can come to around INR 150 crores or

No, that expenditure reduction will not happen beca use Unichem has to do a lot of work in terms of, let's say, extending their dossier to the various markets. And a lot of places, there are repeat bioequivalent study need to be done for fili ng in other mar kets like Australia, New Zealand, Canada, all those markets, Europe filing a nd all -- and so those bioequivalent studies and all are required, then somewhere trade dress ne eds to be matched because somewhere colors of the tablet may be different and other size shapes are different.

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So there will be no duplication. But as far as work is concerned, in fact, that cost has already Laboratories Limited November 13 , 2025

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On European Union kind of penalties and all that pa yments were made. And I think since euro moved adversely, so that provision was also there i n the first quarter of exchange 12 crores, which has also impacted the first quar ter.

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terms of, let's say, extending their dossier to the various markets. And a lot of places, there are markets like Australia, New Zealand and so those bioequivalent studies

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So there will be no duplication. But as far as work is concerned, in fact, that cost has already increased and will keep on remain at that level because a lot of incremental work needs to be done in order

Aanchal: Okay, sir. And also around the ANDA synergies. So say, if Unichem already has an approved ANDA, can Ipca use the same molecule ANDA and gain any synergy around here?

A.K. Jain: Let's say, Unichem is marketing all Ipca products. So Unichem, if it is producing, they have ANDA, they will continue to produce. Ipca will not disturb that part. Only thing what will happen that future development, it will all depend on whether Unichem will develop that product.

If Ipca has API, Ipca will develop the product. There will not be a common product development at both the places. But both the team will continue to work on

new product

development. So both the

Aanchal: Okay, sir. Understood. And just one last thing. I just wanted to understand your pipeline for the 505(b)(2) in Ipca as well as for Unichem?

A.K. Jain: We don't have any pipeline of that nature.

Moderator: The next question is from the line of Tushar from Motilal Oswal Financial Services.

Tushar: Sir, just on the generics exports, while you have guided for 8% to 9% growth in the second half, what is it that will drive this? Do we have certain products

Because first half has

A.K. Jain: First half, basically, it was basically on account of one product because in the market, there was a good amount of higher inventories were there, and there was otherwise, the European business has done well.

And overall, the kind of orders we have and kind of whatever interaction with customer and our business expectations suggest growth on generics in H2 '26, yes.

Tushar: Got it. And similarly, on the branded export side as well, I mean, the first half pretty soft?

A.K. Jain: First quarter, we had a good growth

there could be variation. That business also will have around 9% to 10% kind of growth on the full financial year basis. So

fluctuations happens on ROW market and all. But overall, for the year, I have no doubt that, that kind of growth will not be achieved.

Tushar: Got it, sir. And just lastly, on the API side, while this quarter was pretty strong, but we are sort of guiding for a

business which is not going to sort of recur in the subsequent quarters? Ipca Laboratories Limited
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Page 6 of 15 increased and will keep on remain at that level because a lot of incremental work needs to be done in order to get better certification of their product range from other markets.

Okay, sir. And also around the ANDA synergies. So say, if Unichem already has an approved ANDA, can Ipca use the same molecule ANDA and gain any synergy around here?

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If Ipca has API, Ipca will develop the product. There will not be a common product development at both the places. But both the team will continue to work on new product development. So both the teams will be working on their respective range, yes.

Okay, sir. Understood. And just one last thing. I just wanted to understand your pipeline for the 505(b)(2) in Ipca as well as for Unichem?

We don't have any pipeline of that nature.

The next question is from the line of Tushar from Motilal Oswal Financial Services.

Sir, just on the generics exports, while you have guided for 8% to 9% growth in the second half, what is it that will drive this? Do we have certain product approvals or traction?

Because first half has been pretty flat for generics?

First half, basically, it was basically on account of one product because in the market, there was a good amount of higher inventories were there, and there was no production of that. So, otherwise, the European business has -- if I look from the ranges point of view and all that has

And overall, the kind of orders we have and kind of whatever interaction with customer and our business expectations suggest that we should be able to have around 8% to 9% kind of growth on generics in H2 '26, yes.

Got it. And similarly, on the branded export side as well, I mean, the first half, again has been First quarter, we had a good growth. I think it's only second quarter and quarter there could be variation. That business also will have around 9% to 10% kind of growth on the full financial year basis. So -- and quarter-to-quarter in this kind of business, always some variations happens on ROW market and all. But overall, for the year, I have no doubt that, that kind of growth will not be achieved.

Got it, sir. And just lastly,

on the API side, while this quarter was pretty strong, but we are sort of guiding for a little lower growth rate for the full year. So does it mean that we had certain business which is not going to sort of recur in the subsequent quarters? Laboratories Limited November 13, 2025

increased and will keep on remain at that level because a lot of incremental work needs to be to get better certification of their product range from other markets.

Okay, sir. And also around the ANDA synergies. So say, if Unichem already has an approved ANDA, can Ipca use the same molecule ANDA and gain any synergy around here?

Let's say, Unichem is marketing all Ipca products. So Unichem, if it is producing, they have ANDA, they will continue to produce. Ipca will not disturb that part. Only thing what will if Unichem has API,

If Ipca has API, Ipca will develop the product. There will not be a common product development at both the places. But both the team will continue to work on new product teams will be working on their respective range, yes.

Okay, sir. Understood. And just one last thing. I just wanted to understand your pipeline for The next question is from the line of Tushar from Motilal Oswal Financial Services.

Sir, just on the generics exports, while you have guided for 8% to 9% growth in the second product approvals or traction?

First half, basically, it was basically on account of one product because in the market, there no production of that. So, few and all that has

And overall, the kind of orders we have and kind of whatever interaction with customer and suggest that we should be able to have around 8% to 9% kind of half, again has been

growth. I think it's only second quarter and quarter -to-quarter, there could be variation. That business also will have around 9% to 10% kind of growth on the quarter in this kind of business, always some

variations happens on ROW market and all. But overall, for the year, I have no doubt that,

Got it, sir. And just lastly, on the API side, while this quarter was pretty strong, but we are sort of little lower growth rate for the full year. So does it mean that we had certain

A.K. Jain: Let's say, some of our APIs, which we were selling, but on which our volumes were low, certain APIs has gone to European customers and there, I think there was a bulk procurement was there for their businesses and all, which was a lot

And that business will continue, but there may not be third quarter buying to an once they consume, and then again, they come up. So looking at all those kind of things, API business overall guidance we have given is around 14% to 15% kind of growth overall.

Tushar: Got it. And just lastly, if I may, progress on the U.S. bus

A.K. Jain: More or less, business is spreading very well. I think last quarter also, we have said that the current businesses which are happening is translating into almost around INR 15 crores. And I think we have ship six products are under manufacturing.

So once those product goes, probably the business may start on the fourth quarter of the current year or maybe some business maturing may take a little longer time there in the market for such a long time. It is taking some time to cover up those kind of business. And overall, that's why we are more conservative on that part.

Tushar: Got it. So, this 2Q, we made

Management: Overall, H1, we have made about

Moderator: The next question is from the line of Raja

Rajakumar: Sir, my question is on the cash situation in Unichem. After this payment of this penalty, would you need any cash infusion in Unichem?

A.K. Jain: No, Unichem doesn't require cash. In fact, they have surplus right now also. And current quarter also, they have generated cash from businesses, and they will continue to do that. So I don't think --

after, I think this overall

payment of tax also, there will be surplus.

Rajakumar: Okay. And that money is already

A.K. Jain: Jogeshwari sales, yes

, money is realized, yes. That is realized in the third quarter.

Rajakumar: Sorry, we are in second quarter, right?

Management: Transaction happened in the month of October. So it will get

A.K. Jain: Third quarter. That's what I said.

Rajakumar: Okay. Okay. Got it. Got it. Sir, and also why there is a huge inventory situation in Unichem compared to --

very high in Unichem as compared to Ipca? Ipca Laboratories Limited

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Page 7 of 15 Let's say, some of our APIs, which we were selling, but on which our volumes were low, in APIs has gone to European customers and there, I think there was a bulk procurement was there for their businesses and all, which was at a higher margins was there.

And that business will continue, but there may not be third quarter buying to an extent once they consume, and then again, they come up. So looking at all those kind of things, API business overall guidance we have given is around 14% to 15% kind of growth overall.

Got it. And just lastly, if I may, progress on the U.S. business from Ipca side?

More or less, business is spreading very well. I think last quarter also, we have said that the current businesses which are happening is translating into almost around

15 crores. And I think we have shipped around 6 products there and almost around five to six are under manufacturing.

So once those products go, probably the business may start on the fourth quarter of the current year or maybe some business maturing may take a little longer time.

It's been there in the market for such a long time. It is taking some time to cover up those kind of business. And overall, that's why we are more conservative on that part.

Got it. So, this 2Q, we made INR14 crores, INR15 crores is what you highlighted?

Overall, H1, we have made about INR55 crores.

The next question is from the line of Rajakumar from RK Invest.

Sir, my question is on the cash situation in Unichem. After this payment of this penalty, would you need any cash infusion in Unichem?

No, Unichem doesn't require cash. In fact, they have surplus right now also. And current quarter also, they have generated cash from businesses, and they will continue to do that. So I and we already sold their Jogeshwari land. And I think overall proceeds of that after, I think this overall -- this payment also will leave some surplus with Unichem. And after payment of tax also, there will be surplus.

Okay. And that money is already realized Jogeshwari sale?

Jogeshwari sales, yes, money is realized, yes. That is realized in the third quarter.

Sorry, we are in second quarter, right?

Transaction happened in the month of October. So it will get reflected in the third quarter.

Third quarter. That's what I said.

Okay. Okay. Got it. Got it. Sir, and also why there is a huge inventory situation in Unichem -- if the business between Ipca and Unichem is similar, the inventory is

very high in Unichem as compared to Ipca? Laboratories Limited

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Let's say, some of our APIs, which we were selling, but on which our volumes were low, in APIs has gone to European customers and there, I think there was a bulk procurement at a higher margins was there.

And that business will continue, but there may not be third quarter buying to an extent. So once they consume, and then again, they come up. So looking at all those kind of things, API business overall guidance we have given is around 14% to 15% kind of growth overall. business from Ipca side?

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Sir, my question is on the cash situation in Unichem. After this payment of this penalty, would

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Jogeshwari sales, yes, money is realized, yes. That is realized in the third quarter. reflected in the third quarter.

Okay. Okay. Got it. Got it. Sir, and also why there is a huge inventory situation in Unichem if the business between Ipca and Unichem is similar, the inventory levels are

A.K. Jain: Unichem business is more or less U.S. business, almost around 80% is U.S. business. And their cycle is such that they need to keep around three months inventory at the U.S. and transit inventories and all that kind of thing. And since there are a lot of their products is also from their own API basket.

So there are API inventories and all. inventory. You will notice that in this quarter around INR 150 crores in the system.

Rajakumar: Okay. Sir, Lastly, can you comment on your other listed subsidiary, Lyka Labs, even there is some deterioration in that performance?

A.K. Jain: Lyka Labs as such, all that, a lot of customers have said because you don't produce now in the month of September because that will be can't take batches and hold. So I think that business got impacted.

And I think they had some kind of some rejections and that impact was there of around crores, INR 7 crores on their overall numbers. So that has impacted the business, yes otherwise, their critical care business, which they are building up and also their animal health care business, what they are building up, that journey is going on as planned, yes.

Rajakumar: So the last story is impacting Lyka, right?

A.K. Jain: Yes.

Moderator: The next question is from the line of Kunal from Axis Capital.

Kunal: Sir, my question is on R&D. Sir, you have around seven biosimilar projects in the pipeline, three of which are expected to go to clinical trials next year. So as it is your slightly this year. So should we assume that even next year, the R&D increase will be even sharper than this?

A.K. Jain: I think overall, the R&D spend in the current financial year is going to remain around 4% of our turnover because a lot markets is also getting

also increasing. And also your biosimilar expenditures are there. Once the clinical trials start that cost will be extra. So this 4% may go to around 4.5% or 4.75% in next financial year.

Kunal: Got it, sir. And sir, secondly, if I were to look at your up by only mid deferment of some costs? Or there's some cost optimization you have done, if you can just throw some light?

A.K. Jain: It's basically all other costs remain in control. So there are overheads are clpca Laboratories Limited

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Page 8 of 15 Unichem business is more or less U.S. business, almost around 80% is U.S. business. And their cycle is such that they need to keep around three months inventory at the U.S. and transit inventories and all that kind of thing. And since there are a lot of their products is also from their own API basket.

So there are API inventories and all. We are working also on reduction of those kind of inventory. You will notice that in this quarter, we have reduced overall inventory by almost 150 crores in the system.

Okay. Sir, Lastly, can you comment on your other listed subsidiary, Lyka Labs, even there is some deterioration in that performance?

Lyka Labs as such, let's say, they do a lot of P2P business because of this GST rationalizations, all that, a lot of customers have said because you don't produce now in the month of September because that will be -- once the price is changed, then only they wanted productio can't take batches and hold. So I think that business got imp

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I think overall, the R&D spend in the current financial year is going to remain around 4% of our turnover because a lot of filing and bioequivalence studies and our filing in various

markets is also getting -- that pipeline is also becoming very strong. So those expenditures are also increasing. And also your biosimilar expenditures are there. Once the clinical trials start, that cost will be extra. So this 4% may go to around 4.5% or 4.75% in next financial year.

Got it, sir. And sir, secondly, if I were to look at your opex, which includes R&D, that's gone up by only mid-single digits and the fact that R&D has gone up quite a bit. Is it some deferment of some costs? Or there's some cost optimization you have done, if you can just throw some light?

It's basically all other costs remain in control. So there are -- as far as the manufacturing overheads are concerned, let's say, your fuel cost is down. My power cost has gone up by just 1% because we have a lot of renewable power, power project installation, so that savings are coming.

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And I think they had some kind of some rejections and that impact was there of around INR 57 crores on their overall numbers. So that has impacted the business, yes. But otherwise, their critical care business, which they are building up and also their animal health care business, what they are building up, that journey is going on as planned, yes.

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concerned, let's say, your fuel cost is down. My power cost has gone up by just

1% because we have a lot of renewable power, power project installation, so that savings are coming.

And overall other costs, by and large, except the testing cost

st, which has moved

by and large, remains same. So there are not much of escalation in the manufacturing costs.

Marketing cost has moved up by almost around 6% to 7% in this quarter.

Kunal: Got it, sir. And is it

couple of years expanding. So that was also kind of hitting your P&L. Now it's more of a steady-state growth number. Is that what we should assume going forward too?

A.K. Jain: Let's say, this year also, we have expanded the fleet

almost around 7,000 now medical reps. So two more cardiac divisions were added in the current financial year. And in time to come, we will add one more division on cosmetic dermatology and -- so some kind of those

And also one division was added about one division named Flexicare was added to extend our equity on, let's say, on pain management because we are very strong with orthos and we have leadership there. But we

that division right now, last year, it has started. It is still incurring the losses. So in time to come, that productivity will also build up.

So we have almost around 7,000 people and

around 400 to 500 people annually can be added. But beyond that number addition is not going to be there in next two, three years' time.

Kunal: Got it, sir. That is helpful. And just one more, if you don't mind

this quarter, the growth was driven by AI and the subsidiaries

which I assume are lower gross margin businesses, while your Indian branded was slightly softer. Despite that, the gross margin is

been managed to

A.K. Jain: Let's say, in the

moved up by around 7%. But at the same

to 4% kind of reduction there in material cost. So what we are finding that there is no increase

in material cost as such, procurement cost.

But since our product mix is improving, let's say, my chronic

other product mix is improving, where we have higher margins. So that is resulting in the overall margin. And also on the API side, certain businesses have started happening, which are also at a higher margin level.

So that margin has also improved, and that has resulted in almost around EBITDA margin improvement in

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Page 9 of 15 1% because we have a lot of renewal power, power project installation, so that savings are

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by and large, remains same. So there are not much of escalation in the manufacturing costs.

Marketing cost has moved up by almost around 6% to 7% in this quarter.

Got it, sir. And is it -- are you kind of have stopped expanding the sales force because last couple of years expanding. So that was also kind of hitting your P&L. Now it's more of a state growth number. Is that what we should assume going forward too?

Let's say, this year also, we have expanded the field force. And overall, if you look, we have almost around 7,000 now medical reps. So two more cardiac divisions was added in the current financial year. And in time to come, we will add on more division on cosmetic dermatology so some kind of those expenditures were there is likely to be there.

And also one division was added about one division named Flexicare was added to extend our equity on, let's say, on pain management because we are very strong with orthos and we have leadership there. But we have only pain products. So we have launched a range of products. So that division right now, last year, it has started. It is still incurring the losses. So in time to come, that productivity will also build up.

So we have almost around 7,000 people and now additions are not going to be much, maybe around 400 to 500 people annually can be added. But beyond that number addition is not going to be there in next two, three years' time.

Got it, sir. That is helpful. And just one more, if you don't mind. On the margin front. So, in this quarter, the growth was driven by AI and the subsidiaries -- the top line growth

that is,

which I assume are lower gross margin businesses, while your Indian branded was slightly softer. Despite that, the gross margin is very robust. So I just want to understand how you have been managed to have like 69%, 70% gross margin?

Let's say, in the -- if you look at the current quarter numbers, the overall, let's say, top line has moved up by around 7%. But at the same time, the material cost is down by almost around 3% to 4% kind of reduction there in material cost. So what we are finding that there is no increase cost as such, procurement cost.

But since our product mix is improving, let's say, my chronic product mix is improving, my other product mix is improving, where we have higher margins. So that is resulting in the overall margin. And also on the API side, certain businesses have started happening, which are also at a higher margin level.

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improvement in -- in spite of lower growth in the quarter, we have almost around 2.57%

improvement in the stand-alone EBITDA margin from 22.89% to almost around 25.46%. Laboratories Limited

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if you look at the current quarter numbers, the overall, let's say, top line has time, the material cost is down by almost around 3% to 4% kind of reduction there in material cost. So what we are finding that there is no increase product mix is improving, my other product mix is improving, where we have higher margins. So that is resulting in the overall margin. And also on the API side, certain businesses have started happening, which are margin has also improved, and that has resulted in almost around EBITDA margin in spite of lower growth in the quarter, we have almost around 2.57% alone EBITDA margin from 22.89% to almost around 25.46%.

And in consolidated margin for the quarter has also improved to around 21.68% from 19.1%. By and large, it's largely driven by Ipca margins here. And that trend will continue. The trend will continue.

Kunal: Right. So you are saying there's more headroom to

A.K. Jain: So margins are improving, I would say that. And this quarter is a peak quarter. Next quarter, some businesses are domestic businesses comes down and fourth quarter domestic business is low. So depending on the mix, but to last financial year.

Moderator: The next question is from the line of

Dharmil Shah: My questions are more on Unichem with regards to the generic business. So what about the other Indian generic companies about the

price erosion in the U.S. market. So what has been the trend for us for our molecules for last two to three years with regards to price erosion, what is the current situation? And how do you see three years?

Management: Actually, during our Q1 con call, we had said Unichem has lost market share in certain of its products. That is also because of the lower prices for that product and increase in the competition. At the same time, they have also gained market share in a few other products, but that convert into business will take some time.

So going forward, we are confident two, three new products will also get added each year and their U.S. business should grow they will be also marketing Ipca products.

Dharmil Shah: Understood. So 8% to 10% growth is considering all the factors that you had considered.

Management: That is correct, yes. This year, the certain market share in two of their major products. That is the reason, nothing else.

Dharmil Shah: And what was the reason for losing the market share? Is it purely based on price?

Management: It was that the competition increased and people quoted lower prices and they took a certain market share.

Dharmil Shah: Understood. So is it more like a tendering business for us where each year the tenders.

Management: It is not exactly a tendering companies, other companies also come into business, and it happens. Whatever they have lost, they may recover in the next cycle. So it's a routine thing in generic business.

Dharmil Shah: Understood. But do you expect the price erosion to continue maybe quantify single digit, lower single digit... Ipca Laboratories Limited

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that convert into business will take some time. So going forward, we are confident two, three new products will also get added each year and their U.S. business should grow on a stand-alone basis about 8% to 10%. In addition to that, they will be also marketing Ipca products.

Understood. So 8% to 10% growth is considering all the factors that you had considered.

That is correct, yes. This year, the growth has been slightly lower because, as I said, they lost certain market share in two of their major products . That is the reason, nothing else. And what was the reason for losing the market share ? Is it purely based on price? It was that the competition increased and people quoted lower prices and they took a certain

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companies, other companies also come into business, and it happens. Whatever they have lost, they may recover in the next cycle. So it's a routine thing in generic business.

I mean, if you can

Management: It all depends product to product. If competition increases, price reduction will happen.

Otherwise, there could be

can guess that correctly. It all depends on competition. How many new players come into that molecule.

A.K. Jain: Currently, we are not seeing any kind of shortages in U.S. market. So price definitely there. So one-time buying opportunities are a little lower currently. So that used to translate into more margins, but that business opportunity, we are not seeing to that an extent in current year.

Dharmil Shah: Understood. So

of the market, I mean, the other geographies you mention

Management: That we also explained, we have started filing dossiers of Unichem in rest of the dossier registration process takes anywhere between 12 to 18 months. Once the dossiers are registered, we will be taking their product in so many other markets where they are not present today, Europe, Australia, New Zealand and Canada. and

on. But because there is a regulatory involvement, there is a two to three years period, all these processes take.

Dharmil Shah: Understood. Yes, I understand that it's a very long process to get the approvals and start marketing the new products. But just to understand more on that, currently, the U.S.

contribution to the Unichem business is around 60%, 65% of...

Management: Almost 70% you can say.

Dharmil Shah: Yes. Yes. So assuming, I mean, these new products and newer

expect -- I mean, U.S. contribution to come down to what levels maybe next three to five years later?

Management: Then it will also come down gradually. Once you get registration, you start marketing, then gain market share. So it

continuously grow quarter after quarter. That only we can say. But it is a gradual process.

You

can't expect something to happen drastically in shorter period of time.

Dharmil Shah: Understood. And gross margins for last three quarters has been around 54%, 55%. So is this purely based on the market share loss you mentioned in the key products? Or is it something...

Management: Yes, the gross margin has come down mainly because of that loss

Dharmil Shah: Okay. It has nothing to do with the contract manufacturing business, right?

Management: No, no, no, nothing to do with that. And unfortunately, the products where they lost market share, it was also huge volume. So because

has also impacted to some extent. Ipca Laboratories Limited

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Page 11 of 15 It all depends product to product. If competition increases, price reduction will happen.

Otherwise, there could be a chance price may also increase also. So it is a cycle. So nobody can guess that correctly. It all depends on competition. How many new players come into that Currently, we are not seeing any kind of shortages in U.S. market. So pricing pressures are definitely there. So onetime buying opportunities are a little lower currently. So that used to translate into more margins, but that business opportunity, we are not seeing to that an extent in current year.

Understood. So, 8% to 10% growth for the U.S. business. But how do you expect for the rest of the market, I mean, the other geographies you mentioned that you would be marketing?

That we also explained, we have started filing dossiers of Unichem in rest of the dossier registration process takes anywhere between 12 to 18 months. Once the dossiers are registered, we will be taking their product in so many other markets where they are not present today, Europe, Australia, New Zealand and Canada. and also ROW market. So that process is on. But because there is a regulatory involvement, there is a two to three years period, all these processes take.

Understood. Yes, I understand that it's a very long process to get the approvals and start marketing the new products. But just to understand more on that, currently, the U.S.

contribution to the Unichem business is around 60%, 65% of...

70% you can say.

Yes. Yes. So assuming, I mean, these new products and newer geographies, what do you I mean, U.S. contribution to come down to what levels maybe next three to five years

Then it will also come down gradually. Once you get registration, you start marketing, then gain market share. So it is a slow and gradual process. But once that process starts, you will continuously grow quarter after quarter. That only we can say. But it is a gradual process. You can't expect something to happen drastically in shorter period of time.

Understood. And gross margins for last three quarters has been around 54%, 55%. So is this purely based on the market share loss you mentioned in the key products? Or is it something...

Yes, the gross margin has come down mainly because of that loss of market share.

Okay. It has nothing to do with the contract manufacturing business, right?

No, no, no, nothing to do with that. And unfortunately, the products where they lost market share, it was also huge volume. So because of the reduction in volume, their overhead recovery has also impacted to some extent. Laboratories Limited

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It all depends product to product. If competition increases, price reduction will happen.

There is a chance price may also increase also. So it is a cycle. So nobody

can guess that correctly. It all depends on competition. How many new players come into that pricing pressures are

definitely there. So onetime buying opportunities are a little lower currently. So that used to translate into more margins, but that business opportunity, we are not seeing to that an extent

, 8% to 10% growth for the U.S. business. But how do you expect for the rest

mentioned that you would be marketing?

That we also explained, we have started filing dossiers of Unichem in rest of the market. The dossier registration

process takes anywhere between 12 to 18 months. Once the dossiers are registered, we will be taking their product in so many other markets where they are not present also ROW market. So that process is

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Understood. And gross margins for last three quarters has been around 54%, 55%. So is this purely based on the market share loss you mentioned in the key products? Or is it something...

loss of market share.

No, no, no, nothing to do with that. And unfortunately, the products where they lost market of the reduction in volume, their overhead recovery

Dharmil Shah: Understood. And right now, I mean, given that we have added so much capacities in Munich and both in formulation...

Moderator: Should you have any follow line of Surya Narayan Patra

Surya Narayan Patra: The first question is that the growth for us, which has been kind of relatively muted in the recent past, obviously, because we have seen that Europe as a market, it has emerged as one of the best performing market for many of the larger players also.

And we have seen some price appreciation there that has been helping Europe being one of the largest market for us, the growth has not been in any manner supported. So what could be impacting our Europe growth

Management: No, Mr. Jain has already explained, it is because of one single product the sales in all other products are good. And the products where sales were good were having better margins. So margin did not get impacted. Only that particular product, except that product, everything is fine. Plus we are doing

Many products are registered, getting registration also in Germany, where going forward, we shall also participate in tender. We have already incorporated a subsidiary. So Europe is a focused market, market. Plus we are also started filing Unichem dossiers in the European market. So basket will also increase.

Surya Narayan Patra: Okay. Okay. So we have so far not been seeing the cross-mentioned.

Management: No, no, nothing so far. So far, nothing. Okay. Only two dossiers are registered for which now we are in the market started talking to customers.

Surya Narayan Patra: Okay. Regards to the margin in terms of growth compared to the IPM. Now we are kind of started tracking almost similar to the market growth momentum, slightly better though. Going ahead, see, there are two -- obviously, two trends are emerging for the domestic market. One is some moderation in the growth generally. That is one.

And secondly, a bigger growth trigger like GLP that is upcoming. So considering these two aspects, what is our expectation? And what is GLP opportunity also? And beyond this, how should one think about the domestic overall growth for Unichem

Management: So we are very confident our growth will be higher than the market growth. There is no doubt on that. So we are also addressing the therapies where earlier growth was not good like cardiac and all of which we have now started seeing the result. So we are in Ipca Laboratories Limited November 13

Page 12 of 15 Understood. And right now, I mean, given that we have added so much capacities in Munich and both in formulation...

Should you have any follow-up questions please join the queue. The next question is from the Surya Narayan Patra from PhillipCapital. The first question

is that the growth for us, which has been kind of relatively muted in the recent past, obviously, because of the kind of underperformance in the export side. While we have seen that Europe as a market, it has emerged as one of the best performing market for the larger players also.

And we have seen some price appreciation there that has been helping people. But despite Europe being one of the largest market for us, the growth has not been in any manner supported. So what could be impacting our Europe growth for us, sir?

No, Mr. Jain has already explained, it is because of one single product. Excluding that product, the sales in all other products are good. And the products where sales were good were having better margins. So margin did not get impacted. Only that particular product, except that product, everything is fine. Plus we are doing so many other things to expand our European footprint. Many products are registered, getting registration also in Germany, where going forward, we shall also participate in tender. We have already incorporated a subsidiary. So Europe is a focused market, and we are hopeful our growth should be good going ahead in the European market. Plus we are also started filing Unichem dossiers in the European market. So basket will also increase.

Okay. Okay. So we have so far not been seeing the cross-selling benefit. That is what you No, no, nothing so far. So far, nothing. Okay. Only two dossiers are registered for which now we are in the market started talking to customers.

Okay. Regards to the domestic market, sir, see, we have always been outpacing with big margin in terms of growth compared to the IPM. Now we are kind of started tracking almost

similar to the market growth momentum, slightly better though. Going ahead, see, there are obviously, two trends are emerging for the domestic market. One is some moderation in growth generally. That is one.

And secondly, a bigger growth trigger like GLP that is upcoming. So considering these two aspects, what is our expectation? And what is our preparedness and thought process about the GLP opportunity also? And beyond this, how should one think about the domestic overall growth for Unichem -- sorry, Ipca?

So we are very confident our growth will be higher than the market growth. There is no doubt on that. So we are also addressing the therapies where earlier growth was not good like cardiac and all of which we have now started seeing the result. So we are now beating market as far as Laboratories Limited November 13, 2025

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Surya Narayan Patra: Okay. About GLP, anything that you can talk about, sir? What is your preparedness? When do you think that it will be there in the market?

A.K. Jain: See as far as GLP is concerned, we didn't have R&D of that kind for GLP. So E. coli R&D, we didn't have. So now we have already in process of putting the facility for R&D, biotech R&D for E. coli that kind of race for it comes, we'll be there. We are already synthesizing the clones and other things are already going on.

And as far as market opportunities are concerned, we are also looking to buy the product from other manufacturers and that. So that opportunity we are evaluating. Nothing is finalized right now, but we are

Surya Narayan Patra: Okay. Just last one bit from my side, sir. In fact, can you talk about your R&D pipeline, whether it is for U.S. market or whichever emerging market opportunities? See, what is the core focus of the R&D currently and which way that we are taking

A.K. Jain: R&D has current capacity of filing almost around 30 to 35 products. So it will include of the same product, there are different markets, and this is number. So current capacity is around

And earlier, we were not, let's say, utilizing that to the fullest extent because we were not there in the U.S. market. So U.S. filing has also started. I think the two filings have already happened and their pipeline is there of a

So -- and we have also expedited now a lot of developments for Europe and Australia, New Zealand, Canada market. So that's also happening. And you will notice that R&D cost is also moving up, not only in the biotech development. So we are building a very strong pipeline for future growth.

Moderator: The next follow

Saion Mukherjee: Sir, just follow up on this filing question. So you made two filings already and you have 5 to 6 which are under development. If you can take us through from a slightly longer perspective, let's say, over the next five years, how should we think about the U.S. business sort of scaling up over the next five years?

A.K. Jain: We are not a company which will be doing too much of filing based on somebo By and large, what is there in our pipeline, either current pipeline or expected to be there in the pipeline. Only those products are being developed and filed for the U.S. market. Ipca Laboratories Limited November 13

Page 13 of 15 cardiac therapy is also concerned. So we are very confident our growth will be better than the market growth.

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so looking to buy the product from other manufacturers and that. So that opportunity we are evaluating. Nothing is finalized right now, but we are -- that process is going on.

Okay. Just last one bit from my side, sir. In fact, can you talk about your R&D pipeline, whether it is for U.S. market or whichever emerging market opportunities? See, what is the core focus of the R&D currently and which way that we are t hinking at this moment?

R&D has current capacity of filing almost around 30 to 35 products. So it will include of the same product, there are different markets, and this is -- each filing is taken as number one number. So current capacity is aro und that kind of things.

And earlier, we were not, let's say, utilizing that to the fullest extent because we were not there in the U.S. market. So U.S. filing has also started. I think the two filings has already happened and their pipeline is there of a round five, six products are in pipeline.

and we have also expedited now a lot of developments for Europe and Australia, New Zealand, Canada market. So that's also happening. And you will notice that R&D cost is also moving up, not only in the biote ch, but also on the bioequivalence development. So we are building a very strong pipeline for future growth.

The next follow -up question is from the line of Saion Mukherjee from Nomura Securities.

wing up on this filing question. So you made two filings already and you have 5 to 6 which are under development. If you can take us through from a slightly longer perspective, let's say, over the next five years, how should we think about the U.S. bu terms of filing, the characteristics of those files, the products? And how should we think about the U.S. business sort of scaling up over the next five years?

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Okay. Just last one bit from my side, sir. In fact, can you talk about your R&D pipeline, whether it is for U.S. market or whichever emerging market opportunities? See, what is the hinking at this moment?

R&D has current capacity of filing almost around 30 to 35 products. So it will include of the each filing is taken as number one

And earlier, we were not, let's say, utilizing that to the fullest extent because we were not there in the U.S. market. So U.S. filing has also started. I think the two filings has already happened and we have also expedited now a lot of developments for Europe and Australia, New Zealand, Canada market. So that's also happening. And you will notice that R&D cost is also bioequivalence and formulation from Nomura Securities.

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teristics of those files, the products? And how should we think about

We are not a company which will be doing too much of filing based on somebody else API.

By and large, what is there in our pipeline, either current pipeline or expected to be there in the pipeline. Only those products are being developed and filed for the U.S. market.

So our -- compared to other companies, our filings are, by an

but it all depends on our API capacity because ultimately, unless you have API, you cannot be a long-term player because you all depend on the price given by other parties and that limits your ability to compete in the m

business philosophy will remain for longer term.

Saion Mukherjee: So, I ask, how many

A.K. Jain: Yes, yes.

Saion Mukherjee: Right. And so these APIs would be like about the kind of product...

A.K. Jain: Current capacity is around five to six APIs we can develop. So it's only those development would happen on formulation side. Some

going to be a significant number. If API is constituting a very small part of overall product cost, then we may outsource or maybe it's a general type of API with so many products people are producing, then

Moderator: The next question is from the line of Raja

Rajakumar: Sir, the first question is, can you comment on the monetization opportunity with reference to the tech transfer deal that you did with biosimilars Puerto Rico?

A.K. Jain: It's one of the old product and still having very relevance and U.S. business of government is also bigger and the party wanted to take kind of, let's say, our technology for your drug substance as well as the drug product, both.

So we have milestone

expert on and is filing

development and all. So c

plant from U.S.

So his assistance would be available to us because he's already consulting a large number of companies in India, China and Europe also on very experienced person.

So -- and -- on that particular product, he will also, let's say, his focus more and more is likely to be the government business and other. We will also do some private business. And simultaneously, we will also have

both the facilities will have an approval. That's the

And on that, we will also get the market share in U.S. So from whatever

almost around 25% is the market share, which will come to us on that particular. So that's the broad understanding we have with the party.

Rajakumar: Okay. And no monetization opportunity in this financial year with respect to the deal? Ipca Laboratories Limited November 13

Page 14 of 15 compared to other companies, our filings are, by and large, likely to remain low only,

but it all depends on our API capacity because ultimately, unless you have API, you cannot be term player because you all depend on the price given by other parties and that limits

your ability to compete in the market and all. So that's the business philosophy and that business philosophy will remain for longer term.

So, I ask, how many -- so these -- so you would be developing new APIs, right, for this?

. And so these APIs would be like -- is there a number? I mean, how should about the kind of product...

Current capacity is around five to six APIs we can develop. So it's only those development would happen on formulation side. Some API, we can outsource and also file, but it's not going to be a significant number. If API is constituting a very small part of overall product cost, then we may outsource or maybe it's a general type of API with so many products people are producing, then those kind of API we may not take up. So that's the overall thinking.

The next question is from the line of Raja kumar from RK Invest.

Sir, the first question is, can you comment on the monetization opportunity with reference to tech transfer deal that you did with biosimilars Puerto Rico?

It's one of the old product and still having very relevance and U.S. business of government is also bigger

and the party wanted to take kind of, let's say, our technology for your drug well as the drug product, both.

So we have milestone -based payment and royalty- based system. At the same time, that party is expert on and is filing -- it's a regulatory consultant to so many companies on biosimilar development and all. So collaborating with him will also help us in your qualification of that plant from U.S. FDA and other markets and all.

So his assistance would be available to us because he's already consulting a large number of companies in India, China and Europe also on the biosimilar kind of development and all. So very experienced person.

on that particular product, he will also, let's say, his focus more and more is likely to be the government business and other. We will also do some private business. And simultaneously, we will also have -- we will also be participating in clinical trial with him and both the facilities will have an approval. That's the kind of working we are doing.

And on that, we will also get the market share in U.S. So from whatever almost around 25% is the market share, which will come to us on that particular. So that's the broad understanding we have with the party.

Okay. And no monetization opportunity in this financial year with respect to the deal? Laboratories Limited
November 13, 2025

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it's a regulatory consultant to so many companies on biosimilar collaborating with him will also help us in your qualification of that

So his assistance would be available to us because he's already consulting a large number of the biosimilar kind of development and all. So

on that particular product, he will also, let's say, his focus more and more is likely to be the government business and other. We will also do some private business. And we will also be participating in clinical trial with him and the kind of working we are doing.

And on that, we will also get the market share in U.S. So from whatever business he does, almost around 25% is the market share, which will come to us on that particular. So that's the Okay. And no monetization opportunity in this financial year with respect to the deal?

A.K. Jain: No, it's not our focus to do the technology transfer, but we want U.S. approvals and experience of that person for the

almost all companies, is a consultant. Very, very rich

utilize that also. It's not our focus that we keep on transferring those technologies and monitoring. We will be utilizing those technologies for building up our pipeline.

Rajakumar: Okay. Got it, sir. Sir, and second this

last quarter, you said your margin will be down by 25 basis points. And now you are telling with a better Q2 performance, you're upping your margin by 100 basis points. Is that correct understanding

A.K. Jain: Yes, because the product mix is improving, and

that's giving the better margin. So we are

giving that guideline. And around that time, first quarter result of Unichem was not that good.

Their business is also improving. So hit which was there in third and fourth quarter.

So that is also taken into consideration while giving the margin. So Ipca's margins are improving. Unichem's performance is also improving as far as EBITDA is concerned compared to the

quarter. And overall, looking into all that, we are increasing the overall margin guideline.

Moderator: Thank you. Ladies and gentlemen, that was the last question for end of the question

over to the management for the closing comments.

Management: Madam, we can conclude the con call. I don't think there is any more question to conclude. Thank you, everyone, for participating in this con call. Thank you.

Moderator: Thank you. On behalf of Ipca Laboratories and DAM Capital, that concludes this conference. Thank you for joining us, and you may now disconnect your Ipca Laboratories Limited November 13

Page 15 of 15 No, it's not our focus to do the technology transfer, but we want U.S. approvals and experience of that person for the -- because he has very -- practically each and every company in India, almost all companies, is a consultant. Very, very rich experience. So -- and we wanted to utilize that also. It's not our focus that we keep on transferring those technologies and monitoring. We will be utilizing those technologies for building up our pipeline.

Okay. Got it, sir. Sir, and second thing is on the clarification on the margin guidance. So the last quarter, you said your margin will be down by 25 basis points. And now you are telling with a better Q2 performance, you're upping your margin by 100 basis points. Is that correct understanding ?

Yes, because the product mix is improving, and that's giving the better margin. So we are giving that guideline. And around that time, first quarter result of Unichem was not that good. Their business is also improving. So hit which was there in first quarter is not likely to be the in third and fourth quarter.

So that is also taken into consideration while giving the margin. So Ipca's margins are improving. Unichem's performance is also improving as far as EBITDA is concerned compared to the first quarter. And overall Ipca margins, we have seen the better margins in this quarter. And overall, looking into all that, we are increasing the overall margin guideline.

Thank you. Ladies and gentlemen, that was the last question for today. We have reached to the end of the question -and-answer session. On behalf -- now I would like to hand the conference over to the management for the closing comments.

Madam, we can conclude the con call. I don't think there is any more que conclude. Thank you, everyone, for participating in this con call. Thank you.

Thank you. On behalf of Ipca Laboratories and DAM Capital, that concludes this conference. Thank you for joining us, and you may now disconnect your lines. Laboratories Limited November 13 , 2025

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Call: Feb 2026

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D

Dear Sirs,
Pursuant to Regulation 30 of the Securities and Exchange Board of India (Listing Obligations and Disclosure Requirements) Regulations, 2015, please find transcript of our Conference Call which was held on Monday, 16th February, 2026 to discuss the Company's Q3 FY26 earnings and business update.

Thanking you

Yours faithfully

For Ipca Laboratories Limited

Harish P. Kamath

Corporate Counsel & Company Secretary

Page 1 of 13 "Ipca Laboratories Limited

Q3 FY '26 Earnings Conference Call"

February 16, 2026

MANAGEMENT : M R. AJIT KUMAR JAIN – MANAGING DIRECTOR AND

CHIEF FINANCIAL OFFICER – IPCA LABORATORIES

LIMITED

MR. HARISH KAMATH – CORPORATE COUNSEL AND

COMPANY SECRETARY – IPCA LABORATORIES

LIMITED

MODERATOR : M R. NITIN AGGARWAL – DAM CAPITAL ADVISORS

LIMITED

Ipca Laboratories Limited

February 16, 2026

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Moderator: Ladies and gentlemen, good day, and welcome to Ipca Laboratories earnings conference call of Q3 and FY '26. hosted by DAM Capital. As a reminder, all participants' line will be in the listen-only mode and there will be an opportunity for you to ask questions after the presentation concludes. Should you need assistance during this conference call, please signal an operator by pressing star then zero on your touch-tone phone. Please note that this conference is being recorded.

I now hand the conference over to Mr. Nitin Aggarwal from DAM Capital. Thank you, and over to you.

Nitin Aggarwal: Thank you, Iqra. Good afternoon, everyone, and a very warm welcome to Ipca Lab's Q3 FY '26 post-earnings call hosted by DAM Capital Advisors Limited. On the call today, we have representing Ipca Labs management, Mr. A.K. Jain, Managing Director; and Mr. Harish Kamath, Corporate Counsel and Company Secretary.

I will hand over the call to Mr. Jain to make the opening comments, and then we'll open the floor for questions. Please go ahead, sir.

Ajit Kumar Jain: Good afternoon. Thanks, Nitin, and DAM Capital for organizing this call. Today's hearing call and discussions and answer given may include some forward-looking statements based on our current business expectations that must be viewed in conjunction with the risk that pharmaceutical business faces. Our actual future financial performance may differ from what is projected and perceived. You may use your own judgment on information given during the call. Our domestic business for Q3 FY '26 has delivered a growth of around 12% for the quarter.

MAT December '26, our rank continued to remain at 16th as per IQVIA. On both chronic and acute segments, we have outpaced the IPM. On overall, IPM has grown by around 8.9%. Ipca has grown by around 10.6%.

On acute segment, the IPM growth was around 6.9%. Our growth is around 8.4%. On chronic segment, IPM growth was around 12%, and we have grown this business by around 15% as per IQVIA. Ipca's market share for the quarter continue to be remaining at around 2.08% MAT December 2025.

Our export formulation business in Q3 has delivered a growth of around 17%. And for 9 months period, export formulations has delivered growth around 6% from INR1,395 crores to around INR1,477 crores. API business during the quarter was flat at around INR317 crores. For 9 months of the current financial year, that business has grown by around 14% to around INR1,051 crores from INR924 crores.

Q3 consolidated business has delivered a growth of around 6.5% to around INR2,245 crores from INR2,393 crores. And for 9 months of the current financial year, consolidated business has grown by around 8.44% from INR6,993 crores to INR7,258 crores.

Ipca Laboratories Limited
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Our stand-alone EBITDA margin for the quarter has improved to 26.09% from Q3 FY '26 margin of around 24.25%, an overall improvement of around 1.81%. Consolidated EBITDA margin for Q3 FY '26 is at around 22.5% as against 19.87% in Q3 '25, an improvement of around 2.28%. And for first 9 months of current financial year, EBITDA margin is at around 20.79% as against 19.18% for first 9 months of last financial year, an improvement of almost around 1.61%. Having given the broad numbers, now I request participants to ask questions.

Moderator: The first question is from the line of Aanchal Jalan from Lotus Wealth.

Aanchal Jalan: Sir, around Unichem, our current cost of goods sold is 45%. And assuming it to stay the same in upcoming quarters, suppose the company aims to reach 18% to 20% EBITDA margins in, say, around 18 to 24 months with operating leverage and some further cost cutting, can you provide a road map around the same?

Ajit Kumar Jain: Unichem business in last current financial year has faced some problem because they have lost

certain businesses in U.S. and gained certain businesses. So overall, Unichem, the business had grown by -- I think, basic business, what they were doing, other than Ipca portfolio, has just grown by around 2% in current financial year.

And the business where it is lost is mainly which is high-volume business, where the plant was also recovering a good amount of overhead. So that business loss has impacted a little of Unichem's overall margins. And their EBITDA margins in this quarter is almost close to around 8% in the current financial year.

Their European business is improving now, and now more and more filings are also happening. So in time to come, we hope to do better there. And as far as U.S. business also, their overall business growth is good because of, let's say, the portfolio which they have got from Ipca. So overall, I think first 9 months of the current year, U.S. business has grown by almost around 15%. And for the quarter, U.S. business has grown by around 17%.

Aanchal Jalan: But sir, for EBITDA improvement, can we have any road map around the same? Do you have any plans for it, for improvement in EBITDA margin?

Ajit Kumar Jain: Improvement in EBITDA margins will come from, let's say, higher utilization of capacity, better U.S. business, which we hope to do in time to come, and also implement the business which is currently happening in Europe.

Aanchal Jalan: Okay, sir. And regarding the proceeds that the company has of around INR275 crores from the land sale. Can you provide some color around that? Are there any plans around it?

Ajit Kumar Jain: Let's say that their cash flow was also impacted because of payment of European Union, that fine which was to be paid on past issue of parent appeal, some issues. So almost around INR181 crores has gone there. So they have healthy cash flow right now. They are sitting with almost around more than INR250 crores of cash in the bank.

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And currently, there are hardly any expansion plan except some solar project, which is currently going on to use more green energy. And that will have a capital outlook of almost around INR50 crores. So other than that, they don't have any kind of major capital expenditure plan.

Moderator: The next question is from the line of Surya Narayan Patra from PhilipCapital.

Surya Narayan Patra: Sir, my first question is on the promotional brands growth, what we have seen. I think this is such a strong growth after many quarters that we are witnessing. Anything that can be attributed to this growth? Or is it to some extent led by the rupee depreciation factor?

Ajit Kumar Jain: I think West Africa has done very good business in this quarter. And overall, I think for the

whole of the year, which is more of a French-speaking African market and all, that business has grown by almost around 41% for the first 9 months. And in Q3, that has gone up by almost around 69%. So that's one business.

Latin America has grown by 20%; Middle East, Africa, by around 27%; East Asia is almost around 36%. CIS business during the quarter has remained by and large flat. So overall business growth is good. For first 9 months, it has grown by almost around 14%. But for whole of the year, we don't expect business growth to remain at even 14%. It's likely to be around 11% or so for the first 9 months of the current year.

Surya Narayan Patra: Okay. Sir, relating to the domestic formulation business, so we have been outpacing the industry growth and we have been 1 of the top 5 or top 10 player in terms of the growth. But it looks like that from the pharma track, the growth would have, to some extent, moderated for us also. And going ahead, if we see the GLP as a kind of key growth driver for the industry as a whole but we are not there on the first wave of the commercialization of the GLP, so given that, is it likely

that we would underperform to kind of our larger peers in terms of growth in the domestic market?

Ajit Kumar Jain: We are also working for in-licensing so we can come with the GLP. It's not that in-house we will not be manufacturing, but yes, we are looking for those kind of opportunities. And overall, let's say, for us, this growth is going to remain better because the trend, whatever we are seeing, that is better.

Let's say, our pain segment, which is over 50% now, is continuously driving the business. In this quarter also, pain has grown by around 13%. Our cardiovascular business, because last year -- in the beginning of current year, we have done the reorganization, so first few months that growth was a little lower because of restructuring. Now that business has also started delivering good growth. And I think for current quarter, cardiovascular domestic business has grown by around 16%. And the diabetes business has grown by 14%. So overall, that business is also good.

In spite of antimalarial declining by almost around 21% in this quarter, other business has done really very well. Like CNS business has grown by around 19%; derma business has grown by around 22%; neurology has grown by around 17%; and other businesses, small businesses,

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which has also grown by 13%. So overall, let's say, business is good. And we expect to continue to beat the market.

Surya Narayan Patra: Okay. In terms of the gross margin, sir, there is a kind of a meaningful positive surprise that we have seen in this quarter. Any quarter-specific factor that is there? Or it is the rupee depreciation factor? Or it is the product mix factor? What would have played this? And how sustainable you think this gross margin that we can see going ahead?

Ajit Kumar Jain: Let say, overall gross margin is the function of overall top line growth. When domestic grows, when branded business grows, where we have good margins, even in generic businesses, we have very good margins, and that business growth was also very good. Institutional business in this quarter has declined. But other businesses has grown very well, and we have very good margins there.

So overall, for stand-alone, if you look at material cost-to-sales ratio has come down to around 24%. Material prices are by and large stable, slightly upward movement but not very significant. It's all the product mix change and higher-margin business is growing higher in this quarter that has also resulted in higher margin.

And for first 9 months of the current year also, if you look at, we have improved by almost around -- stand-alone I'm talking, by around 3.36 basis points. From 28.73% material costs in last year in the first 9 months, material cost ratio is around 25.37%, so almost around 3.36 percentage point improvement. And then this quarter, improvement is a little more. It is around 3.64%.

But overall, I think it will remain, for whole of the year, maybe 3.3% or 3.4% kind of overall improvement in the material cost-to-sales ratio standalone for Ipca.

Surya Narayan Patra: Okay. Just last one point, sir, from my side. See, going ahead, in terms of our focus, what would be the key areas, like, say, whether it is the integrated manufacturing or optimizing the U.S. or Unichem integration? Or it is like capability build up in terms of the biosimilar, injectables, hormones? So what would be the kind of a couple of key focus area which should drive growth for, let's say, over next 2 years?

Ajit Kumar Jain: All that are our focus areas because, let's say, there are different, different teams. And this is the focus area for, let's say, domestic continue to remain focus area, branded business is also a focus area and also your generic businesses because there are different teams who look after that business.

And our overall filing is also building up in all these markets.

ets. R&D output has now increased.

So in future, that will also have a better impact on overall generic businesses. And also ROW filings are moving up. So we hope to do on all these businesses good in the time to come.

And as far as your biosimilar business is concerned, we have now 5 candidates. And now we already started process of technology transfer for two products. And hopefully, that manufacturing will start shortly.

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Surya Narayan Patra: That is even targeting advanced market, sir?

Ajit Kumar Jain: That will target all global markets. I think we have already taken opinion on our regulatory framework from U.K. MHRA. We have taken from Europe an authorities and also from U.S. FDA. So all the three agencies, we have taken that opinion on protocols and everything. So everything is going on in that line.

Moderator: The next question is from the line of Shashank Krishnakumar from Emkay Global.

Shashank Krishnakumar: Sir, my first one was on the domestic API business. I think in our export API, broadly realizations have started stabilizing. But in the domestic API, just wanted to get some sense if the Y-o-Y decline is still largely a function of realizations remaining under pressure. Or have volumes also sort of come down? Just wanted to get some sense around it.

Ajit Kumar Jain: I think overall domestic business; we also do a lot of antimalarial business. That business has little come down. That impact is there. And also some businesses on Shirasho peptides, which we're getting it manufactured from CRAMS facility, and now, so that has declined. So other than that, there is no meaningful difference overall.

Shashank Krishnakumar: Got it. Sir, secondly, just on the margin expansion that we have seen this quarter on a Y-o-Y basis. So I think the consol margin expansion is a bit higher versus what you have seen on a stand-alone basis, though Unichem margins, I think, have come down.

So wanted to get some color around what is driving that. And is it also sort of linked to the fact that ex of Unichem revenue, if I look at it from others, that is a bit lower this quarter. So is that linked to that? I wanted to get some color around it?

Ajit Kumar Jain: Basically, it's Ipca's stand-alone business that is driving and also the nutraceutical business, which we have in Trophic Wellness. That is also doing very well. So both these businesses have done well and that is what is driving the margins.

Moderator: The next question is from the line of Dharmil Shah from Dalmus Capital Management.

Dharmil Shah: My questions are more specific on Unichem. In the quarter, our revenues have declined by 2%, and you've already mentioned that it's largely on a account of market share loss in the key products. But that was already a part of H1 challenges. So is there any incremental market share loss in Q3 that we have seen?

Harish Kamath: No. Actually that decline started from Q2. It will perhaps continue for 1 or 2 more quarters.

Dharmil Shah: Okay. Understood. And how do you plan to regain the market share? Is it like a yearly thing, that you get the business for the molecule?

Harish Kamath: We're also launching 4, 5 more molecules in the U.S. market, and we are also taking necessary steps to regain the market share where the market is lost for 2, 3 major molecules. So suddenly, because of increase in the competition and price reduction, they lost some business. So we will recover that business. It may take another 1 or 2 more quarters.

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Dharmil Shah: These contracts usually are for 1 year? Or I mean, how frequent...

Harish Kamath: Not necessarily, not necessarily. 3 months, 6 months. It's not hard and fast, everything is for a 12-month contract level.

Dharmil Shah: Understood. And what gives you confidence? Is it gaining market share

are in the same molecule?

Or is it the new product launches you're banking on, sir?

Harish Kamath: No. In the existing molecule also, we will recover our market share, whatever we have lost, albeit at a lower price. Plus new products also, they continue to launch in the marketplace.

Dharmil Shah: Understood. So should we assume that gross margins and overall EBITDA margins should be under pressure, although we might gain...

Harish Kamath: Maybe 1 or 2 more quarters, it will be definitely under pressure. From there on, it should improve.

Dharmil Shah: Understood. And post that as well, if you are bidding at lower prices, then gross margin should be under pressure, right?

Harish Kamath: No, but they will be also doing some Ipca business, which is shaping up and growing well. So Unichem is our marketing partner in U.S. and we have already launched 5 molecules, in which

over a period of, say, 1, 1.5 years, they now have a lot of market share. And another 4 or 5 more Ipca molecule will also get launched in the U.S. market. So Unichem U.S. will also have that benefit going forward.

Dharmil Shah: Understood. And these Ipca molecules, how big the business would be in the next 1 or 2 years, just to get a sense of...

Harish Kamath: We were doing about 10 molecule business in the U.S. 7, 8 years back. We were doing about INR300 crores. So out of that, we have currently launched around 5 molecules, which are all backward integrated. Another 4 to 5 molecules will get launched in the next 6- to 12-month period.

Dharmil Shah: Understood. Got it. Got it. And just a broad sense, how do you see Unichem's growth for next 2 years, FY '27 and FY '28, now that FY '26 is almost over?

Harish Kamath: Unichem growth and margin will improve once whatever filing they are doing currently in Europe and all will get registered and those products will come in the marketplace. They are also being many registration in the ROW branded space. So all this will cumulatively help them in growing their business and margin over a period of next 2 to 3 years.

Dharmil Shah: Maybe if you were to give the guidance, how much growth do you expect from Unichem's business on the top line or EBITDA margin, sir?

Harish Kamath: See, once this -- whatever market loss they have in the U.S. gets recovered, then over a period of time, they should grow their top line anywhere between 8% to 10%. And our aim is to reach

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EBITDA margin to begin with around 15% maybe in 2, 3 years' time and gradually improve it to about 20% when all their filing and registrations will come in the European market and that business will grow.

Dharmil Shah: Understood. But that European business...

Harish Kamath: See, they have a lot of capacity in their manufacturing plant. Once that starts getting utilized, their margins will automatically improve.

Dharmil Shah: Understood. But the Europe business will take time, right? Because you have just filed 3 applications.

Harish Kamath: Registration takes anywhere between 1 to 2 years. So filings are happening. Few are already filed. A few more are getting filed. So it will take some time.

Dharmil Shah: Understood. Got it. Got it. And 8% to 10%, you mean it for U.S. business or the overall revenue growth?

Harish Kamath: No, no. Overall, I am talking.

Moderator: The next question is from the line of Nikhil Mathur from HDFC Mutual Funds.

Nikhil Mathur: Sir, two, three questions. So first, I wanted to ask on the branded formulations in exports. I'm talking about Ipca ex Unichem. So you have given some sort of guidance for this year at around 11% growth. Do you mind giving some outlook for FY '27, '28 as well? And how do we see the business shaping up from a 3, 5-year perspective?

Ajit Kumar Jain: Let's say, our promotional branded business is a very stable business except when the currency goes for a toss in the market

. It's only around that time this business get impacted. So I think, overall, this promotional branded market should continue to have around 10% to 12% kind of growth over a longer period of time.

As far as generics are concerned, I think we will now grow faster in Europe, and U.S. also, growth will be faster. So overall generic businesses, we expect similar kind of around 10% to 12% kind of growth. API business will have a slightly little lower growth. And domestic business is also around 10% to 12% kind of growth. So overall the company growth is around 10% to 11%. That is what is the overall broadly.

And detailed guidelines, we will provide on the overall business and margins once our current year's budget exercise. And that is complete by March. And thereafter, we will give you the detailed guidelines.

Nikhil Mathur: Sir, promotional branded, I understand. On the generics side, sorry, I didn't understand. So you are saying only a 10%, 12% growth despite the U.S. from Ipca's standpoint coming back, right, of that INR300 crores business that were discontinued 6, 7 years back. So any particular reason why the softness on the generic formulation side despite U.S. coming back?

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Ajit Kumar Jain: It's basically uncertainties on the institutional business. That is what we are keeping in mind.

Nikhil Mathur: Okay. Ex of institutional, what will be the outlook, if I keep aside the tender business?

Ajit Kumar Jain: Maybe 1% or 2% more growth.

Nikhil Mathur: Okay. Got it. Okay. Sir, if I look at the EBITDA margin trajectory now, I think EBITDA margin this year, if I again exclude Unichem, it is kind of trending better than what you have been guiding in the last couple of quarters. So any particular reasons why the margins are coming in better, especially on the gross side?

And given that there's a big improvement now over the last 2 years on the EBITDA margin side, is there still scope for margin improvement in FY '27 and FY '28? I'm talking about ex Unichem.

Ajit Kumar Jain: So it's a function of top line growth. If top line growth is around 10% to 12%, margin will definitely improve by 1.5% plus.

Nikhil Mathur: 1.5% per year or over a 2-year period?

Ajit Kumar Jain: Every year.

Nikhil Mathur: Every year. Okay.

Ajit Kumar Jain: Yes.

Nikhil Mathur: So there is a potential of 300 basis point margin improvement in the next 2 years provided the growth remains at 10%, 11%?

Ajit Kumar Jain: Yes.

Moderator: The next question is from the line of Chirag from DSP Investment Managers.

Chirag: Sir, where are we on the U.S. business? If you can talk about the third quarter run rate. I understand that this is subsumed in the Unichem revenue, but you don't give it out. You don't give us the regional split for Unichem. So for our Ipca U.S. business, where is that number? And if you can talk about 9 months and 3 months and what is the outlook there over the next couple of years.

Ajit Kumar Jain: In last quarter, Q3, the U.S. business was almost a round INR395 crores, consolidated I'm talking, Ipca and Unichem put together. And Q3 '25, that business was around INR339 crores. So there is a growth of around 17%. All this growth in the U.S. business is largely because of Ipca portfolio, Ipca portfolio of its own product and Ipca portfolio, which was there of Bayshore, for which third-party products which we were trading around that time. So put together, that business has grown by around 17%.

Overall, if you look at first 9 months of the current year, that business is almost around INR1,140 crores. And last year, that business was around INR 990 crores. So there is a growth of almost

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around 15% in the U.S. business. And most of this business growth is by and large because of either Ipca portfolio and Bayshore portfolio which has

gone to Unichem.

Chirag: Sir, can you talk about the Ipca-manufactured product portfolio, please? Similar number?

Ajit Kumar Jain: That 5 products, I think, overall, around 10 million to 11 million kind of business they have already done.

Chirag: In 9 months.

Ajit Kumar Jain: In 9 months, yes.

Chirag: Correct. And what is the exit run rate, sir, in the third quarter?

Ajit Kumar Jain: Business is going to be better.

Chirag: Understood. And how are we thinking about this business in the next couple of years, sir?

Ajit Kumar Jain: Mr. Kamath has already spoken on this matter.

Harish Kamath: Chirag, we have about 35 registrations, out of which 5 we have commercialized. Another 5 to 7 molecules will get commercialized over the next 12 to 15 months. So gradually, every year, we will be adding 5 or 6 new products in the U.S. market of Ipca portfolio.

Chirag: But you don't want to give a revenue number.

Harish Kamath: See, the thing is; to get a market share after launch of product, it takes a very long time. See, whatever five products I am today marketing, it is almost now 2 years and now we have reached a market share. Most of the molecule is 25% plus because they are all our backward-integrated molecules. And there is further scope to improve market share on these molecules itself, the five, what we are now marketing. So there is an opportunity, and we are working towards that.

Chirag: Understood. And just one feedback, sir. Incrementally, sir, if you can also for Unichem provide the geographic mix of top line, that will help us evaluate the business better on a quarterly basis.

If you can do that, that will be helpful, sir?

Harish Kamath: See, almost two third of their business is from U.S. Other than that, they have a small ROW branded formulation business, some API business and generic business, especially in the U.K. and one or two countries of Europe. That's all.

Moderator: The next question is from the line of Kunal Randeria from Axis Capital.

Kunal Randeria: Sir, I still don't understand the gross margin. Excluding Unichem, it's already in mid-70s. I think very few pharma companies report these kind of margins and also given the fact that the API business would be facing lower gross margins. So just want to understand, because I think a

couple of years back, it would have been high 60s. So what is driving it besides currency? And secondly, what is the ceiling to this number?

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Harish Kamath: It is pure product mix, nothing else. Wherever margins are better, those businesses are growing faster. For example, in the domestic business, our chronic segment is growing faster than the acute segment where margin is less because most of them are antimalarial business. Similar thing in the international ROW market also and generic business also.

Kunal Randeria: I understand the product mix. Sorry, sir, to push you, but I mean, mid-70s margin, it seems like very few...

Harish Kamath: Hello?

Moderator: Kunal, your voice is muffled.

Kunal Randeria: Sorry. Is it...

Harish Kamath: Hello?

Kunal Randeria: I will rejoin the queue.

Moderator: The next question is from the line of Sai Om Mukherji from Nomura.

Sai Om Mukherji: Just one question I had. Have we started making filings for the U.S. market from the Ipca side? If you can share how many filings have been made and if any opportunity there you see over the next 2, 3 years?

Ajit Kumar Jain: I think current year, we already made 4 filings. And I think annual basis also, around 5 to 6 filings would happen every year.

Sai Om Mukherji: Okay. And when do you see these new filings getting commercialized? If you have any timeline in mind.

Ajit Kumar Jain: It will all depend on approval timeline. But let's say, we have over 30 filings, and we still have around 8, 10 approvals still pending past approval. And thereafter, the new filing approval.

So

it will all depend on how the filing approvals start coming in. Based on that, it's difficult to give right now the numbers. But yes, it all will depend on that.

Sai Om Mukherji: Okay. Sir, any color you can give on your European business? There was some issue in the past. How do you see growth in the unbranded generic outside of U.S.? Can you give some color?

Ajit Kumar Jain: Let's say, most of our businesses are happening in smaller geographies in Europe, Australia, New Zealand, Canada. And that business is good business. We have very good margins and all. We have some business in U.K. That business was fiercely competitive. And practically, in that market, there was a blood bath on pricing vertically. A lot of products we're selling at losses in that market.

But last 1 month, we have started seeing a sharp recovery again in prices, and the recoveries are as high as 30%, 40% kind of recoveries are seen. So it's only that kind of -- sometimes probably in the market, when the inventories become large, people just try and dispose of the material, short-expiry materials and all that, which kills the pricing. So I think last financial year, most of

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our portfolios were facing that kind of problem. But now we are seeing that much better recovery, and we hope to do better business there.

But that's the lowest margin business we have in generic market, by and large, the business which are coming from Scandinavian countries and other smaller European countries. We are not there currently in Germany. We are not there in France or Italy or those kind of markets. But we have good presence in Spain and other markets and the overall margin profile is far better.

Sai Om Mukherji: Okay. Sir, just one last question, if I can ask. I mean, you talked about your margins have improved. You have seen an improvement. Also, you mentioned like you should see 150 basis point expansion in EBITDA margin.

Sir, the steady business that you have in India, I don't know, you don't spell out the margin number for India. But if you can talk about -- if you can give that number, it would be great. Otherwise, qualitatively, you can talk about how the margin in the domestic business has been faring. Has it improved significantly steady? Or if you can give some color around how the domestic business margin is faring.

Ajit Kumar Jain: If you look at overall, our highest EBITDA margins come from promotional branded business in international markets. The second level there is the domestic business. Third will be generic business which we do other than U.K. Then comes is the institutional business. Then last will be U.K. business and, thereafter, API business. So margin-wise, if you look at the domestic business, the branded business would be second for us.

Sai Om Mukherji: And how is it trending, sir? I mean if you can give some color there. And what is your expectation? Because that's a pretty steady business, right? You would continue to grow at 10%, 12%, you mentioned.

Ajit Kumar Jain: Let's say, in promotional branded business, our material cost is very, very low. It's maybe 10%, 12% kind of material cost. So any improvement in that business -- similarly, since our domestic business is also now antimalarials and all these, antibiotics are very small part of it.

And we are more going towards CNS, neurology, cardiology, that's the kind of business which is growing faster. So margin profile on that is also increasing, improving significantly. So overall, the 10% to 12% growth, it's very easy to improve overall EBITDA margin by 1.5%. The quality of business is that way.

Moderator: The next question is from the line of Harsh Bhatia from Bandhan Mutual Fund.

Harsh Bhatia: Sir, in terms of the comments for the European market on the pricing part and the recovery, most of the pricing deterioration -- there could

be multiple reasons, but most of it was like because of tariff-related issues and dumping? Or was there anything particularly one-off to that angle? If you could spell out some reasons as to why there was significant pricing deterioration in the European market. And is it more sustainable in terms of the recovery that we have seen in the last 1 month?

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Ajit Kumar Jain: My comment was only for the U.K. business, not on European business. European business is very steady and all. Absolutely no problem. My comment was only on the U.K. business.

Harsh Bhatia: Sure. In terms of the clarification for one of the comments you made, this is for the U.S. business.

When we are guiding for the Unichem growth, I think, 8% to 10% or 9% to 10% for the next 2, 3 years, this is pure Unichem growth, right? Are we building in or are we assuming Ipca U.S. sales driving the U.S. growth for the Unichem business? Is that the case? Or we are just assuming pure Unichem U.S. division to grow by itself?

Harish Kamath: We've already said, current financial year, first 9 months, Unichem U.S. business, their own portfolio is lower because of loss of market share in 1 or 2 molecules, which they also regain maybe in another 2 to 3 quarters' time. So on a stand-alone basis, once they regain that particular market share loss, they should also grow in their portfolio by 7% to 8% annually going forward with launch of 4 to 5 new molecules next 2 to 3 years. And over and above that, whatever growth will come in the Ipca U.S. business also will be their growth in the U.S. market.

Moderator: Ladies and gentlemen, that was the last question for today. I would now like to hand the conference over to the management for closing comments.

Harish Kamath: No, madam. We can close the call. We have answered all the questions. There is nothing more to add.

Moderator: Okay. Thank you. On behalf of Ipca Laboratories and DAM Capital, that concludes this conference. Thank you for joining us, and you may now disconnect your lines.

Harish Kamath: Thank you.

Call: Jun 2026

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D

Dear Sirs,

Pursuant to Regulation 30 of the Securities and Exchange Board of India (Listing Obligations and Disclosure Requirements) Regulations, 2015, please find the transcript of our Conference Call which was held on Monday, 1st June, 2026 from 15:30 hrs IST to discuss the Company's Q4FY26 earnings and business update.

Thanking you

Yours faithfully

For Ipca Laboratories Limited
Harish P. Kamath
Corporate Counsel & Company Secretary
ACS 6792
Encl: a/a

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Q4 FY26 Earnings Conference Call"
June 01, 2026

MANAGEMENT : M R. A.K. JAIN – MANAGING DIRECTOR AND CHIEF
FINANCIAL OFFICER – IPCA LABORATORIES LIMITED
MR. HARISH KAMATH – CORPORATE COUNSEL AND
COMPANY SECRETARY – IPCA LABORATORIES
LIMITED
MODERATOR : M R. NITIN AGARWAL – DAM CAPITAL ADVISORS
LIMITED

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Moderator: Ladies and gentlemen, good day, and welcome to the Ipca Labs Earnings Call Q4 FY26, hosted by DAM Capital Advisors Limited. As a reminder, all participant lines will be in the listen-only mode and there will be an opportunity for you to ask questions after the presentation concludes. Should you need assistance during the conference call, please signal an operator by pressing star then zero on your touch-tone phone. Please note that this conference is being recorded.

I now hand the conference over to Mr. Nitin Agarwal from DAM Capital Advisors Limited.

Thank you, and over to you, sir.

Nitin Agarwal: Thank you, Rico. Hi, good afternoon, everyone, and a very warm welcome to Ipca Labs Limited's Q4 FY26 Post Results Earnings Call, hosted by DAM Capital Advisors Limited. On the call today, we have representing Ipca Labs management, Mr. A.K. Jain, Managing Director; and Mr. Harish Kamath, Corporate Counsel and Company Secretary.

I will hand over the call to Mr. Jain to make the opening comments, and we'll open the floor for questions. Please go ahead, sir.

A.K. Jain: Thanks, Nitin, and DAM Capital for organizing this call. Today's hearing call and discussion answer given may include some forward-looking statements based on our current business expectations. This must be viewed in conjunction with the risk that pharmaceutical business faces. Our actual future financial performance may differ from what is projected, perceived. You may take your own judgment on information given during the call.

Our domestic formulation business in Q4 FY26 has delivered a growth of around 12%. Business was at around INR853 crores as against INR764 crores in Q4 2025. MAT March '26, Ipca rank continue to remain at 16. However, we have marginally improved our market share to 2.09% as against 2.08% in MAT December '25. Six of our brands are featuring among the top 300 brands in the industry. In both chronic and acute segment, we are continuously beating the market. Overall, for financial year FY26, our domestic business has grown by around 10% to around INR3,817 crores as against INR3,455 crores in FY25. Our export formulation business has

delivered a growth of around 9% for the financial year '26 to around INR2,083 crores from INR1,919 crores. The promotional business for the quarter has delivered a growth of around 14%. And for whole of the year also, this business has delivered a growth of around 14%. Overall business for the financial year has remained around -- is around INR664 crores on promotional business, promotional branded export business as against INR582 crores in last financial year. Generic business, excluding tenders, has delivered growth of around 17% for the financial year to around INR1,149 crores from INR982 crores in FY25. Our Institutional business has declined during the year to around INR270 crores from around INR355 crores in last financial year. Even in the last quarter of the current year also, business has declined to around INR74 crores as against INR111 crores in Q4 FY25. API business for the whole of the year has delivered business growth of around 10%.

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The business now stands at around INR1,396 crores as against INR1,266 crores for FY26. Overall consolidated business for the company in FY 26, March '26, has grown by around 6% to around INR2,388 crores from around INR2,274 crores and consolidated revenue for whole of the year has grown by around 8% to around INR9,646 crores against INR8,940 crores for the financial year '25.

Stand-alone EBITDA margins for the Ipca in Q4 has improved by around 25.27%, as against 21.19% in Q4 FY25. This is an improvement of almost around 4.08%. And for the financial year March '26, overall EBITDA margin stand-alone for company has gone up to around 25.18% as against 22.66% in March '26, an overall improvement

of around 2.52% and we have significantly overall improved the margins as against our guidelines for the financial year.

The consolidated Ipca Q4 FY26 EBITDA margin has improved around 20.52% as against 18.24% in Q4 FY25, an improvement of around 2.28%. And for all of the financial year, March '26, EBITDA margins has improved to around 20.72% as against 19.94% in March '25, an improvement of around 1.78%. We have delivered better margins as against our guidelines of 20% for FY26 overall.

Having given the broad numbers, now I'll request questions from the participants.

Moderator: Thank you very much. We will now begin the question -and-answer session. Our first question comes from the line of Aanchal Jalan with Lotus Wealth.

Aanchal Jalan: Sir, if you want to grow at 15% to 20% for the next 2 to 3 years, how many molecules do you think we should be launching at a yearly level because old molecules will have higher competition and price erosion is also happening there. So how many launches do you think we should be doing in a year? And secondly, what is our product pipeline for Q1 and Q2 of FY27? Yes, that's my question.

A.K. Jain: As far as we are concerned on the old molecules, we don't see any kind of price erosions as such. And normally, our policy is to take the price rise of around 5% to 6% in a year, depending on what kind of price rise competitors are also taking at the marketplace. So that policy will continue that way. And as far as domestic market are concerned, we don't launch too many products in a year.

Each division has around 2 or 3 power brands and then there are support brands in each division. And at the most in each division, we may launch one product or some line extension in here and there. So if we have 20 divisions in the year, we should be launching in domestic market around 18 to 20 products.

So that has been our business philosophy because more number of products you launch, the attention of the people get diluted and that results in the overall defocus from the main power brands. So we normally don't launch too many products in the marketplace. As far as generics are concerned, let's say, currently, we are marketing around 8 products in U.S.

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And I think this year also maybe around 6 to 8 products will be commercialized in the current financial year. And as far as European and other markets are concerned, each market situations are different. But normally, we launch 3 to 4 products in each market in every year in generics. That is our overall position.

Aanchal Jalan: Okay. And sir, specifically for Unichem, 6 to 8 products, right?

A.K. Jain: Unichem has also a good pipeline, and I think they should also be launching at least 5 to 6 products in the current year.

Aanchal Jalan: And then FY27?

A.K. Jain: Yes, that's apart from Ipca.

Moderator: Our next question comes from the line of Surya Patra with PhillipCapital.

Surya Patra: Congrats for the good set of numbers. Sir, first question is on the U.S. business. Is it possible since it is a full year financials, what was the U. S. revenue that we would have generated out of Ipca and what outlook that we are providing for next year?

A.K. Jain: Overall, if you look at the consolidated numbers for the overall business, Ipca USA and Unichem USA put together, I think in the quarter, U.S. has done business of around INR428 crores as against INR388 crores in Q4 last year. So there is a growth of around 10%. And overall, for the whole of the financial year, U.S. business is around INR1,567 crores as against INR1,379 crores last year. So U.S. has given a growth of around 14% on a consolidated basis.

Surya Patra: Okay. Similarly, sir, if you can just give some sense about the kind of growth that you have seen for the full of the -- for FY26 basically for the key markets like, let's say, Europe, Africa, CIS, Australia

like that?

A.K. Jain: Let's say, India should be growing around 12% to 13 % in the current financial year. CIS market will have around 10% to 11%. Overall promotional market, we expect almost around 12% to 13% kind of growth. Then overall generic market will also have around 12% to 13% kind of growth, which will include the U.S. also.

So overall company as a whole, we should be able to, including Unichem and put together around 12% to 13% kind of growth on a consolidated basis. And on EBITDA side from 20.7% currently on a consolidated basis, I think it should be almost around 22% or 22.3% something more or less on that line.

Surya Patra: Okay. Yes. So next point was about the gross margin. In fact, we have seen strong improvement. And for the full of the year also, there is a kind of improved performance that we have seen. But see, what can be attributed for this improved performance, whether it is a currency advantage or it is the synergy or it is the product mix improvement, U.S. picking it up. So what would have contributed to this margin improvement? And how sustainable the gross margin be?

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A.K. Jain: I'd say cash stand-alone, if you look at against growth of around 10%, our overall material cost has declined by around 2%. Overall, for the whole of the year, except from February onwards, earlier, the overall price was -- prices of materials has remained steady. So there was not much of fluctuations as far as the material cost was concerned around for the first 11 months, for the whole of the financial year because we maintain certain stocks.

So as far as consumptions are concerned, not much except in the March, certain solvent prices and February and March, the solvent prices and some other materials, which was supply chain disturbance like ammonia and so many other things, [acid/alkali 0:13:28], there are many of those materials has moved up. So little material cost has moved up in the month of February and March in Q4 of the current financial year on a stand-alone basis, if you look at the numbers. The improvement in overall margins is by and large because of product mix changes.

Domestic business is doing good. ROW market business is doing good. Cardiac business proportions has moved up. And overall, the generic business, which is happening in most markets has also given us the better overall margins. So -- and even on the API side, we have improved overall margins.

So that has resulted in overall margin improvement on a stand-alone basis. But as far as Unichem is concerned, their overall EBITDA margins has declined from 12% to around 8% and their turnover has not moved up. So that has resulted in overall otherwise EBITDA margins improvement for consolidated business would have been further higher.

Surya Patra: Okay. Just last one point, sir, whether it is supply chain disruption or any impact on the raw material availability or the price rise. So that situation is kind of already behind us or even the current quarter subsequent period could see some impact in the FY27?

A.K. Jain: There is a significant improvement increase in the prices now. Let's say, if you look at packaging material, aluminum has moved up, PVC, PVDC has significantly moved up. On solvent price, if you look at prices are still 40% to 50% higher than what we were paying in the month of January or earlier in the whole of the financial year.

And let's say, prices of a lot of other API has moved up because of, again, some or other things in the supply chain is disturbed. And overall, I see if current end of petroleum prices remain, overall material costs should rise by almost around 10% to 12%. So that looks like that that's the kind of price rise is there in the -- currently in the market.

Like say, simple product like paracetamol has moved up significantly. Metformin has moved up significantly. And t

that moment is much higher than what number I'm talking. I'm talking of overall. Overall is around 10% to 12% kind of overall increase is there in the marketplace. Surya Patra: So practically, the product prices have gone up higher than the input prices? A.K. Jain: I would say that these inputs have gone up. As against that, what is happening on our output. Like say, as far as API is concerned, what we are selling today, entire cost increase, we are passing on to the consumer or to the buyers. So there are no issues. As far as the domestic market is

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concerned, products which are in price control, the prices remain at the same level. You can't increase even a paisa on that. And overall, the other decontrolled products as against 5% kind of price rise, which we are taking. Looking at the overall input cost increase, we -- this year price rise a little higher, may be around 6% to 7% to offset the kind of price increase which has happened at the marketplace. That will completely offset the entire overall cost rise, which are there in the marketplace. As far as generic market are also concerned, there the arrangements are a little longer term. So we are taking up with the buyers and increasing the prices wherever they are possible. So I don't foresee much of that impact coming, there could be maybe 0.5% point increase in the -- or maybe 0.75% increase in the material cost. But I don't think so that will disturb my EBITDA margin significantly in the current year because, again, the product mix change and that's playing so overall, your margin. And therefore, I have given the projections also of guidelines for the EBITDA margin for whole of the year that it should -- it will move by around 1% to 1.25% in the current financial year. As against earlier, we were always talking of around 1.5% or a little more EBITDA margin improvement. That's a little lower guidelines is only on account of material cost. But if the petroleum prices again are moving up lower, then probably margins could still be better. Moderator: Our next question comes from the line of Rajakumar Vaidyanathan with RK Investments. Rajakumar Vaidyanathan: Sir, I just want to know what is the outlook for the Unichem business? When do you think the margins will improve? A.K. Jain: Unichem last financial year had -- their U.S. business has not grown up, mainly because on certain high-volume businesses, they have lost certain market share. They again started gaining the market share. And I think in current financial year, their U.S. business should grow by around 10%. So hopefully, with that, the margins will also move up. They have done well in European market in last financial year. And we also see from further from that point of view that business will improve and margins will improve there. Plus they have also incurred some certain additional costs in last financial year because of their Ireland facility, there were -- manufacturing was happening. So that is closed. And some -- those people were also given your package on severance and all those kind of things. So that cost also got debited. And all those productions are shifted back to India. So that is also will result in better margins overall on production of those products here. And also the overhead costs, they were incurring and incurring in at Ireland facility may be around EUR 4 million to EUR 5 million. So that expenditure will also stop in the current financial year. So overall, there will be better improvement in the Unichem also in the current year. We foresee that I think Unichem margin may become around 12% to 13% in the current financial year from that level. And from that level, again in future years as our filings in other markets

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start coming up and then we start launching products in other markets. Margins will keep on improving. Rajakumar Vaidyanathan: Okay. Sir, this 12% to 13% that you mentioned, that is the overall margin for FY26-'27? A.K. Jain: For Unichem, yes. Rajakumar Vaidyanathan: Overall, the full year margin, right? A.K. Jain: Yes. Rajakumar Vaidyanathan: Okay. And sir, the second question is, this inventory at Unichem seems to be on the higher side. Last quarter also, I raised this question, you said there are some actions being taken, but the inventory remains more or less at the same level as '25? A.K. Jain: Overall, I think inventory-wise, a lot of actions have been taken. And -- but if you look at the nature of business itself in case of Unichem because it's a U.S. business and supply chain disturbances, all were happening. So certain kind of inventory, the movement was taking longer time by ship and all that. They have started shipping everything from ships instead of air

shipment. Significant amount of air shipment was there in Unichem maybe a year back to almost around 40% kind of shipment was moving by air.

Now it's hardly around 4%, 5% kind of shipments are moving it. And that's for the whole transit time has improved and increase in all that. So that has little inventory has gone up on that account. But overall, we don't see any kind of concern on that account. The U.S. cycle itself is a little longer, and their business is mainly U.S.

As far as Ipca is concerned, if you look at overall last 2 years, if you look at '25 and '26 by large, put together, our inventory is at the inventory and receivables entire -- there's hardly any money has been put in overall in working capital. The entire -- your cash generation is overall, there is accruals are there, and there is hardly any kind of money has gone in working capital in last 2 financial year. We have perfect control as far as your overall inventory cycles are concerned.

Rajakumar Vaidyanathan: Okay, sir. Sir, lastly, the question is on the Lyka Labs subsidiary. So the performance has been deteriorating. So because lastly, you took an impairment for Krebs Bio. So will it also lead the same way because the performance is really deteriorating quarter-on-quarter?

A.K. Jain: Let's say, I should not be speaking for Lyka Lab, I think you should be talking, but to Lyka Lab on that part. But otherwise, I see broadly, if you look at they have started marketing their injectables and animal health care products in the market, and they have recruited a lot of field force. And it takes time. Last 2 years, a significant amount of expenditures has gone in creating the more sustainable business because of that. Because of addition of addition of field people, there is on P&L account, there are pressures.

But I think journey is going very well as far as those -- the animal health care and team, which has launched and also the critical care team they have launched, they are progressing well, and we don't foresee much of concern on that account. Maybe the profitability is currently lower.

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But as the time goes, these teams start maturing and business start building up, margins will start moving up there also.

Moderator: Our next question comes from the line of Shashank Krishnakumar with Emkay Global.

Shashank Krishnakumar: My first one was on the other expenses for Unichem, which sort of saw a sharp increase this quarter. So was it primarily driven by an increase in R&D? And if you could also share what the R&D spend was for both for Unichem and Ipca stand-alone as a percentage of sales in FY26?

A.K. Jain: I think Unichem that other expenditure has moved up is largely because of R&D because they are looking at some kind of institutional business in U.S. So around 4 to 5 products has been -- technology transfers are given to third-party manufacturers so that from -- we can manufacture those products

products for the U.S. itself to supply to -- for the government purposes.

And therefore, this quarter had around INR10 crores to INR12 crores of additional expenditure on account of those technologies transfers to the U.S. are supporting manufacturer. So other than that, there's hardly any kind of exceptional cost. The other expenditures by and large, moved only on that account.

Shashank Krishnakumar: Got it. So what was the R&D for Unichem and Ipca this year, FY26 as a percentage of sales?

A.K. Jain: It's around 3.71%.

Shashank Krishnakumar: Got it. Sir, just secondly, if you could just share the market-wise growth trends for the year gone by for both branded formulations and generics, particularly because this quarter, we saw an increase in generic revenue, for which market primarily drove that. If you could just share some color around how the individual markets have performed?

A.K. Jain: Domestic has grown by 12% for Ipca. Branded formulations has grown by 14%. Institution has declined by 33%. Generic market in this quarter has grown by around 39%. So that's overall Ipca is concerned. And as far as the whole of the financial year is concerned, domestic has grown by around 10%, branded by 14%. Institutional, there is a decline of around 24% and generics has gone up by around 17%, yes. So that is already given in press release. If you go through our press release, yes, all those numbers are very well displayed there.

Shashank Krishnakumar: So I'm looking for more market-specific trends, which you usually share any particular market which drove growth this quarter or during this financial year?

A.K. Jain: Let's say, branded is by and large driven by, let's say, our CIS market and French-speaking African market. India is by and large driven by our pain and cardiac and derma and neuro and CNS portfolio what we have. Institutional has by and large declined because of funding constraints currently being faced by the institution. And generics are -- both Europe has done well. Australia and New Zealand has done well. So it's broadly all markets and also the U.S. launches, which has happened current year. So overall, the business has been good as far as generics are concerned.

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Shashank Krishnakumar: Got it, sir. And just the last one, if I could squeeze in. Could you just comment on the performance of subsidiaries except of Unichem this quarter and for the full year?

A.K. Jain: As far as Unichem are concerned, I think current year was tough for them. I think -- and I have already shared the guidelines as far as Unichem is concerned that how they will be performing in current financials. They should be growing around 10% in current financial year, and they will improve their EBITDA margins also.

Other than that, we have domestic subsidiary, which is called Trophic Wellness. They have done well. I think they have significantly contributed. They are marketing nutraceuticals with business around, maybe around INR125 crores, and I think they're generating profit of almost around INR40 crores plus overall profit. So that's that. Lyka already talked, but it's not our subsidiary, it's an associate company.

As far as the Krebs are concerned, their performance is improving now. One of their plant, which is at Nellore has started EBITDA positive. Other plant, there are certain concerns going on right now as far as polishing departments are concerned. So once that is resolved, I think hopefully, we should be able to put that plant also on EBITDA positive kind of number.

As far as the U.S. -- European subsidiaries are concerned, we have 2 subsidiaries in U.S. One is Ipca formulation marketing company and another is Onyx Scientific, which is doing your business of rendering the research services to the other formulation company. Onyx is facing some kind of issues there because of overall inquiry level

Is for those kind of projects has gone

down because of current overall environment. This subsidiary has been last 8, 10 years has been doing very well.

But the last 1, 1.5 years, there are certain issues. But we are now seeing sign of improvement there. And Ipca subsidiary which is marketing the formulation in -- particularly in U.K., that has given a loss of almost around 2 million to 3 million kind of bonds. And largely because of last financial year, the pricing scenario in that market was very, very bad. But we are seeing now, again, there are a lot of shortages and overall improvement in the prices. So we hope to do better there also.

As far as U.S. subsidiary is concerned, Ipca is only one, which is a major one, which is Pisgah Labs. So there also there is a formulation facility is under construction there. I think probably I think in the fourth quarter of the current financial year, they should be able to ready to commission the plant. So any meaningful turnover coming from there will be, I think, in next financial year only, not in current financial year. And their API facility is also seeing now good order position now. So hopefully, there will be further improvement in that operations also.

Moderator: Our next question comes from the line of Tushar Manudhane with Motilal Oswal Financial Services.

Tushar Manudhane: Sir, on the export exports front, you have guided for broadly 12% to 13% revenue growth. Is this considering the currency depreciation as well? Or is this in INR terms?

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Harish Kamath: No. The guidance given is in INR terms, Tushar.

Tushar Manudhane: Okay. Got it. And as far as domestic formulation is concerned, given the raw material linked price hike, but if you could at least -- if you could share what could be the price volume new launches growth that we can expect for FY27?

Harish Kamath: No, the guidance given for domestic branded businesses is around 12%. Maybe out of that 1% to 2% could be new product and balance price increase and volume.

A.K. Jain: And Tushar, if you look at our overall material cost to sales ratio of Ipca is only 25%. Even if there is an increase, that will get offset by overall your overall increase in the top line and also overall the profitability of your products in domestic ROW and all those kind of things. So we don't foresee that this ratio will significantly alter. Maybe it's only 0.5% here and there.

Tushar Manudhane: How has been the freight cost trending? Or will that -- maybe like at the gross margin level, I understood like the -- it's possible to pass it on the increase in the raw model. But how to think about the freight or the logistics costs?

A.K. Jain: Normally, let's say, our branded formulation businesses and certain API business, that all happens through, let's say, C&F basis. There are a lot of other generic businesses that happens on where the freight are borne by the party. So overall, I think our freight cost has moved up by almost, I think, in the fourth quarter by almost around 25%. And that trend is continuing currently also. So that will have some impact on the overall number on the profitability till the time this issue of -- issue remains of Iran-U.S. kind of conflict, which is currently happening, the Strait of Hormuz and all that kind of thing.

The oil prices are elevated. Wherever air shipment s are concerned, the freight has multiplied now. And even getting the sometimes the cargo availability of space also, it takes a lot of time. So sometimes material remain for 10, 15 days. So availability itself is becoming an issue now to the various destinations. So that issue remaining, yes.

Tushar Manudhane: So then effectively, will this have impact on Q1, but overall, we think that subsequently in the coming quarters, we'll sort of come back.

A.K. Jain: There will be some impact, but if business improves

it is also there, but like say, last year, we

have grown by 10%. This year, we are guiding for 12 % to 13% kind of growth. So that growth will offset everything because the material cost to sales ratio is around 25%. So if you take your overall gross margin addition itself will be high. So all these costs should get offset.

Moderator: As there are no further questions from the participants, I now hand the conference over to the management for closing comments.

Harish Kamath: Yes. Since all questions are answered, I think we can close this conference call. Thank you, everyone, for participation.

Moderator: Thank you. On behalf of DAM Capital Advisors Limited, that concludes this conference. Thank you for joining us, and you may now disconnect your lines. Thank you.

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A.K. Jain: Thank you.